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Annual Report

Viscofan S.A. and subsidiaries

31 December 2022



Viscofan S.A. and subsidiaries

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Opinión

Hemos auditado las cuentas anuales consolidadas de Viscofan, S.A. (la Sociedad dominante) y sus sociedades dependientes (el Grupo), que comprenden el estado de situación financiera a 31 de diciembre de 2022, la cuenta de resultados, el estado del resultado global, el estado de cambios en el patrimonio neto, el estado de flujos de efectivo y la memoria, todos ellos consolidados, correspondientes al ejercicio terminado en dicha fecha.

En nuestra opinión, las cuentas anuales consolidadas adjuntas expresan, en todos los aspectos significativos, la imagen fiel del patrimonio y de la situación financiera del Grupo a 31 de diciembre de 2022, así como de sus resultados y flujos de efectivo, todos ellos consolidados, correspondientes al ejercicio terminado en dicha fecha, de conformidad con las Normas Internacionales de Información Financiera, adoptadas por la Unión Europea (NIIF-UE), y demás disposiciones del marco normativo de información financiera que resultan de aplicación en España.

Fundamento de la opinión

Hemos llevado a cabo nuestra auditoría de conformidad con la normativa reguladora de la actividad de auditoría de cuentas vigente en España. Nuestras responsabilidades de acuerdo con dichas normas se describen más adelante en la sección *Responsabilidades del auditor en relación con la auditoría de las cuentas anuales consolidadas* de nuestro informe.

Somos independientes del Grupo de conformidad con los requerimientos de ética, incluidos los de independencia, que son aplicables a nuestra auditoría de las cuentas anuales consolidadas en España según lo exigido por la normativa reguladora de la actividad de auditoría de cuentas. En este sentido, no hemos prestado servicios distintos a los de la auditoría de cuentas ni han concurrido situaciones o circunstancias que, de acuerdo con lo establecido en la citada normativa reguladora, hayan afectado a la necesaria independencia de modo que se haya visto comprometida.

Consideramos que la evidencia de auditoría que hemos obtenido proporciona una base suficiente y adecuada para nuestra opinión.

Cuestiones clave de la auditoría

Las cuestiones clave de la auditoría son aquellas cuestiones que, según nuestro juicio profesional, han sido de la mayor significatividad en nuestra auditoría de las cuentas anuales consolidadas del periodo actual. Estas cuestiones han sido tratadas en el contexto de nuestra auditoría de las cuentas anuales consolidadas en su conjunto, y en la formación de nuestra opinión sobre éstas, y no expresamos una opinión por separado sobre esas cuestiones.

Cuestiones clave de la auditoría	Modo en el que se han tratado en la auditoría

Reconocimiento de ventas de envolturas y films

La partida más significativa de la cuenta de resultados del Grupo es la cifra de ventas que asciende a un importe de 1.201 millones de euros (nota 20.1 de la memoria consolidada adjunta).

Las ventas del Grupo incluyen multitud de transacciones y corresponden, principalmente, a la venta de envolturas y films (negocio principal del Grupo).

Considerando lo anterior, la comprobación de que las ventas se registran de manera adecuada atendiendo a las condiciones de las mismas es una cuestión clave de nuestra auditoría.

Nuestros procedimientos de auditoría han partido del entendimiento y evaluación del diseño e implantación de los procesos relevantes que soportan el registro contable de las operaciones de venta. Hemos identificado los controles existentes y, para los más relevantes, hemos comprobado su adecuado funcionamiento. Por otra parte, hemos realizado, principalmente, los siguientes procedimientos relativos a las operaciones de ventas:

- Realización de pruebas en detalle sobre las ventas verificando, para una muestra, el adecuado registro de las transacciones mediante documentación soporte de terceros o, en su caso, hemos realizado pruebas asistidas por expertos en tecnología y sistemas, comprobando que todas las ventas siguen el flujo estándar de la transacción y que han sido, en su caso, cobrados.

- Selección y comprobación, en su caso, de los asientos contabilizados en el epígrafe de ventas que hemos considerado que pudieran dar lugar a partidas inusuales o irregulares.

- Obtención de confirmaciones de terceros para una muestra de facturas que componen el saldo de clientes a cierre del ejercicio. En los casos en los que no hemos obtenido respuesta, se han realizado procedimientos alternativos con evidencia justificativa de terceros para la comprobación de dichas facturas.

- Comprobación de que las ventas se han reconocido en el periodo correcto en función de las condiciones establecidas para las transacciones más cercanas al cierre de ejercicio.

- Evaluación de la razonabilidad de las fluctuaciones de las ventas del ejercicio 2022 respecto del ejercicio anterior.

Como resultado de nuestras pruebas no tenemos observaciones relevantes sobre esta cuestión.

Otra información: Informe de gestión consolidado

La otra información comprende exclusivamente el informe de gestión consolidado del ejercicio 2022, cuya formulación es responsabilidad de los administradores de la Sociedad dominante y no forma parte integrante de las cuentas anuales consolidadas.

Nuestra opinión de auditoría sobre las cuentas anuales consolidadas no cubre el informe de gestión consolidado. Nuestra responsabilidad sobre el informe de gestión consolidado, de conformidad con lo exigido por la normativa reguladora de la actividad de auditoría de cuentas, consiste en:

a) Comprobar únicamente que el estado de información no financiera consolidado, determinada información incluida en el Informe Anual de Gobierno Corporativo y el Informe Anual de Remuneraciones de los Consejeros, a los que se refiere la Ley de Auditoría de Cuentas, se han facilitado en la forma prevista en la normativa aplicable y, en caso contrario, informar sobre ello.

b) Evaluar e informar sobre la concordancia del resto de la información incluida en el informe de gestión consolidado con las cuentas anuales consolidadas, a partir del conocimiento del Grupo obtenido en la realización de la auditoría de las citadas cuentas, así como evaluar e informar de si el contenido y presentación de esta parte del informe de gestión consolidado son conformes a la normativa que resulta de aplicación. Si, basándonos en el trabajo que hemos realizado, concluimos que existen incorrecciones materiales, estamos obligados a informar de ello.

Sobre la base del trabajo realizado, según lo descrito anteriormente, hemos comprobado que la información mencionada en el apartado a) anterior se facilita en la forma prevista en la normativa aplicable y que el resto de la información que contiene el informe de gestión consolidado concuerda con la de las cuentas anuales consolidadas del ejercicio 2022 y su contenido y presentación son conformes a la normativa que resulta de aplicación.

Responsabilidad de los administradores y de la comisión de auditoría en relación con las cuentas anuales consolidadas

Los administradores de la Sociedad dominante son responsables de formular las cuentas anuales consolidadas adjuntas, de forma que expresen la imagen fiel del patrimonio, de la situación financiera y de los resultados consolidados del Grupo, de conformidad con las NIIF-UE y demás disposiciones del marco normativo de información financiera aplicable al Grupo en España, y del control interno que consideren necesario para permitir la preparación de cuentas anuales consolidadas libres de incorrección material, debida a fraude o error.

En la preparación de las cuentas anuales consolidadas, los administradores de la Sociedad dominante son responsables de la valoración de la capacidad del Grupo para continuar como empresa en funcionamiento, revelando, según corresponda, las cuestiones relacionadas con empresa en funcionamiento y utilizando el principio contable de empresa en funcionamiento excepto si los citados administradores tienen intención de liquidar el Grupo o de cesar sus operaciones, o bien no exista otra alternativa realista.

La comisión de auditoría de la Sociedad dominante es responsable de la supervisión del proceso de elaboración y presentación de las cuentas anuales consolidadas.

Responsabilidades del auditor en relación con la auditoría de las cuentas anuales consolidadas

Nuestros objetivos son obtener una seguridad razonable de que las cuentas anuales consolidadas en su conjunto están libres de incorrección material, debida a fraude o error, y emitir un informe de auditoría que contiene nuestra opinión.

Seguridad razonable es un alto grado de seguridad, pero no garantiza que una auditoría realizada de conformidad con la normativa reguladora de la actividad de auditoría de cuentas vigente en España siempre detecte una incorrección material cuando existe. Las incorrecciones pueden deberse a fraude o error y se consideran materiales si, individualmente o de forma agregada, puede preverse razonablemente que influyan en las decisiones económicas que los usuarios toman basándose en las cuentas anuales consolidadas.

Como parte de una auditoría de conformidad con la normativa reguladora de la actividad de auditoría de cuentas vigente en España, aplicamos nuestro juicio profesional y mantenemos una actitud de escepticismo profesional durante toda la auditoría. También:

- Identificamos y valoramos los riesgos de incorrección material en las cuentas anuales consolidadas, debida a fraude o error, diseñamos y aplicamos procedimientos de auditoría para responder a dichos riesgos y obtenemos evidencia de auditoría suficiente y adecuada para proporcionar una base para nuestra opinión. El riesgo de no detectar una incorrección material debida a fraude es más elevado que en el caso de una incorrección material debida a error, ya que el fraude puede implicar colusión, falsificación, omisiones deliberadas, manifestaciones intencionadamente erróneas, o la elusión del control interno.

- Obtenemos conocimiento del control interno relevante para la auditoría con el fin de diseñar procedimientos de auditoría que sean adecuados en función de las circunstancias, y no con la finalidad de expresar una opinión sobre la eficacia del control interno del Grupo.

- Evaluamos si las políticas contables aplicadas son adecuadas y la razonabilidad de las estimaciones contables y la correspondiente información revelada por los administradores de la Sociedad dominante.

- Concluimos sobre si es adecuada la utilización, por los administradores de la Sociedad dominante, del principio contable de empresa en funcionamiento y, basándonos en la evidencia de auditoría obtenida, concluimos sobre si existe o no una incertidumbre material relacionada con hechos o con condiciones que pueden generar dudas significativas sobre la capacidad del Grupo para continuar como empresa en funcionamiento. Si concluimos que existe una incertidumbre material, se requiere que llamemos la atención en nuestro informe de auditoría sobre la correspondiente información revelada en las cuentas anuales consolidadas o, si dichas revelaciones no son adecuadas, que expresemos una opinión modificada. Nuestras conclusiones se basan en la evidencia de auditoría obtenida hasta la fecha de nuestro informe de auditoría. Sin embargo, los hechos o condiciones futuros pueden ser la causa de que el Grupo deje de ser una empresa en funcionamiento.

- Evaluamos la presentación global, la estructura y el contenido de las cuentas anuales consolidadas, incluida la información revelada, y si las cuentas anuales consolidadas representan las transacciones y hechos subyacentes de un modo que logran expresar la imagen fiel.

- Obtenemos evidencia suficiente y adecuada en relación con la información financiera de las entidades o actividades empresariales dentro del Grupo para expresar una opinión sobre las cuentas anuales consolidadas. Somos responsables de la dirección, supervisión y realización de la auditoría del Grupo. Somos los únicos responsables de nuestra opinión de auditoría.

Nos comunicamos con la comisión de auditoría de la Sociedad dominante en relación con, entre otras cuestiones, el alcance y el momento de realización de la auditoría planificados y los hallazgos significativos de la auditoría, así como cualquier deficiencia significativa del control interno que identificamos en el transcurso de la auditoría.

También proporcionamos a la comisión de auditoría de la Sociedad dominante una declaración de que hemos cumplido los requerimientos de ética aplicables, incluidos los de independencia, y nos hemos comunicado con la misma para informar de aquellas cuestiones que razonablemente puedan suponer una amenaza para nuestra independencia y, en su caso, de las correspondientes salvaguardas.

Entre las cuestiones que han sido objeto de comunicación a la comisión de auditoría de la Sociedad dominante, determinamos las que han sido de la mayor significatividad en la auditoría de las cuentas anuales consolidadas del periodo actual y que son, en consecuencia, las cuestiones clave de la auditoría.

Describimos esas cuestiones en nuestro informe de auditoría salvo que las disposiciones legales o reglamentarias prohíban revelar públicamente la cuestión.

Informe sobre otros requerimientos legales y reglamentarios

Formato electrónico único europeo

Hemos examinado los archivos digitales del formato electrónico único europeo (FEUE) de Viscofan, S.A. y sociedades dependientes del ejercicio 2022 que comprenden el archivo XHTML en el que se incluyen las cuentas anuales consolidadas del ejercicio y los ficheros XBRL con el etiquetado realizado por la entidad, que formarán parte del informe financiero anual.

Los administradores de Viscofan, S.A. son responsables de presentar el informe financiero anual del ejercicio 2022 de conformidad con los requerimientos de formato y marcado establecidos en el Reglamento Delegado UE 2019/815, de 17 de diciembre de 2018, de la Comisión Europea (en adelante Reglamento FEUE).

Nuestra responsabilidad consiste en examinar los archivos digitales preparados por los administradores de la Sociedad dominante, de conformidad con la normativa reguladora de la actividad de auditoría de cuentas en vigor en España. Dicha normativa exige que planifiquemos y ejecutemos nuestros procedimientos de auditoría con el fin de comprobar si el contenido de las cuentas anuales consolidadas incluidas en los citados archivos digitales se corresponde íntegramente con el de las cuentas anuales consolidadas que hemos auditado, y si el formato y marcado de las mismas y de los archivos antes referidos se ha realizado en todos los aspectos significativos, de conformidad con los requerimientos establecidos en el Reglamento FEUE.

En nuestra opinión, los archivos digitales examinados se corresponden íntegramente con las cuentas anuales consolidadas auditadas, y éstas se presentan y han sido marcadas, en todos sus aspectos significativos, de conformidad con los requerimientos establecidos en el Reglamento FEUE.

Informe adicional para la comisión de auditoría de la Sociedad dominante

La opinión expresada en este informe es coherente con lo manifestado en nuestro informe adicional para la comisión de auditoría de la Sociedad dominante de fecha 28 de febrero de 2023.

Periodo de contratación

La Junta General Ordinaria de Accionistas celebrada el 29 de abril de 2022 nos nombró como auditores del Grupo por un periodo de un año para el ejercicio finalizado el 31 de diciembre de 2022.

Con anterioridad, fuimos designados por acuerdo de la Junta General Ordinaria y Extraordinaria de Accionistas para el periodo de 3 años y hemos venido realizando el trabajo de auditoría de cuentas de forma ininterrumpida desde el ejercicio finalizado el 31 de diciembre de 2017.

Servicios prestados

Los servicios, distintos de la auditoría de cuentas, que han sido prestados al Grupo auditado se desglosan en la nota 26 de la memoria de las cuentas anuales consolidadas.

PricewaterhouseCoopers Auditores, S.L. (S0242)

Gabriel Torre Escudero (21647)

28 de febrero de 2023

AUDITORES

PRICEWATERHOUSECOOPERS AUDITORES, S.L.

2023 Núm. 03/23/01231

SELLO CORPORATIVO: 96,00 EUR

Informe de auditoría de cuentas sujeto a la normativa de auditoría de cuentas española o internacional

Deloitte.

Deloitte, S.L.
Pl. del Castillo, 21,
31008 Pamplona
España

Tel: +34 948 17 00 86
www.deloitte.es

Viscofan, S.A. y Sociedades Dependientes

Informe de verificación independiente del Estado de información no financiera Viscofan, S.A. y Sociedades Dependientes correspondiente al ejercicio anual terminado el 31 de diciembre de 2022

28 de febrero de 2023

Deloitte, S.L. Inscrita en el Registro Mercantil de Madrid, tomo 13.650, sección 8ª, folio 188, hoja M-54414, inscripción 96ª.
C.I.F.: B-79104469. Domicilio social: Plaza Pablo Ruiz Picasso, 1, Torre Picasso, 28020, Madrid.

Deloitte, S.L.
Plaza del Castillo, 21
31001 Pamplona
España

Tel: +34 948 17 00 86
Fax: + 34 948 17 27 91
www.deloitte.es

INFORME DE VERIFICACIÓN INDEPENDIENTE DEL ESTADO DE INFORMACIÓN NO FINANCIERA (CONSOLIDADO) DE VISCOFAN (Y SOCIEDADES DEPENDIENTES) DEL EJERCICIO 2022

A los accionistas de Viscofan, S.A.:

De acuerdo al artículo 49 del Código de Comercio hemos realizado la verificación con el alcance de seguridad limitada, de la información no financiera identificada en la tabla GRI y en el Estado de Información no Financiera (en adelante EINF) incluidos en el Informe de Gestión Consolidado (en adelante IGC) de Viscofan, S.A., y sociedades dependientes (en adelante Viscofan o el Grupo) correspondiente al ejercicio finalizado el 31 de diciembre de 2022.

El contenido del Informe de Gestión incluye información adicional a la requerida por la normativa mercantil vigente en materia de información no financiera y por los Estándares Global Reporting Initiative para la elaboración de informes de sostenibilidad (en adelante estándares GRI), que no ha sido objeto de nuestro trabajo de verificación. En este sentido, nuestro trabajo se ha limitado exclusivamente a la verificación de la información identificada en las "Tablas de indicadores de taxonomía ambiental" del capítulo 2.6.1 del EINF, la tabla "Índice de Contenidos Global Reporting Initiative GRI" del capítulo 2.6.2 del EINF y la tabla "Índice de contenidos de la Ley 11/2018 de Información No Financiera y de diversidad" del capítulo 2.6.3 del EINF incluidas en el Informe de Gestión Consolidado adjunto.

Responsabilidad de los Administradores

La formulación del EINF incluido en el Informe de Gestión de Viscofan, así como el contenido del mismo, es responsabilidad de los Administradores de Viscofan. El EINF, incluido en el IGC, se ha preparado de acuerdo con los contenidos recogidos en la normativa mercantil vigente y siguiendo los criterios de los Sustainability Reporting Standards de Global Reporting Initiative (estándares GRI) seleccionados, así como aquellos otros criterios descritos de acuerdo a lo mencionado para cada materia en la tabla 2.6.1 "Índice de contenidos Global Reporting Initiative (GRI)", 2.6.2 "Tablas de indicadores de taxonomía ambiental" y la tabla 2.6.3. "Índice de contenidos de la Ley 11/2018 de Información No Financiera y de diversidad".

Esta responsabilidad incluye asimismo el diseño, la implantación y el mantenimiento del control interno que se considere necesario para permitir que el EINF esté libre de incorrección material, debida a fraude o error.

Los administradores de Viscofan son también responsables de definir, implantar, adaptar y mantener los sistemas de gestión de los que se obtiene la información necesaria para la preparación del EINF.

Nuestra independencia y gestión de la calidad

Hemos cumplido con los requerimientos de independencia y demás requerimientos de ética del Código Internacional de Ética para Profesionales de la Contabilidad (incluyendo las normas internacionales sobre independencia) emitido por el Consejo de Normas Internacionales de Ética para Profesionales de la Contabilidad (IESBA, por sus siglas en inglés) que está basado en los principios fundamentales de integridad, objetividad, competencia y diligencia profesionales, confidencialidad y comportamiento profesional.

Nuestra firma aplica las normas internacionales de calidad vigentes y mantiene, en consecuencia, un sistema de calidad que incluye políticas y procedimientos relativos al cumplimiento de requerimientos de ética, normas profesionales y disposiciones legales y reglamentarias aplicables.

El equipo de trabajo ha estado formado por profesionales expertos en revisiones de Información no Financiera y, específicamente, en información de desempeño económico, social y medioambiental.

Nuestra responsabilidad

Nuestra responsabilidad es expresar nuestras conclusiones en un informe de verificación independiente de seguridad limitada basándonos en el trabajo realizado. Hemos llevado a cabo nuestro trabajo de acuerdo con los requisitos establecidos en la *International Standard on Assurance Engagement 3000* (ISAE-3000), emitida por el Consejo de Normas Internacionales de Auditoría y Aseguramiento (IAASB) de la Federación Internacional de Contadores (IFAC); y con la Guía de Actuación sobre encargos de verificación del Estado de Información No Financiera emitida por el Instituto de Censores Jurados de Cuentas de España.

En un trabajo de seguridad limitada, los procedimientos llevados a cabo varían en su naturaleza y momento de realización, y tienen una menor extensión, que los realizados en un trabajo de seguridad razonable y, por lo tanto, la seguridad que se obtiene es sustancialmente menor.

Nuestro trabajo ha consistido en la formulación de preguntas a la Dirección, así como a las diversas unidades de Viscofan que han participado en la elaboración del EINF, en la revisión de los procesos para recopilar y validar la información presentada en el EINF y en la aplicación de ciertos procedimientos analíticos y pruebas de revisión por muestreo que se describen a continuación:

- Reuniones con el personal de la entidad para conocer el modelo de negocio, las políticas y los enfoques de gestión aplicados, los principales riesgos relacionados con esas cuestiones y obtener la información necesaria para la revisión externa.
- Análisis del alcance, relevancia e integridad de los contenidos incluidos en el EINF del ejercicio 2022 en función del análisis de materialidad realizado por el Grupo y descrito en el apartado 2.1.1 del EINF "Fundamentos", considerando contenidos requeridos en la normativa mercantil en vigor.

- Análisis de los procesos para recopilar y validar los datos presentados en el EINF del ejercicio 2022.
- Revisión de la información relativa a los riesgos, las políticas y los enfoques de gestión aplicados en relación a los aspectos materiales presentados en el EINF del ejercicio 2022.
- Comprobación, mediante pruebas, en base a la selección de una muestra, de la información relativa a los contenidos incluidos en el EINF del ejercicio 2022 y su adecuada compilación a partir de los datos suministrados por las fuentes de información.
- Obtención de una carta de manifestaciones de los Administradores y la Dirección.

Conclusión

Basándonos en los procedimientos realizados en nuestra verificación y en las evidencias que hemos obtenido no se ha puesto de manifiesto aspecto alguno que nos haga creer que el EINF de Viscofan correspondiente al ejercicio anual finalizado el 31 de diciembre de 2022 no ha sido preparado, en todos sus aspectos significativos, de acuerdo con los contenidos recogidos en la normativa mercantil vigente y siguiendo los criterios de los estándares GRI seleccionados así como aquellos otros criterios descritos de acuerdo a lo mencionado para cada materia en las tablas contenidas en los capítulos 2.6.1 "Tablas de indicadores de taxonomía ambiental", 2.6.2 "Índice de contenidos Global Reporting Iniciative (GRI)" y 2.6.3 "Índice de contenidos de la ley 11/2018 de Información No Financiera y de diversidad" del citado Informe.

Párrafo de énfasis

El Reglamento (UE) 2020/852 del Parlamento Europeo y del Consejo de 18 de junio de 2020 relativo al establecimiento de un marco para facilitar las inversiones sostenibles establece la obligación de divulgar información sobre la manera y la medida en que las actividades de la empresa se asocian a actividades económicas alineadas en relación con los objetivos de mitigación del cambio climático y adaptación al cambio climático por primera vez para el ejercicio 2022, adicional a la información referida a actividades elegibles exigida en el ejercicio 2021. En consecuencia, en el EINF adjunto no se ha incluido información comparativa sobre alineamiento. Por otra parte, en la medida en la que la información referida a actividades elegibles en el ejercicio 2021 no se requería con el mismo nivel de detalle que en el ejercicio 2022, en el EINF adjunto la información desglosada en materia de elegibilidad tampoco es estrictamente comparable. Adicionalmente, cabe señalar que los administradores de Viscofan, S.A. han incorporado información sobre los criterios que, en su opinión, mejor permiten dar cumplimiento a las citadas obligaciones y que están definidos en el apartado "2.6.3. Taxonomía europea de las actividades económicas ambientalmente sostenibles" del EINF adjunto. Nuestra conclusión no ha sido modificada en relación con esta cuestión.

Uso y distribución

Este informe ha sido preparado en respuesta al requerimiento establecido en la normativa mercantil vigente en España, por lo que podría no ser adecuado para otros propósitos y jurisdicciones.

DELOITTE, S.L.

Iñigo Úrculo

28 de febrero de 2023



Viscofan, S.A.

Informe de auditor
Información relativa al Sistema de Control Interno sobre la Información Financiera (SCIIF)
ejercicio 2022

Informe de auditor sobre la Información relativa al Sistema de Control interno sobre la Información Financiera (SCIIF)

A los administradores de Viscofan, S.A.:

De acuerdo con la solicitud del Consejo de Administración de Viscofan, S.A. (en adelante, la Entidad) y con nuestra carta propuesta de fecha 1 de diciembre de 2022, hemos aplicado determinados procedimientos sobre la "Información relativa al SCIIF" adjunta contenida en el apartado F del Informe Anual de Gobierno Corporativo incluido en el Informe de Gestión de Viscofan, S.A. correspondiente al ejercicio 2022, en el que se resumen los procedimientos de control interno de la Entidad en relación a la información financiera anual.

Los administradores son responsables de adoptar las medidas oportunas para garantizar razonablemente la implantación, mantenimiento y supervisión de un adecuado sistema de control interno, así como del desarrollo de mejoras de dicho sistema y de la preparación y establecimiento del contenido de la Información relativa al SCIIF adjunta.

En este sentido, hay que tener en cuenta que, con independencia de la calidad del diseño y operatividad del sistema de control interno adoptado por la Entidad en relación con la información financiera anual, éste sólo puede permitir una seguridad razonable, pero no absoluta, en relación con los objetivos que persigue, debido a las limitaciones inherentes a todo sistema de control interno.

En el curso de nuestro trabajo de auditoría de las cuentas anuales y conforme a las Normas Técnicas de Auditoría, nuestra evaluación del control interno de la Entidad ha tenido como único propósito el permitirnos establecer el alcance, la naturaleza y el momento de realización de los procedimientos de auditoría de las cuentas anuales de la Entidad. Por consiguiente, nuestra evaluación del control interno, realizada a efectos de dicha auditoría de cuentas, no ha tenido la extensión suficiente para permitirnos emitir una opinión específica sobre la eficacia de dicho control interno sobre la información financiera anual regulada.

A los efectos de la emisión de este informe, hemos aplicado exclusivamente los procedimientos específicos descritos a continuación e indicados en la *Guía de Actuación sobre el Informe del auditor referido a la Información relativa al Sistema de Control Interno sobre la Información Financiera de las entidades cotizadas*, publicada por la Comisión Nacional del Mercado de Valores en su página web, que establece el trabajo a realizar, el alcance mínimo del mismo, así como el contenido de este informe. Como el trabajo resultante de dichos procedimientos tiene, en cualquier caso, un alcance reducido y sustancialmente menor que el de una auditoría o una revisión sobre el sistema de control interno, no expresamos una opinión sobre la efectividad del mismo, ni sobre su diseño y su eficacia operativa, en relación a la información financiera anual de la Entidad correspondiente al ejercicio 2022 que se describe en la Información relativa al SCIIF adjunta. En consecuencia, si hubiéramos aplicado procedimientos adicionales a los determinados por la citada Guía o realizado una auditoría o una revisión sobre el sistema de control interno en relación con la información financiera anual regulada, se podrían haber puesto de manifiesto otros hechos o aspectos sobre los que les habríamos informado.

R. M. Madrid, hoja 87.250-1, folio 75, tomo 9.267, libro 8.054, sección 3ª
Inscrita en el R.O.A.C. con el número S0242 - CIF: B-79 031290

Asimismo, dado que este trabajo especial no constituye una auditoría de cuentas ni se encuentra sometido a la normativa reguladora de la actividad de auditoría de cuentas vigente en España, no expresamos una opinión de auditoría en los términos previstos en la citada normativa.

Se relacionan a continuación los procedimientos aplicados:

1. Lectura y entendimiento de la información preparada por la entidad en relación con el SCIIF – información de desglose incluida en el Informe de Gestión – y evaluación de si dicha información aborda la totalidad de la información requerida que seguirá el contenido mínimo descrito en el apartado F, relativo a la descripción del SCIIF, del modelo de IAGC según se establece en la Circular 5/2013 de 12 de junio de 2013 de la Comisión Nacional del Mercado de Valores (CNMV), y modificaciones posteriores, siendo la más reciente la Circular 3/2021, de 28 de septiembre de la CNMV (en adelante, las Circulares de la CNMV).

2. Preguntas al personal encargado de la elaboración de la información detallada en el punto 1 anterior con el fin de: (i) obtener un entendimiento del proceso seguido en su elaboración; (ii) obtener información que permita evaluar si la terminología utilizada se ajusta a las definiciones del marco de referencia; (iii) obtener información sobre si los procedimientos de control descritos están implantados y en funcionamiento en la entidad.

3. Revisión de la documentación explicativa soporte de la información detallada en el punto 1 anterior, y que comprenderá, principalmente, aquella directamente puesta a disposición de los responsables de formular la información descriptiva del SCIIF. En este sentido, dicha documentación incluye informes preparados por la función de auditoría interna, alta dirección y otros especialistas internos o externos en sus funciones de soporte a la comisión de auditoría.

4. Comparación de la información detallada en el punto 1 anterior con el conocimiento del SCIIF de la entidad obtenido como resultado de la aplicación de los procedimientos realizados en el marco de los trabajos de la auditoría de cuentas anuales.

5. Lectura de actas de reuniones del consejo de administración, comisión de auditoría y otras comisiones de la entidad a los efectos de evaluar la consistencia entre los asuntos en ellas abordados en relación con el SCIIF y la información detallada en el punto 1 anterior.

6. Obtención de la carta de manifestaciones relativa al trabajo realizado adecuadamente firmada por los responsables de la preparación y formulación de la información detallada en el punto 1 anterior.

Como resultado de los procedimientos aplicados sobre la Información relativa al SCIIF no se han puesto de manifiesto inconsistencias o incidencias que puedan afectar a la misma.

Este informe ha sido preparado exclusivamente en el marco de los requerimientos establecidos por el artículo 540 del texto refundido la Ley de Sociedades de Capital y por las Circulares de la CNMV a los efectos de la descripción del SCIIF en los Informes Anuales de Gobierno Corporativo.

PricewaterhouseCoopers Auditores, S.L.

Gabriel Torre Escudero

28 de febrero de 2023



Viscofan, S.A. and subsidiaries

Consolidated Financial Statements for the year ending

31 December 2022

Consolidated statements of financial position

(Thousands of euros)	Notes	Period 2022	2021
Intangible assets other than goodwill	5.1	17,649	17,179
Goodwill	5.2	3,237	2,959
Property, plant, and equipment	6	561,244	498,267
Right-of-use assets	7.1	10,580	13,968
Other non-current financial assets	10	4,344	3,272
Non-current derivatives	17	342	51
Deferred tax assets	18	26,793	26,639
Non-Current Assets		**624,189**	**562,335**
Inventories	8	381,788	303,380
Trade and other current receivables	9	276,299	205,976
Current tax assets	18	6,140	2,656
Other current financial assets	10	1,582	837
Current derivatives	17	3,476	2,258
Cash and equivalents	11	51,193	91,352
Current Assets		**720,478**	**606,459**
Total Assets		**1,344,667**	**1,168,794**

Consolidated statements of financial position

(Thousands of euros)	Notes	Period 2022	2021
Issued capital	12.1	32,550	32,550
Share premium	12.2	12	12
Other reserves	12.3	813,145	732,103
Treasury Shares	12.4	−16,181	−10,473
Profit for the year		139,430	132,997
Interim dividend	12.6	−64,644	−64,880
Valuation adjustments	12.5	2,558	467
Equity		**906,870**	**822,776**
Deferred income	13	18,102	942
Non-current provisions for employee benefits	14.1	22,308	29,133
Other non-current provisions	14.2	0	236
Non-current financial liabilities	16	46,980	67,997
Non-current liabilities for right-of-use assets	7.2	7,512	9,363
Non-current derivatives	17	3	0
Deferred tax liabilities	18	17,153	19,276
Non-Current Liabilities		**112,058**	**126,947**
Current financial liabilities	16	136,919	48,754
Current liabilities for right-of-use assets	7.2	2,978	4,528
Current derivatives	17	450	1,342
Trade and other payables	15	142,981	141,483
Current tax liabilities	18	16,210	10,643
Other current provisions	14.3	26,201	12,321
Current Liabilities		**325,739**	**219,071**
Total Liabilities		**437,797**	**346,018**
Total Equity and Liabilities		**1,344,667**	**1,168,794**

Consolidated income statement

(Thousands of euros)	Notes	Period 2022	2021
Sales and rendered services	20.1	1,201,028	969,237
Changes in inventory of finished goods and work in progress		38,723	5,506
Consumption of raw materials and consumables		−428,030	−288,724
Other operating income	20.2	8,564	11,509
Staff costs	20.3	−262,188	−231,250
Other operating expenses	20.4	−290,966	−218,526
Amortisation of intangible assets	5.1	−4,782	−4,345
Depreciation expenses on tangible fixed assets	6	−68,076	−62,813
Right-of-use asset depreciation expense	7.1	−5,289	−5,123
Impairment gains (losses) on disposal of non-current assets		42	−1,082
Operating profit		**189,026**	**174,389**
Finance income	20.5	1,194	628
Finance costs	20.5	−1,370	−781
Losses on non-trade receivables	20.5	−17	2
Exchange gains (losses)	20.5	−5,044	2,182
Profit before taxes		**183,789**	**176,420**
Income tax expense	18	−44,359	−43,423
Profit for the year from continuing operations		**139,430**	**132,997**
Profit for the year		**139,430**	**132,997**

Earnings per Share

	Notes	Period 2022	2021
Basic earnings per share		**3.02**	**2.87**
Basic earnings (loss) per share from continuing operations	21	3.02	2.87
Diluted earnings per share		**3.00**	**2.86**
Diluted earnings (loss) per share from continuing operations	21	3.00	2.86

Consolidated statements of other comprehensive income

(Thousands of euros)	Notes	Period 2022	Period 2021
Profit for the year attributable to the parent company		**139,430**	**132,997**
Other comprehensive income			
Other comprehensive income that will not be reclassified to profit or loss in subsequent periods before tax			
Other comprehensive income, before tax, actuarial pension gains and losses	14.1	8,593	2,920
Total other comprehensive income not to be reclassified to profit or loss before tax		**8,593**	**2,920**
Other comprehensive income that will be reclassified to profit or loss in subsequent periods before tax			
Foreign exchange translation gains (losses)			
Gains or losses on translation differences on foreign transactions before tax	12.3	32,115	32,788
Other comprehensive income, before tax, foreign exchange translation gains (losses)		**32,115**	**32,788**
Cash flow hedges			
Gains (losses) on cash flow hedges before taxes	12.5	2,757	−662
Other comprehensive income, before taxes, cash flow differences		**2,757**	**−662**
Total other comprehensive income to be reclassified to profit or loss before tax		**34,872**	**32,126**
Total other comprehensive income before tax		**43,465**	**35,046**
Income tax relating to components of other comprehensive income that will not be reclassified to profit or loss			
Income tax related to remeasurements of defined benefit plans included in other comprehensive income	14.1	−1,997	−126
Aggregate income tax relating to components of other comprehensive income not to be reclassified into profit or loss		**−1,997**	**−126**
Income taxes related to cash flow hedges included in other comprehensive income	12.5	−666	96
Aggregate income tax relating to components of other comprehensive income to be reclassified into profit or loss		**−666**	**96**
Other comprehensive income		40,802	35,016
Comprehensive income		**180,232**	**168,013**

2022

Consolidated statement of changes in equity

(Thousands of euros)	Equity							
	Share capital (Note 12.1)	Share premium (Note 12.2)	Reserves (Note 12.3)	Treasury shares (Note 12.4)	Profit for the year attributable to parent company	Interim dividend (Note 12.6)	Valuation adjustments (Note 12.5)	
Opening balance as at 1 January 2022	**32,550**	**12**	**732,103**	**−10,473**	**132,997**	**−64,880**	**467**	**822,776**
Changes in equity								
Total recognised income and (expense)	0	0	38,711	0	139,430	0	2,091	180,232
Dividends paid	0	0	−19,873	0	0	−64,644	0	−84,517
Transfers between equity accounts	0	0	68,117	0	−132,997	64,880	0	0
Movement in treasury shares	0	0	−7,494	−5,708	0	0	0	−13,202
Transactions with non-controlling interests	0	0	0	0	0	0	0	0
Share-based payment expenses	0	0	1,581	0	0	0	0	1,581
Total increase (decrease) in equity	**0**	**0**	**81,042**	**−5,708**	**6,433**	**236**	**2,091**	**84,094**
Closing balance as at 31 December 2022	**32,550**	**12**	**813,145**	**−16,181**	**139,430**	**−64,644**	**2,558**	**906,870**

2021

Consolidated statement of changes in equity

(Thousands of euros)	Equity							
	Share capital (Note 12.1)	Share premium (Note 12.2)	Reserves (Note 12.3)	Treasury shares (Note 12.4)	Profit for the year attributable to parent company	Interim dividend (Note 12.6)	Valuation adjustments (Note 12.5)	
Opening balance as at 1 January 2021	**32,550**	**12**	**651,076**	**−6,031**	**122,513**	**−64,905**	**1,031**	**736,246**
Changes in equity								
Total recognised income and (expense)	0	0	35,580	0	132,997	0	−564	168,013
Dividends paid	0	0	−13,448	0	0	−64,880	0	−78,328
Transfers between equity accounts	0	0	57,608	0	−122,513	64,905	0	0
Movement in treasury shares	0	0	122	−4,442	0	0	0	−4,320
Transactions with non-controlling interests	0	0	0	0	0	0	0	0
Share-based payment expenses	0	0	1,165	0	0	0	0	1,165
Total increase (decrease) in equity	**0**	**0**	**81,027**	**−4,442**	**10,484**	**25**	**−564**	**86,530**
Closing balance as at 31 December 2021	**32,550**	**12**	**732,103**	**−10,473**	**132,997**	**−64,880**	**467**	**822,776**

Consolidated statement of cash flows

(Thousands of euros)	Notes	Period 2022	Period 2021
Profit for the year after tax		**139,430**	**132,997**
Adjustments for income tax expense	18	44,360	43,423
Adjustment for inventory write-down (increase)		−69,069	−17,593
Adjustment for decrease (increase) in accounts receivable		−47,708	−7,660
Adjustment for decrease (increase) in accounts payable		10,674	43,547
Adjustment for depreciation expenses		78,148	72,281
Changes in provisions		4,586	−795
Interest income adjustment	20.5	−1,194	−628
Interest expense adjustment	20.5	1,370	781
Exchange gains (losses), net	20.5	5,044	−2,182
Share-based payment		1,581	1,165
Other adjustments		−377	636
Adjustments to reconcile profit before tax to net cash flows		**27,415**	**132,975**
Net cash flows from (used in) operations		**166,845**	**265,972**
Income tax payments	18	−44,012	−43,273
Contributions and other payments related to pension plans		−2,104	−1,399
Net cash generated by operating activities		**120,729**	**221,300**
Payments for the acquisition of tangible and intangible fixed assets		−115,566	−95,779
Proceeds from the sale of fixed assets		423	474
Interest collected		1,194	628
Net cash from investing activities		**−113,949**	**−94,677**
Provisions of financial debt	12.1	108,636	59,250
Financial debt repayments	12.1	−49,734	−57,423
Acquisition of treasury shares		−12,231	−4,906
Dividends paid to shareholders of the parent company		−84,517	−78,328
Interest paid	12.1	−1,569	−887
Payments for right-of-use assets	12.1	−5,289	−5,123
Other financial liabilities (net)		−3,751	−3,519
Net cash from financing activities		**−48,455**	**−90,936**
Net increase (decrease) in cash and cash equivalents before the effect of changes in foreign exchange rates		**−41,675**	**35,687**
Effect of exchange rate changes on cash and cash equivalents		1,516	3,675
Net increase (decrease) in cash and cash equivalents		**−40,159**	**39,362**
Cash and cash equivalents as of 1 January	11	91,352	51,990
Cash and cash equivalents as at 31 December	**11**	**51,193**	**91,352**

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1. Description and Principal Activities

Viscofan, S.A. (hereinafter the Company or the Parent) was incorporated in Spain as a limited liability company for an indefinite period on 17 October 1975 under the name Viscofan, Industria Navarra de Envolturas Celulósicas, S.A. The Shareholders Meeting held on 17 June 2002 agreed to change the name of the Company to the current one.

Under articles 73 and subsequent, in relation to article 71, of Law 3/2009, of 3 April on the structural amendments of companies, the Board of Directors of Viscofan, S.A and the Board of Directors of Viscofan España, S.L.U., on 25 February 2021, proceeded to draft and sign a common segregation project whereby the Company segregates a part of its equity that constitute an autonomous economic unit and it transfers it en bloc by universal succession to Viscofan España S.L.U.

Until the proposed segregation and contribution of the business line described above, the core business consisted of the manufacture, distribution and marketing of all types of casings and films for food use; collagen-based products for food use and bioengineering; and the production of electricity for sale to third parties by means of co-generation systems. As of the draft terms of the segregation, the main activity corresponds to the acquisition, holding, use, administration in general and disposal of all kinds of transferable securities and securities.

The head office and registered office are located in Polígono Industrial Berroa, Calle Berroa nr. 15, 4ª planta, 31192 – Tajonar, Navarre (Spain) and its main activity is carried out in the centres of Cáseda and Urdiain (Navarre).

The Company is in turn the parent company of a group of companies (the Viscofan Group or the Group) which are mainly active in the manufacture, distribution, and marketing of all types of casings and films for food use; collagen-based products for food use and bioengineering; and the production of electrical energy for sale to third parties by means of co-generation systems.

All Viscofan S.A.'s shares have been listed since 1986 and are quoted on the Spanish electronic trading platform (continuous market).

The Group's 2021 consolidated financial statements were approved at the General Shareholders' Meeting held on 29 April 2022.

The parent company directors expect these 2022 consolidated financial statements, which were prepared on 28 February 2023, to be approved by the shareholders in general meeting without modification.

2. Viscofan Group

2.1. Business combinations

- In 2022

Effective 1 January 2022, Viscofan Collagen USA Inc., domiciled in Bridgewater, New Jersey (USA), was merged into Viscofan USA Inc., domiciled in Montgomery, Alabama (USA), effective 1 January 2022.

On 14 June 2022, the company Supralon International AG with its registered office in Schaan (Liechtenstein) was wound up.

- In 2021

With effect from 1 January 2021, the merger by absorption of Viscofan de Mexico Servicios, S.R.L. de C.V. into Viscofan de Mexico, S.R.L. de C.V. took place, both with registered office in San Luis de Potosí (Mexico).

In June, Viscofan Japan GK was formed in Tokyo (Japan), with a capital of JPY 6 million, wholly-owned by Viscofan S.A.

At 31 December 2021, Viscofan Collagen Canada Inc with registered office in Markham (Canada) had been liquidated.

2.2. Detail of subsidiaries comprising the Viscofan Group at 31 December 2022

Group companies	% of equity interest		Activity	Registered Address
	Direct	Indirect		
Jupiter PTY Ltd	100.00	-	Services rendered	Bankstown (Australia)
Koteks Viscofan, d.o.o.	100.00	-	Manufacture, marketing and distribution of casings and films	Novi Sad (Serbia)
Naturin Viscofan GmbH	100.00	-	Manufacture, marketing and distribution of casings and films	Weinheim (Germany)
Supralon Verpackungs AG	-	100.00	Rental of industrial machinery (to the group)/Other services	Chur (Switzerland)
Supralon Produktions und Vertriebs GmbH	-	100.00	Manufacture, marketing and distribution of casings and films	Alfhausen (Germany)
Supralon France SARL	-	100.00	Marketing and distribution of casings and films	Courcouronnes (France)
Vector Europe NV.	100.00	-	Marketing and distribution of casings and films	Hasselt (Belgium)
Vector Packaging Europe NV.	-	100.00	Manufacture, marketing and distribution of casings and films	Hasselt (Belgium)
Vector USA Inc.	-	100.00	In the process of liquidation	Oak brook, Illinois (USA)
Viscofan Canada Inc.	-	100.00	Marketing and distribution of casings and films	Quebec (Canada)
Viscofan Centroamérica Comercial, S.A.	99.50	0.50	Marketing and distribution of casings and films	San José (Costa Rica)
Viscofan CZ, s.r.o.	100.00	-	Manufacture, marketing and distribution of casings and films	Ceske Budejovice (Czech Republic)
Viscofan España SLU	100.00	-	Manufacture, marketing and distribution of casings and films	Tajonar, Navarre (Spain)
Viscofan Globus Australia PTY Ltd	100.00	-	Marketing and distribution of casings and films	Bankstown (Australia)
Viscofan Globus New Zealand Ltd	100.00	-	Marketing and distribution of casings and films	Lower Hutt (New Zealand)
Viscofan Japan GK	100.00		Marketing and distribution of casings and films	Tokyo (Japan)
Viscofan de México S.R.L. de C.V.	99.99	0.01	Manufacture, marketing and distribution of casings and films	San Luis Potosí (Mexico)
Viscofan do Brasil, soc, Ltda.	100.00	-	Manufacture, marketing and distribution of casings and films	Sao Paulo (Brazil)
Viscofan (Thailand) Co. Ltd.	100.00	-	Marketing and distribution of casings and films	Bangkok (Thailand)
Viscofan Technology (Suzhou) Co. Ltd.	100.00	-	Manufacture, marketing and distribution of casings and films	Suzhou (China)
Viscofan UK Ltd.	100.00	-	Marketing and distribution of casings and films	Seven Oaks (UK)
Viscofan Uruguay, S.A.	100.00	-	Manufacture, marketing and distribution of casings and films	Montevideo (Uruguay)
Viscofan USA Inc,	100.00	-	Manufacture, marketing and distribution of casings and films	Montgomery (USA)
Zacapu Power S.R.L. de C.V.	-	100.00	Electricity distribution	Zacapu, Michoacán (Mexico)

2.3. Detail of subsidiaries comprising the Viscofan Group at 31 December 2021

Group companies	% of equity interest		Activity	Registered Address
	Direct	Indirect		
Jupiter PTY Ltd	100.00	-	Services rendered	Bankstown (Australia)
Koteks Viscofan, d.o.o.	100.00	-	Manufacture, marketing and distribution of casings and films	Novi Sad (Serbia)
Naturin Viscofan GmbH	100.00	-	Manufacture, marketing and distribution of casings and films	Weinheim (Germany)
Supralon Verpackungs AG	-	100.00	Rental of industrial machinery (to the group)/Other services	Chur (Switzerland)
Supralon Produktions und Vertriebs GmbH	-	100.00	Manufacture, marketing and distribution of casings and films	Alfhausen (Germany)
Supralon France SARL	-	100.00	Marketing and distribution of casings and films	Courcouronnes (France)
Supralon International AG under liquidation	-	100.00	In the process of liquidation	Schaan (Liechtenstein)
Vector Europe NV.	100.00	-	Marketing and distribution of casings and films	Hasselt (Belgium)
Vector Packaging Europe NV.	-	100.00	Manufacture, marketing and distribution of casings and films	Hasselt (Belgium)
Vector USA Inc.	-	100.00	Manufacture, marketing and distribution of casings and films	Oak brook, Illinois (USA)
Viscofan Canada Inc.	-	100.00	Marketing and distribution of casings and films	Quebec (Canada)
Viscofan Centroamérica Comercial, S.A.	99.50	0.50	Marketing and distribution of casings and films	San José (Costa Rica)
Viscofan Collagen USA Inc	-	100.00	Manufacture, marketing and distribution of casings and films	Bridgewater New Jersey (USA)
Viscofan CZ, s.r.o.	100.00	-	Manufacture, marketing and distribution of casings and films	Ceske Budejovice (Czech Republic)
Viscofan España SLU	100.00	-	Manufacture, marketing and distribution of casings and films	Tajonar, Navarre (Spain)
Viscofan Globus Australia PTY Ltd	100.00	-	Marketing and distribution of casings and films	Bankstown (Australia)
Viscofan Globus New Zealand Ltd	100.00	-	Marketing and distribution of casings and films	Lower Hutt (New Zealand)
Viscofan Japan GK	100.00		Marketing and distribution of casings and films	Tokyo (Japan)
Viscofan de México S.R.L. de C.V.	99.99	0.01	Manufacture, marketing and distribution of casings and films	San Luis Potosí (Mexico)
Viscofan do Brasil, soc, Ltda.	100.00	-	Manufacture, marketing and distribution of casings and films	Sao Paulo (Brazil)
Viscofan (Thailand) Co. Ltd.	100.00	-	Marketing and distribution of casings and films	Bangkok (Thailand)
Viscofan Technology (Suzhou) Co. Ltd.	100.00	-	Manufacture, marketing and distribution of casings and films	Suzhou (China)
Viscofan UK Ltd.	100.00	-	Marketing and distribution of casings and films	Seven Oaks (UK)
Viscofan Uruguay, S.A.	100.00	-	Manufacture, marketing and distribution of casings and films	Montevideo (Uruguay)
Viscofan USA Inc,	100.00	-	Manufacture, marketing and distribution of casings and films	Montgomery (USA)
Zacapu Power S.R.L. de C.V.	-	100.00	Electricity distribution	Zacapu, Michoacán (Mexico)

3. Basis of preparation

The consolidated financial statements for 2022 have been prepared under EU-endorsed International Financial Reporting Standards (EU-IFRS) to present fairly the consolidated equity and consolidated financial position of Viscofan, S.A. and subsidiaries at 31 December 2022 and 2021, as well as the consolidated results from its operations, its consolidated cash flows and consolidated recognised income and expenses for the year then ended.

The consolidated financial statements have been prepared based on the accounting records of Viscofan, S.A. and the companies comprising the Group. However, and given that the accounting polices and measurement bases applied in these consolidated financial statements differ from those used by the companies forming the Group (where the prevailing regulations of each country apply), the consolidation process considered the adjustments and reclassifications required to adapt such principles and criteria to the International Financial Reporting Standards adopted by the European Union (IFRS-EU).

The Group adopted EU-IFRS on 1 January 2004, and also applied IFRS 1 First-time Adoption of International Financial Reporting Standards at that date.

3.1. New and amended standards and interpretations

The accounting policies used during the preparation of these consolidated financial statements are the same as those applied for the consolidated financial statements for the year ended 31 December 2021.

The following amendments came into force in the financial year 2022:

- IAS 16 (Amended) “Property, plant and equipment: proceeds before intended use”
- IAS 37 (Amended) “Onerous contracts. cost of fulfilling a contract”
- IFRS 3 (Amendment) “Reference to the Conceptual Framework”
- Annual Improvements to IFRS. Cycle 2018 - 2020

Neither these amendments nor the interpretations that are applied for the first time in this year have had any impact on the Group.

3.2. Published standards which are not applicable

The Group intends to adopt these standards, interpretations, and amendments thereof published by the IASB that are considered mandatory in the European Union at the date these consolidated financial statements were prepared. However, they will be applied when they come into force.

3.3. Policies used by the Group when several options are permitted

International Financial Reporting Standards occasionally allow for more than one alternative accounting treatment for a transaction. The criteria adopted by the Group for its most relevant transactions are the following:

Capital grants can be recognised reducing the cost of the assets for which financing was granted or as deferred income (which was the Group's choice). They are recognised in the income statement under “Other income.”

Certain property, plant, and equipment may be measured at market value or historical cost less depreciation and impairment loss. Viscofan has chosen the latter criteria.

3.4. Comparison of information

These consolidated financial statements present for comparative purposes, for each of the headings on the consolidated statement of financial position, the consolidated income statement, the consolidated comprehensive income statement, the consolidated cash flow statement, the consolidated statement of changes in equity and the notes to the consolidated financial statements, except when an accounting standard specifically establishes that this is unnecessary.

3.5. Relevant accounting estimates, assumptions and judgments

The preparation of financial statements in conformity with EU-IFRS requires Group management to make judgments, estimates, and assumptions, and to apply relevant accounting estimates in the process of applying Group accounting policies.

This section describes the main assumptions concerning the future and other key sources of estimation uncertainty at the reporting date that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. The Group based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Group. Such changes are reflected in the assumptions when they occur.

(a) Taxes

The subsidiaries comprising the Group are individually responsible for their tax obligations in their respective countries.

The two Navarre companies have filed consolidated tax returns since 1 January 2021.

The Group analyses the possible inspections by the tax authorities of the respective countries and establishes provisions based on their best estimate. The amount of such provisions is based on various factors, such as experience of previous tax inspections and differing interpretations of tax regulations by the Group and the corresponding tax authority. Such differences of interpretation may arise on a wide variety of issues depending on the conditions prevailing in the country where the respective Group company is domiciled. The Group's policy, affecting all subsidiaries, is to apply conservative criteria when interpreting the different prevailing regulations in each of the countries where it operates.

Deferred tax assets are recognised for all unused tax losses and other temporary differences to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgment is required to determine the amount of deferred tax assets that can be recognised, based upon likely timing and future taxable profits, together with future tax planning strategies.

The years open for review by the tax authorities vary depending on each country's tax legislation, and returns are not considered definitive until the corresponding inspection period has elapsed or until they have been inspected and accepted by tax authorities.

The Company’s management considers that all applicable taxes have been duly paid so that even in the event of discrepancies in the interpretation of prevailing tax legislation with respect to the treatment applied, the resulting potential tax liabilities, if any, would not have a material impact on the accompanying financial statements.

Further details on taxes are disclosed in Note 18.

(b) Pension benefits

The cost of defined benefit pension plans and other obligations and the present value of pension obligations are determined using actuarial measurements. Actuarial measurements involve making various assumptions that may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, mortality rates, and future pension increases. Due to the complexity of the measurement and its long-term nature, calculating the obligation is sensitive to changes in these assumptions.

Mortality rates are based on publicly available mortality tables for the specific country. Future salary and pension increases are based on expected future inflation rates for the respective countries.

Details on the hypotheses used and a sensitivity analysis are provided in Note 14.1.

(c) Provisions for litigation and contingent assets and liabilities

Estimation of the amounts to provision with respect to potential assets and liabilities arising from ongoing litigation is carried out based on the professional opinion of the legal representatives hired to deal with such matters and the internal evaluation performed by the Group's Legal Department.

The breakdown of provisions for litigations is shown in Note 14.3, while the main contingent assets and liabilities that may give rise to the future recognition of assets and liabilities, are described in Note 14.4.

(d) Fair value of share-based remuneration

Fair value is determined by a third party using an adjusted form of the Black-Scholes model that includes a Monte Carlo simulation model embracing the price of the share during the year, the option period, the effect of dilution (where material), the share price at the grant date and the expected volatility of the underlying share price, the expected dividend yield, the risk-free interest rate for the option period and the correlations and volatilities of the reference group companies.

(e) Other accounting estimates and hypotheses

- Assessment of possible impairment losses on certain assets and goodwill: Notes 4.7, 4.13, 4.14 and 4.16.
- Useful life of property, plant, and equipment and intangible assets: See Notes 4.13 and 4.14.
- Measurement of derivative financial instruments: (Note 4.24)

3.6. Ukraine - Russia conflict

Russia's invasion of Ukraine, in addition to the loss of life and destruction of resources, has caused an unprecedented energy crisis in Europe, as well as an increase in the price of raw materials.

Tightening supply chains, shortages of materials, transport and energy started an unprecedented spiral of inflation, uncertainty and geopolitical tension. In retrospect, on the cost side, the following stand out:

- Increase in the cost of raw materials: Disruptions in manufacturing and consumer activity, transport disruptions, and the conflict in Ukraine have led to global shortages of raw materials and commodities. In this context, the price of some critical raw materials for the Viscofan Group has increased by more than 47% in the prices of the main raw materials. To offset the impact of the increase in operating costs, the Group has implemented price increases to customers. In addition, other measures have been taken, such as detailed monitoring of needs and the risk of non-availability, the search for alternative suppliers, and a consumption reduction plan.

- Disruptions in the supply chain: The imbalance between supply and demand in certain sectors, jams at ports, the war conflict in Ukraine and mobility restrictions caused by the COVID-19 pandemic, have led, inter alia, to transport delays in certain goods, thereby representing a risk of production stoppages. As a result, the Viscofan Group has been forced to increase safety inventories, secure purchasing volumes, and apply innovative solutions from R&D. This risk has not led to shutdowns in production plants.

- Increased energy costs and risk of unavailability of natural gas in Germany due to Russian supply disruption that could lead to production stoppage. The cost of energy, both gas and electricity, has increased significantly in 2022, by more than 60%.
  The Group has mitigated the effect of these increases with energy hedging through supply contracts with the main energy suppliers, and the search for energy diversification in operations.
  The Viscofan Group has entered into fixed-price purchase contracts for part of the natural gas consumption for the European production sites.

- Ban on sales to Russia as a consequence of sanctions imposed by the European Commission on 8 April 2022 due to Russia's actions destabilising the situation in Ukraine, justified on the grounds that the use of these casings improves the capacities of the industry in Russia compared to the traditional alternative of animal casings. The Board of Directors of Viscofan S.A. adopted the decision to discontinue exporting casings to Russia. To mitigate its effect, the Group has worked on commercial and operational measures that have enabled it to maintain its growth prospects for the year

The Group has at no time disposed of any fixed assets owned in either Ukraine or Russia.

3.7. Regulation energy generating companies

The Group company Viscofan España, S.L.U. has an electricity co-generation facility operation. Hence, the Group remains attentive to the regulation that has been published in this area since 2013, the most relevant one is set out below.

On 14 July 2013, Royal Decree-Law 9/2013 entered into force, establishing the bases of a new legal and economic system for the existing electricity facilities, based on renewable energy, co-generation and waste sources, establishing a remuneration system based on standard parameters in line with the different standard facilities determined. The aforementioned RD eliminates the regulated renewable energy and co-generation tariffs, creates the Electricity Self-Consumption Register and announces a new economic system whose main characteristic guarantees that the renewable energy facilities obtain an equivalent return to the interest rates on the 10-year State bonds, plus 300 basis points and with reference to costs and investments of a standard facility, during the whole of its regulatory life. Likewise, the aforementioned RD eliminated the efficiency complement and the reactive energy complement existing until that moment. Additionally, the publication of the RD did not establish new bonuses. The specification of the definitive remuneration was postponed to the subsequent publication of a ministerial order and the latest existing rates remained as a reference of the provisional payment of electricity generation from the publication of the RD to the publication of the subsequent order.

On 27 December 2013, Electricity Sector Law 24/2013, of 26 December was published, to establish the regulation of the electricity sector, guaranteeing electricity supply with the necessary quality levels and the minimum possible cost, ensuring the economic and financial sustainability of the system and enabling an effective level of competition in the electricity system, all within the environmental protection principles in a modern society.

The enactment of this Law is stipulated in Royal Decree 413/2014, of 6 June, regulating the electricity production activity based on renewable, co-generation and waste sources, organises the bases of the remuneration framework that enables the electricity production facilities assigned to this system to cover the necessary costs to compete on the market on an equal footing with the remaining technologies and obtain a reasonable return, establishing a remuneration system based on standard parameters in line with the different standard facilities. In this regard, both article 14.4 of this Law and article 20 of the Royal Decree, established the system to update the remuneration parameters of the standard facilities. For those facilities whose operating costs depend essentially on the price of fuel, Order IET/1345/2015, of 2 July, enacts the aforementioned articles and implements an update methodology on the operation's remuneration, to be applied six-monthly.

The aforementioned regulation contemplates the revision of the production market price estimates for the first three years of the regulatory period corresponding to the 2014, 2015 and 2016 financial years, adjusting them to real market prices in such a way that, according to art. 22 of Royal Decree 413/2014 on market price estimates and adjustment for deviations in the market price indicates in section 3 that when the annual average price of the daily and intra-daily market is outside the limits set by the regulation, a positive or negative balance will be generated, on an annual basis, which will be called the adjustment value for deviations in the market price. Hence, the adjustment value due to variations in the market price will be calculated annually.

Likewise, in the context of the international pandemic caused by COVID-19, on 22 March 2021, Order TED/260/2021, of 18 March, was published, adopting measures to accompany the facilities whose operating costs depend essentially on the price of fuel during the state of alarm due to the health crisis caused by COVID-19, in accordance with which the value of the operation's remuneration relating to the standard facilities is reviewed whose operating costs depend essentially on the fuel market.

On 14 December 2022, Order TED/1232/2022, dated 2 December 2022, was published, updating the remuneration parameters of the standard facilities applicable to certain electricity production facilities using renewable energy sources, co-generation, and waste, for the purposes of their application to the 2022 financial year, and setting the values of the remuneration for the operation of application corresponding to the first half of 2022.

Finally, on 28 December 2022, Order TED/1295/2022 of 22 December 2022 is published, establishing the values of the remuneration for the operation corresponding to the second calendar semester of the year 2022, applicable to certain electricity production facilities from renewable energy sources, co-generation, and waste, for the purpose of its application to the 2022 financial year.

4. Significant accounting principles

The consolidated financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) and its interpretations as endorsed by the European Union (EU-IFRS).

A summary of the most significant principles is as follows:

4.1. Changes in accounting policies

None of the standards and interpretations that are applicable for the first time this year or the previous year have had an impact on the Group; hence, the accounting policies used during the preparation of these consolidated financial statements are the same as those applied to the consolidated financial statements for the year ended 31 December 2021.

The Group intends to adopt these standards, interpretations and amendments mandatory in the European Union when they enter into force if they are applicable. Based on the analyses performed to date, the Group considers that there were no significant impacts on the consolidated financial statements.

4.2. Going concern basis

Once the financial situation has been assessed, together with the liquidity and obligations undertaken, the directors conclude that no events or conditions exist that cast doubt over the Group's ability to continue as a going concern, hence the consolidated financial statements have been prepared using this principle.

4.3. Method of consolidation

Control is obtained when the Group is exposed, or has the rights attached to variable interest rates arising from its involvement in a subsidiary and is able to influence them as a result of the exercise of power over the subsidiary. Specifically, the Group has control of a subsidiary if, and only if it has:

- Power over the subsidiary (existing rights allowing it to manage relevant subsidiary's activities)
- Exposure, or rights, to variable returns from its involvement with the other company
- The ability to use its power over the other company to affect the amount of the company's return

Generally, it is presumed that the majority of voting rights grants control.

The Group has applied the exemption permitted by IFRS 1 First-time Adoption of International Financial Reporting Standards regarding business combinations. Consequently, only business combinations which occurred subsequent to 1 January 2004, the date of transition to EU-IFRS, have been recognised using the purchase method. Entities acquired prior to that date were recognised under the former Spanish general chart of accounts once the necessary transition date adjustments and corrections were considered.

Subsidiaries were fully consolidated; hence all the assets, liabilities, equity, income, expenses and cash flow arising from transactions between Group companies are totally eliminated during the consolidation process.

The financial statements of the subsidiaries used in the consolidation process reflect the same reporting date as that of the Parent and are adapted to the Group's accounting policies.

4.4. Effects of changes in foreign exchange rates

(a) Foreign currency transactions

The consolidated financial statements are presented in thousands of euros, which is the functional and presentation currency of the Parent.

Each Group entity determines its own functional currency and the balances included in the financial statements of each company are measured using this functional currency.

Foreign currency transactions are translated into the functional currency using the exchange rate prevailing at the transaction date.

Monetary assets and liabilities expressed in foreign currencies have been translated into the functional currency at the year-end exchange rate, whereas non-monetary assets and liabilities measured at historical cost in a foreign currency are translated using the exchange rate at the transaction date. Non-monetary assets denominated in foreign currencies measured at fair value are translated to the functional currency at the foreign currency exchange rate prevailing at the date the value was determined.

Differences arising on settlement of transactions in foreign currency and on translation of monetary assets and liabilities expressed in foreign currency to the functional currency are taken to the income statement. Exchange differences arising from the translation of monetary items forming part of the net investment in foreign operations are recognised as translation differences in equity.

Translation gains or losses related to monetary financial assets or liabilities expressed in foreign currency are also recognised in the income statement.

(b) Translation of foreign operations

Translation differences are recognised in the Group's equity. Translation of foreign operations, excluding foreign operations in hyperinflationary economies, is based on the following criteria:

- Assets and liabilities, including goodwill and adjustments to net assets arising from the acquisition of businesses, including comparative balances, are translated at the year-end exchange rate at each balance sheet date.

- Income and expenses relating to foreign operations, including comparative balances, are translated at the exchange rates prevailing at each transaction date; and

- Foreign exchange differences arising from application of the above criteria are recognised under translation differences in equity

The Group does not carry out any business activities in hyperinflationary countries.

Translation differences arising as a result of the sale of foreign businesses recognised in equity are recognised as a single line item in the consolidated income statement when there is a loss of control of such businesses.

4.5. Classification of assets and liabilities as current and non-current

The Group classifies assets and liabilities in the consolidated statement of financial position as current or non-current based on the following criteria: For these purposes, current assets or liabilities are those that meet the following criteria:

- Assets are classified as current when they are expected to be realised, sold or traded in the Group's ordinary course of business within 12 months of the balance sheet date and when held essentially for trading. Cash and cash equivalents are also classified

as current, except where they may not be exchanged or used to settle a liability, at least within the 12 months following the balance sheet date. The Group classifies the remainder of its assets as non-current.

- Liabilities are classified as current when expected to be settled in the Group's ordinary course of business within 12 months of the balance sheet date and when essentially held for trading, or where the Group does not have an unconditional right to defer settlement of the liability for at least 12 months from the balance sheet date. The Group classifies the remainder of its liabilities as non-current.

- Deferred tax assets and liabilities are classified as non-current assets and liabilities.

4.6. Calculation of fair value

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or

- In the absence of a principal market, in the most advantageous market for the asset or liability.

- The principal or the most advantageous market must be accessible to by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest. A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses measurement techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities

- Level 2 — Measurement techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable

- Level 3 — Measurement techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognised in the financial statements on a recurring basis, the Group determines whether transfers have occurred between Levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

The Company considers that its cash, trade and other receivables, trade and other payables, and balances of accounts payable to and receivable from public administrations, have a fair value very close to their carrying amounts mainly as a result of their coming due in the short term.

The fair values for the remaining financial assets and liabilities are disclosed in Notes 10 and 16, respectively.

4.7. Financial instruments - Initial recognition and subsequent measurement

(a) Classification

The Group has classified its financial assets in the following measurement categories:

- those valued subsequently at fair value (whether through profit or loss or through other comprehensive income), and
- those valued at amortised cost.

The classification depends on the business model at the entity to manage financial assets and the contractual terms of cash flows.

For assets valued at fair value, gains or losses are recognised through profit or loss or through other comprehensive income. For investments in equity instruments that are not held for sale, this will depend on whether the group made an irrevocable choice at the time of the initial recognition to account for the investment in equity at fair value through other comprehensive income.

The Group only reclassifies investments in debt when the business model is changed to manage these assets.

(b) Recognition and derecognition

Conventional purchases and sales of financial assets are recognised on the trade date, the date on which the Group commits to buying or selling the asset. Financial assets are derecognised when the rights to cash flows relating to the financial assets expire and the Group has substantially transferred all risks and rewards inherent to ownership.

(c) Measurement

Upon initial recognition, the Group measures a financial asset at its fair value, plus, for financial assets that are not measured at fair value through profit or loss, the costs of the transaction directly attributable to the acquisition of the financial asset. The costs of the financial asset transaction recognised at fair value through profit or loss are recognised as expenses on the income statement.

Financial assets with implicit derivatives are considered as a whole when establishing whether their cash flows are exclusively for the payment of the principal and interest.

- ***Debt instruments***

The subsequent measurement of debt instruments depends on the Group's business model to manage the asset and the cash flow characteristics of the asset. There are three measurement categories under which the Group classifies its debt instruments:

- Amortised cost: Assets held for the collection of contractual cash flows, when these flows only represent the payments of principal and interest, are valued at amortised cost.

  Interests income on these financial assets are included in financial income in accordance with the effective interest rate method.

  Any gains or losses arising when they are derecognised are directly recognised in profit or loss for the year and appear under other gains/(losses) along with gains and losses on exchange differences.

Impairment losses appear as a separate item in the profit and loss statement.

- Fair value through other comprehensive income: Assets held for the collection of contractual cash flows and the sale of financial assets, when the cash flows of assets only represent the payments of principal and interest, are valued at fair value through profit or loss

  Changes in the carrying amount are taken to other comprehensive income, with the exception of the recognition of impairment losses or gains, interest income and gains or losses from exchange differences, which are recognised in the statement of profit or loss.

  When the financial asset is derecognised, the accumulated gains or losses previously recognised in other comprehensive income are reclassified from equity to profit or loss and recognised in other gains/(losses).

  Interests income on these financial assets are included in financial income in accordance with the effective interest rate method.

  Gains and losses on exchange differences are presented in other gains and losses and impairment losses are presented as a separate item on the statement of profit or loss.

- Fair value through other profit or loss: Assets that do not meet the criteria for being measured at amortised cost or at fair value through other comprehensive income are recognised at fair value through profit or loss.

  Gains or losses on a debt investment recognised subsequently at fair value through profit or loss are recognised through profit or loss and presented net on the statement of profit or loss under other gains/(losses) in the year in which they occur.

- ***Equity instruments***

The Group subsequently measures all equity investments at fair value. When the Group's management has decided to present gains or losses at the fair value of equity investments through other comprehensive income, there is no subsequent reclassification of gains and losses at fair value through profit or loss following the derecognition of the investment in accounts. Dividends from these investments are recognised in profit or loss for the year as other income when the company's right to receive payments is established

Changes in the fair value of financial assets at fair value through profit or loss are recognised in other gains/(losses) in the income statement when applicable. Impairment losses (and reversals of impairment losses) on equity investments measured at fair value through other comprehensive income are not presented separately from other changes in fair value.

(d) Impairment

The Group measures against a prospective base of expected credit losses associated with its assets at amortised cost and fair value through other comprehensive income. The methodology applied for impairments depends on whether there has been a significant increase in credit risk.

For trade receivables, the Group takes the simplified approach permitted under IFRS 9, which requires that expected losses during their useful life are recognised from the initial recognition of the receivables. See Note 9 for further details.

4.8. Impairment of non-financial assets subject to depreciation or amortisation

The Group periodically evaluates whether there are indications of possible impairment losses on assets other than financial assets, inventories, deferred tax assets and non-current assets held for sale, to determine whether their carrying amount exceeds their recoverable value (impairment loss).

(a) Calculation of recoverable amount

The recoverable amount of assets is the greater of their net selling value and value in use. An asset's value in use is calculated based on the expected future cash flows deriving from use of the assets, expectations of possible variations in the amount or timing of those future cash flows, the time value of money, the price for bearing the uncertainty inherent in the asset and other factors that market participants would reflect in pricing the future cash flows the entity expects to derive from the asset.

Recoverable amounts are calculated for individual assets, unless the asset does not generate cash inflows that are largely independent from those corresponding to other assets or groups of assets. In this case, the recoverable amount is determined for the cash-generating unit (CGU) to which the asset belongs.

(b) Reversal of impairment

Impairment losses are only reversed if there has been a change in the estimates used to determine the recoverable amount. Impairment losses on goodwill are not reversible.

An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment had been recognised.

The amount of the reversal of the impairment of a CGU is allocated to its assets, except goodwill, pro rata on the basis of the carrying amount of the assets, to the limit referred to in the previous paragraph.

4.9. Recognition of ordinary income

Revenue from the sale of goods or services is recognised at the fair value of the consideration received or receivable. Revenue comprises the fair value of the consideration received or receivable for the sale of goods and services, net of VAT and any other amounts or taxes which are effectively collected on the behalf of third parties. Volume or other types of discounts for prompt payment are recorded as a reduction in revenue if considered probable at the time of revenue recognition.

Before recognising revenue, the Group:

- identifies the customer contracts
- identifies the separate performance obligation
- establishes the transaction price of the contract
- allocates the transaction price between the separate performance obligations
- recognises the revenue when each performance obligation is satisfied

4.10. Significant judgements

(a) Sale of casings and film

The Group manufactures and sells casings and film for food use and other applications. Sales are recognised when control of the products is transferred, i.e., when the products are delivered to the customer, this party has full discretion over the product and no obligations have been unfulfilled that may affect the customer's acceptance of the products. The delivery takes place based on agreements with customers (Incoterm) and it is at this time when risks of obsolescence and loss are transferred to the customer, and the Group has proof that all acceptance criteria have been met.

The products are often sold subject to volume discounts over a 12-month period. Income from these sales is recognised based on the price specified in the contract, net of estimated volume discounts. Accumulated experience is used to estimate and provide discounts, using the expected value method and ordinary income are only recognised insofar as it is highly likely that there is no significant reversal. No element of financing is considered to exist, as sales are completed with a credit term of 45-90 days, which is consistent with market practice.

An account receivable is recognised when the assets are delivered, as this is the time at which the consideration is unconditional, as only the passing of time is required for the payment to mature.

Management does not believe there is any significant judgement in terms of these sales.

(b) Sale of energy

Energy sales are recognised as energy is produced and made available to the customer. At this time, it is understood that there are no unfulfilled obligations. These sales are made at regulated tariffs in each location. No element of financing is considered to exist, as sales are completed with a credit term of 60 days.

The Viscofan Group recognises the electricity revenue generated from cogeneration, including the perceived market tariff, together with the energy generation premiums, in line with the regulations, as said energy is generated and marketed.

Sales of electricity production are recorded as the energy generated in the cogeneration systems is produced and delivered, applying the tariffs in force. Deviations between the market price and the regulated tariff will be compensated during the remaining useful life of the installation.

Management does not believe there is any significant judgement in terms of these sales.

4.11. Earnings per share

Basic earnings per share are calculated by dividing net profit for the year attributable to the ordinary shares of the Parent by the weighted number of ordinary shares outstanding during that year, excluding the average number of shares of the Parent, Viscofan, S.A. held by any of the Group companies.

Diluted earnings per share are calculated by dividing net profit for the year attributable to the ordinary shareholders of the parent by the weighted average number of ordinary shares which would be in issue if all potential ordinary shares were converted into ordinary shares of Viscofan, S.A.

4.12. Business combinations and goodwill

The acquisition method of accounting is used to account for all business combinations, regardless of whether equity instruments or other assets are acquired. The consideration transferred for the acquisition of a subsidiary comprises:

- the fair values of the assets transferred
- liabilities incurred with former owners of the acquired business
- equity investments issued by the group
- the fair value of any asset or liability resulting from a contingent consideration arrangement, and
- the fair value of any previous equity interest in the subsidiary.

Identifiable assets acquired and contingent liabilities and liabilities assumed in a business combination, with limited exceptions, are initially measured at their fair values at the acquisition date. The group recognises any non-controlling interest in the acquired entity on an acquisition-to-acquisition basis at fair value or by the proportionate share of the non-controlling interest in the acquiree's net identifiable assets.

Acquisition-related costs are recognised as an expense when incurred.

Goodwill is recognised as the excess of

- the consideration transferred, the amount of any non-controlling interest at the acquired entity and the fair value at the acquisition date of any equity interest
- on the fair value of the identifiable net assets acquired and the liabilities assumed.

If the amounts of the fair value of the net assets acquired and the liabilities assumed is higher, the difference is recognised directly in profit or loss as a purchase on very advantageous terms.

When the settlement of any part of the cash consideration is deferred, future amounts payable are discounted to their present value at the exchange date. The discount rate used is the entity's incremental borrowing interest rate, the rate at which a similar loan could be obtained from an independent lender under comparable terms and conditions.

The contingent consideration is classified as equity or financial liability. The amounts classified as a financial liability are subsequently restated to fair value with changes in fair value recognised in profit or loss.

If the business combination is carried out in stages, the carrying amount at the acquisition date of the acquiree's equity interest in the previously-held acquiree is measured again at its fair value at the acquisition date, recognising any resulting gain or loss in profit or loss.

4.13. Intangible assets

(a) Goodwill

Goodwill is measured as described in Note 4.12. Goodwill on acquisitions of subsidiaries is included in intangible assets. Goodwill is not amortised, but tested annually for impairment, or more frequently if events or changes in circumstances indicate that it may be impaired and is recognised at cost less any accumulated impairment losses. A gain or loss on the sale of an entity includes the carrying amount of goodwill related to the entity sold.

For the purposes of impairment testing, goodwill is allocated to the cash-generating units. The allocation is made among cash-generating units or groups of cash-generating units that are expected to benefit from the business combination in which the goodwill arose (Note 5).

(b) Development costs

Development costs incurred on a project are recognised as intangible assets if the project is technically and commercially viable, sufficient technical and financial resources are available to complete it, the costs incurred can be reliably determined and profit is probable.

The Group has not capitalised any development costs. Capitalised development costs are amortised on a straight-line basis over the estimated useful life of each project, never exceeding 5 years.

When there are reasonable doubts as to the technical success or economic and commercial profitability of capitalised projects, the amounts recognised in assets are charged directly to the profit and loss account for the year.

Expenditure on research activities is recognised in the consolidated income statement as an expense as it is incurred.

(c) Other tangible assets

Other intangible assets are stated at cost, less accumulated amortisation and impairment losses.

Software maintenance costs are expensed as incurred.

(d) Useful lives and amortisation rates

The Group evaluates whether the useful life of each intangible asset acquired is finite or indefinite. An intangible asset is considered to have an indefinite useful life where there is no foreseeable limit to the period over which it will generate net cash inflows. At 31 December 2022 and 2021, the Group had no intangible assets with indefinite useful lives, except for Goodwill discussed in Note 5.

Intangible assets with finite useful lives are amortised by allocating the depreciable amount systematically on a straight-line basis over the useful lives of the assets in accordance with the following criteria:

	Estimate useful life (years)
Development costs	5
Industrial property and Rights of use	5-10
Concession land rights in China	50
Software	5

The depreciable amount of intangible asset items is the cost of acquisition or deemed cost less the residual value.

The Group reassesses residual values, useful lives, and amortisation methods at the end of each financial year. Changes to initially established criteria are recognised as a change in accounting estimates.

4.14. Property, plant, and equipment

(a) Initial recognition

Property, plant, and equipment is stated at cost, less accumulated depreciation and any impairment losses. The cost of self-constructed assets is determined using the same principles as for an acquired asset, considering the principles established to determine the cost of production. The cost of production is capitalised through the credit of the costs attributable to the assets in accounts under “Other income” in the consolidated income statement.

The cost of assets which have long installation periods includes finance costs accrued prior to their being put to use. Such costs meet the capitalization requirements described above.

The Group availed itself at 1 January 2004 of the exemption related to the restated values pursuant to the corresponding legislation, as an attributed cost of IFRS 1 “First Time Adoption of International Financial Reporting Standards”.

(b) Amortisation and depreciation

Property, plant, and equipment is depreciated systematically over the useful life of the asset. The depreciable amount of PP&E items is the cost of acquisition less the residual value. Each part of a PP&E item with a cost that is significant in relation to the total cost of the item is depreciated separately.

Depreciation of PP&E items is calculated using the straight-line method over their estimated useful lives, as follows:

	Estimate useful life (years)
Buildings	30
Plant and equipment	10
Other installations, tools and furniture	5 - 10
Property, plant, and equipment	3 - 15

The Group reassesses residual values, useful lives, and depreciation methods at the end of each financial year. Changes to initially established criteria are recognised as a change in accounting estimates.

(c) Subsequent recognition

Subsequent to initial recognition of the asset, only costs that will probably generate future economic benefits and which may be measured reliably are capitalised. Ordinary maintenance costs are expensed as they are incurred.

Replacements of property, plant, and equipment which meet the requirements for capitalisation are recognised as a reduction in the carrying amount of the items replaced. Where the cost of the replaced items has not been depreciated independently and it has not been practical to determine the respective carrying amount, the replacement cost is used as indicative of the cost of items at the time of acquisition or construction.

4.15. Right-of-use

From 1 January 2019, leases are recognised as a right-of-use asset and the corresponding liability on the date on which the leased asset is available for use by the Group.

Assets and liabilities arising from a lease are initially measured on a present value basis. Right-of-use liabilities include the net present value of the following right-of-use payments:

- fixed payments (including fixed payments in substance), less any right-of-use incentive to collect
- variable right-of-use payments that depend on an index or rate, initially measured according to the index or rate at the start date
- amounts expected to be paid by the Group as residual value guarantees
- the exercise price of a call option if the Group is reasonably certain that it will exercise that option, and

- penalty payments on termination of the rights-of-use, if the term of the right-of-use reflects the Group's exercise of that option.

Right-of-use payments to be made under reasonably certain extension options are also included in the measurement of the liability.

Right-of-use payments are discounted using the interest rate implied in the right-of-use.

The Group is exposed to potential future increases in variable right-of-use payments based on an index or rate, which are not included in the right-of-use liability until they take effect. When adjustments to index or rate-based right-of-use payments take effect, the right-of-use liability is reassessed and adjusted against the right-to-use asset.

Right-of-use payments are apportioned between principal and finance cost. The finance cost is charged to income over the right-of-use period so as to produce a constant periodic interest rate on the remaining balance of the liability for each period.

Right-of-use assets are measured at cost, comprising:

- the amount of the initial measurement of the right-of-use liability
- any right-of-use payments made on or before the start date, less any right-of-use incentives received
- any initial direct costs, and
- restoration costs.

Right-of-use assets are generally amortised on a straight-line basis over the shorter of the asset's useful life or the end of the lease term.

The Group applies the exemption of recognising leases that have a period equal to or lower than 12 months from the date of commencement, and that do not contain a purchase option, and the leases in which the underlying asset has a scant value. The payment for these leases is recognised as an expense during the lease period.

4.16. Inventories

Inventories comprise non-financial assets which are held for sale by the consolidated entities in the ordinary course of business.

Cost comprises all costs of acquisition, costs of conversion, and other costs incurred in bringing the inventories to their present location and condition.

Inventory conversion costs comprise the costs directly related with the units produced and a systematically calculated part of the indirect, variable or fixed costs incurred in the conversion process. Indirect fixed costs are distributed on the basis of the normal production capacity or actual production.

Indirect fixed costs distributed to each production unit are not increased as a result of a low level of production or idle production capacity. Indirect costs that are not distributed are recognised as expenses for the financial year in which they are incurred. In periods of abnormally high production, the amount of indirect costs distributed to each production unit is decreased so that inventories are not measured above cost. Variable indirect costs are distributed to each production unit on the basis of the actual use of the production facilities.

The methods applied by the Group to determine inventory costs are as follows:

- Raw materials, other materials consumed, and goods for resale: at weighted average cost.

- Finished and semi-finished products: at weighted average cost of raw and other materials and includes direct and indirect labour, plus other manufacturing overheads.

Volume discounts from suppliers are recognised when it is probable that the discount conditions will be met. Prompt payment discounts are recognised as a reduction in the cost of inventories acquired.

The cost of inventories is adjusted against profit or loss in cases where cost exceeds net realizable value. Net realizable value is considered as the following:

- Raw materials and other consumables: the Group only makes adjustments if the finished products in which the raw materials are incorporated are expected to be sold at a price equivalent to their production cost or lower;
- Goods for resale and finished products: estimated sale price, less selling costs.
- Work in progress: estimated sale price for corresponding finished products, less the estimated costs for completion of their production and selling costs.

Write-downs and reversals of write-downs are recognised in the consolidated income statement for the year. When the circumstances that previously caused the inventories to be written down below cost no longer exist or when there is clear evidence of an increase in net realizable value because of changed economic circumstances, the amount of the write-down is reversed against the following headings: “Changes in inventories of finished products” and “Work in progress and consumption of materials and other supplies.” The reversal of write-downs in the value of inventories is recognised with a credit to the “Changes in inventories of finished goods and work in progress” and “Consumption of raw materials and other consumables” headings.

4.17. Emission rights

The Viscofan Group records emission rights when it owns them, under the “Inventories” heading.

Rights assigned free of charge to each plant under each national emission rights assignment plan are initially measured at market value on the date granted and are recognised as a credit to “Grants” (Note 4.21) in the consolidated statement of financial position. Rights acquired from third parties are recognised at their acquisition cost.

These assets are measured using the cost method. At each year end they are analysed for any indications of impairment of their carrying amounts.

These emission rights are eliminated from the statement of financial position when they are sold, delivered, or have expired. Should the rights be delivered, they are derecognised from the provision made when the carbon emissions take place, applying the FIFO method (first in, first out).

4.18. Non-current assets held for sale and discontinued operations

The Group classifies assets whose carrying amount is expected to be realised through a sale transaction, rather than through continuing use, as “Non-current assets held for sale” when the following criteria are met:

- When they are immediately available for sale in their present condition, subject to the normal terms of sale; and
- When it is highly probable that they will be sold.

Non-current assets held for sale are accounted for at the lower of their carrying amount and fair value less cost to sell, except deferred tax assets, assets arising from employee benefits, and financial assets which do not correspond to investments in Group companies, joint ventures and associates, which are measured according to specific standards. These assets are not

depreciated and, where necessary, the corresponding impairment loss is recognised to ensure that the carrying amount does not exceed fair value less costs to sell.

Disposal groups held for sale are measured using the same criteria described above. The disposal group as a whole is then remeasured at the lower of the carrying amount and fair value less costs to sell.

Related liabilities are classified as “Liabilities held for sale and discontinued activities”.

A disposal group of assets is considered a discontinued operation if it is a component of an entity which either has been disposed of or is classified as held for sale and:

- Represents a significant and separate major line of business or geographical area of operations.
- Is part of a single coordinated plan to dispose of a significant and separate major line of business or geographical area of operations.

Discontinued operations are presented in the consolidated income statement separately from income and expenses from continuing operations, on a single line under Profit from discontinued operations.

4.19. Cash and cash equivalents

Cash and cash equivalents include cash on hand and demand deposits with credit institutions. Other short-term, highly-liquid investments are also included under this heading, provided that they were readily convertible into specified amounts of cash and had an original maturity of close to or not exceeding three months.

4.20. Dividend

The interim dividends approved by the Board of Directors in 2022 and 2021 are included as a reduction of the Viscofan Group's equity.

4.21. Government grants

Government grants are recognised on the face of the balance sheet when there is reasonable assurance that they will be received and that the Group will comply with the conditions attached.

(a) Capital grants

Government grants in the form of non-monetary assets are recognised at fair value, with a credit to “Grants” in the consolidated statement of financial position and they are transferred to “Other income” in the consolidated income statement in line with the depreciation of the subsidised asset.

Non-refundable grants related to emission rights are initially recognised at market value on the date provided under “Grants,” and are recognised in the consolidated income statement as they are used. They are recognised in “Other income” on the consolidated income statement.

(b) Operating subsidies

Operating subsidies are recognised with a credit to “Other income” in the consolidated income statement.

Grants received as compensation for expenses or losses already incurred, or for the purpose of providing immediate financial support not related to future expenses, are recognised as a credit to “Other income” in the consolidated income statement.

(c) Interest rate subsidies

Financial liabilities with implicit interest rate subsidies in the form of below-market rates of interest are initially recognised at fair value. The difference between this value, adjusted where applicable by the costs of issue of the financial liability and the amount received, is recorded as an official grant based on the nature of the grant.

4.22. Employee benefits

(a) Liabilities for retirement benefits and other commitments

Defined benefit plans include those financed by insurance premium payments for which a legal and implicit obligation exists to settle commitments directly with employees when they fall due or pay additional amounts in the event the insurer does not pay all employee benefits relating to employee service in the current and prior periods.

Defined benefit liabilities recognised in the consolidated statement of financial position reflect the present value of defined benefit plans at year end, less the fair value of the assets related to those benefits.

Defined benefit plan costs are recognised under “Staff costs” in the consolidated income statement and are obtained as a result of the addition of the net amount of the current service costs, plus the effect of any reduction or liquidation of the plan.

Interest on the net liability/(asset) relating to the defined benefit plan is calculated by multiplying the net liability/(asset) by the discount rate and is recognised in financial results under “Financial expenses”.

Subsequent to initial measurement, the re-evaluation, which comprises actuarial gains and losses, the effect of the limit on the assets, excluding amounts included in net interest and performance of the plan assets are recognised immediately in the statement of financial position with a credit or debit to reserves, as appropriate, through other comprehensive income in the period in which they occur. These changes are not reclassified to profit or loss in subsequent periods.

A description of each of the Group’s defined benefit pension plans is included in Note 14.1.

(b) Termination benefits

The Group recognises termination benefits unrelated to restructuring processes when it is demonstrably committed to terminating the employment of current employees before the normal retirement date. The Group is demonstrably committed to terminating the employment of current employees when a detailed formal plan has been prepared and those affected have valid expectations that the process will be carried out, and there is no possibility of withdrawing or changing the decisions made. Indemnities payable in over 12 months are discounted at interest rates based on market rates of quality bonds and debentures.

(c) Short-term employee benefits

Short-term benefits accrued by Group personnel are recorded in line with the employees’ period of service. The amount is recorded as an employee benefit expense and as a liability net of settled amounts. If the contribution already paid exceeds the accrued expense, an asset is recorded to the extent that it will reduce future payments or a cash refund.

The Group recognizes the expected cost of short-term benefits in the form of accumulated compensated absences, when the employees render service that increases their entitlement to future compensated absences, and in the case of non-accumulating compensated absences, when the absences occur.

The Group recognizes the expected cost of profit-sharing and bonus payments when it has a present legal or constructive obligation to make such payments as a result of past events and a reliable estimate of the obligation can be made.

(d) Share-based payment

Certain classes of employees are provided with share-based remuneration benefits through the Long Term Employee Incentive Plan, an employee share ownership plan. Note 23.3 provides information on these plans.

The fair value of shares granted under the long-term employee incentive plan that are settled through the delivery of shares is recognised as employee benefit expense against equity. The total amount to be recognised as an expense is determined by reference to the fair value at the grant date of the shares granted:

- including market performance conditions (for example, the entity's share price)
- excluding the impact of non-market related service or performance targets for the vesting of the shares (e.g. accident rate, waste reduction targets)

The total expense is recognised during the vesting period, which is the period during which all the specified terms for vesting have to be satisfied. At the end of each year, the entity reviews its estimates of the number of shares it expects to become vested, based on non-market service targets for vesting. The impact, if any, of the review of the original estimates is recognised in profit or loss, with a corresponding adjustment to equity.

If the long-term employee incentive plan is settled in cash, it is recognised as employee benefit expense against a liability. The total amount to be recognised as an expense is determined by reference to fair value at each close.

4.23. Provisions

(a) General criteria

A provision is recognised in the balance sheet when the Group has a present legal or constructive obligation as a result of a past event and it is probable that an outflow of economic benefits will be required to settle the obligation, provided a reliable estimate can be made of the amount of the obligation.

The amounts recognised as a provision in the consolidated statements of financial position are the best estimate of the expenditure required to settle the present obligation at the consolidated balance sheet date, taking into account the risks and uncertainties related to the provision and, where significant, financial effect of the discount, provided that the expenditures required in each period can be reliably measured. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability.

The financial effect of provisions is recognised under finance costs in the consolidated income statement.

Reimbursement rights from third parties are recognised as a separate asset where it is practically certain that these will be collected. The income reimbursed, where applicable, is recognised in the consolidated income statement as a reduction in the associated expense and is limited to the amount of the provision.

If it is no longer probable that an outflow of resources embodying economic benefits will be required to settle the obligation, the provision is reversed against income. The provision is reversed against the consolidated income statement where the corresponding expense was recorded.

(b) Onerous contracts

A provision for onerous contracts is recognised when the expected benefits to be derived by the Group from a contract are lower than the unavoidable cost of meeting its obligations under the contract.

(c) Restructuring expenses

A provision for restructuring is recognised when the Group has approved a detailed and formal restructuring plan, and the restructuring has either commenced or has been announced publicly. Provisions for restructuring only include payments directly related to the restructuring which are not associated to continuing activities of the Group.

(d) Emission rights provision

Provision is made systematically for expenses related to the emission of greenhouse gases. This provision is cancelled once the corresponding free-of-charge and market-acquired rights granted by public entities have been transferred.

4.24. Derivatives and hedge accounting

Derivatives are initially recognised at fair value on the date the derivative contract is signed and subsequently restated to fair value at each balance sheet date. The accounting for subsequent changes in fair value depends on whether the derivative has been designated as a hedging instrument and, if so, on the nature of the item being hedged. The group designates certain derivatives as:

- fair value hedges of recognised assets or liabilities or a firm commitment (fair value hedges)
- hedges of a specific risk associated with cash flows of recognised assets and liabilities and highly probable forecast transactions (cash flow hedges), or
- hedges of a net investment in a foreign operation (net investment hedges).

At the start of the hedging relationship, the Group documents the economic relationship between hedging instruments and the hedged items, including whether it is expected that changes in the cash flows of hedging instruments offset changes in the cash flows of the hedged items. The Group documents its risk management target and strategy to undertake its hedging transactions.

The fair values of the derivative financial instruments designated in hedging ratios are broken down in Note 17. The movements in the hedge reserve included in the equity of shareholders are shown in Note 12.

The total fair value of a hedging derivative is classified as a non-current asset or liability if the remaining maturity of the hedged item exceeds 12 months; it is classified as a current asset or liability when the remaining maturity of the hedged item is less than 12 months. Trading derivatives are classified as current assets or liabilities.

The effective portion of changes in the fair value of derivatives designated and classified as cash flow hedges is recognised under cash flow hedge reserves in equity. The gain or loss relating to the ineffective portion is immediately recognised in the income statement for the year within other gains/(losses).

When option contracts are used to cover expected transactions, the Group only designates the intrinsic value of the option contract as the hedging instrument.

The gains or losses corresponding to the effective portion of changes in the intrinsic value of option contracts are recognised under cash flow hedge reserves in equity. Changes in the time value of option contracts related to the hedged item ("aligned time value") are recognised through other comprehensive income under hedge cost reserves in equity.

When forward contracts are used to cover expected transactions, the Group generally only designates the change in fair value of the forward contract relating to the cash component as the hedging instrument. The gains or losses relating to the effective portion of changes in the cash component of forward contracts are recognised under cash flow hedge reserves in equity. Changes in the forward element of the contract related to the hedged item ("aligned forward element") are recognised through other comprehensive income under hedge cost reserves in equity. In some cases, the gains or losses corresponding to the effective portion of changes in the fair value of the entire forward contract are recognised under cash flow hedge reserves in equity.

Accumulated amounts in equity are reclassified in the years when the hedged item affects profit or loss for the year, as follows:

- When the hedged item subsequently results in the recognition of a non-financial asset (such as inventories), both deferred hedge gains and losses and the deferred time value or deferred forward points, as applicable, are included in the initial cost of the asset. Deferred amounts are ultimately recognised in profit for the year, as the hedged item affects profit or loss for the year (for example, via the cost of sales).
- Gains or losses corresponding to the effective portion of interest rate swaps covering floating rate loans are recognised in profit or loss under finance cost at the time as the interest cost on hedged loans.

4.25. Income tax

Income tax on the profit for the year comprises current and deferred tax.

Current tax is the amount of income taxes payable or recoverable in respect of the taxable profit or tax loss for the year. Current tax assets or liabilities are measured for amounts payable to or recoverable from tax authorities, using tax rates enacted or substantively enacted at the balance sheet date.

Deferred tax liabilities are the amounts of income taxes payable in future periods in respect of taxable temporary differences, whereas deferred tax assets are the amounts of income taxes recoverable in future periods in respect of deductible temporary differences, the carryforward of unused tax losses, and the carryforward of unused tax credits. Temporary differences are differences between the carrying amount of an asset or liability in the balance sheet and its tax base.

Current and deferred tax is recognised as income or an expense and included in profit or loss for the year except to the extent that the tax arises from a transaction or event which is recognised, in the same or a different year, directly in equity, or from a business combination.

(a) Taxable temporary differences

Taxable temporary differences are recognised in all cases except where:

- Arising from the initial recognition of goodwill or an asset or liability in a transaction which is not a business combination and at the time of the transaction, affects neither accounting profit nor taxable profit, or

- Associated with investments in subsidiaries over which the Group is able to control the timing of the reversal of the temporary difference and it is probable that the timing difference will reverse in the foreseeable future.

(b) Deductible temporary differences

Deductible temporary differences are recognised provided that:

- It is probable that taxable profit will be available against which the deductible temporary difference can be utilised, unless the differences arise from the initial recognition of an asset or liability in a transaction which is not a business combination and at the time of the transaction, affects neither accounting profit nor taxable profit.
- The temporary differences are associated with investments in subsidiaries to the extent that the difference will reverse in the foreseeable future and taxable profit will be available against which the temporary difference can be utilised.

Tax planning opportunities are only considered on evaluation of the recoverability of deferred tax assets and if the Group intends to use these opportunities or it is probable that they will be used.

(c) Measurement

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the years when the asset is realised or the liability is settled, based on tax rates and tax laws that have been enacted or substantively enacted by the balance sheet date and reflecting the tax consequences that would follow from the manner in which the Group expects to recover or settle the carrying amount of its assets or liabilities.

The carrying amounts of deferred tax assets are reviewed by the Group at each balance sheet date to reduce these amounts to the extent that it is no longer probable that sufficient taxable profit will be available to allow the benefit of the deferred tax assets to be utilised.

Deferred tax assets which do not comply with the aforementioned conditions are not recognised in the consolidated statement of financial position. At year end the Group reassesses unrecognised deferred tax assets.

(d) Classification and offsetting

The Group only offsets current tax assets and liabilities if it has a legally enforceable right to offset the recognised amounts and intends either to settle on a net basis, or to realize the asset and settle the liability simultaneously.

The Group only offsets tax assets and liabilities where it has a legally enforceable right, where these relate to taxes levied by the same tax authority and on the same entity and where the tax authorities permit the entity to settle on a net basis, or to realize the asset and settle the liability simultaneously for each of the future years in which significant amounts of deferred tax assets or liabilities are expected to be settled or recovered.

Deferred tax assets and liabilities are recognised on the consolidated statement of financial position under non-current assets or liabilities, irrespective of the date of realisation or settlement.

(e) Investment tax credits

The group has investment tax credits in certain subsidiaries. These tax credits are recorded by reducing the corporate income tax expense for the year in which they are applied.

4.26. Environment and climate change

(a) Environment

The Group takes measures to prevent, reduce or repair the damage caused to the environment by its activities.

Costs incurred from environmental activities are recognised under “Other operating costs” in the year in which they are incurred.

Assets used by the Group to minimize the environmental impact of its activity and protect and improve the environment, including the reduction or elimination of future pollution caused by the Group’s operations, are recognised in the consolidated balance sheet based on the criteria for recognition, measurement, and disclosure detailed in Note 25.

(b) Climate change

Climate change is a significant aspect identified in the materiality analysis and, as such, is included in the Group's long-term operating management processes. It forms an integral part of our risk mitigation policy and an essential part of our Sustainability Action Plan.

Climate change management is regulated in the Climate Change Policy, approved by the Board of Directors in 2020, and which demonstrates the Group's commitment to this huge environmental problem, establishing its undertaking to control atmospheric emissions, energy efficiency and to a business strategy related with the development of alternative energy sources.

Furthermore, the internal climate change regulations complemented by the Environmental Policy, approved by the Board of Directors in 2020, stipulate that the Group's measures must be adopted with respect for the environment, which means incorporating sustainable development criteria in all areas of activity, guaranteeing the efficient management of natural resources and minimising the undesirable effects of the Group's activities.

The main risks and the opportunities and resources allocated are detailed in Note 25.

4.27. Related party transactions

Transactions with related parties are accounted for in accordance with the measurement criteria detailed throughout this Note 4. The only transactions with related parties are detailed in Note 24 on “Information relating to directors of the parent and key management personnel of the Group”.

5. Intangible assets and goodwill

5.1. Intangible assets other than goodwill

The breakdown and movements in other intangible assets during 2022 and 2021 are as follows:

	Thousands of euros						
	Customer portfolio	Software	Industrial property and Rights of use	Implemen-tation	Advances	Amortisation and depreciation	*Total*
Opening balance as at 1 January 2021	**621**	**43,602**	**21,917**	**2,455**	**187**	**(52,152)**	***16,630***
Exchange gains (losses)	-	830	1,097	-	3	(1,477)	*453*
Additions	-	4,018	142	-	95	(4,345)	*(90)*
Disposals	-	(194)	-	-	-	59	*(135)*
Transfers	-	497	-	-	(174)	(2)	*321*
Closing balance as at 31 December 2021	**621**	**48,753**	**23,156**	**2,455**	**111**	**(57,917)**	***17,179***
Exchange gains (losses)	-	823	420	-	5	(1,217)	*31*
Additions	-	4,739	-	-	506	(4,782)	*463*
Disposals	-	(53)	-	-	-	53	-
Transfers	-	216	-	-	(240)	-	*(24)*
Closing balance as at 31 December 2022	**621**	**54,478**	**23,576**	**2,455**	**382**	**(63,863)**	***17,649***

The balances of this heading at 31 December 2022 and 2021 are the following:

	Thousands of euros					
	31/12/2022			31/12/2021		
	Cost	Amortisation and depreciation	*Total*	Cost	Amortisation and depreciation	*Total*
Customer portfolio	621	(621)	-	621	(621)	-
Software	54,478	(41,893)	*12,585*	48,753	(37,552)	*11,201*
Industrial property and Rights of use	23,576	(19,459)	*4,117*	23,156	(18,297)	*4,859*
Implementation	2,455	(1,890)	*565*	2,455	(1,447)	*1,008*
Advances	382	-	*382*	111	-	*111*
TOTAL	**81,512**	**(63,863)**	***17,649***	**75,096**	**(57,917)**	***17,179***

Details of the cost of fully amortised intangible assets in use at 31 December 2022 and 2021 are as follows:

	Thousands of euros	
	2022	2021
Software	32,317	28,269
Industrial property and Rights of use	14,116	13,130
Fully depreciated assets	**46,433**	**41,399**

5.2. Goodwill

The changes during 2022 and 2021 are detailed below:

	Thousands of euros
Opening balance as at 1 January 2021	**2,638**
Exchange gains (losses)	321
Closing balance as at 31 December 2021	**2,959**
Exchange gains (losses)	278
Closing balance as at 31 December 2022	**3,237**

These amounts correspond to the Supralon Group CGU (2,337 thousand euros) in the "Rest of Europe and Asia" geographical region, and to the CGU transfer of ingredients (900 thousand euros) in the North America geographical region.

Impairment test

Below, we provide details of the calculation used in the impairment test for the different goodwill recognised at 31 December 2022.

(a) CGU Supralon Group

Goodwill for the sum of 2,337 thousand euros, recognised on the Group's consolidated balance sheet corresponds to the Supralon Group, whose CGU corresponds to the legal company or subgroup, dedicated to the production and distribution of casings for the meat industry.

5-year projections were done, in which Management established forecasted business figures broken down by CGU managers (by year, country, customer, average product sales prices) based on historic data (internal/external sources), forecasts of the market, competition, new products and those in development, and actions to be implemented aimed at geographical expansion, and available macroeconomic forecasts.

The residual growth rate stands at 1.5%, in line with estimated long-term growth. The pre-tax discount rate is 9.4%.

The estimated residual value included a sustainable average flow and a growth rate of 1.5%. The sustainable average flow corresponds to cash flows during the most recently projected period.

Based on a sensitivity analysis;

- Variations of 10% in the discount rate do not imply the recognition of impairment.
- Sensitivity to reasonably possible changes in revenue do not entail the need to record any impairment losses.

The consolidated carrying amount totalled 8,205 thousand euros (goodwill totalling 2,337 thousand euros, with PP&E and other intangible items amounting to 5,868 thousand euros).

Therefore, as a result of this analysis, the Directors consider that at 31 December 2022, there were no indications that any impairment losses should be recorded.

(b) Transfer of ingredients

Goodwill recognised in the Group's consolidated balance sheet at 31 December 2022 amounted to €900 thousand.

The transfer of ingredients CGU (in Canada) is a pioneer in the industry, having developed innovative products with value-added technology, such as casings capable of transferring ingredients: spices, flavours, aromas and colours to cold meats and other meat products in natura. The products thus obtained significantly facilitate certain production processes of our customers and improve consumer experience.

The assumptions include an increasing volume of sales during the first year's activity. 5-year projections were done, in which Management established forecasted business figures broken down by CGU managers (by year, country, customer, average product sales prices) based on historic data (internal/external sources), forecasts of the market, competition, new products and those in development, and actions to be implemented aimed at geographical expansion, and available macroeconomic forecasts.

The residual growth rate stands at 1.5%, in line with estimated long-term growth. The pre-tax discount rate is 9.4%.

The estimated residual value included a sustainable average flow and a growth rate of 1.5%. The sustainable average flow corresponds to cash flows during the most recently projected period.

Based on a sensitivity analysis;

- Variations of 10% in the discount rate do not imply the recognition of impairment.

- Sensitivity to reasonably possible changes in revenue do not entail the need to record any impairment losses.

The consolidated carrying amount totalled 2,409 thousand euros (goodwill totalling 900 thousand euros, with PP&E and other intangible items amounting to 1,509 thousand euros).

Therefore, as a result of this analysis, the Directors consider that at 31 December 2022, there were no indications that any impairment losses should be recorded.

6. Property, plant, and equipment

The breakdown and movements in property, plant, and equipment during 2022 and 2021 are as follows:

	Thousands of euros							
	Land and buildings	**Plant and equipment**	**Other installations, tools and furniture**	**Property, plant, and equipment**	**Advances and assets in progress**	**Amortisa-tion and deprecia-tion**	**Impairment**	***Total***
Opening balance as at 1 January 2021	**261,662**	**860,324**	**112,970**	**39,920**	**17,581**	**(832,031)**	**(878)**	***459,548***
Exchange gains (losses)	7,974	23,364	1,947	2,003	1,356	(21,125)	(12)	*15,507*
Additions	4,587	25,336	3,644	3,777	50,402	(62,813)	84	*25,017*
Disposals	(346)	(13,778)	(1,246)	(1,023)	(95)	14,946	58	*(1,484)*
Transfers	956	17,116	1,227	543	(20,165)	2	-	*(321)*
Closing balance as at 31 December 2021	**274,833**	**912,362**	**118,542**	**45,220**	**49,079**	**(901,021)**	**(748)**	***498,267***
Exchange gains (losses)	4,160	22,764	466	1,008	1,756	(19,053)	(6)	*11,095*
Additions	16,856	67,109	1,912	4,890	29,595	(68,076)	(45)	*52,241*
Disposals	(29)	(4,818)	(273)	(691)	(62)	5,443	47	*(383)*
Transfers	10,561	55,739	3,349	1,113	(70,738)	-	-	*24*
Closing balance as at 31 December 2022	**306,381**	**1,053,156.**	**123,996**	**51,540**	**9,630**	**(982,707)**	**(752)**	***561,244***

The balances of this heading at 31 December 2022 and 2021 are the following:

	Thousands of euros					
	31/12/2022			**31/12/2021**		
	Cost	**Amortisation and depreciation**	***Total***	**Cost**	**Amortisation and depreciation**	***Total***
Land and buildings	306,381	(137,971)	*168,410*	274,833	(129,319)	*145,514*
Plant and equipment	1,053,156.	(720,617)	*332,539*	912,362	(657,382)	*254,980*
Other installations, tools and furniture	123,996	(90,414)	*33,582*	118,542	(84,493)	*34,049*
Property, plant, and equipment	51,540	(34,457)	*17,083*	45,220	(30,575)	*14,645*
Advances and assets in progress	9,630	-	*9,630*	49,079	-	*49,079*
TOTAL	**1,544,703**	**(983,459)**	***561,244***	**1,400,036**	**(901,769)**	***498,267***

In 2022, investments in property, plant and equipment in the Group totalled 120,362 thousand euros. The main projects have focused on increasing collagen casing capacity in Spain, Germany, Serbia, China, and the United States -where it has been commissioned in the first months of 2023-. In addition, investment has been made in new cellulose technology for the Danville plant in the United States, and the new collagen hydrolysates plant in Germany has been started up to boost the development of New Businesses, as well as new initiatives aimed at strengthening competitive advantages, especially in the energy field.

Investments in property, plant and equipment amounting to 87,746 thousand euros were made in 2021. The main projects were on the capacity extension to deal with the increase in expected demand and to improve the service to the market in a context of the quest to assure customer orders. Of particular note are investments in new collagen casing production lines in China and Europe.

The installation and commissioning fibrous casings new production lines in Cáseda (Spain) was also carried out. This extension, which doubles the previous installed capacity at Cáseda, led to an investment of 14 million euros, including both the machinery and investments in the environment in line with the environmental impact reduction objectives established in the Viscofan Group's Sustainability Action Plan. Investments were also made to upgrade technology in North America.

Details of the cost of fully depreciated property, plant, and equipment in use at 31 December 2022 and 2021 are as follows:

	Thousands of euros	
	2022	**2021**
Buildings	63,631	53,974
Plant and equipment	459,769	427,115
Other installations, tools and furniture	64,497	62,689
Property, plant, and equipment	24,148	21,728
Fully depreciated assets	**612,045**	**565,506**

As a result of the annual investment plan, at the end of the 2022 financial year, there are commitments to acquire fixed assets amounting to 4,233 thousand euros, including the installation of a new converting centre in Thailand.

At year-end 2021, fixed asset acquisition commitments amounted to 43,833 thousand euros, mainly related to technological improvements and upgrades in the USA, collagen capacity expansions to meet the expected growth in demand, as well as environmental improvements.

The Group has insurance policies covering the various risks to which its items of property, plant, and equipment are exposed. The coverage of these policies is considered sufficient.

Impairment test

During the last two years, no signs of impairment have been identified in any of the Group's cash-generating units.

However, investment in the USA has generated negative results in recent years. During 2022, the Company's management has decided to make certain investments in the American subsidiary in order to modernise the production assets and to improve the situation of this subsidiary. As a result of these investments, which are about to come into operation, management considers that there is no reason to realise an impairment of the investment, although the materialisation and proper commissioning of the investments will determine the fulfilment of these estimates.

In order to carry out the impairment analysis, the main assumptions considered were as follows:

- investments of approximately USD 50 million have been made in the US plants, which are almost completed and are expected to come on stream in early 2023 (these investments are almost entirely incorporated in Viscofan USA's assets at the end of 2022).

- the sales that are considered in the plan have a growth in the following years in accordance with the increases in installed capacity

- the current circumstances of raw material and production costs have been considered, adapted to the current market circumstances and the new materialised investments

- the projection of EBITDA over sales is increasing as the new investments made are fine-tuned and it reaches reasonable margins within the context of the group

- The pre-tax discount rate is 9.4%.

After performing the above analysis, the present value of future cash flows is significantly higher than the present value of the investment. However, a sensitivity analysis has been performed on the main variables, identifying a more conservative scenario in the estimates, in which the slack in the analysis remains significant, as well as an increase in the discount rate to a value of 10.4%, without identifying any impairment. Finally, a more aggressive scenario has been considered in which both flow and discount rate sensitivities are considered, and in this scenario a deterioration of the US investment is not identified either.

7. Right-of-use

This note provides information on the rights of use under which the Group is a lessee.

7.1. Right-of-use assets

The balance sheet shows the following amounts related to rights of use:

	Thousands of euros					
	Buildings	**Plant and equipment**	**Other installations, tools and furniture**	**Other**	**Amortisation and depreciation**	***Total***
Opening balance as at 1 January 2021	**18,965**	**383**	**-**	**4,334**	**(7,937)**	***15,745***
Exchange gains (losses)	624	28	-	116	(317)	*451*
Additions	738	339	-	1,933	(5,123)	*(2,113)*
Disposals	(1,140)	(199)	-	(625)	1,849	*(115)*
Transfers	(1,073)	1,073	-	-	-	-
Opening balance as at 1 January 2022	**18,114**	**1,624**	**-**	**5,758**	**(11,528)**	***13,968***
Exchange gains (losses)	246	7	-	70	(123)	*200*
Additions	188	173	-	1,272	(5,289)	*(3,656)*
Disposals	(2,517)	(82)	-	(961)	3,628	*68*
Transfers	-	-	-	-	-	-
Closing balance as at 31 December 2022	**16,031**	**1,722**	**-**	**6,139**	**(13,312)**	***10,580***

The balances of this heading at 31 December 2022 and 2021 are the following:

	Thousands of euros					
	31/12/2022			**31/12/2021**		
	Cost	**Amortisation and depreciation**	***Total***	**Cost**	**Amortisation and depreciation**	***Total***
Buildings	16,031	(8,702)	*7,329*	18,114	(7,850)	*10,264*
Plant and equipment	1,722	(1,333)	*389*	1,624	(947)	*677*
Property, plant, and equipment	6,139	(3,277)	*2,862*	5,758	(2,731)	*3,027*
TOTAL	**23,892**	**(13,312)**	***10,580***	**25,496**	**(11,528)**	***13,968***

Additions to right-of-use assets in 2022 amounted to 1,633 thousand euros; 3,010 thousand euros in 2021.

7.2. Right-of-use liabilities

The balance sheet shows the following amounts related to rights of use:

	Thousands of euros	
	2022	2021
Up to 3 months	598	981
3 months – 1 year	2,380	3,547
Current	**2,978**	**4,528**
1 year – 5 years	6,452	7,636
More than 5 years	1,060	1,727
Non-current	**7,512**	**9,363**
Total as at 31 December	**10,490**	**13,891**

The Group leases warehouses, offices and vehicles. Leases are usually for fixed periods but may have options for extension.

Some property leases contain payment terms generally linked to inflation. There are no other variable payments.

Extension and termination options are included in a number of warehouse and office leases throughout the Group. The lease term incorporates options for extension or termination, with a maximum term generally of 10 years unless the extension term is shorter. No other assets have been identified within leased items whose useful life exceeds the term of the lease.

8. Inventories

Details of inventories at 31 December 2022 and 2021 are as follows:

	Thousands of euros	
	2022	2021
Raw materials and other consumables	112,784	83,606
Semi-finished products	86,037	58,208
Finished products	158,255	138,228
Commercial inventories	9,415	9,896
Greenhouse gas emission rights	11,404	10,442
Advances to suppliers	3,893	3,000
Total Inventories	**381,788**	**303,380**

The valuation adjustments in 2022, corresponding to inventory impairment and obsolescence, entailed an expense of 2,829 thousand euros (an expense of 733 thousand euros in 2021), and they are recognised under “Consumption of raw materials and other consumables” and “Changes in inventories of finished goods and work in progress” in the consolidated income statement.

The emission rights consumed by the Company during 2022 and 2021 amounted to 317,106 and 290,592 tonnes, respectively.

The amount of the expense related to greenhouse gas emissions in 2022 was recognised under “Consumption of raw materials and other consumables” in the amount of 21,492 thousand euros (7,860 thousand euros in 2021).

Group companies have contracted various insurance policies to cover the risk of damage to inventories. The coverage of these policies is considered sufficient.

9. Trade and other receivables

The breakdown for “Trade and other receivables” at 31 December 2022 and 2021 is as follows:

	Thousands of euros	
	2022	**2021**
Trade receivables	236,483	177,262
Other trade debtors	9,603	3,710
Advances to employees	64	128
Impairment	(2,925)	(2,684)
Total trade debtors	**243,225**	**178,416**
Receivables from public administrations	29,654	24,377
Accruals	3,420	3,183
Total other receivables	**33,074**	**27,560**
Total trade and other receivables	**276,299**	**205,976**

At 31 December 2022 and 2021, the age of trade receivables by maturity was as follows:

	Thousands of euros					
	Not due	Due				*Total*
		Up to 30 days	31-60 days	61-90 days	More than 90 days	
2022	221,393	16,268	2,998	1,805	761	***243,225***
2021	158,617	14,413	4,312	767	307	***178,416***

The Group has credit insurance contracts which cover the collection of the greater portion of its customer balances

Trade receivables do not carry interest, and generally payment conditions range from 45 to 90 days.

The breakdown by currency of trade receivables is as follows:

	Thousands of euros							
	Euros	**US Dollar**	**Czech Koruna**	**Brazilian Real**	**Mexican Peso**	**Chinese Yuan**	**Other currencies**	***Total book value***
2022	82,211	89,107	1,722	38,837	1,679	11,301	18,368	***243,225***
2021	53,390	73,825	938	25,313	723	11,254	12,973	***178,416***

The movement in impairment of customers for sales and services as well as other trade receivables is as follows:

	Thousands of euros	
	2022	**2021**
Opening balance as at 1 January	**(2,684)**	**(3,630)**
Exchange gains (losses)	(129)	804
Allowances	(67)	(178)
Utilised and collections	(45)	320
Closing balance as at 31 December	**(2,925)**	**(2,684)**

At 31 December 2022 and 2021, balances receivable from public administrations are as follows:

	Thousands of euros	
	2022	**2021**
VAT receivable from Public Treasury	27,781	23,052
Receivable from Public Treasury for withholdings and payments on account	3	734
Other public bodies	1,870	591
Closing balance as at 31 December	**29,654**	**24,377**

A breakdown by currency is as follows:

	Thousands of euros							
	Euros	**US Dollar**	**Czech Koruna**	**Brazilian Real**	**Mexican Peso**	**Chinese Yuan**	**Other currencies**	***Total book value***
2022	7,844	2,041	1,047	10,587	6,513	720	902	***29,654***
2021	6,887	1,448	784	9,235	5,139	300	584	***24,377***

Impairment

Trade and other receivables are subject to the expected credit loss model. However, the impairment identified is immaterial.

Cash and cash equivalents is also subject to the impairment requirements under IFRS 9, although the impairment identified is also immaterial.

To establish the expected credit loss, the Group applies the simplified approach set out under IFRS 9.

To measure expected credit loss, trade receivables have been grouped together based on the characteristics of the shared credit risk and the days past due.

The expected loss rates are based on the payment profiles of sales during a 36-month period prior to 1 January 2022 and the corresponding historic credit losses experienced during this period. Historic loss rates are adjusted to reflect annual, forward-looking information about macroeconomic factors that affect the ability of customers to repay accounts receivable.

Furthermore, the Group impairs these accounts receivable by assessing the specific risks of non-recoverability, as was the case in the previous year, to establish whether there is objective evidence that an impairment has occurred. The Group considers that an impairment occurs when the debtor experiences significant financial difficulties or when there is a non-payment or delay in payments of more than 180 days.

Receivables for which an impairment was recognised are written off against the impairment amount when there is no expectation of recovering additional cash.

The evolution in the collection of flows in 2022 and that forecast for future years has not changed with regard to that of previous financial years.

10. Current and non-current financial assets

All derivative financial instruments at 31 December 2022 and 2021 are included in level 2, within the valuation hierarchies: assets and liabilities whose fair value has been determined with technical valuation techniques that use hypotheses observable in the market.

The breakdown at 31 December 2022 and 2021 of current and non-current financial assets not including trade and other receivables is as follows:

	Thousands of euros			
	Valued at			
	Amortised cost	Fair value through P&L	*Total book value*	*Fair value*
Financial investments	1,108	1,521	*2,629*	*2,629*
Deposits and guarantees	1,715	-	*1,715*	*1,715*
Non-current financial assets	**2,823**	**1,521**	***4,344***	***4,344***
Equity instruments	-	736	*736*	*736*
Loans and other receivables	846	-	*846*	*846*
Short-term deposits	-	-	-	-
Current financial assets	**846**	**736**	***1,582***	***1,582***
Total as of 31 December 2022	**3,669**	**2,257**	***5,926***	***5,926***

	Thousands of euros			
	Valued at			
	Amortised cost	Fair value through P&L	*Total book value*	*Fair value*
Financial investments	800	1,121	*1,921*	*1,921*
Deposits and guarantees	1,351	-	*1,351*	*1,351*
Non-current financial assets	**2,151**	**1,121**	***3,272***	***3,272***
Equity instruments	-	753	*753*	*753*
Loans and other receivables	84	-	*84*	*84*
Short-term deposits	-	-	-	-
Current financial assets	**84**	**753**	***837***	***837***
Total as of 31 December 2021	**2,235**	**1,874**	***4,109***	***4,109***

A breakdown of financial assets by maturity is as follows:

	Thousands of euros						
	Less than 1 year	1 to 2 years	2 to 3 years	3 to 4 years	4 to 5 years	More than 5 years	*Total*
2022	1,582	256	38	1	761	3,288	***5,926***
2021	837	242	28	8	657	2,337	***4,109***

A breakdown by currency is as follows:

	Thousands of euros						
	Euros	**US Dollar**	**Brazilian Real**	**Mexican Peso**	**Chinese Yuan**	**Other currencies**	***Total book value***
2022	2,648	160	2,089	29	147	853	***5,926***
2021	2,065	154	1,640	4	151	95	***4,109***

All debt investments by the entity at amortised cost, at fair value through profit or loss, and through other comprehensive income are considered as being under credit risk and, therefore, the value adjustment recognised during the year is limited to the losses expected in 12 months. Management believes that the investment is “low risk” when the risk of non-payment is low and the issuer has a significant ability to fulfil its contractual cash flow obligations in the short term.

The Group has not recognised any impairment in relation to these assets at 31 December 2022 (or 31 December 2021).

11. Cash and cash equivalents

“Cash and cash equivalents” at 31 December 2022 and 2021 correspond entirely to balances held by the Group in cash and credit accounts, with some accounts bearing market interest rates. The Group had no banking overdrafts during the periods, with all its balances freely distributable.

A breakdown by currency is as follows:

	Thousands of euros							
	Euros	**US Dollar**	**Czech Koruna**	**Brazilian Real**	**Mexican Peso**	**Chinese Yuan**	**Other currencies**	***Total book value***
2022	7,726	22,198	21	5,039	2,293	10,933	2,983	***51,193***
2021	16,547	17,388	11	13,445	2,829	37,521	3,611	***91,352***

12. Equity

12.1. Share capital

At 31 December 2022, the Parent's share capital consisted of 46,500,000 bearer shares of 0.70 euros par value each. Total capital value was 32,550 thousand euros. The same as at 31 December 2021.

In both years, shares were fully subscribed for and paid up.

All shares bear the same voting and dividend rights and obligations and are listed on the official Stock Exchanges of Madrid, Barcelona, and Bilbao under the automatic quotation system (continuous market). All shares are freely distributable.

At 31 December 2022 and 2021, the parent was aware of the following shareholders with a direct or indirect stake of over 3%:

	% stake	
	2022	2021
Corporación Financiera Alba, S.A.	14.25	13.97
APG Asset Management N.V.	9.997	10.09
Angustias y Sol, S.L.	5.02	5.02
Setanta Asset Management Limited	3.96	3.96
Wellington Management Group LLP (*)	-	4.99
Marathon Asset Management Limited (*)	-	3.45

* These companies have reported shares below 3%.

Additionally, in accordance with Article 32 of Royal Decree 1362/2007, of 19 October, on shareholders obliged to notify their residence in tax havens or in countries not requiring the payment of taxes, or with whom there is no effective exchange of tax information, no notification was received at year-end 2022 and 2021.

Capital management

The primary objective of the Viscofan Group's capital management is to safeguard its capital ratios to ensure the continuity of its business and maximize performance.

To maintain or adjust the capital structure, the Group may adjust the dividend payment to shareholders, return capital to shareholders, increase capital or cancel treasury shares.

The Group monitors capital by analysing trends in its leverage ratio, in line with common practice. This ratio is calculated as net financial debt divided by total equity. Net financial debt includes total borrowings in the consolidated financial statements less cash and cash equivalents, and excluding liquid financial assets.

The Viscofan Group's primary objective is to maintain a healthy capital position. The leverage ratios as well as the analysis of net debt, at 31 December 2022 and 2021 were as follows:

	Thousands of euros	
	2022	**2021**
Cash and cash equivalents (Note 11)	51,193	91,352
Other current financial assets (Note 10)	1,582	837
Financial liabilities (Note 16)	−183,899	−116,751
Liabilities for right-of-use assets (Note 7.2)	−10,490	−13,891
Total net financial debt	**−141,614**	**−38,453**
Total equity	**−906,870**	**−822,776**
Leverage ratio	**15.6%**	**4.7%**

	Thousands of euros	
	2022	**2021**
Cash and cash equivalents (Note 11)	51,193	91,352
Other current financial assets (Note 10)	1,582	837
Financial debt repayable in one year (Notes 16 and 7.2)	−139,897	−53,282
Financial debt repayable over one year (Notes 16 and 7.2)	−54,492	−77,360
Net debt	**−141,614**	**−38,453**

	Thousands of euros	
	2022	**2021**
Cash and cash equivalents (Note 11)	51,193	91,352
Other current financial assets (Note 10)	1,582	837
Gross debt at fixed interest rates	−87,131	−87,764
Gross debt at variable interest rates (Note 22.4)	−107,258	−42,878
Net debt	**−141,614**	**−38,453**

The change in net debt, at 31 December 2022 and 2021, is as follows:

	Thousands of euros					
	Opening balance as at 1 January 2022	**Cash flows**	**Acquisitions and other non-cash changes**	**Change in fair value**	**Exchange gains (losses)**	***Closing balance as at 31 December 2022***
Cash and cash equivalents	**91,352**	(41,675)	-	-	1,516	***51,193***
Other current financial assets	**837**	741	-	-	4	***1,582***
Liabilities included in financing activities	**-**	-	-	-	-	**-**
Current financial debt	**(39,252)**	(58,902)	(19,190)	-	(482)	***(117,826)***
Non-current financial debt	**(53,690)**	-	19,190	-	-	***(34,500)***
Interest	**(166)**	1,569	(1,534)	-	(1)	***(132)***
Payable to suppliers of non-current assets	**(5,791)**	(9,979)	-	-	45	***(15,725)***
Other current financial liabilities	**(3,545)**	1,165	(662)	(194)	-	***(3,236)***
Other non-current financial liabilities	**(14,307)**	1,845	662	(3)	(677)	***(12,480)***
Current liabilities for right-of-use assets.	**(4,528)**	5,289	(3,628)	-	(111)	***(2,978)***
Non-current liabilities for right-of-use assets.	**(9,363)**	-	1,912	-	(61)	***(7,512)***
Total net debt	**(38,453)**	**(99,947)**	**(3,250)**	**(197)**	**233**	***(141,614)***

	Thousands of euros					
	Opening balance as at 1 January 2021	**Cash flows**	**Acquisitions and other non-cash changes**	**Change in fair value**	**Exchange gains (losses)**	***Closing balance as at 31 December 2021***
Cash and cash equivalents	**51,990**	35,687	-	-	3,675	***91,352***
Other current financial assets	**840**	(5)	-	-	2	***837***
Liabilities included in financing activities	**-**	-	-	-	-	**-**
Current financial debt	**(57,423)**	57,423	(38,391)	-	(861)	***(39,252)***
Non-current financial debt	**(32,645)**	(59,250)	38,391	-	(186)	***(53,690)***
Interest	**(140)**	887	(911)	-	(2)	***(166)***
Payable to suppliers of non-current assets	**(9,406)**	3,652	-	-	(37)	***(5,791)***
Other current financial liabilities	**(4,378)**	2,019	(1,863)	679	(2)	***(3,545)***
Other non-current financial liabilities	**(15,599)**	1,505	1,863	107	(2,183)	***(14,307)***
Current liabilities for right-of-use assets.	**(4,456)**	5,123	(5,028)	-	(167)	***(4,528)***
Non-current liabilities for right-of-use assets.	**(11,229)**	-	2,171	-	(305)	***(9,363)***
Total net debt	**(82,446)**	**47,041**	**(3,768)**	**786**	**(66)**	***(38,453)***

12.2. Share premium

The revised text of the Spanish Corporate Enterprises Act expressly permits companies to use the balance of the share premium account to increase capital and does not place any limit on the amount of the balance which may be used for this purpose.

The amount at 31 December 2022 was 12 thousand euros, the same as at 31 December 2021.

12.3. Reserves

Changes in this item are as follows:

	Thousands of euros			
	Other reserves	**Exchange gains (losses)**	**Share-based payment (Note 24.3)**	***Total***
Opening balance as at 1 January 2021	**767,960**	**(118,631)**	**1,747**	***651,076***
Recognised income and (expense)	2,792	32,788	-	*35,580*
Dividends paid	(13,448)	-	-	*(13,448)*
Transfers between equity accounts	57,608	-	-	*57,608*
Movement in treasury shares	122	-	-	*122*
Acquisition of treasury shares	-	-	1,165	*1,165*
Closing balance as at 31 December 2021	**815,034**	**(85,843)**	**2,912**	***732,103***
Recognised income and (expense)	6,596	32,115	-	*38,711*
Dividends paid	(19,873)	-	-	*(19,873)*
Transfers between equity accounts	68,117	-	-	*68,117*
Movement in treasury shares	(4,389)	-	(3,105)	*(7,494)*
Acquisition of treasury shares	-	-	1,581	*1,581*
Closing balance as at 31 December 2022	**865,485**	**(53,728)**	**1,388**	***813,145***

(a) Other reserves

- Legal reserves

In accordance with the Spanish Corporate Enterprises Act, companies registered in Spain are obliged to transfer 10% of the profits for the year to a legal reserve until it reaches an amount of at least an amount equivalent to 20% of share capital. This reserve is not distributable to shareholders and its value at 31 December 2022 and 2021 amounts to 6,510 thousand euros.

- Revaluation reserve

The parent opted for the voluntary revaluation of PP&E items as established in the Navarre Regional Law 21/2012 of December 26, on modifying various taxes and other tax measures. The revaluation was carried out with respect to items likely to be updated recorded in the balance sheet on 31 December 2012. The effect of this revaluation was not recognised in the Group's consolidated financial statements.

- Treasury share reserves

Pursuant to Article 148 of Royal Legislative Decree 1/2010, of 2 July, approving the revised text of the Corporate Enterprises Act, the Parent Company must establish an unavailable reserve equivalent to the value of treasury shares in its possession (see Note 12.4). These reserves must be held for both stakes and shares that have not been disposed of.

(b) Exchange gains (losses)

The detail of the most significant translation differences by company for the years ended 31 December 2022 and 2021 is as follows:

	Thousands of euros	
	2022	**2021**
Viscofan CZ sro	12,491	7,776
Viscofan Technology (Suzhou) Co. Ltd.	6,983	10,181
Viscofan USA Inc	11,629	(3,570)
Viscofan de México S.R.L. de C.V.	(7,063)	(15,083)
Viscofan do Brasil, soc. com. e ind. Ltda.	(78,156)	(90,774)
Viscofan Uruguay, S.A.	(15,434)	(17,687)
Other Group companies	15,822	23,314
Closing balance as at 31 December	**(53,728)**	**(85,843)**

12.4. Movement in treasury shares

At the Ordinary General Shareholders' Meeting held on 25 May 2018, the Board of Directors was authorised to acquire treasury shares as follows:

Provide new authorisation to the Board of Directors to buy and sell on the market, through the person, Company or institution that it deems advisable, shares in the Company at the market price on the transaction date, for the maximum number of shares permitted by the Corporate Enterprises Act and related provisions, with the minimum price not being below the nominal value or more than 15% higher than the share price listed on the Spanish Automated Quotation System at the time of the acquisition.

During 2022, 129,811 treasury shares were delivered to Viscofan S.A. employees within the framework of the company's variable remuneration plans. Subsequently and also in 2022, the Company acquired 234,500 treasury shares, for a value of 12,231 thousand euros, under the current authorisation granted by the General Shareholders' Meeting of 25 May 2018.

Thus, at 31 December 2022, Viscofan, S.A. had 321,684 treasury shares representing 0.69% of the voting rights acquired valued at 16,181 thousand euros.

At 31 December 2021, Viscofan, S.A. held a total of 216,995 treasury shares representing 0.47% of its voting rights, for a value of 10,473 thousand euros.

12.5. Valuation adjustments

Movements in the years ended 31 December 2022 and 2021 were as follows:

	Thousands of euros		
	Exchange rate insurance	**Commodity derivatives**	***Total***
Opening balance as of 1 January 2021	**2,027**	**(996)**	***1,031***
Profit/(Loss), net of tax effect	(592)	-	*(592)*
Reclassifications of (losses) or gains to the income statement, net of tax effect	(2,027)	2,055	*28*
Closing balance as of 31 December 2021	**(592)**	**1,059**	***467***
Profit/(Loss), net of tax effect	2,252	-	*2,252*
Reclassifications of (losses) or gains to the income statement, net of tax effect	592	(753)	*(161)*
Closing balance as of 31 December 2022	**2,252**	**306**	***2,558***

12.6. Distribution of profits and other remuneration to shareholders

The proposed distribution of profit for the year ended 31 December 2022 of the parent company, which is expected to be approved by the General Shareholders' Meeting is as follows:

To dividends, with a charge to profits for 2022, whose gross aggregate amount will be equal to the sum of the following:

- 64,644 thousand euros (“the interim dividend”), relating to the interim dividend distributed on 22 December 2022, which was 1.4 euros per share for the number of shares that did not have the status of direct treasury shares on the corresponding dates, as approved by the Board of Directors and,

- The amount arising from multiplying 0.54 euros per share by the number of shares that do not have the status of direct treasury shares on the date on which the registered holders with the right to receive the final dividend are determined, and which will become effective from 8 June 2023 (“the final dividend”).

Taking into account the interim dividend, the final dividend and the fees to attend the General Shareholders' Meeting of 0.01 euros per share, the total remuneration per share proposed reached a total of 1.95 euros per share, equivalent to the distribution of 64.6% of net profit.

This proposal increases ordinary remuneration by 6.0% as compared to the 1.84 euros per share approved in the previous year.

In relation to 2021, the total remuneration for shareholders amounted to a total of 1.84 euros per share. Of which the distribution of earnings represented a dividend of 1.83 euros per share (1.40 euros per share paid on 22 December 2021 as an interim dividend and 0.43 euros per share paid on 2 June 2022 as a final dividend) and 0.01 euros per share corresponding to the payment of fees to attend the 2022 General Shareholders' Meeting. This premium was recognised as an expense for the year.

Parent company profits for the year ended 31 December 2021 were distributed as approved by the shareholders at their annual general meeting held on 29 April 2022.

On 17 November 2022, based on projected profit for the year, the Board of Directors approved an interim dividend for 2022 of 64,644 thousand euros, equal to a dividend of 1.40 euros per share. This dividend was paid on December 22, 2022.

The amount of the dividend is less than the maximum limit permitted by prevailing legislation on distributable profit after the previous year end.

The statement required by current legislation and prepared by the parent's Board of Directors in respect of the distribution of the interim dividend for 2022 is as follows:

	Thousands of euros
Available cash at 11 November 2022	**11,874**
For receipts from customers and debtors	31,019
For accounts payable and suppliers	(14,194)
For payments made to employees	(21,134)
For other payments	(2,600)
Operating cash flows	**(6,909)**
Dividends	120,329
Purchases of property, plant, and equipment	(16,370)
For investment in group companies	-
Cash flow related to investment activities	**103,959**
Dividends paid	(90,039)
Cash flow related to financing activities	**(90,039)**
Projected liquidity at 11 November 2023	**18,885**

13. Deferred income

In financial year 2022, after the difference generated in financial year 2021 mentioned in Note 20.1 it has been charged to results in accordance with the accrual of the useful life of the facilities, the remaining amount, 17,301 thousand euros, has been included in this "Deferred income" heading.

The movement in capital grants and emission allowances is as follows:

	Thousands of euros		
	Capital grant	**Emission rights**	**Total**
Opening balance as of 1 January 2021	**1,033**	**156**	**1,189**
Exchange gains (losses)	2	-	2
Additions	155	106	261
Imputed to results	−354	−156	−510
Closing balance as of 31 December 2021	**836**	**106**	**942**
Exchange gains (losses)	1	-	1
Additions	-	195	195
Imputed to results	−200	−137	−337
Closing balance as of 31 December 2022	**637**	**164**	**801**

The breakdown of capital grants during 2022 and 2021, all related to PP&E items, is as follows:

	Thousands of euros	
	2022	**2021**
Government of Navarre	423	590
Ministry of Science and Technology	151	178
International organisations	63	68
Closing balance as of 31 December	**637**	**836**

14. Non-current employee benefits and other provisions

The breakdown of this heading in the Consolidated Statement of Financial Position is as follows:

		Thousands of euros	
	Note	2022	2021
Defined benefit		16,278	24,779
Other staff remuneration		6,030	4,354
Non-current employee benefits	**14.1**	**22,308**	**29,133**
Provisions for other litigations		-	236
Other		-	-
Other non-current provisions	**14.2**	**-**	**236**
Provisions for guarantees / Returns		2,752	2,222
Provisions for occupational risks		1,025	1,876
Provisions for emission allowances		21,489	7,785
Other		935	438
Current provisions	**14.3**	**26,201**	**12,321**

14.1. Non-current employee benefits

The Group makes contributions to various different defined benefit plans. The most relevant plans are located in Germany, United States and Canada.

Actuarial valuations are used for all.

- ***Pension plans in Germany***

A contribution is made through the Naturin Viscofan GmbH subsidiary for a defined benefit plan consisting of a life pension plan for retired employees. At 31 December 2022, there were 293 employees, and 475 retirees and former employees. At 31 December 2021, there were 323 employees, and 459 retirees and former employees.

The number of the above beneficiaries does not included retirees which, from 2010 and 2013 are paid by the insurance company. The agreement does not imply cutting back or cancelling the policy, as the obligation ultimately lies with Naturin Viscofan GmbH. However, the characteristics of the plan make the value of the assets and liabilities constant for the duration of the contract, so that both the assets and the liabilities offset each other, resulting in a current value of zero for the obligation.

The net obligation corresponding to pension plans amounts to 12,293 thousand euros at December 31, 2022, and 18,957 thousand euros at December 31, 2021.

- ***Pension plans in the United States of America***

The subsidiary Viscofan USA Inc., following its merger with Viscofan Collagen USA Inc, contributes to two defined benefit plans.

1) Retirement Plan for Hourly Employees. This plan provides a life annuity for employees and former employees of the company and has a total of 175 beneficiaries (26 of them serving and 149 of them retired and former employees).

   The net obligation amounted to 357 thousand euros at 31 December 2022. The capitalisation rate was 96.48% of the value of the obligation.

As at 31 December 2021, the net obligation amounted to 1,161 thousand euros with a capitalisation rate of 90,82% of the value of the obligation and 179 beneficiaries (27% active and 152 retired and former employees).

This plan has been frozen since 1 December 2010.

2) Retirement Plan for Salaried Employees. This plan provides an annuity for 128 participants (14 of whom are active, while 114 are retired and former employees).

The net obligation amounted to 1,620 thousand euros at 31 December 2022. The capitalisation rate was 87.23% of the value of the obligation.

As at 31 December 2021, the net obligation amounted to 2,320 thousand euros with a capitalisation rate of 85,08% of the value of the obligation and 132 beneficiaries (15 of whom are active, and 117 retired and former employees).

This plan has been frozen since 31 January 2008.

- ***Pension plans in Canada***

Through the subsidiary Viscofan Canada Inc., a contribution is made to a defined benefit plan consisting of a lifetime pension for 38 beneficiaries (16 active, 22 retirees and former employees); 41 beneficiaries in 2021 (21 active, 20 retirees and former employees).

The capitalisation rate was 100%; hence at 31 December 2022, the obligation was equal to the fair value of the affected assets.

At 31 December 2021, the capitalisation rate was 100%, the obligation is equal to the fair value of the related assets.

This plan has been frozen since 31 March 2011.

The most significant information regarding the pension plans was as follows:

a) Amounts recognised in the Statement of financial position:

	Thousands of euros	
	2022	**2021**
Present value of the obligation	**(40,756)**	**(54,182)**
Plans in Germany	(12,293)	(18,957)
Plans in the United States and Canada	(26,457)	(32,884)
Plans in other countries	(2,006)	(2,341)
Present value of assets	**24,478**	**29,403**
Plans in the United States and Canada	24,478	29,403
Net obligation at 31 December	**(16,278)**	**(24,779)**

b) Changes in the present value of net obligations:

	Thousands of euros							
	Germany		Plans in the United States and Canada		Plans in other countries		*Total*	
	2022	2021	2022	2021	2022	2021	*2022*	*2021*
Obligation at 1 January	**18,957**	**19,176**	**32,884**	**32,783**	**2,341**	**2,191**	***54,182***	***54,150***
Current service cost (Note 20)	278	305	-	-	62	25	*340*	*330*
Interest cost	245	190	885	736	86	45	*1,216*	*971*
Payments made	(332)	(280)	(2,166)	(2,019)	(155)	(5)	*(2,653)*	*(2,304)*
Actuarial loss (gain)	(6,855)	(434)	(7,019)	(1,257)	(492)	112	*(14,366)*	*(1,579)*
Exchange gains (losses)	-	-	1,873	2,641	164	(27)	*2,037*	*2,614*
Acquired in business combinations	-	-	-	-	-	-	-	-
Present value of the obligation as of 31 December	**12,293**	**18,957**	**26,457**	**32,884**	**2,006**	**2,341**	***40,756***	***54,182***
Active	*5,096*	*9,700*	*3,524*	*2,309*	*818*	*701*	*9,438*	*12,710*
Former employees	*1,785*	*2,891*	*4,851*	*2,188*	-	-	*6,636*	*5,079*
Retirees	*5,412*	*6,366*	*18,082*	*28,387*	*1,188*	*1,640*	*24,682*	*36,393*

c) Changes in the fair value of plan assets in the USA and in Canada:

	Thousands of euros	
	2022	2021
Fair value of assets at 1 January	**29,403**	**25,946**
Return on assets	(4,395)	1,575
Company contribution	-	463
Payments made	(2,166)	(1,265)
Exchange gains (losses)	1,636	2,684
Fair value of assets at 31 December	**24,478**	**29,403**
Cash	*-*	*135*
National investment funds	*22,287*	*21,766*
International investment funds	*2,192*	*7,502*

d) Information relating to the amounts recognised in the consolidated income statement.

Current service costs for the period are included in personnel expenses.

	Thousands of euros	
	2022	2021
Current service cost	**340**	**330**
Plans in Germany	278	305
Plans in other countries	62	25
Net financial cost	**(163)**	**(136)**
Interest cost of plans in Germany	245	190
Interest cost of plans in the United States and Canada	(494)	(371)
Interest cost of plans in other countries	86	45
Expense (income) recognised in the year	**177**	**194**

e) Information relating to the amounts recognised in the consolidated statement of comprehensive income:

	Thousands of euros	
	2022	**2021**
Actuarial loss and gain	**8,593**	**2,920**
Derived from changes in demographic assumptions	-	(6)
Derived from changes in financial assumptions	14,741	1,578
Derived from experience	(375)	7
Return, other than expected return, on plan assets	(5,773)	1,341
Tax effect	**(1,997)**	**(126)**
Net profit or loss recognised in the Consolidated Statement of Comprehensive Income (Note 12.3)	**6,596**	**2,794**

f) Principal actuarial assumptions used in the plans:

- Pension plans in Germany

	2022	**2021**
Annual discount rate	4.2%	1.3%
Expected rate of pension increases	2.3%	2.0%
Expected age of retirement for employees	65-67	65-67

The mortality tables used to quantify the defined benefit obligation were those corresponding to Heubeck Richttafeln 2005 G.

- Pension plans in the United States and Canada

	2022	**2021**
United States		
Annual discount rate	5.1%	2.6%
Expected rate of return on assets	5.3%	5.3%
Canada		
Annual discount rate	5.2%	2.9%
Expected rate of return on assets	5.2%	2.9%

The mortality tables used to determine the defined benefit obligation were those for Pri-2012 Private Retirement Plans Mortality Tables (in the USA) and the Canadian Private Sector Pensioners' Mortality Table combined with the mortality improvement scale MI-2017 (in Canada).

g) Future payments expected for coming periods:

	Thousands of euros	
	2022	**2021**
Payments to be made within the next 12 months	2,666	2,497
Payments to be made between 1 and 2 years	2,623	2,498
Payments to be made between 2 and 3 years	2,635	2,507

Payments to be made between 3 and 4 years	2,685	2,511
Payments to be made between 4 and 5 years	2,698	2,566
Payments to be made between 5 and 10 years	13,141	12,825
Payments to be made over 10 years	24,836	23,958

h) Sensitivity analysis for each of the main assumptions.

How would the obligation affect a possible reasonable change in each assumption at year-end.

	Thousands of euros	
	2022	**2021**
Discount rate		
50 basis point increase	(2,000)	(2,989)
Decrease by 50 basis points	2,178	2,867
Pension increases		
50 basis point increase	760	1,199
Decrease by 50 basis points	(698)	(1,504)
Life expectancy		
Increase by 1 additional year	1,212	2,061

The sensitivity analysis is based on a change in one hypothesis while considering the remaining hypotheses as unchanged.

- ***Other employee benefits and long-term remuneration***

The movements at 31 December 2022 and 2021 are as follows:

	Thousands of euros	
	2022	**2021**
Balance as of 1 January	**4,354**	**9,667**
Exchange gains (losses)	19	73
Transfer to outstanding remuneration	-	(6,892)
Allowances	3,091	2,088
Payments	(1,434)	(582)
Balance as of 31 December	**6,030**	**4,354**

Included under this heading are the bonuses that the subsidiary Naturin Viscofan GmbH has established for its employees. This loyalty bonus is received when its employees complete 25 years of service. Employees receive a payment of 1,000 euros and a month's gross salary multiplied by 0.8 plus one day of holidays; when reaching 40 years of service, a payment of 1,000 euros and a month's gross salary multiplied by 1.1 plus one day of holidays; when reaching 50 years of service, one day of holidays.

The number of beneficiaries amounts to 293 employees (323 in the previous period), while the obligation amounts to 1,378 euros thousand and 1,651 thousand euros at 31 December 2022 and 2021, respectively. During the year, 162 thousand euros have been paid to beneficiaries (182 thousand euros in 2021). The payable amount expected for 2023 totals 141 thousand euros.

Recognised service costs and financial expenses for the current period amounted to 114 thousand and 21 thousand euros, respectively (2021: 116 thousand and 21 thousand euros, respectively).

The hypotheses used for calculating the obligations were the same as those used for the pension plan of the same subsidiary as described in the previous point.

In the 2022 financial year, 2,539 thousand euros corresponding to the Long-Term Incentive Plan are included. In 2021, under this heading and in relation to this item, 6,892 thousand euros were transferred to “Remuneration to be paid”

The features of the Long-Term Incentive Plan are detailed in Note 23.

14.2. Other non-current provisions

The movements at 31 December 2022 and 2021 are as follows:

	Thousands of euros	
	2022	**2021**
Balance as of 1 January	**236**	**649**
Exchange gains (losses)	39	2
Allowances	-	46
Payments	(275)	(461)
Balance as of 31 December	**-**	**236**

14.3. Current provisions

(a) Provision for guarantees / refunds

A provision is recognised for warranty claims anticipated for products sold during the last year, based on past experience regarding the volume of returns. Most of these costs are expected to be incurred in the following year.

(b) Safety in the workplace provision

The safety in the workplace provision covers claims brought against the Group by certain employees, most of whom work for the Brazil subsidiary, in relation to workplace accidents. These claims did not arise as a result of a specific incident, but are customary practice in many companies. After seeking appropriate legal counsel, the directors consider that the result of the litigation will not significantly differ from the amounts provisioned at 31 December 2022.

(c) Emission rights provision

The emission rights provision includes the estimated consumption of emission rights during 2022 and 2021 valued in accordance with the measurement standard described in Note 4.17.

(d) Provisions for other liabilities

The provision for other litigation mainly covers claims brought against the Brazilian subsidiary by the Brazilian tax authorities and certain company employees. After seeking appropriate legal counsel, the directors consider that the result of the litigation will not significantly differ from the amounts provisioned at 31 December 2022.

14.4. Contingent assets and liabilities

(a) Contingent liabilities

At year end there are legal claims of various kinds filed against the Brazilian subsidiary (Viscofan do Brasil Sociedade comercial e Industrial Ltda) amounting to 6.2 million euros (5.1 million euros at year-end 2021) classified as possible and 275 thousand euros as probable. The increase is linked to exchange rate and interest rate monetary restatement. Based on historic experience, the materialisation does not normally exceed 5% of said amount. There are provisions for an enough amount to cover this risk.

In relation to the process started in 2018 by Griffith Colombia, S.A.S. ("Griffith") in Colombia against Viscofan do Brasil Sociedade comercial and Industrial Ltda., Viscofan CZ, S.R.O. and Viscofan S.A., claiming compensation for contractual termination of approximately 3,700 thousand euros, by resolution of 16 December 2022 the process has been terminated with a decision entirely favourable to Viscofan.

In relation to the accident in September 2019 at the production centre in Cáseda (Navarre) owned by Viscofan España, S.L.U., the criminal proceedings are still in the criminal investigation phase, with no impact on the accounts expected as a result of these proceedings. Furthermore, in 2022 the National Institute of Social Security issued resolutions declaring the surcharge of 50% of the Social Security benefits derived from the accident to be charged exclusively to the Company, declarations have been challenged in the social order without any judgement having been handed down to date. There are provisions for an enough amount to cover this risk.

In relation to the accident at the production centre of the subsidiary Koteks Viscofan d.o.o. in Novi Sad (Serbia), which occurred in July 2020, the investigation phase continues through the competent authority, without any penal proceedings having been filed nor any provision having been recognised arising from a possible trial.

In relation to the litigation that the subsidiary Zacapu Power, S.A. de C.V. (Zapacu Power) maintains with Neomexicana de GNC, S.A.P.I. de C.V. (Neomexicana), which until 2017 supplied it with gas, and for which the latter is claiming 8.2 million Mexican pesos and USD 300,000 from Neomexicana, after the legal action initiated by Neomexicana was rejected. In March 2022, Neomexicana has filed an Arbitration Claim, which Zacapu Power has opposed and counterclaimed, claiming compensation from Neomexicana for USD 840,000. for breach of contract. The arbitration is awaiting the arbitration award, the term of issue of which expires on 31 March 2023. There are provisions for an enough amount to cover this risk.

(b) Contingent assets

In relation to demand filed by Viscofan S.A. before the Commercial Court against Sayer Technologies S.L. for unfair competition (disclosure of confidential information), the lawsuit was dismissed and the appeal filed by Viscofan S.A. before the Provincial Court of Navarra, and the proceedings are currently in the appeal and procedural infringement phase before the Supreme Court, and there have been no new developments in this regard in the 2022 financial year. In relation to this same company, Sayer Technologies S.L., the American subsidiary Viscofan Collagen USA Inc. filed a lawsuit against Sayer Technologies S.L., for breach of contract and damages in relation to the sale and start-up of machinery and installations for the extrusion of collagen. A partially upheld judgment for approximately 40 thousand euros has been obtained for the claim against Sayer. The judgement is subject to appeal.

In connection with the material damage caused in March 2021 at the Viscofan USA Inc. facility in Danville by the explosion of a valve, legal action has been taken against the supplier Jarvis Welding LLP, the distributor Co Schimberg CO and the manufacturer Crane CO Xomox Corporation/Crane Chempharma and Energy, for breach of contract and damages in the amount of approximately USD 2.6 million.

In relation to the debt that Griffith Colombia, S.A.S ("Griffith") has against Viscofan CZ, S.R.O. for non-payment of outstanding invoices for an amount recognised in a final judgement of approximately 1.4 million (after discounting for accrued interest), Viscofan CZ has initiated exequatur proceedings in Colombia for the enforcement of the aforementioned Judgement, which are still in progress.

15. Trade and other payables

The breakdown of "Trade and other payables" is as follows:

	Thousands of euros	
	2022	**2021**
Suppliers	55,363	42,394
Accounts payable for services rendered and other accounts payable	42,851	49,438
Customer advances	2,036	2,807
Wages and salaries payable	21,154	30,007
Trade payables	**121,404**	**124,646**
Payable to public administrations	21,577	16,837
Other accounts payable	**21,577**	**16,837**
Closing balance as of 31 December	**142,981**	**141,483**

The breakdown by currency of trade payables is as follows:

	Thousands of euros							
	Euros	**US Dollar**	**Czech Koruna**	**Brazilian Real**	**Mexican Peso**	**Chinese Yuan**	**Other currencies**	***Total book value***
2022	52,727	35,291	4,977	5,597	6,733	4,671	11,408	***121,404***
2021	50,685	37,428	4,333	5,700	9,717	6,596	10,187	***124,646***

At 31 December 2022 and 2021, balances payable to public administrations were as follows:

	Thousands of euros	
	2022	**2021**
VAT payable to Public Treasury	7,010	5,229
Payable to Public Treasury for withholdings	11,587	11,360
Creditor social security bodies	2,580	247
Other public bodies	400	1
Closing balance as of 31 December	**21,577**	**16,837**

A breakdown by currency is as follows:

	Thousands of euros							
	Euros	**US Dollar**	**Czech Koruna**	**Brazilian Real**	**Mexican Peso**	**Chinese Yuan**	**Other currencies**	***Total book value***
2022	14,536	82	542	1,501	2,838	1,367	711	***21,577***
2021	13,523	176	471	677	916	446	628	***16,837***

Information on late payments to suppliers in Spain in commercial transactions

In accordance with the third additional provision "Disclosure requirements" of Law 15/2010, dated 5 July, information on the average payment period to Spanish Group suppliers of the Spanish entities included in the consolidated group was as follows:

	Days	
	2022	**2021**
Average supplier payment period	23.7	23.1
Ratio of paid transactions	23.8	24.4
Ratio of transactions pending payment	22.5	11.7

	Thousands of euros	
	2022	**2021**
Total payments made	256,590	164,578
Total future payments	12,243	17,683
Monetary volume paid in a period shorter than the maximum period laid down in the late payment regulations	268,264	-

	2022
Invoices paid in a period shorter than the maximum period established in the late payment regulations.	26,445
Percentage share of total monetary payments to their suppliers	99%
Percentage share of total number of invoices	98%

16. Current and non-current financial liabilities

The breakdown of current and non-current financial liabilities, taking into account discounted contractual maturities at 31 December 2022 and 2021, is as follows:

	Thousands of euros					
	Up to 3 months	**3 months – 1 year**	**1 year – 5 years**	**More than 5 years**	***Total book value***	***Fair value***
Payable to credit institutions	85,344	32,482	34,500	0	*152,326*	*152,326*
Accrued interest payable	130	2	0	0	*132*	*132*
Other financial liabilities	14,527	4,434	6,579	5,901	*31,441*	*31,441*
Valued at amortised cost	*14,527*	*4,434*	*6,579*	*5,901*	*31,441*	*31,441*
Total as of 31 December 2022	**100,001**	**36,918**	**41,079**	**5,901**	***183,899***	***183,899***

	Thousands of euros					
	Up to 3 months	**3 months – 1 year**	**1 year – 5 years**	**More than 5 years**	***Total book value***	***Fair value***
Payable to credit institutions	26,250	13,002	49,690	4,000	*92,942*	*92,942*
Accrued interest payable	164	2	0	0	*166*	*166*
Other financial liabilities	7,797	1,539	8,841	5,466	*23,643*	*23,643*
Valued at amortised cost	*7,797*	*1,539*	*8,841*	*5,466*	*23,643*	*23,643*
Total as at 31 December 2021	**34,211**	**14,543**	**58,531**	**9,466**	***116,751***	***116,751***

At 31 December 2022, the amount in “Amounts owed to credit institutions” in December 2022 included loans signed to transform part of its traditional financing into sustainable financing, amounting to 42.2 million euros (48.5 million euros in 2021). In addition, sustainable credit lines with a limit of 12,000 thousand euros have been contracted in the year 2022, of which 5,450 thousand euros have been drawn down. Interest is linked to the trend of indicators with an annual review period. This process started in the 2021 financial year.

The sustainability parameters established are the reduction of CO2 emissions, the reduction of m3 of water withdrawal and the tonnes of waste sent to the landfill, all of them tied to km of casing produced.

All current and non-current financial liabilities are included in Level 2 within the valuation hierarchies: assets and liabilities whose fair value has been determined with technical valuation techniques that use hypotheses observable in the market.

As can be seen in the previous table, the carrying amount of financial liabilities agrees with the fair value as the long-term debt corresponds to financing obtained in recent years under similar conditions to those currently obtainable in the market.

The classification was determined based on actual maturities of balances drawn down from credit lines. Thus, the balance drawn down from credit lines whose annual renewal has already been agreed upon subsequent to year end are included in the 3-month period.

Financial liabilities for bank borrowings bearing interest at floating rates are referenced to Euribor or Libor plus an average spread of 0.47 percentage points (0.54 percentage points in 2021).

The average fixed interest rate on financial liabilities for bank borrowings in 2022 is 1.68% (0.68% in 2021).

"Other financial liabilities" at 31 December 2022, both current and non-current, mainly includes:

- Loans with interest rates granted by entities such as the CDTI and the Ministry of Economy and Competitiveness in Spain amounting to 12,246 thousand euros.
- PP&E suppliers, amounting to 15,725 thousand euros.

31 December 2021 mainly includes:

- Loans with interest rates sponsored by entities such as the CDTI and the Ministry of Economy and Competitiveness amounting to 13,252 thousand euros.
- PP&E suppliers, amounting to 5,791 thousand euros.

The Group recognizes the implicit interest on these loans using market interest rates.

A breakdown by currency is as follows:

	Thousands of euros				
	Euros	**US Dollar**	**Czech Koruna**	**Other currencies**	***Total book value***
2022	165,530	6,274	2,636	9,459	***183,899***
2021	103,750	2,615	1,974	8,412	***116,751***

The limits, the amount drawn down, and the drawable amount under credit and discount lines as of 31 December are as follows:

	Thousands of euros	
	2022	**2021**
Limit	149,767	128,638
Outstanding	96,636	28,821
Available	53,131	99,817

The undiscounted value of financial liabilities classified by maturity without taking into account derivative financial instruments at 31 December 2022 and 2021 is as follows:

	Thousands of euros						
	Less than 1 year	**1 to 2 years**	**2 to 3 years**	**3 to 4 years**	**4 to 5 years**	**More than 5 years**	***Total***
Principal of the debt	117,826	22,667	5,167	6,666	-	0	*152,326*
Interest	416	149	43	27	-	-	*635*
Financial liabilities to credit institutions	**118,242**	**22,816**	**5,210**	**6,693**	**-**	**-**	***152,961***
Principal of the debt	18,961	2,195	1,563	1,529	1,292	5,901	*31,441*
Interest	235	93	77	65	54	44	*568*
Other financial liabilities	**19,196**	**2,288**	**1,640**	**1,594**	**1,346**	**5,945**	***32,009***
Total as of 31 December 2022	**137,438**	**25,104**	**6,850**	**8,287**	**1,346**	**5,945**	***184,970***

	Thousands of euros						
	Less than 1 year	**1 to 2 years**	**2 to 3 years**	**3 to 4 years**	**4 to 5 years**	**More than 5 years**	***Total***
Principal of the debt	39,252	9,190	32,667	5,167	2,666	4,000	*92,942*
Interest	295	237	209	44	27	16	*828*
Financial liabilities to credit institutions	**39,547**	**9,427**	**32,876**	**5,211**	**2,693**	**4,016**	***93,770***
Principal of the debt	9,336	2,686	2,003	2,216	1,936	5,466	*23,643*
Interest	59	36	29	24	19	14	*181*
Other financial liabilities	**9,395**	**2,722**	**2,032**	**2,240**	**1,955**	**5,480**	***23,824***
Total as of 31 December 2021	**48,942**	**12,149**	**34,908**	**7,451**	**4,648**	**9,496**	***117,594***

At 31 December 2022, the Group had confirming lines with a joint limit of 4,000 thousand euros (3,000 thousand as at 31 December 2021), as well as multi-risk policies totalling 13,000 thousand euros, (8,500 thousand as at 31 December 2021).

17. Derivative financial instruments

The breakdown of balances, which include the values of the derivative financial instruments at 31 December 2022 and 2021, is as follows:

	Thousands of euros							
	2022				2021			
	Valued at fair value through P&L		Valued at fair value through P&L		Valued at fair value through P&L		Valued at fair value through P&L	
	Financial assets	Financial liabilities	Financial assets	Financial liabilities	Financial assets	Financial liabilities	Financial assets	Financial liabilities
Exchange rate insurance	292	-	50	−3	37	-	-	-
Raw material hedges	-	-	-	-	14	-	-	-
Non-current financial instruments	**292**	**-**	**50**	**−3**	**51**	**-**	**-**	**-**
Exchange rate insurance	2,789	−450	262	-	1,126	−1,342	-	-
Raw material hedges	425	-	-	-	1,132	-	-	-
Current financial instruments	**3,214**	**−450**	**262**	**-**	**2,258**	**−1,342**	**-**	**-**
Total	**3,506**	**−450**	**312**	**−3**	**2,309**	**−1,342**	**-**	**-**

Derivatives are only used for hedging purposes and not as speculative investments. However, when derivatives do not meet the test to be treated as accounting hedges, they are classified as "held for trading" for accounting purposes and are carried at fair value through profit and loss. They are presented as current assets or liabilities to the extent that they are expected to be settled within 12 months after the reporting period.

	Thousands of euros			
	Measured at fair value			
	With changes in P&L	With changes in P&L	*Total book value*	*Fair value*
Non-current derivatives	50	292	*342*	*342*
Current derivatives	262	3,214	*3,476*	*3,476*
Total Financial Assets as at 31 December 2022	**312**	**3,506**	***3,818***	***3,818***
Non-current derivatives	−3	-	*−3*	*−3*
Current derivatives	-	−450	*−450*	*−450*
Total Financial Liabilities as at 31 December 2022	**−3**	**−450**	***−453***	***−453***

	Thousands of euros			
	Measured at fair value			
	With changes in P&L	With changes in P&L	*Total book value*	*Fair value*
Non-current derivatives	-	51	*51*	*51*
Current derivatives	-	2,258	*2,258*	*2,258*
Total Financial Assets as at 31 December 2021	**-**	**2,309**	***2,309***	***2,309***
Non-current derivatives	-	-	-	-
Current derivatives	-	−1,342	*−1,342*	*−1,342*
Total Financial Liabilities as at 31 December 2021	**-**	**−1,342**	***−1,342***	***−1,342***

17.1. Electricity and gas coverage

Certain production costs of the Company are linked to the cost of electricity. For this reason, and in order to combat the negative effect of the current volatility of the electricity market, in 2022 the Company, through its subsidiary Viscofan España, S.L.U., entered into a long-term contract with its electricity supplier, which covers 33% of its annual consumption. The duration of the contract covers the periods from 2023 to 2027 in which a pool price has been fixed to which the Power Term as well as the Energy Term will be added.

The Group did not enter into any gas hedging contracts in 2022.

In 2021, the Company entered into hedging contracts for the period from February 2022 to January 2023 for a total of 240,000 MWh, with a contracted price of 23.1 euros/MWh.

17.2. Exchange rate insurance

Part of the fair value of the exchange rate insurances at year end was recognised as income or expense on the consolidated income statements for 2022 and 2021. The amount recognised directly in the consolidated income statements relates to exchange rate insurances designated as hedges to cover amounts payable or receivable recognised in the consolidated statements of financial position at the exchange rate at year end. No significant inefficiencies were noted in 2022 and 2021 in any derivative financial instruments contracted.

The Viscofan Group uses derivatives to hedge exchange rates in order to mitigate the possible adverse effects that exchange rate fluctuations might have on transactions in currencies other than the functional currency of certain Group companies.

The nominal value of the main exchange rate insurances in effect at 31 December 2022 and 2021, is as follows:

	Thousands of euros	
	2022	2021
US dollar	104,250	110,550
Pounds Sterling	750	3,700
Canadian Dollar	3,000	1,500
Brazilian Real	5,250	21,000

18. Income tax

The breakdown for deferred tax assets and liabilities, by type, is as follows:

	Thousands of euros					
	Assets		Liabilities		Net	
	2022	2021	2022	2021	2022	2021
Non-Current assets	12,045	10,461	(15,584)	(15,999)	(3,539)	(5,538)
Current assets	9,835	8,702	(252)	(1,304)	9,583	7,398
Non-current liabilities	2,292	4,282	(541)	(326)	1,751	3,956
Current liabilities	2,621	3,194	(776)	(1,647)	1,845	1,547
Total as at 31 December	**26,793**	**26,639**	**(17,153)**	**(19,276)**	**9,640**	**7,363**

Deferred tax assets, on current assets, are mainly due to the effect on tax of the elimination of the margin in inventory acquired between Group companies, as well as provisions on inventories that are not tax-deductible in some countries. The deferred tax asset for non-current assets relates mainly to the capitalisation of tax credits for tax losses (5,017 thousand euros) and R&D deductions (2,748 thousand euros). In addition, deferred tax assets arising from current and non-current tax liabilities relate mainly to provisions at different Group companies that will be used for tax purposes when applied. A large number of the provisions described in Note 18 have led to adjustments in the tax assessment basis in the different countries.

Deferred tax liabilities arising from non-current assets for the years ended December 31, 2022 and 2021, mainly relate to the application of different amortization rates by certain Group subsidiaries (mostly in the USA) than those used for tax purposes. Also included is the tax effect of net unrealised gains on PP&E items acquired in different business combinations.

The breakdown of changes during the year in recognised deferred tax assets and liabilities arising from temporary differences recognised as income tax expense/(income) on the consolidated statement of recognised income and expense and as “Other income and expenses” on the consolidated comprehensive income statement is as follows:

	Thousands of euros	
	2022	2021
Non-Current assets	2,070	437
Current assets	1,884	(3,101)
Non-current liabilities	(509)	(172)
Current liabilities	778	1,449
Consolidated income statement	**4,223**	**(1,387)**
Non-Current assets	(71)	269
Current assets	301	157
Non-current liabilities	(1,696)	(108)
Current liabilities	(480)	740
Other results of the Consolidated Statement of Comprehensive Income	**(1,946)**	**1,058**
Total change in deferred taxes and deferred tax liabilities	**2,277**	**(329)**

The breakdown of deferred taxes charged directly against “Other comprehensive income” on the consolidated income statement is as follows:

	Thousands of euros	
	2022	2021
Actuarial gains or losses on pension plans	(1,997)	(126)
Adjustments for changes in value cash flow hedges	(666)	96
Others	717	1,088
Charged directly to other comprehensive income in the Consolidated Statement of Comprehensive Income	**(1,946)**	**1,058**

The major components of income tax expense for the years ended 31 December 2022 and 2021, are as follows:

	Thousands of euros	
	2022	2021
Corporate income tax expense for the year	48,966	41,919
Adjustments to prior years' income taxes	(384)	117
Current income tax	**48,582**	**42,036**
Origination and reversal of temporary differences	(4,223)	1,387
Deferred taxes	**(4,223)**	**1,387**
Income tax expense on income from continuing operations	**44,359**	**43,423**

A reconciliation between tax expense/(income) on continued operations and the product of profit before tax multiplied by the tax rate prevailing in Spain (Navarre) on 31 December, is as follows:

	Thousands of euros	
	2022	2021
Profit for the year before tax from continuing operations	**183,789**	**176,420**
Permanent differences	4,023	4,897
Preliminary tax base	187,812	181,317
Tax rate at 28%	52,587	50,769
Impact of the application of the rates in force in each country	(4,543)	(4,720)
Deductions generated/applied in the year	(6,125)	(3,899)
Adjustments to prior years' income taxes and other adjustments	(1,700)	(11)
Non-recoverable withholdings on dividends from Group companies	4,140	1,284
Income tax expense	**44,359**	**43,423**

During 2022 the Chinese subsidiary Viscofan Technology (Suzhou) Co. Ltd.'s rating was again deemed as “High Tech” for 3 years and, therefore, its tax rate dropped from 25% to 15%.

Koteks Viscofan, d.o.o. may avail itself of a tax incentive which would reduce the corporation tax liability to around 32% in tax returns to be filed from 2022 onwards, as a result of investments and job creation in the Republic of Serbia. Up to 2021, the reduction of the corporate tax account was around 83%.

In addition, Uruguay's Ministry of Economy and Finance approved in 2012 the exemption from corporation tax for an amount related to the eligible investment, which will be applicable for a period of 25 years. The exemption may not exceed a maximum percentage of net tax revenue (90% in the first half of the 25-year period and thereafter will fall to 10%).

In relation to the temporary taxable differences of the subsidiaries, as at 31 December 2022 and 2021, the Group did not recognise any amount in this regard based on its dividend distribution policy, according to which it unlikely that the results accumulated by the subsidiaries as at 31 December 2022 will be distributed in the foreseeable future. This unrecognised deferred tax liability would total approximately 11,142 thousand euros at 31 December 2022 (11,065 thousand euros at 31 December 2021).

Income tax payable from continued operations was calculated as follows:

	Thousands of euros	
	2022	2021
Current income tax	(48,582)	(42,036)
Exchange gains (losses)	717	1,088
Withholdings and payments on account made	37,795	32,961
Total as at 31 December	**(10,070)**	**(7,987)**

This amount is broken down in the consolidated statement of financial position as follows:

	Thousands of euros	
	2022	**2021**
Income tax assets receivable	6,140	2,656
Income tax liabilities payable	(16,210)	(10,643)
Total as at 31 December	**(10,070)**	**(7,987)**

In accordance with current legislation, taxes cannot be considered definitive until they have been inspected by the tax authorities or the inspection period of four years has elapsed. At 31 December 2022, the Parent and subsidiaries in Spain are open to inspection for all the main taxes to which they are liable and for which the corresponding inspection periods have yet to expire. The situation of foreign companies depends on the legislation prevailing in each country.

Due to the different possible interpretations of prevailing legislation, additional liabilities could be identified in the event of inspection. Nonetheless, parent management considers that any additional liabilities that might arise would not have a significant impact on these consolidated financial statements.

19. Segment reporting

As indicated in note 1, the Group is engaged in the manufacture, distribution and marketing of all types of casings and films for food use. Additionally, the Group also carries out production-related activities, and sells electricity through its cogeneration plants in Spain and Germany with the objectives of: decreasing the cost of electricity while remaining self-sufficient, and at the same time reducing CO2 emissions, and, where appropriate, sell surplus electricity.

With the new Beyond25 strategic plan, the commercial and operational strategies have been reoriented, distinguishing sales of what has been called Traditional Business, which includes casings based on collagen, cellulosic and fibrous technology, and sales of New Business, which includes plastic casings and the rest of the products and services, although the latter currently have a very small relative weight.

Therefore, the revenues obtained by the Viscofan Group can be grouped by nature into Traditional Business, New Businesses and Energy, although from a management information point of view, the activity is considered a mono-segment, being mainly casing sales.

Furthermore, Viscofan's business model is global, understood as products and services sold in a multitude of markets around the world that are generated by the assets held by the Group in different locations. In this way, each production centre produces goods with a final destination in different countries and markets. Sometimes, manufacturing sites produce semi-finished products, which are completed in other countries for subsequent sale to a third party, and this process often involves several geographic management regions.

To facilitate management and monitoring, four geographical regions have been established within the Beyond25 Plan: EMEA (comprising assets in Spain, Germany, Czech Republic, Serbia, Belgium, United Kingdom, France and Russia), North America (incorporating assets in Canada, Costa Rica, Mexico and the United States), APAC (comprising assets in Australia, China, Japan, New Zealand, and Thailand), and South America (comprising assets in Brazil and Uruguay).

Considering this business and management scheme, sales are analysed by geographic region and, in any case, specific returns are analysed in a more concrete manner based on companies or assets analysed on a more individualised basis.

Given the Group's current organisational, production and management structure, the new Beyond25 strategic plan, and the information taken into account in decision-making by the highest decision-making body, the Group's management considers that, in accordance with IFRS 8, the segment that carries out business activities that may generate income and incur expenses is unique: the sale of casings and films for food use.

However, from a commercial point of view, emphasis is placed on geographic areas and sales by type of casing, as broken down below:

	Thousands of euros						
FY 2022	**Spain**	**Rest of Europe, Middle East and Africa**	**Asia Pacific**	**North America**	**South America**	**Disposal and other**	***Consolidated***
Revenue from external customers	175,209	332,195	168,837	369,815	154,972	-	*1,201,028*
Ordinary income of other group companies	178,827	330,612	3,171	109,495	48,239	−670,344	-
Total ordinary income	354,036	662,807	172,008	479,310	203,211	−670,344	*1,201,028*
Depreciation charges							*−78,147*
Finance income							*1,194*
Finance costs							*−1,370*
Exchange gains (losses)							*−5,044*

Segment profit before tax							***183,789***
Total assets	**405,893**	**433,043**	**150,441**	**431,024**	**203,562**	**−279,296**	***1,344,667***
Total liabilities	**238,842**	**169,596**	**44,079**	**234,344**	**36,277**	**−285,341**	***437,797***
Asset acquisitions	**26,248**	**35,661**	**3,421**	**51,534**	**8,743**	**-**	***125,607***

	Thousands of euros						
FY 2021	**Spain**	**Rest of Europe, Middle East and Africa**	**Asia Pacific**	**North America**	**South America**	**Disposal and other**	***Consolidated***
Revenue from external customers	115,287	292,491	145,525	294,629	121,305	-	*969,237*
Ordinary income of other group companies	121,802	275,982	2,311	92,803	39,170	−532,068	-
Total ordinary income	237,089	568,473	147,836	387,432	160,475	−532,068	*969,237*
Depreciation charges							*−72,280*
Finance income							*628*
Finance costs							*−780*
Exchange gains (losses)							*2,182*
Segment profit before tax							***176,420***
Total assets	**287,092**	**366,903**	**177,930**	**322,562**	**160,755**	**−146,448**	***1,168,794***
Total liabilities	**161,576**	**112,164**	**43,562**	**164,028**	**25,521**	**−160,833**	***346,018***
Asset acquisitions	**29,176**	**21,361**	**10,606**	**23,848**	**7,010**	**-**	***92,001***

20. Operating income and operating expenses

20.1. Sales and services

The sales and services provided in the consolidated income statement include the delivery of goods to customers, services rendered in the course of the Group's ordinary activities and the sale of energy, net of sales-related taxes.

The detail of this heading for 2022 and 2021 is as follows:

	Thousands of euros	
	Turnover corresponding to Traditional Business	
	2022	2021
Turnover corresponding to Traditional Business	963,089	808,057
Turnover corresponding to New Business	144,465	117,070
Turnover corresponding to energy	93,474	44,110
Total	**1,201,028**	**969,237**

Ordinary income from external customers can be traced to the sale of casings and film for food use and other applications, generally made to manufacturers of cold meats, as well as, to a lesser extent, the generation of electricity for sale to third parties through cogeneration systems.

In terms of the sale of casings and film, the Group considers that there is only one type of customer contract: sales correspond to a single performance obligation and are made at a moment in time.

Sales of electricity production are recorded as the energy generated in the cogeneration systems is produced and delivered, applying the tariffs in force, and including the return on the investment to obtain the reasonable return on the asset.

20.2. Other income

The breakdown of “Other Operating Income” for 2022 and 2021 is as follows:

	Thousands of euros	
	2022	2021
Work carried out by the Group on non-current assets	386	255
Capital grants (Note 13)	200	354
Other operating income	7,978	10,900
Total other income	**8,564**	**11,509**

The conditions or contingencies associated to grants received.

20.3. Staff costs

The breakdown of "Staff costs" in 2022 and 2021 is as follows:

	Thousands of euros	
	2022	**2021**
Wages, salaries, et al	203,984	182,713
Penalties	1,676	1,460
Current service cost of defined benefit plans (Note 14.1)	340	330
Social Security charged to the company	38,541	31,969
Other social charges and taxes	17,647	14,778
Total staff costs	**262,188**	**231,250**

Group employees during 2022 and 2021, by professional category and gender, were as follows:

	Headcount at the end of the period					
	Men	**Women**	***Total 2022***	**Men**	**Women**	***Total 2021***
Senior executives	109	27	***136***	104	26	***130***
Technicians and Department Heads	958	368	***1,326***	911	346	***1,257***
Administrative personnel	53	190	***243***	56	178	***234***
Specialised personnel	720	239	***959***	678	236	***914***
Workers	2,059	787	***2,846***	1,939	708	***2,647***
Total	**3,899**	**1,611**	***5,510***	**3,688**	**1,494**	***5,182***

	Average headcount					
	Men	**Women**	***Total 2022***	**Men**	**Women**	***Total 2021***
Senior executives	107	26	***133***	101	23	***124***
Technicians and Department Heads	932	357	***1,289***	896	340	***1,236***
Administrative personnel	54	178	***232***	57	176	***233***
Specialised personnel	699	230	***929***	669	229	***898***
Workers	1,991	743	***2,734***	1,889	703	***2,592***
Total	**3,783**	**1,534**	***5,317***	**3,612**	**1,471**	***5,083***

Due to the circumstances of the production process, since 3 May 2017, and renewed on 3 May 2020, Viscofan S.A. has reported, through Resolution 287/2020 of the Directorate of the Navarre Employment Service, the recognition of exceptionality that justifies adopting alternative measures to comply with the reserve quota in favour of disabled workers and authorises, as an alternative measure, the signing of civil or commercial contracts with Special Employment Centres, for a period of three years.

The number of employees at the companies located in Spain, with a recognised level of disability of 33% or more, who are accounted for in accordance with Royal Decree 602/2016, of 2 December, amounted to four (three operators, one administrative assistant); the same as in 2021.

The Group works with special employment centres in Spain and in other countries to perform certain tasks that contribute to the development of our production activity.

The Group had a total number of 71 disabled employees (65 men and 6 women). In 2021, the Group had a total number of 73 disabled employees (67 men and 6 women).

20.4. Other operating expenses

The detail of "Other operating expenses" for 2022 and 2021 is as follows:

	Thousands of euros	
	2022	**2021**
Research and development expenditure	3,350	3,132
Repairs and maintenance	34,705	30,475
Environment	9,438	6,906
Utilities	99,146	64,982
Plant costs (security, cleaning and others)	38,953	30,617
Leases	5,637	3,801
Insurance premiums	8,391	7,474
Taxes	3,924	4,653
Selling and administrative expenses	75,630	56,308
Other operating expenses	11,792	10,178
Total other operating expenses	**290,966**	**218,526**

"Lease" expenses include fees as well as short-term rentals not affected by IFRS 16 Leases.

20.5. Financial income and expense

The breakdown of financial income and expenses for 2022 and 2021, according to the origin of the items making it up, is as follows:

	Thousands of euros	
	2022	**2021**
Finance income	**1,194**	**628**
Amounts owed to credit institutions and other financial liabilities	(1,533)	(918)
Net financial cost of pension plans and long-term remuneration	163	137
Finance costs	**(1,370)**	**(781)**
Fair value adjustment to financial investments	**(17)**	**2**
Exchange gains	30,751	51,777
Exchange losses	(35,795)	(49,595)
Exchange gains (losses)	**(5,044)**	**2,182**
Total financial income (expenses)	**(5,237)**	**2,031**

21. Earnings per share

21.1. Basic

The calculation of basic earnings per share is based on the profit for the year attributable to the shareholders of the parent and a weighted average number of ordinary shares in circulation throughout the year, excluding treasury shares.

The breakdown of the calculation of basic earnings per share is as follows:

	Thousands of euros	
	2022	2021
Weighted average number of ordinary shares in issue	46,186,656	46,367,151
Profit for the year from continuing operations attributable to equity holders of the parent company	139,430	132,997
Basic earnings per share (in euros)	**3.02**	**2.87**

	2022	2021
Average number of ordinary shares outstanding	46,500,000	46,500,000
Effect of treasury shares	-313,344	-132,849
Weighted average number of ordinary shares in issue at 31 December	**46,186,656**	**46,367,151**

21.2. Diluted

Diluted earnings per share are calculated by dividing profit attributable to equity holders of the parent by the weighted average number of ordinary shares in circulation considering the diluting effects of potential ordinary shares.

The diluted earnings per share include the effect of the group's share plan, detailed in note 23.3. It includes the ordinary shares that will be put into circulation, based on the degree of compliance with the conditions established at 31 December 2022, the planned deadline for these conditions to be fulfilled.

	Thousands of euros	
	2022	2021
Weighted average number of ordinary shares in issue	46,421,656	46,500,000
Profit for the year attributable to equity holders of the parent company	139,430	132,997
Basic earnings per share (in euros)	**3.00**	**2.86**

22. Risk management

Risk management is controlled by the Group, in keeping with policies approved by the Board of Directors. The risk control system is described in section *E. Risk management and control systems* of the Annual Corporate Governance Report from the parent company, listing those that might affect the achievement of objectives, their materiality in 2022, and response and supervision plans. We will now focus on the financial risks described below.

The Group's activities are exposed to various financial risks: exchange rate risk, credit risk, liquidity risk, cash flow interest rate risk and fair value risk, as well as fuel price risk and emission allowance price risk. The Group's global risk management program focuses on the uncertainty of financial markets and aims to minimize the potential adverse effects on the Group's profitability. Certain risks are hedged by derivative instruments.

22.1. Exchange rate risk

As the Group operates internationally, it is exposed to variations in exchange rates, particularly the US Dollar. The exchange rate risk arises from future commercial transactions, recognised assets and liabilities and net investments abroad.

The risk management policy of the Group is to cover the net balance between collections and payments in currencies other than the functional currency with the most net risk. Therefore, forward currency contracts were formalised at the time the yearly budget was prepared; EBITDA forecasts were used as the basis for the following year, the degree of exposure, and the degree of risk the Group is willing to assume.

The following table shows the sensitivity of a possible exchange rate variation on net results for the year arising from certain currencies in the countries in which the Group carries out its activities, while maintaining the other variables constant:

	Thousands of euros			
	2022		2021	
	+ 5%	- 5%	+ 5%	- 5%
US dollar	13,467	(12,940)	6,568	(5,943)
Czech Koruna	(2,250)	2,036	(1,744)	1,578
Brazilian Real	(1,512)	1,369	1,591	(1,439)
Chinese Yuan Renmimbi	1,697	(1,536)	1,412	(1,277)

The following table shows the impact on consolidated equity of changes in the exchange rates of certain currencies of countries where the Group conducts business:

	Thousands of euros			
	2022		2021	
	+ 5%	- 5%	+ 5%	- 5%
US dollar	14,259	(12,778)	8,151	(7,375)
Czech Koruna	3,209	(2,904)	2,935	(2,656)
Brazilian Real	3,929	(3,555)	4,442	(4,019)
Chinese Yuan Renmimbi	5,354	(4,844)	4,603	(4,164)

22.2. Credit risk

The Viscofan Group's main financial assets are cash balances, trade and other receivables, and investments, which represent the Group's maximum exposure to credit risk.

The Group's credit risk relates mainly to trade receivables. Amounts reflected on the consolidated balance sheet, net insolvency provisions, estimated based on experiences gleaned from prior years, age, and valuation in the current economic environment. This would be the maximum amount of exposure to this type of risk.

There is no significant concentration of credit risk within the Group; its exposure is spread among a large number of counterparties and customers. No clients or associated group companies represented sales and amounts receivable higher than 10% of total risk.

The Group has a credit policy, with exposure risk managed as part of its normal course of business. Credit evaluation of clients is performed in all cases where amounts exceed a set limit. It is habitual practice of Group companies to partially cover non-payment risk through contracting loan guarantee and sureties covering approximately 90% of each client's debt. For countries at risk, coverage is reduced to 80%. In Countries without insurance coverage, guarantees such as advances and deposits on account are mandatory.

Credit risk arising from liquid funds and derivative financial instruments is limited due to the fact that counterparties are banking institutions with high credit ratings assigned by international agencies.

The Directors consider that at 31 December 2022 there were no significant assets that could be impaired with respect to their net carrying amount.

22.3. Liquidity risk

The Group has a prudent policy to cover its liquidity risks which is focused on having sufficient cash and marketable securities as well as the ability to draw down sufficient financing through its existing borrowing facilities to settle the market positions of its short-term investments. Given the dynamic nature of its underlying business, the Group aims to be flexible with regard to financing through drawdowns on its contracted credit lines.

The Group adequately monitors each month expected collections and payments to be made in the coming months and analyses any deviations from expected cash flows in the previous month to identify any possible deviations which might affect liquidity.

The following ratios show the level of liquidity at 31 December 2022 and 2021:

	Thousands of euros	
	2022	**2021**
Current assets	720,478	606,459
Current liabilities	−325,739	−219,071
Working capital	**394,739**	**387,388**
Current liabilities	325,739	219,071
Working capital/current liabilities ratio	**121.18%**	**176.83%**
Cash and cash equivalents	51,193	91,352
Available on line of credit (Note 16)	53,131	99,817
Treasury + credit availability and discounting	**104,324**	**191,169**
Cash + credit availability and discounting/current liabilities ratio	**32.03%**	**87.26%**

The amounts available on credit and discount lines do not include confirming lines or multi-risk policies which are described in Note 16.

For certain long-term loans amounting to 15 million euros, the Group must comply with a number of ratios calculated on the basis of the consolidated financial statements. Lack of compliance represents an increase in finance costs and, depending on the case, represents the early termination of a contract. At 31 December 2022 and 2021, all the main ratios have been satisfactorily met and neither Viscofan, S. A. nor any of its material subsidiaries were in breach of their financial commitments or of any kind of obligation that could trigger their early redemption.

In 2022 and 2021 there were no defaults or other noncompliance of the principal, interest, or repayments of debts with credit entities. No defaults are foreseen for 2023.

22.4. Interest rate risks in cash flows and fair value

The Group manages interest rate risk by maintaining a balanced portfolio of fixed and floating rate loans and credits. The Group's policy is to hold between 50% and 85% of its loans at a fixed interest rate. At 31 December 2021, approximately 66% of the Group's loans accrued interest at a fixed rate (2020: 66%).

The Group does not own significant remunerated assets.

At 31 December 2022 and 2021, the structure of financial liabilities subject to interest rate risk, once hedges through the derivatives arranged have been taken into account, is as follows:

	Thousands of euros	
	2022	**2021**
Payable to credit institutions	152,458	93,108
Other financial liabilities (*)	15,716	17,852
Total financial debt	**168,174**	**110,960**
Fixed interest rate (**)	71,407	68,082
Variable interest rate	96,767	42,878

(*) Excluding fixed asset suppliers and lease liabilities

(**) Includes sustainable lending

In 2022 and 2021, the floating interest rates on loans are linked to Euribor and Libor dollar.

The Group is likewise exposed to changes in the interest rates used to calculate the pension plan obligations (Note 14.1).

The following table shows the sensitivity of profit (loss) for the year to a possible 1% variation in discount and/or interest rates:

	Thousands of euros			
	2022		**2021**	
	+ 1%	**- 1%**	**+ 1%**	**- 1%**
Pension plan obligations				
Germany	(162)	151	(191)	190
United States and Canada	(288)	305	(329)	328
Plans in other countries	(22)	21	(22)	23
Financial debt				
Euribor	(752)	749	(425)	423

22.5. Fuel price risk (gas and other oil derivatives)

The Viscofan Group is exposed to fluctuations in the gas price and other fuels that are used in the casing production process.

The Group policy is to set the prices for main fuels through the arrangement of year-long contracts with suppliers, or by using hedging policies (Note 17.1). It thus attempts to mitigate the impact of price variations on the consolidated income statement.

The following table reflects the sensitivity to a possible gas price fluctuation on 10% of operating results.

	Thousands of euros	
	2022	2021
+ 10%	(5,891)	(2,739)
- 10%	5,891	2,739

22.6. Emission rights price risk

In accordance with the 2013-2020 National Emission Allowance Assignment Plan, and after applying the inter-sectoral adjustment factors outlined in Appendix II to EU Decision 2013/448/EU to non-electricity generators, and the annual 1.74% annual reduction in electricity generators, in accordance with Articles 9 and 9 bis of EC Directive 2003/87/EC, the Group was assigned emission allowances equivalent to 356,915 tones.

In accordance with that described in Note 8, the consumption of emission rights for 2022 amounted to 317,106 tonnes (290,592 tonnes in 2021), generating an expense of €21,492 thousand (€7,860 thousand in 2021).

The sensitivity faced with a possible variation in the average price of the consumption of emission rights of 10% of operating results, would be as follows:

	Thousands of euros	
	2022	2021
+ 10%	(2,184)	(786)
- 10%	2,184	786

23. Information on the Board of Directors of the Parent and Key Group Personnel

23.1. Directors

Directors' remuneration is outlined in article 29b of the articles of association and remuneration policies approved by the General Shareholders' Meeting.

The breakdown of remuneration to Board members in 2022 and 2021 is as follows:

	Thousands of euros							
	Salary	**Fixed Remuneration**	**Atten-dance fees**	**Short-term variable remuneration**	**Long-term variable remuneration**	**Remuneration membership Committees**	**Others**	***Total***
Mr José Domingo de Ampuero y Osma	656	160	-	364	-	-	22	*1,202*
Mr José Antonio Canales García	506	80	-	281	-	-	56	*923*
Mr José María Aldecoa Sagastasoloa (*)	-	105	30	-	-	52	-	*187*
Mr Jaime Real de Asúa Arteche	-	80	30	-	-	38	-	*148*
Ms. Agatha Echevarría Canales	-	80	30	-	-	30	-	*140*
Mr Santiago Domecq Bohórquez	-	80	30	-	-	28	-	*138*
Ms. Laura González Molero	-	80	28	-	-	45	-	*153*
Ms. Carmen de Pablo Redondo	-	80	28	-	-	30	-	*138*
Ms. Cristina Henríquez de Luna Basagoiti	-	53	21	-	-	3	-	*77*
Mr Andrés Arizcorreta García	-	53	21	-	-	17	-	*91*
Mr Javier Fernández Alonso	-	40	12	-	-	15	-	*67*
Mr Néstor Basterra Larroudé	-	27	12	-	-	8	-	*47*
Mr Ignacio Marco-Gardoqui Ibáñez	-	27	12	-	-	8	-	*47*
Mr Juan March de la Lastra	-	40	18	-	-	12	-	*70*
Total 2022	**1,162**	**985**	**272**	**645**	**-**	**286**	**78**	***3,428***

(*) The fixed remuneration of the director Mr José María Aldecoa includes 80,000 euros as fixed remuneration for membership on the Board and 25,000 euros for remuneration corresponding to its function as Coordinating Director, as established in the Board of Directors' Remuneration Policy.

	Thousands of euros							
	Salary	**Fixed Remuneration**	**Atten-dance fees**	**Short-term variable remuneration**	**Long-term variable remuneration**	**Remuneration membership Committees**	**Others**	***Total***
Mr José Domingo de Ampuero y Osma	656	160	-	358	1,420	-	21	*2,615*
Mr José Antonio Canales García	506	80	-	276	1,093	-	50	*2,005*
Mr Ignacio Marco-Gardoqui Ibáñez	-	80	33	-	-	55	-	*168*
Mr José María Aldecoa Sagastasoloa	-	105	33	-	-	55	-	*193*
Mr Jaime Real de Asúa Arteche	-	80	33	-	-	38	-	*151*
Mr Néstor Basterra Larroudé	-	80	33	-	-	25	-	*138*
Ms. Agatha Echevarría Canales	-	80	33	-	-	30	-	*143*
Mr Juan March de la Lastra	-	80	31	-	-	25	-	*136*
Mr Santiago Domecq Bohórquez	-	80	28	-	-	30	-	*138*
Ms. Laura González Molero	-	80	33	-	-	45	-	*158*
Ms. Carmen de Pablo Redondo	-	80	31	-	-	30	-	*141*
Total 2021	**1,162**	**985**	**288**	**634**	**2,513**	**333**	**71**	***5,986***

Mr Ignacio Marco-Gardoqui Ibáñez completed 12 uninterrupted years in the post of director of Viscofan on 1 January 2022, hence he ceased to be considered an independent external director and acquired the status of other external directors. For this reason, Marco Gardoqui, formally communicated his irrevocable resignation as director of the Company by letter addressed to the Chairman and the entire Board and with effect from the date of the Ordinary General Shareholders' Meeting in 2022 so that the shareholders can fill the vacancy created and appoint a new director who, in addition to meeting the appropriate perfil, has the status of independent external director.

Mr Néstor Basterra Larroudé, whose term of office expired on 25 May 2022, considering that the Ordinary General Meeting had been called for 28 and 29 April 2022, a few days before the expiry of the term of office he also tendered his resignation as a director of the Company by letter addressed to the Chairman and the entire Board irrevocably and with effect from the date of the Ordinary General Meeting of Shareholders in 2022.

At the General Meeting held on 29 April 2022, Ms Cristina Henríquez de Luna Basagoiti was appointed as independent director and Mr Andrés Arizcorreta García as independent director, both from the parent company.

By resolution of the Board of Directors of 23 June 2022, Mr Javier Fernandez Alonso was co-opted onto the Board as proprietary director representing Corporación Financiera Alba, replacing Mr Juan March de la Lastra, who resigned effective that date for professional reasons.

The two Executive directors, José Domingo de Ampuero y Osma and José Antonio Canales García earned a variable compensation totalling 645 thousand euros in the short-term (2021: 634 thousand euros in the short-term). These were calculated based on EBIDTA, net profit, sales, and share price values which were determined in accordance with the annual plan as well as personal performance.

In relation to the Long Term Incentive Plan for the 2022-2024 period (Note 23.3), a liability of 320 thousand euros was recognised in the year.

The remuneration of the Long-Term Incentive Plan for the 2019-2021 period amounted to 2,513 thousand euros for the two executive directors, 678 thousand euros in cash and 32,259 shares valued at the closing price of the share on 31 December 2021.

“Other items” includes 78 thousand euros (71 thousand euros in 2021) in respect of life and accident insurance premiums, health care policies and company cars.

The Company has arranged civil liability insurance for both executive and non-executive directors, as well as for executives of the Company and the Group's subsidiaries. In this insurance, the directors will be considered as the insured parties, due to the liabilities that may arise as a consequence of the performance of their activities. During 2022, amounts were paid for insurance premiums covering the civil liability of its directors and executives for damage caused in the exercise of their functions, amounting to 66 thousand euros (66 thousand euros in 2021).

At December 31, 2022 and 2021, no advances or loans had been granted to the Viscofan Group, nor did the Group have any pension commitments or other non-current savings plans. Likewise, no type of guarantee was granted on behalf of any present or former members of the Board of Directors, related individuals or entities. In 2022 and 2021 the members of the Board of Directors and related individuals or entities did not perform any transactions with the Company or with Group companies other than in the ordinary course of business or on terms other than on an arms' length basis.

Viscofan's directors have communicated that insofar as article 229 of the Capital Companies Law is concerned they do not have any conflicts of interest with the Company.

In 2022, all the Group companies had no legal person administrators in any companies

The Viscofan Group has contracts with its two executive directors which include golden parachute clauses. The termination of these contracts in certain objective circumstances not attributable to these board members, may entitle them to indemnification worth twice their fixed remuneration, comprising two years of non-competition.

23.2. Senior management

The breakdown of parties holding executive positions during 2022 follows:

Mr Luis Bertoli	SAM Geographical Area General Manager (South America)
Mr Andrés Díaz	EMEA (Europe, Middle East and Africa) Geographical Area General Manager
Mr Gabriel Larrea	NAM Geographical Area General Manager (North America)
Mr Juan Negri	General Manager Geographical Area Asia Pacific
Mr Oscar Ponz	General Manager New Business Division
Ms. María Carmen Peña	Chief Financial Officer
Mr Jesús Calavia	Chief Operating Officer
Mr Ignacio Goñi	Chief Commercial Officer
Mr José Angel Arrarás	Director General for R&D and Quality
Mr Armando Ares	Investor Relations and Communications Director
Mr César Arraiza	Head of Strategy, Organisation and Systems
Mr Alejandro Bergaz	Head of Internal Audit
Mr José Antonio Cortajarena	Secretary to the Board of Directors and Head of Legal
Mr José Ignacio Recalde	Head of Diversification and Technology
Ms. Beatriz Sesma	Human Resources Director

In 2022, remuneration received by key management personnel totalled 4,234 thousand euros. In 2021 remuneration amounted to 13,297 thousand euros. In relation to the Long Term Incentive Plan for the 2022-2024 period (Note 23.3), a liability of 593 thousand euros was recognised in the year.

The figure as at 31 December 2021 includes the remuneration of the Long-Term Incentive Plan in the amount of 8,133 thousand euros, 3,763 thousand euros in cash and 76,802 shares valued at the closing share price as at 31 December 2021.

This amount does not include the abovementioned payments made to José Antonio Canales García and José Domingo de Ampuero y Osma, which is reflected further on.

The Company has arranged civil liability insurance for both executive and non-executive directors, as well as for executives of the Company and the Group's subsidiaries, as mentioned in point 23.1.

23.3. Long-term Incentive Plan

The Board of Directors of Viscofan, in a meeting held on 24 February 2022, at the proposal of the Appointments, Remuneration and Sustainability Committee, approved a Long-Term Incentive Plan for 2022-2024 intended for the Company's executive directors, managers and other key staff of the Viscofan Group which, subject to compliance with its objectives, will result in a cash payment and a payment in Company shares. In accordance with article 219 of the consolidated Corporate Enterprises Act approved by Legislative Royal Decree 1/2010, of 2 July, and article 29.2 of Viscofan's Articles of Association, the Plan will be submitted, with regard to the Company's executive directors, for approval by the General Shareholders' Meeting, under the terms provided for in the current legislation and in the Directors' Remuneration Policy.

The Plan consists of an extraordinary, multi-year and mixed incentive, payable in cash and in Company shares which, after the application of certain ratios, based on the degree of attainment of certain targets in the evaluation period (2022-2024), determines in favour of the beneficiaries: (i) the payment of a cash amount and, (ii) on the basis of an initial number of assigned shares, the effective delivery of shares in Viscofan S.A. on the scheduled payment date.

The parameters to be taken into account during the measurement period were:

- Total shareholder return
- Creating sustainable environmental value
- Creating sustainable social value

Based on 152 initial beneficiaries, due to the new recruits and employment mobility, the final number of Plan beneficiaries was 160, with respect to the maximum authorised limit both in terms of cash and shares.

The Plan will be due and paid within one month of the approval by the Company's General Shareholders' Meeting of the financial statements for 2024 (“Settlement Date”), i.e. within the first half of 2025. Beneficiaries who voluntarily withdraw before the Settlement Date will lose all rights arising from it.

The Plan has the following limits:

- With regard to the part to be paid in cash, the Plan anticipates a maximum cost or payment of 11,5 million euros in the event of 100% attainment of the Target, and 17,3 million euros if the Target is exceeded.
- With regard to the part to be paid in shares, the Plan provides for a maximum of 235,000 shares for all beneficiaries if the Target is achieved and 350,000 shares if the Target is exceeded.

The amounts and maximum number of shares for the executive directives are as follows:

- For the Executive Chairman a maximum of 413,280 euros and 17,287 shares for achieving the Target (619,920 euros and 25,931 shares if the Target is exceeded).
- A maximum of 318,780 euros for the Group's Chief Executive Officer and 13,334 shares for the target (478,170 euros and 20,002 shares in the event of exceeding the target).

The Group has recorded a total amount of 3,927 thousand euros for this plan under “Wages, salaries et al” (Note 20.3), of which 1,388 thousand euros are included in “Other reserves” (Note 12.3) and 2,539 thousand euros in “Non-current provisions for employee benefits” (Note 14).

24. Transactions and balances with related parties

The operations with directors and members of senior management are detailed in Note 23. No material transactions have been carried out with the Company or its group of companies that were outside the ordinary course of business of the company or were not carried out under normal market conditions.

Pursuant to article 231 of the Corporate Enterprises Act, none of the companies forming part of the Viscofan Group have performed transactions with related parties. However, in 2022, the Group had dealings with Banca March, S.A., a financial institution linked to Corporación Financiera Alba, S.A., which held 14.25% of the Company's shares at 31 December 2022 (13.97% at 31 December 2021). In particular, the Group's 10-million euro loan agreement was terminated on 6 November (10 million euros as at 31 December 2021). In addition, the exchange rate hedges that the Group had contracted with Banca March S.A. have finalised. (in 2021, an asset amounting to 147 thousand euros). No additional services have been received by companies related to this shareholder in 2022 or 2021. All transactions take place in normal market conditions.

25. Environmental information and climate change

Climate change is a specific risk identified in Viscofan's current risk management system, since climate change and the measures for its adaptation or mitigation may have implications that hinder the attainment of long-term objectives and the creation of value for the stakeholders.

To analyse climate change risk, the Task Force on Climate related Financial Disclosure (TCFD) is taken as a reference to conduct the analysis of risks and opportunities at short, medium and long term; the impact of risks and opportunities in the business lines, the organisation's financial planning and strategy and the measures implemented and envisaged for each type of risk and opportunity.

In the preliminary analysis, the most significant risks were identified as the following:

- Transition. Regulatory changes. Viscofan's production process is energy intensive, so legislative proposals related to this resource and aimed at mitigating climate change may have a particular impact on the business. This is the case of the increase in the price of CO2, carbon taxes or emission restrictions, which may affect the industrial and other energy-intensive sectors.

- Physical - Chronic. Water scarcity: The increase in the planet's average temperatures can increase the risk of water stress, causing a lack of supply at production plants. Based on this risk, Viscofan has identified plants located in regions of high or extremely high water stress, in line with the list of the World Resources Institute. Said plants are located in Brazil, Mexico, Belgium and China and, as a whole, represented 22% of the Group's total water collection in 2022. In 2022, these plants did not have water supply problems.

- Transitional - low emission technology: accelerated transition to low-emission technology in the company's production lines and facilities, e.g. by switching from natural gas equipment to equipment that uses renewable energy sources or generates less carbon emissions. If the speed of this transition is faster than the amortisation period of the equipment or requires non-mature energy technologies to be adopted, it can lead to associated costs and investments, as well as loss of overall product competitiveness.

- Transitional - Market. Rising raw material prices. The physical consequences of global warming or climate change regulation itself may lead to higher prices for raw materials, affecting the company's procurement, transport and distribution worldwide. Increases in the price of raw materials may be caused by their reduced access or availability, or by their carbon footprint.

Viscofan's integral risk management system assesses and monitors the risks and their tendency, taking the necessary management measures which, aside from mitigating the risk, may generate opportunities.

The measures to manage climate risk and their implications are defined in the Sustainability Action Plan approved by the Board of Directors, which includes specific decarbonisation initiatives, initiatives to reduce water collection during the manufacture of collagen, to reduce landfill waste and the circular economy, among others.

From the preliminary analysis performed, no impairment was identified on the current assets and no significant investments were envisaged to comply with the commitments established in our 2022-2025 Sustainability Action Plan, nor were any contingencies or liabilities identified or impacts on financial assets or others.

The cost of PP&E related to the Group’s environmental projects maintained at 31 December 2022 was 78,023 thousand euros (December 2021: 65,418 thousand euros), with an accumulated depreciation of 28,751 thousand euros (December 2021: 26,390 thousand euros).

The main investment projects, amounting to 12,605 thousand euros, have been made in energy equipment that contribute to the reduction of CO2 emissions, such as electric boilers, energy recovery or solar panels, as well as in facilities for processing waste from the production process. Investments in environmental management in 2021 amounted to 6,862 thousand euros.

In 2022, the Group incurred in environmental protection and improvement costs amounting to 9,438 thousand euros. In 2021 this amount totalled 6,906 thousand euros.

The Group arranged civil liability insurance coverage for damages to third parties caused by accidental and unintentional contamination; the insurance coverage refers to any possible risk involved and to date no significant claims in environmental matters have been filed.

The Parent's Directors do not deem it necessary to make any provisions to cover environmental contingencies and expenses.

In 2022 and 2021, the Viscofan Group had not received any significant environmental penalties.

26. Audit fees

In the years ended 31 December 2022 and 2021, the auditors of the Group's consolidated Financial Statements, PricewaterhouseCoopers Auditores, S.L. and other companies with which the company has one of the links defined in the fourteenth additional disposition of the Law on Measures to Reform the Financial System, have accrued net fees for professional services, with the exception of "Other Services", which are based on their billing date, as follows:

	Thousands of euros		
FY 2022	**In the parent company**	**In the rest of the companies**	***Total***
PwC Auditores, S.L.	125	150	*275*
PwC Network	-	479	*479*
Audit services	**125**	**629**	***754***
PwC Auditores, S.L.	7	1	*8*
PwC Network	-	36	*36*
Other audit-related services	**7**	**37**	***44***
Total as at 31 December 2022	**132**	**666**	***798***

	Thousands of euros		
FY 2021	**In the parent company**	**In the rest of the companies**	***Total***
PwC Auditores, S.L.	106	128	*234*
PwC Network	-	478	*478*
Audit services	**106**	**606**	***712***
PwC Auditores, S.L.	4	-	*4*
Other audit-related services	**4**	**-**	***4***
Total as at 31 December 2021	**110**	**606**	***716***

"Other audit-related services" correspond to the review of the information relating to the System of Internal Control over Financial Reporting (ICFR) of Viscofan S.A.

The amount of the audit fees with firms other than the main auditor totalled €139 thousand (€107 thousand in 2021).

27. Events after the balance sheet date

The Board of Directors, at its meeting on 28 February 2023, agreed to propose to the shareholders at General Meeting the distribution of a final dividend of 0.54 euros per share to be paid on 8 June 2023. Thus, total shareholder return amounts to 1.95 euros per share, including the interim dividend of 1.40 euros per share paid on 22 December 2022, the final dividend of 0.54 euros per share and the premium for attending the Meeting of 0.01 euros per share. This proposal increases ordinary remuneration by 6% as compared to the total of 1.84 euros approved for the previous year.

There are no significant events other than those mentioned above, from year-end to the date of preparation of these financial statements.

Management Report

(Free translation from the original in Spanish, in event of discrepancy, the Spanish-language version prevails)

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1. Chairman's letter

The launch of the Beyond25 Strategic Plan in the 2022 financial year coincided with one of the most unstable economic and political years in recent history. This has compelled us from the outset to guide our business activity in the long term to also respond to the demands of a world that has undergone significant changes in just one year.

It should be noted that our working assumptions for 2022 were blown out of the water less than two months into the year by the war in Ukraine, which further accentuated the imbalances that economies were suffering as a result of the fight against the COVID-19 pandemic.

Tightening supply chains and shortages of materials, transport and energy started an unprecedented spiral of inflation, uncertainty and geopolitical tension. In retrospect, on the cost side, the transport strike in Spain, the increase of more than xx% in the prices of the main raw materials and of more than 60% in energy, the flexibility to change suppliers of raw materials, some because they are located in Ukraine or Russia, others due to the need to find more cost-competitive alternatives in this scenario, without forgetting wage inflation, all stand out. On the revenue side, while it is true that the market has accelerated this year, it has not been easy to cope with the strong increase in demand worldwide for all technologies, as well as extraordinary circumstances in some markets, such as the trade embargo on Russia as a result of EU sanctions, and the lower activity in China caused by the strict confinement resulting from the COVID-19 zero policy in that country.

All these challenges have occurred while operationally we were implementing the new strategic plan, with a new organisation, and the most ambitious investment plan in the company's history.

I would like to take this opportunity to congratulate the excellent work carried out by the Viscofan team, more than 5,300 people who have shown that they share a solid commitment, a desire to improve and a search for excellence. Otherwise, it would be hard to understand why they have successfully completed the projects planned for this year and even undertaken new initiatives that strengthen Viscofan's operational profile. In 2022, the largest investment in the company's history was made with more than 125 million euros, of which more than 100 million euros corresponds to the initiatives planned for this year, and another 25 million euros corresponds to new initiatives aimed at strengthening competitive advantages, especially in the field of energy, and the anticipation of projects planned for 2023.

As part of the planned initiatives, we have increased collagen casing capacity in Spain, Germany, Serbia, and China and started preparations for new capacity in the United States, which was commissioned in the first months of 2023. In addition, we have invested in new cellulosic technology for the Danville plant in the US, and we have started up the new collagen hydrolysates plant in Germany to drive New Business development. As a result, the investment needs for this year have been reduced, with investments for the year in the region of 75 million euros.

In this perspective, the results obtained this year are even more significant, as we have achieved the main objectives we set out in our roadmap for the year.

Revenues grew by 23.9%, driven by higher sales volumes of casings and New Businesses, which had to be significantly supported by price increases that could partially offset the increase in production costs, mainly raw materials and energy.

All this work to improve revenues has enabled us to continue improving our operating results, with EBITDA growing by 8.3%, an all-time high in absolute terms, which in turn has required a sacrifice of 3.2 p.p. in the margin, reflecting a disciplined commercial policy that has combined the need for a greater volume of casings by our customers with the necessary increases in sales prices to guarantee sustainable returns.

Net income grew by 4.8%, below the increase in operating income due to the impact of exchange rate differences with the sudden recovery of the euro in the last months of the year, although it was also in line with the growth targets provided to the investment community.

With these results, the Board has proposed for approval at the AGM a shareholder remuneration of €1.95 per share, 6.0% higher than the previous year and equivalent to a pay-out of 64.6%.

The progress we have made has been underpinned by our four strategic pillars: service, technology, cost and sustainability, where all of us who work at Viscofan, regardless of our position, must contribute to excellence.

I would like to highlight progress on the sustainability pillar within the Beyond25 plan. In addition to our explicit commitment to our adherence to the United Nations Global Compact, it is backed by our Sustainability Action Plan with initiatives and projects that have made significant progress this year.

By 2022 we will have reduced our CO_2 emissions per km produced, above the progress expected in our decarbonisation targets for the year under the Sustainability Action Plan. Examples of the work done in 2022 have been the pioneering trial of the use of green hydrogen in one of our cogeneration engines in Cáseda, the promotion of the use of renewable electricity, the preparations to be able to use our cellulose as biomass, as well as the studies to achieve greater self-consumption of electricity from photovoltaic sources in 2024. However, the volatility in energy prices, the threat of shortages and restrictions, a particularly dry and warm climate this year in Europe, and new regulatory obligations have reinforced the need to work against climate change and to have a greater diversification of energy sources, in order to achieve, as far as possible, greater self-consumption, and to commit to a greater mix of energy from renewable sources.

Within the corporate governance of the company, I would like to welcome Cristina Henríquez de Luna, Andrés Arizkorreta and Javier Fernández, who joined the Viscofan Board in 2022, confident that their knowledge and experience will help to continue building this Group, and sincerely thank the work carried out during their mandate by the directors Néstor Basterra, Ignacio Marco-Gardoqui and Juan March, who have contributed very positively to Viscofan's results and leadership in all these years.

When I was writing these lines last year, I expressed the conviction that Viscofan was better prepared than ever to face the demands of the environment, and the results confirm this. Again I want to reiterate this message. Viscofan can look to the future with optimism. In 2023 we expect to grow revenues by xx% to xx%, driven by volumes, necessary price increases and despite the unfavourable currency environment currently envisaged. In addition, in a context where inflationary risks remain, especially in energy, we expect EBITDA to grow by xx% to xx% and net income by xx% to xx%.

Results to be accompanied by new initiatives. The start-up of the new cellulose technology and the new collagen dry-tech capacity in the USA, the opening of the sales branches in Italy and the Philippines, or the installation of a new converting centre in Thailand are some of the most representative examples.

The environment remains demanding for this new financial year, but thanks to Viscofan's formidable team and the support of customers, suppliers and shareholders, we can face them with optimism, setting ourselves new challenges of profitable growth and sustainability.

Thank you very much for placing your trust in us.

José Domingo de Ampuero y Osma

2. Statement of Non-Financial Information (Sustainability Report)

2.1. General information

2.1.1. Foundation

The Non-Financial Information Statement (Sustainability Report) aims to identify risks to improve sustainability and increase the confidence of investors, consumers and society in general, as well as to contribute to measure, monitor and manage the performance and impact on society of the Viscofan Group (hereinafter referred to as “Viscofan Group” or “Viscofan”); Viscofan S.A., parent company of the Viscofan Group, (hereinafter referred to as the “Company”) and subsidiaries, providing relevant information that may substantially influence the decision making of stakeholders.

This non-financial statement covers the period from 1 January to 31 December 2022 for the financial year of the Viscofan Group.

The scope of this report covers the series of companies that form part of the Viscofan Group at 31 December 2022, detailed in note 2 to the annual consolidated financial statements.

This report was drawn up by the Board of Directors of Viscofan S.A. on 28 February 2023.

This document was prepared pursuant to Law 11/2018, of 28 December, on non-financial and diversity information. Furthermore, Viscofan has prepared this report based on the Global Reporting Initiative (GRI) standards for the aforementioned period.

Alongside this, the United Nations Global Compact, of which Viscofan is a member, has been taken as a reference. In this regard, it is also a progress report on the measures taken by the Group to implement the 10 Principles of the Global Compact, in line with the Global Compact reporting policy.

To contribute to improved climate change reporting, Viscofan has used the Task Force on Climate-related Financial Disclosure (TCFD) as a reference, which recommends general elements on which the organisations must focus to manage climate change risks and opportunities, and the Carbon Disclosure Project questionnaire, which includes the TCFD recommendations.

In addition, the Environmental Pillar section of this report complies with the reporting obligations laid down by Article 8 of the European Union Regulation 852/2020 on the establishment of a framework to facilitate sustainable investments, developed by the Delegated Regulation 2139/2021, which determines the eligible activities with respect to climate change mitigation and adaptation objectives, and in accordance with the Delegated Regulation 2178/2021 which develops the reporting methodology.

This report details and explains the relevant aspects identified in the materiality analysis based on the new Viscofan Group strategy called Beyond25 and the new Sustainability Action Plan for the 2022-2025 period, and with a longer time horizon based on the 2030 commitments related to the United Nations Sustainable Development Goals, and on the goals set out in the European Green Pact to overcome the challenges of climate change and environmental degradation which, among others, seeks to achieve climate neutrality in the European Union by 2050.

In accordance with requirement 7 of GRI Standard 1-Foundation 2021, this report includes a GRI Content Index as a navigation tool in the Annex to the Non-Financial Reporting Statement, item 2.6.2 Global Reporting Initiative (GRI) Content Index.

Furthermore, the traceability of the content of this report with the Non-financial and diversity information Act 11/2018 is detailed in the Annex to the Statement of Non-Financial Information point 2.6.3. Content index of Law 11/2018 on Non-financial and diversity information.

The contact point for questions about the report is the Investment Relations and Communications Department:

- Telephone no.: +34948198436
- E-Mail: info-inv@viscofan.com

Relations with our stakeholders

The Viscofan Group understands sustainability as the ability to create value among its various stakeholders in the short, medium and long term without compromising the well-being of future generations. To achieve this commitment, appropriate communication channels have been identified and established to ensure an open dialogue and to be aware of their needs and expectations, allowing the identification and analysis of the most relevant aspects of value creation that inspire the Viscofan Group's success strategy.

The details of stakeholders and the communication channels used are as follows:

Stakeholder	Specific communication channels	Sustainability concerns and challenges	Value proposal
Shareholders	General Shareholders' Meeting, roadshows, conferences, telephone contact, electronic communication platforms, and via email, corporate website, shareholder services branch, etc.	Sustainability as risk and opportunity Strategic value creation character	Sustainable economic growth Growth at constant exchange rates:
Employees	Intranet, global opinion poll, meetings and presentations, training sessions, direct relationship with managers, internal magazine, whistleblowing channel, bulletin boards and information screens	Talent retention, diversity, equal opportunity, job security	Developing talent and skills by promoting a safe and diverse work environment
Customers	Customer satisfaction surveys, seminars and events organised by Viscofan, telephone and email technical assistance and continuous service, end-to-end claims and complaints system, active presence in trade fairs, visits to and from customers, local presence through agents and distributors, access to an extranet for customers accessible at www.viscofan.com	Increased demand for products with lower carbon footprint, human rights advocacy Demand for sustainability information, audits	Preferred option in line with its needs to improve process efficiency and sustainability

Suppliers	Direct contact, collaboration agreements, training, assessments and audits	They face environmental and social sustainability challenges.	Alliance and respect in the search for the best solutions in our activity.
Company	Contact with the local community, civil society actors, partnership agreements, sponsorships, etc. Contact with governmental institutions, associations Collaboration with research centres and institutes in different countries	Combating climate change as a primary objective Increased demand for sustainability information Consumer demand for a healthier and more sustainable product	Sustainable economic growth, information transparency, territorial integration and community development

Materiality

This report contains the information on the performance and response of the Viscofan Group to the most significant aspects identified, taking into account the findings of the materiality analysis performed with the advisory services of an independent expert.

Within the framework of the Viscofan Group's Beyond25 Strategy and the Sustainability Action Plan, both with a 2022-2025 horizon, the Group has a materiality analysis that identifies the most significant economic, environmental, social and governance impacts of the company that substantially influence the assessments and decisions of stakeholders.

A dual perspective reflected in Directive 2014/95/EU on disclosure of non-financial information and diversity information has been taken into account:

- Outsider's perspective: How the non-financial aspects affect the situation and earnings of the Viscofan Group.
- Insider's perspective: How the Viscofan Group affects the surroundings from the viewpoint of social, environmental and human rights protection aspects and, therefore, how it affects the different stakeholders.

For the preparation of the materiality analysis, 45 material aspects were identified for the different stakeholders on the basis of the following:

- Analysis of the reporting standards used by benchmark companies of the main clients.
- Analysis of different media to identify trends in the most significant aspects for society.
- Sustainability trends. United Nations Global Compact and Sustainable Development Goals (SDG), Taskforce on Climate-related Financial Disclosures (TCFD) and CDP.
- Reporting standards (Sustainability Accounting Standards Board or “SASB”).
- Requirement of analysts and institutions.

- Regulatory analysis. Law 11/2018, of 28 December, which amends the Code of Commerce, the consolidated Corporate Enterprises Act approved by Legislative Royal Decree 1/2010, 2 July, and Audit Law 22/2015, in the area of non-financial and diversity information.

- Recommendations of the GRI Standards, which establishes materiality as one of the Conformance Requirements that determine the content of the reports that report under this standard.

These significant issues were then presented to the heads of various areas of the Viscofan Group to assess their impact on the Group's operations, reputation, and the environment.

The results of this analysis have been presented in a materiality matrix, with the vertical axis representing the external importance and the horizontal axis the internal importance.

Of the 45 material aspects analysed, the positioning obtained enables 24 issues of greater external and internal significance obtained at the Parent to be focused on, which are disclosed in this Non-Financial Information Statement.

The result of this analysis has served to monitor the Sustainability Action Plan approved by the Company's Board of Directors, in which the most significant aspects identified in the area of sustainability are aligned with the implementation established in the Strategic Plan.



This Non-Financial Information Statement is organised in its structure to inform on Viscofan's performance in the most significant matters identified in the area of sustainability.

Category	Significant material aspects
Governance Pillar	• Good Governance • Sustainability Strategy • Stakeholder communication • Corruption and fraud

	• Risk management • Respect for human rights
Environmental Pillar	• Climate change • Energy transition • Greenhouse gas emissions • Circular economy • Integrated water cycle • Energy efficiency • Environmental management
Social Pillar	• Diversity, equality and non-discrimination • Health and safety • Quality employment • Salary gap • Training • Customer satisfaction • Sustainable supply chain management • Consumer health • Local communities
Economic and Financial Pillar	• Investor and shareholder value • Technology and digitisation

Generated and distributed value matrix

Based on the cash flows generated in 2022, the matrix of value generated and distributed by stakeholder is as follows:

Stakeholder	Concept	In millions of euros
Customers	Casing sales, energy and other revenues	1,161
Economic value generated		**1,161**

Stakeholder	Concept	In millions of euros
Suppliers	Purchases of raw materials and services	-739
Suppliers	Investment	-115
Employees	Wages, salaries and other	-236
Company	Taxes (Corporate and Social Security)	-83
Shareholders	Dividend payments	-85
Financing	Debt and interest	55
Economic value distributed		**-1,202**

Increase (+) or decrease (-) in cash flow	**-40**

2.1.2. Business model

The Viscofan Group has a business model with a technological and geographical proposal that is unique in the market, based on the solid shared values of a team, aimed at creating value in a sustainable manner for all our stakeholders. As a result of this model, Viscofan is a leader in the casing market and offers growth propositions in the food and health sectors outside the traditional business.

Our business model outline:



Our purpose and mission

Purpose

From 2022, Viscofan has a new purpose with which it wants to go beyond traditional boundaries “Reshaping food and well-being. For many, for long”, seeking to help to provide access to food and nutrition throughout the world, and to improve the well-being and health of people.

“Reshaping food and well-being” means that: our technology and our global presence enable us to be in a condition to forge a better world. We contribute to improve access to food throughout the world and we can also help, through nutrition and our knowledge, the well-being of human beings.

“For many” means that: if something characterises us, it is that we have always wanted to be important, to generate an impact; hence, our scope of action in the world is, “for many” - the more people that can enjoy our products, services or solutions, the better it is for our purpose.

“For long” means that: we generate an impact that remains a future project, a project that intends to be forever, “for a long time”. It is an impact for everyone, for life, and for the well-being of everybody. It is our sustainable proposal.

Mission

Manufacture, distribution and sale of casings and the films for use in the food industry; collagen-based products for food and bioengineering use, and the generation of electricity for sale to third parties through cogeneration systems.

Strategy

Viscofan has begun the new Strategic Plan Beyond25, maintaining the ambition to transform the Company in the same way as in the previous strategic plans. To this end, Viscofan expanded its business scope with a new purpose “Reshaping food and wellbeing. For many, for long”, seeking to help to provide access to food and nutrition throughout the world, and to improve the well-being and health of people.

This means redefining our business model with a new approach to the market that combines our strong competitive advantages: the combination of the world's largest geographical presence, both productive and commercial, with a wide and unique catalogue of products, developed on the basis of its own technology and know-how, which continue to develop continuously thanks to a culture of excellence and continuous improvement, based on solid values and ethical principles shared by a highly committed team.

The new strategic plan has four leading management regions to have greater market proximity and flexibility: Europe, Middle East and Africa (EMEA), North America (NAM), Asia Pacific (APAC) and South America (SAM), completed with a cross-cutting “New Business” division.

In addition, the strategy is based on a new approach to the market that distinguishes between the Traditional Business (which includes cellulosic, collagen and fibrous), where Viscofan is in a privileged position to continue to take advantage of growth opportunities, and the New Business (which includes tubular plastics, packaging and third parties, new edible casings, functional solutions, nutra-medical-pharma products, as well as diversification activities), where Viscofan wants to leverage its know-how as a catalyst for innovation to expand into new markets with attractive growth trends in the food, wellness and health sectors.

The strategy is based on four cross-cutting pillars: service, cost, technology and sustainability, with the ambition to lead the market in each of these areas.

In accordance with the new strategic plan, a new 2022-2025 Sustainability Action Plan has been established with specific projects to combat climate change, measures to reduce water consumption and improvements to transform our processes into a more circular economy and reinforce our commitments to the Sustainable Development Goals of the United Nations 2030 Agenda.

To drive change, the Digitalisation and People lever has been introduced, with people management and digital transformation initiatives to help streamline processes, boost career development and improve work-life balance.

The main strategic projects are:

- Proximity to the market: to increase Viscofan's own presence in strategic markets, with new sales branches (Italy, Japan, Philippines) and production plants in line with expected market demand.
- Increased collagen hydrolysate capacity.
- Capacity building: facilitating the adoption of casings through a service with guaranteed supply in a growing market.
- Technological update: technological renewal of cellulosic production in the United States, development of Dry-tech technology in collagen.
- Promotion of value-added products, ingredient transfer, and new casing concepts.
- Digitalisation of processes and digital tools at the service of people.

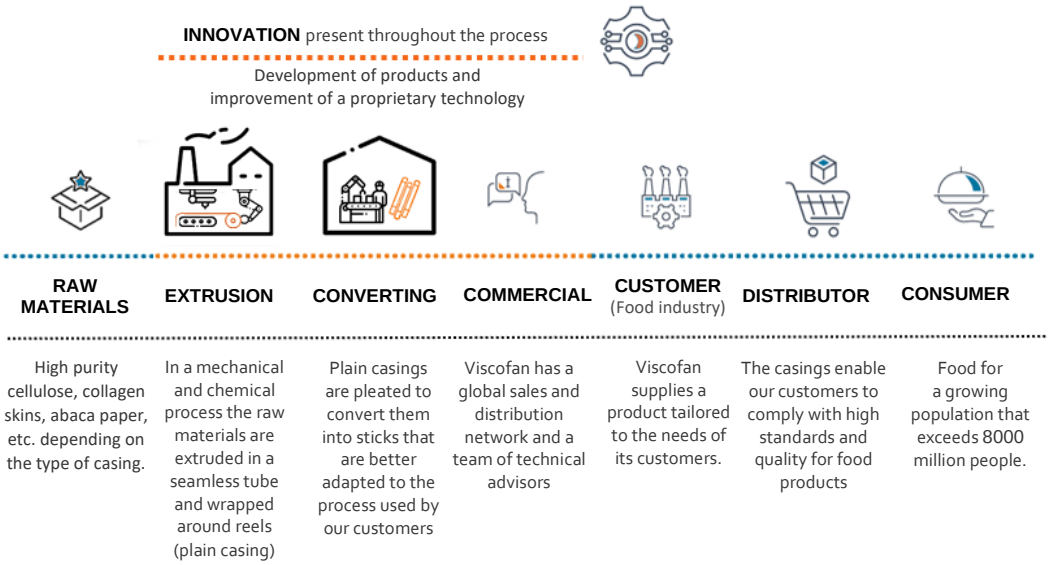
Our markets

Traditional Business - Casings

Casing plays a key role in the food market. They are soft, cylindrical containers made from animal gut or from materials specially designed for stuffing meat or other food ingredients. They give sausages and cold meats their characteristic shape and are of great importance to our customers, who are looking for greater efficiency, increased production speed, reduced waste, and assured quality and consistency. That is why the use of casings is widespread throughout the world.

The casings are characterised by their ease of use and appearance, which contrasts with the high technological component underlying the manufacturing process and which only a few companies worldwide have developed. However, the food industry and, more specifically, the cold meat production sector, increasingly demand more products with greater features, more sustainable and at highly competitive costs, to enable their large-scale manufacture. Responding to this demand involves a huge technological and development challenge that Viscofan has successfully met as the largest casing producer, being the only one in the industry to provide solutions in the main casing families.

Diagram of the casing production process and value chain



Belonging to the food market carries with it a great responsibility: that of providing millions of people worldwide with access to basic nutrition. A population that is continuing to grow and whose expectations in terms of taste, preparation and consumer experience are also changing and diversifying while providing a maximum guarantee of quality and food safety.

The custom casing market has a historical growth range of around 2-4% in volumes thanks to solid foundations based on:

Category	Trend
Population growth	An average annual rate of 1%, with emerging areas driving this expansion.
Eating habits	Increased per capita demand for meat led by emerging areas thanks to the increased purchasing power of the middle classes, globalisation of eating habits and the population growth in cities. In developed areas, nutritional trends are evolving towards the search for greater convenience and products of higher nutritional quality and food safety.
Greater sophistication of meat processors	Increased search for productivity, food safety and hygiene, and the development of new products drive the replacement of animal casings with artificial casings (mainly collagen), as well as the development of new products.

The 2022 financial year has been characterised by strong demand for casings with an estimated growth in volumes of around 5%, above the aforementioned historical growth range of the market. This behaviour is driven by the growing interest of meat processors in collagen casings as they seek higher productivity and service assurance over other alternatives in a context of high inflation and supply chain disruptions. In addition, demand for casings is increasing in several countries due to the change in the population's eating habits towards a basic diet that includes cold meats, a trend driven by the rising cost of living in households.

In 2022, the tripe and casings market stood at around 63 billion metres (61 billion metres in 2021) and had an estimated value of €5,000 billion (€4,500 billion in 2021). In order to meet the stuffing needs, a meat processor must choose from among the different market alternatives, either with animal tripe (46% of the market) or artificial casings, which, in turn, can be produced with different materials, depending on the desired production and product characteristics, combining a better range of casing with production savings.

New Businesses

The know-how and experience acquired in diversification with the use of collagen as an ingredient in different applications not related to the world of casings, our continuous dialogue with the market allowing us to identify needs not always associated with casings, together with the experience we have gained in our own production processes, have given rise to product solutions framed within the New Business division.

With this division, Viscofan goes beyond the traditional casing market and enters a market with a potential of more than €5 billion in which Viscofan has a small size, but it is undoubtedly a great opportunity with products and innovations that seek to provide solutions to trends in the areas of food and health that are becoming increasingly relevant.

The main growth catalysts identified are:

Category	Trend
Population	• Growing population • Population ageing
Eating habits	• Increased protein intake • More vegans and vegetarians • Convenience and variety • Healthy and sustainable food
Food industry	• Circular Economy
Health	• Search for wellness and personal care • Development of biomedicine

Diversification

Within the New Business division, Viscofan has a diversification-driven unit that actively pursues and develops growth opportunities and cutting-edge innovation in materials and new businesses beyond casings.

These opportunities are explored and developed directly by internal teams and through partnership agreements with third parties that stand out in specific areas (technological, industrial, medical, etc.)

Food, health and sustainability activities are the main pillars of diversification activities.

Of these, Viscofan's ample knowledge in the processing, use and transformation of raw materials of a biopolymeric nature constitutes an investment opportunity and, hence, a growth opportunity for Viscofan. A good example are the new solutions based on the technological knowledge of collagen.

Collagen is the most abundant protein in the human and animal body, but at the same time, it is a unique and versatile material and therefore finds applications in various fields beneficial to people such as regenerative medicine, nutrition, health, life sciences, etc. Viscofan applies technologies and extraction methods to process bovine skin collagen for the development and production on an industrial scale of new collagen biomatrices in the medical and nutraceutical fields.

In addition, Viscofan explores new business avenues by taking minority stakes in several disruptive start-ups, providing financing, and in some cases, knowledge, resources and access to markets to facilitate their growth. The investee companies are (ODS Protein, Feltwood, MOA Biotech, Insekt Label Biotech, Ekolber).

Viscofan also participates in alliances in which it shares knowledge for the development of innovative solutions in different fields. In this regard, the following stand out: participation in the TriAnkle project, a consortium of companies led by Viscofan and with EU funding to manufacture customised 3D implants based on collagen and gelatine for the regeneration of injured tendons and cartilage, and participation in the European consortium Accelerating Research and Innovation for Advanced Therapies (ARDAT) for the development of advanced therapy drugs; participation in the Protection project, which seeks to investigate new protein sources and their impact on the immune system, and which is funded by the CDTI in Spain.

Our competitive advantages

Viscofan's progress is understood from achieving sustainable competitive advantages, which are the result of the work and commitment of an exceptional team that has been offering the best of each one of them for more than 45 years, to turn Viscofan into the leading company in the casing sector and to expand its frontiers towards new businesses in the fields of food and wellness.

People and values

People are the differential value on which the future of Viscofan is built, the best team in the industry, made up of more than 5,300 people and based on shared values:

- We are resolute: we strive for excellence in quality, we are customer and results-oriented, we are committed to our work, and we carry it out in an agile manner.

- We work as a team: we perform our work with passion, we value know-how, agility and excellence. We like to work as a team with a common purpose.

- We are pioneers: we look for new ways of doing things, taking the risk of going further, diversifying, innovating and contributing to a better future.

- We enjoy our work: we are excited about life, we are eager to do things, make decisions and seize opportunities. We value responsibility and commitment to work.

In parallel, these values are underpinned by inalienable ethical principles that stem from the fundamental rights of all human beings (integrity, loyalty, respect and human rights).

The Viscofan Group understands that the creation of long-term sustainable value for all stakeholders can only be achieved through ethical behaviour that favours the development of a culture of best practice in social responsibility within the Group and by contributing to improving people's well-being through the economic, environmental and social development of the communities in which the Viscofan Group is present.

R&D and Innovation. Technology and know-how

Viscofan's position in the constantly evolving, highly competitive world market is sustained by its constant cutting-edge efforts in research, development and innovation (R&D&i), both in technology and products. Only this philosophy enables the company to advance the leadership of innovations in the casing industry worldwide and to drive and develop new business, thus benefiting the various stakeholders.

This activity is possible thanks to an innovation network and culture that extends to the whole organisation, and the corporate research and development centre in Spain coordinates, directs and supports the specific research and development activities and tasks conducted at each production plant and coordinates the multidisciplinary work teams. The corporate centre seeks to share the best practices, technological knowledge and ideas between the different production centres. This team consists of 160 people across the Group (160 in 2021) spread across all factories, including the Diversification team.

Constant innovation required by our **globalised world** must be taken into account. Our products must be compatible and adapt to the food habits and uses of millions of world consumers, their preferences and evolution over time. Viscofan accompanies its growth as a company with the development of its innovative capacity to access, assimilate and improve the best technologies available in the market, as well as to develop its own technologies that provide competitive advantages while promoting continuous improvement, seeking greater efficiency and greater **sustainability** in the improvement of processes and products.

In this regard, Viscofan adopts a proactive approach in the search for sustainable solutions at the technology and product level, boosting relevant aspects, such as the circular economy, the search for energy efficiency, the reduction of CO_2 emissions and the reduced need for water.

Progress in the field of **digitalisation** represents a new innovation opportunity that Viscofan wants to take advantage of to lead the industry's digital transformation. In collaboration with third parties, Viscofan's 4.0 industry team wishes to apply the solutions offered by new IT technologies to our operations. We are seeking to improve the quality of our products, to obtain the best

information possible to improve our production process and to perform predictive maintenance, etc., through solutions based on artificial vision, the development of technological solutions with the digitalisation of the movement of materials within the facilities, and the development and implementation of a smart 4.0 industry management system.

Innovation is an ongoing process with strategic product and technological development projects in all casing families (cellulose, collagen, fibrous, plastic and vegetable), and in its final product applications, also including other diversification products. Our innovation boosts the innovation of the food sector, enabling applications to be developed aimed at providing Viscofan with the range of products required to reinforce its presence on the global market.

Action projects

In this regard, the main current Research, Development and Innovation projects underway are principally focused on the following areas:

- The development of new products according to the target markets defined in the expansion plan, and those required by our customers, and also new generation executions, designed and oriented towards offering tubular alternatives with differential performance and features.

- The development of films and casings that are able to confer functionalities to the product they contain, gaining efficiency and preventing food waste.

- The development of production alternatives and technological solutions through radical breakthroughs that allow an increase in added value and efficiency levels or significantly reduce production costs for meat casings through modernisation, streamlining and simplification, improving not only Viscofan's competitiveness but also the sustainability of its products and processes.

- Research aimed at extending the range of adequate materials to manufacture casings and their features while also taking into account sustainability criteria such as their biodegradability or recyclability.

- Technological support for improving existing products and processes, and for the Company's international expansion, all this adhering to Viscofan's technological and quality standards and current regulations, as well as the optimisation of production costs.

Our assets. Wide product offer

Viscofan is the only company in the casing industry with the main technologies available, and offers its customers a wide portfolio of casings that allows them to choose the one that best suits their needs in a context of globalisation in food habits and the need to adapt to changing consumer demands where the focus on health, convenience, experience, variety and sustainability awareness are more relevant.

Our casings facilitate access to basic food for a growing world population, especially in emerging areas whose consumption habits increasingly demand more protein, whether of animal or vegetable origin.

In addition, with the new purpose "Reshaping food and wellbeing. For many, for long" seeks to expand its frontiers beyond traditional casings into the food and health fields with New Business innovations.

Our broad casing product portfolio, the largest in the industry, allows the customer to choose the casing that best suits their needs with 13,673 products sold in 2022, while with the new Beyond25 vision and Strategic Plan, we expand frontiers with innovative New Business solutions that go beyond traditional casings.

Our product categories are as follows:

Business Division	Product type	Description
Traditional Business	Cellulose casings 	They are made using natural cellulose as raw material. They are used primarily in the production of industrially cooked sausages. *"Casing that provides competitiveness in an inflationary environment and sustainability due to its plant-based and biodegradable origin."*
	Collagen casings 	They are produced using collagen as raw material, ideal for fresh or pre-cooked or raw/cured sausages. *"Attractive alternative to animal casings supporting customers in their automation challenges and cost savings."*
	Fibrous casings 	Made from a mixture of cellulose and abaca paper, a vegetable-based paper that makes the casing highly resistant and homogeneous for the production of large-calibre sausages. *"The best solution for today's increasingly demanding industrial processes: speed, productivity and efficiency".*
New Businesses	Plastics 	Casings, films and bags obtained through the processing of plastic polymers also promoting the use of renewable and bio-based raw materials. There is a wide variety of types that allows us to offer the most suitable product for each type of application. *"Focus of growth on sustainability and added value".*

Vegetable casings 	Plant-based and specially developed for vegetarian and vegan recipes. Suitable for fresh and cooked applications, with good frying results and a tender bite. *"Viscofan has been a pioneer in developing a tubular product".*
Transfer of spices 	Functional spice transfer solution applicable to a wide range of foods such as fresh produce, processed meats, cheeses, and ready-to-eat products. *"New generation of solutions to help customers in their search for new products".*
Edible films 	Transparent, edible, soluble film made from plant-based polysaccharides that serves as a carrier for a wide variety of herbs, spices, sauces or marinades. *"Disruptive innovation to reach more markets".*
Collagen hydrolysates 	Collagen plays an important role in our body. It supports tendons, skin and cartilage, thus supporting the integrity, firmness and elasticity of the musculoskeletal system, soft tissues and skin. *"Premium product leveraged on Viscofan's experience with this raw material".*
Nutra-farma-bio 	Processed bovine skin collagen products for the development and industrial scale production of new medical and research grade collagen biomatrices. Together with partners, Viscofan is developing projects in this field, such as Cardiomesh for infarcted hearts, TriAnkle to regenerate Achilles tendon injuries, among others. *"Leveraging our collagen know-how in the medical field".*

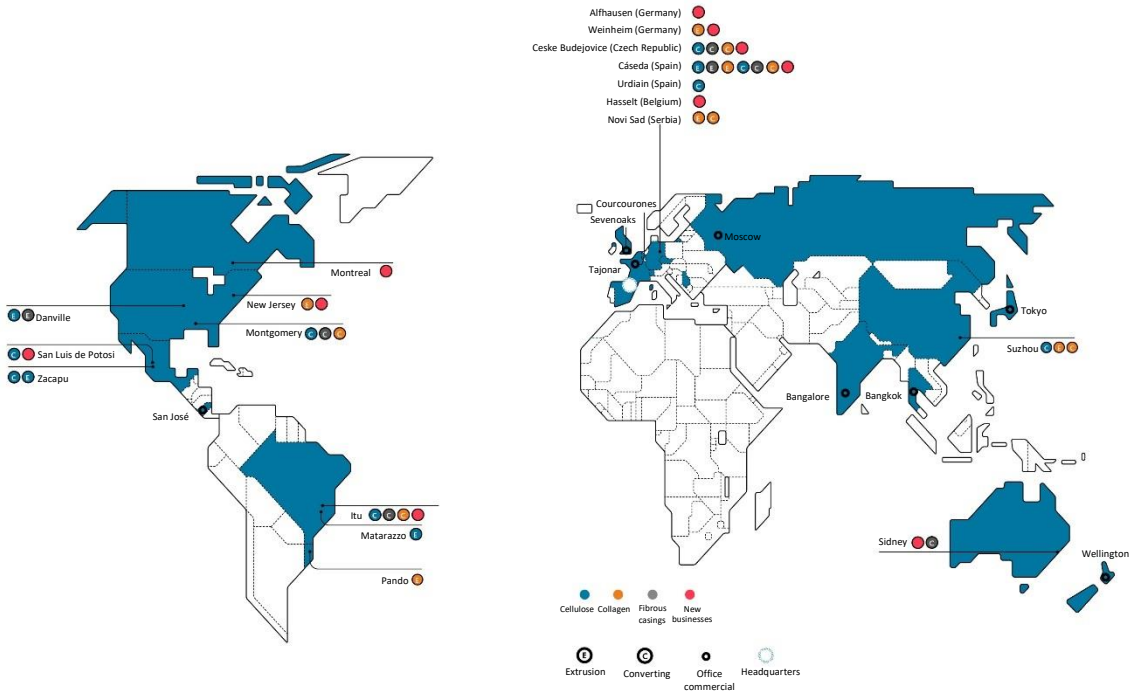
For more information on Viscofan's products, please consult the Products and Markets section of the corporate website.

Our assets. Geographical presence

The casing market is global. Our customers are located in 106 countries around the world, so providing a quick response adapted to their needs is often a differential element of their purchase decision. To improve this response capacity, we have the largest production and sales network in the market, with a presence in 20 countries and 19 production plants.

Geographical expansion is a constant in the Viscofan Group. In 2022, we began the process of opening representative branches in Italy and the Philippines in order to improve our service in these important markets and improve our learning process. Construction of a converting plant in Thailand is also scheduled to begin in 2023.

This expansion joins those carried out in 2021 with the incorporation of the company Viscofan Japan GK with the aim of having its own commercial presence in Japan, one of the main casing markets in the world.



Vision and strategic goals

In the current strategic plan, Beyond25 Viscofan aims to accelerate growth compared to previous strategic plans with transformation projects that allow us to strengthen leadership in the traditional Business and gain size in the New Businesses, doing so in a profitable way and while we move steadily towards the achievement of the Sustainability Commitments set for 2030.

The targets set are:

- Our financial targets for 2025 are as follows:
  - Revenue: over €1,450 million and which represents an annual CAGR growth rate of 10%, higher than the +6.3% of the Be ONE Strategic Plan, the +7.0% of Be MORE, and the +4.6% of MORE TO BE.

  - EBITDA margin of 25%.
  - Cumulative investment of €425 million.

- Our 2030 sustainability commitments are as follows:
  - Climate change: 30% reduction of CO_2 emissions in tonnes/million metres extruded vs 2018.
  - Circular economy: 30% reduction in tonnes of waste disposed/million metres extruded compared to 2018.
  - Water: 10% reduction in water abstraction in m^3/million extruded metres compared to 2018.
  - Accident rate: 50% reduction in the rate of work-related accidents compared to 2018.
  - Diversity: 30% of women in executive posts.
  - Supply chain: verification of 100% of suppliers of the main raw materials committed to the code of ethics.

Contribution to Sustainable Development Goals

Viscofan is committed to the Sustainable Development Goals of the 2030 Agenda through the United Nations Global Compact, of which it has been a signatory since 2015, and it publishes its annual progress report.

From 2022, Viscofan has extended its commitment to the SDGs in the framework of the new strategic plan Beyond2025 and the New Sustainability Action Plan, which generates a new purpose for the Group: “Reshaping food and wellbeing. For many, for long”.

Based on the foregoing, our technology and our global presence enable us to be in a condition to forge a better world. We contribute to improve access to food throughout the world and we can also help, through nutrition and our knowledge, the well-being of human beings, generating an impact over a long time. It is our sustainable proposal.

This commitment involves enhancing our leadership in casing and going beyond our technological boundaries, improving our contribution to global food and also to people's wellbeing and health, leading change in the industry to contribute to climate change mitigation and adaptation, to greater sustainable use and protection of water resources, to the transition to a circular economy, and to driving decent work, diversity and economic growth.

With this new purpose, Viscofan adds the objective of improving the health and well-being of people, committing itself to a new Sustainable Development Goal, SDG 3. Good health and well-being.

In this way, Viscofan now has six essential commitments to our sustainability:

SDG 2. Zero hunger: belonging to the food market carries with it a great responsibility: that of providing millions of people worldwide with access to basic nutrition. As a global leader in casings, the Viscofan Group contributes to the development of products that help to avoid food waste, and it invests in R&D&i that enables more efficient and sustainable processes to manufacture cold meats. It also seeks to work with NGOs whose business nucleus is based on reducing hunger and to develop specific products that combat malnutrition.

SDG 3. Good health and well-being. Viscofan undertakes to transform the ample knowledge developed in the processing, use and transformation of raw materials, especially collagen, in products and solutions that contribute to improve the health and well-being of people. Collagen is the most abundant protein of the human body and of animals, but, in turn, it is a singular versatile material and, therefore, is used in various areas that are beneficial for people, such as regenerative medicine, nutrition, health and life sciences.

SDG 6. Clean water and sanitation: Viscofan's production process requires the use of water, which is why the Group focuses on sustainable management of this natural resource in its operations and factories, with a strict policy of consumption and reuse, improving the quality of wastewater discharges and investing in the best available technologies for water management.

SDG 8. Decent work and economic growth: people are the differential value on which the future of Viscofan is built. More than 5,300 employees from 20 countries in which the Group has a presence constitute an extraordinary human wealth. People management is key to achieving our goals, and that is why we want to attract and develop the best team in the industry, with maximum respect for human rights.

SDG 12. Responsible consumption and production: developing more sustainable activity requires incorporating environmental criteria throughout the value chain that minimises the impact of our business activity caused by the transformation of raw materials by mechanical and chemical means that leads to the generation of waste. The selection of raw materials begins, and it continues with the reduction of waste generation and the optimisation of its management, prioritising recovery or recycling above other systems such as destruction or disposal.

SDG 13. Climate action: the casing production process operates all year round and requires a lot of heat. However, in our fight against climate change, we are continually investing in improvements to reduce energy consumption and to make the most of the different forms in which energy is present in our processes, promoting the use of renewable energy and introducing circular economy criteria into company activities focused on reducing global CO_2 emissions.

This Non-Financial Information Statement reports the best practices identified and implemented by Viscofan to contribute to obtaining these Sustainable Development Goals.

Key figures

Financial	Measurement unit	2022	2021
Revenue	Millions of euros	1,201.0.	969.2.
EBITDA	Millions of euros	267.2.	246.7.
Margin EBITDA	%	22.2%	25.4%
Net profit	Millions of euros	139.4.	133.0.
Investment	Millions of euros	125.6.	92.0.
Net bank debt	Millions of euros	101.3.	1.8.
Dividend	Euros per share	1.95.	1.84.
Stock market capitalisation. Year-end	Millions of euros	2,799.	2,646.

Environmental	Measurement unit	2022	2021
CO_2 emissions. Scope 1 and 2	Tonnes	498,626.	547,981.
Emissions / Metres of casing extruded	Base 100 year 2018	72	84
Energy consumption	GWh	2,526.	2,465.
Consumption / Income	GWh / €Mn	2.1.	2.5.
Water captured	Cubic metres	10,691,735.	10,781,067.
Water captured / Metres of casing extruded	Base 100 year 2018	89	95
Water discharged	Cubic metres	8,920,830.	8,432,622.
Waste	Tonnes	68,837.	63,410.
Recycled	%	54%	47%
Of which disposed	%	46%	53%
Waste disposed of/Metres of casings extruded	Base 100 year 2018	89	102

Social	Measurement unit	2022	2021
Average workforce	people	5,317.	5,083
% women	%	28.9%	28.9%
% women in executive posts	%	19.6%	17.9%
Average number of training hours per employee	hours	12.7	11.2
Number of accidents per million hours worked	unit	14.1.	14.2
Hours lost per accident / Hours worked	%	0.26%	0.20%
Hours of training on human rights	hours	3,539.	4,933.

Governance	Measurement unit	2022	2021
Percentage of independent directors	%	55%	45%
Percentage of female directors	%	36%	27%

2.2. Governance Pillar

Viscofan adds strategic value to its good corporate governance to provide a high level of trust to make its business goals and structure compatible with the protection of the rights of all stakeholders.

Material aspects

- Good governance
- Sustainability Strategy
- Stakeholder communication
- Corruption and fraud
- Risk management
- Respecting human rights

2022 highlights

The General Meeting of Shareholders held in April 2022 approved the appointment of Ms Cristina Henríquez de Luna and Mr Andrés Arizkorreta as independent directors of Viscofan S.A. in substitution of the outgoing directors Mr Néstor Basterra and Mr Ignacio Marco-Gardoqui. Likewise, in June 2022, Mr Javier Fernández was appointed as an external nominee director following the request of Corporación Financiera Alba S.A., majority shareholder of the company, replacing Mr Juan March, who resigned as a member of the Board of Directors of the Company for professional reasons linked to the assumption of new responsibilities that will prevent him from duly attending to his duties as a director. The General Meeting also approved the continuity as directors of Mr José Antonio Canales, Ms Laura González Molero, Mr Jaime Real de Asúa, Ms Agatha Echevarría and Mr José María Aldecoa.

As a result of the changes made to the composition of the Board of Directors in the 2022 financial year, the number of independent directors has increased to 6 out of a total of 11, and that of the least represented gender with four women (36.4% of the Board). Furthermore, in accordance with the new composition of the Board, the composition of the Board Committees has also been updated, maintaining the majority of independent directors on both.

With the entry into force of the new Beyond25 strategic plan, changes have been made in senior management with the creation of regional (EMEA; APAC; NAM; and SAM) and New Business divisions, complemented by service divisions.

In January 2022, the Board of Directors of the company approved a new Code of Conduct and the Code of Conduct for Suppliers and Intermediaries.

2.2.1. Good governance practices

Good corporate governance is a key factor in generating value, improving economic efficiency, integrating businesses and bolstering the trust of its shareholders and other stakeholders, thanks to the appropriate division of functions, duties, and responsibilities among all the Company's governing and management bodies.

In recent years, it has progressively reinforced its structure to ensure the incorporation of the principles and best practices of good corporate governance, both nationally and internationally, adapting them to the circumstances of the Viscofan Group until reaching the best level of compliance.

The basis of the Viscofan Group's governance is its Articles of Association, the Regulations of the General Shareholders' Meeting, (both updated at the 2022 General Shareholders' Meeting) the Regulations of the Board of Directors and the Regulations of the Board's committees, and it has general ethical principles and guidelines established by the Group's Code of Conduct.

In turn, the good governance commitment of the Company's Board of Directors is expressed in its General Sustainability Policy, which aims to set out the basic principles and commitments that should govern the Group's sustainable development strategy.

This strategy, expressed in the new 2022-2025 Sustainability Action Plan, seeks to favour a culture of best practices in sustainability, and contribute to improving people's well-being, boosting the economic, environmental and social development of the communities in which the Viscofan Group is present, and creating value in a sustainable manner through its ethical performance to all its stakeholders.

Proof of this is the new Beyond25 Strategic Plan, which redefines the business model with a market approach and adds Sustainability as a new transversal pillar of the company.

Alongside this, the General Sustainability Policy is organised into specific policies in the main axes of sustainability procedures:

- Climate Change Policy
- Environmental Policy
- Diversity and Equal Opportunities Policy
- Tax Policy
- Policy of Respect for Human Rights
- Occupational Health and Safety Policy

Governing Bodies

The governance structure of Viscofan is based on two main bodies: the General Shareholders' Meeting and the Board of Directors.

Shareholders and the General Meeting

At 31 December 2022, the Parent Company is aware of the following significant shareholders:

	% stake
	31/12/2022
Corporación Financiera Alba, S.A.	14.25%
APG Asset Management N.V.	9.99%
Angustias y Sol S.L.	5.02%
Setanta Asset Management Limited	3.96%
Other Board of Directors	0.35%
Treasury shares	0.69%
Free Float	65.74%

The General Shareholders' Meeting is the supreme governing body of the Company in which shareholders decide by a majority vote on the affairs within the scope of their authority.

Viscofan has established the principle of “one share, one vote” which promotes equality among all of the company's shareholders. There is only one class of shares, giving the same rights and obligations to all of the Company's shareholders. There are no restrictions to voting and no limit to the number of votes that can be cast by a single shareholder.

In recent years, Viscofan has been pursuing a series of initiatives to promote transparency, communication and shareholder participation at the General Meeting, including information on the items on the agenda, an attendance premium of €0.01 per share, facilitating remote voting, electronic voting, electronic forum and a questionnaire to answer the most common questions regarding the General Meeting.

As a result of all these measures, the 2022 General Shareholders' Meeting was attended by 82.7% of the company's share capital, maintaining the high attendance percentage at the General Meetings of recent years, above the average for listed companies, which is especially significant considering the company's high free float.

The breakdown of data on attendance at General Meetings for the last three years is as follows:

Data on attendance at General Meetings			
Shareholders Meeting	29/04/2022	23/04/2021	24/04/2020
% present	19.9%	19.3%	19.2%
% in representation by proxy and distance voting	62.8%	62.8%	68.4%
Total attendance	**82.7%**	**82.1%**	**87.6%**

In addition, the General Meeting is broadcast live on the internet and can be accessed via the Company's website, although the connection to this broadcast is not considered to be telematic attendance at the General Meeting.

Board of Directors

This is the body in charge of representation and administration of the Company. Its essential function is the approval of the strategy, the basic policies, the draw up of financial statements and, in short, the general supervision of all aspects forming part of Viscofan S.A. and, where appropriate, of the companies forming its group of companies guided by corporate interest.

It is governed by the Regulations of the Board of Directors, which were modified in 2021 to adapt them to the reform operated by Law 5/2021, of 12 April, which amends the consolidated Corporate Enterprises Act, in terms of promoting the long-term involvement of the shareholders of the listed companies; to the amendments of the Code of Good Governance reviewed in June 2020; and to include any improved drafting technique.

Board members:

Name and Surname	Category	Position on the Board	Date of last election	Audit Committee	Appointments, Remuneration and Sustainability Committee
MR JOSÉ DOMINGO DE AMPUERO	Executive	Chairman	12/04/2019		
JOSÉ ANTONIO CANALES	Executive	Director	29/04/2022		
MR JAIME REAL DE ASÚA	Independent	Vice-chairman	29/04/2022		Chairman
MR JOSÉ MARÍA ALDECOA	Independent	Lead Independent Director	29/04/2022		Member
MS LAURA GONZÁLEZ MOLERO	Independent	Director	29/04/2022	Chairwoman	
MS AGATHA ECHEVARRÍA	Other External Directors	Director	29/04/2022	Member	
MR SANTIAGO DOMECQ	Nominee	Director	24/04/2020		Member
MS CARMEN DE PABLO	Independent	Director	24/04/2020	Member	
MS CRISTINA HENRÍQUEZ DE LUNA	Independent	Director	29/04/2022	Member	
MR ANDRÉS ARIZKORRETA	Independent	Director	29/04/2022		Member
MR JAVIER FERNÁNDEZ	Nominee	Director	23/06/2022	Member	
MR JOSE ANTONIO CORTAJARENA	Secretary	Non-Director		Secretary	Secretary

The Board of Directors consists of eleven directors, of which two are executive, two are nominee, one is other external directors and the other six are independent, thus complying with the good corporate governance recommendations stating that the number of nominee and independent directors should constitute an ample majority on the Board of Directors. The Secretary to the Board of Directors is not a director.

The selection of Directors is specifically regulated in the Policy on the Selection of Directors and Diversity on the Board of Directors to ensure that proposals for the appointment or re-election of directors are based on a prior analysis of the skills required by the Board of Directors and to encourage the diversity of knowledge, experience, age and gender required on the Board at all times, taking into account the vacancies to be covered and the structure and composition of the Board.

This policy establishes the principle of diversity. Based on this, the selection of directors should be guided by the aim of achieving a diverse and balanced composition of the Board of Directors, which would contribute different points of view to the discussions it holds, thus enriching the decision-making process. With this in mind, in the selection of candidates for board members, consideration will be given to candidates whose appointment contributes to increasing the diversity of knowledge, skills, experience, origins, nationalities, age and gender. The selection process should avoid implicit biases that may imply discrimination, and, in particular, the selection of female directors is actively promoted. To this end, when the Appointments, Remuneration and

Sustainability Committee or the Board itself, as the case may be, has to propose the appointment or re-election of directors, without prejudice to respect for the competence matrix, the inclusion in the process of candidates who contribute to incorporating directors of the least represented gender is actively sought and, when faced with two similar professional profiles, the female candidate will be chosen.

Consequently, the Appointments, Remuneration and Sustainability Committee, in view of the expiry of the term of office of directors in 2022, carried out a search for the most suitable candidates to join the Board of Directors in accordance with the aforementioned Policy and, with the assistance of the consulting firm Russell Reynolds, included in the selection process a higher number of female candidates than male candidates, finally proposing, among others, the appointment of Ms Cristina Henríquez de Luna Basagoiti as a new member of the Board of Directors. Likewise, with regard to the proposals or reports on the re-election of directors, it proposed the re-election of Laura González Molero and reported favourably on the re-election of Agatha Echevarría Canales as members of the Board of Directors. These proposals were approved by the General Meeting of Shareholders held on 29 April 2022. Thus, in 2022, the number of directors of the least represented gender on the Board has been increased from 3 to 4, from 27% to the current 36%.

Changes to the composition of the Board of Directors in 2022 and Board Committees

On 1 January 2022, the director Mr Ignacio Marco-Gardoqui Ibáñez fulfilled 12 uninterrupted years as a director of the company. Under article 529k of the Corporate Enterprises Act, it lost its status as an independent director to become an Other external director. Consequently, to comply with that stipulated in the prevailing legislation and in the company's articles of association and regulations, the director Mr Ignacio Marco-Gardoqui Ibáñez gave up his position as a member of the Audit Committee as on that date.

In April 2022, the directors Mr Néstor Basterra Larroudé and Mr Ignacio Marco-Gardoqui Ibáñez concluded their term of office as directors of Viscofan, giving way to Ms Cristina Henríquez de Luna Basagoiti and Mr Andrés Arizkorreta García both as independent external directors for the statutory period of four years. Both appointments were approved by the General Shareholders' Meeting on 29 April 2022. Mr Andrés Arizkorreta also became a member of the Appointments, Remuneration and Sustainability Committee. As from that date, the number of members of the Audit Committee was reduced from 6 to 5, thus leaving the vacancy left by Mr Marco-Gardoqui unfilled.

In June 2022, Mr Juan March de la Lastra resigned as a member of the Board of Directors of the Company and of its Appointments, Remuneration and Sustainability Committee for professional reasons linked to the assumption of new responsibilities that prevented him from duly attending to his duties as a director. Consequently, and at the request of Corporación Financiera Alba S.A., a significant shareholder of the Company, the Board of Directors, following a favourable report from the Appointments, Remuneration and Sustainability Committee, co-opted Mr Javier Fernández Alonso as an external nominee director to fill the vacancy left by Mr March. His appointment is subject to ratification and re-election at the 2023 Annual General Meeting.

At the time of his appointment as director, Mr Javier Fernández was appointed member of the Audit Committee, replacing Mr Santiago Domecq Bohórquez, who resigned on the same date as a member of said Committee and was in turn appointed as a member of the Appointments, Remuneration and Sustainability Committee.

In November 2022, Mr Jose María Aldecoa stepped down as a member of the Audit Committee and was replaced by Ms Cristina Henríquez de Luna, who became a member of the Committee in December 2022.

Curriculum and Profiles of members of the Board of Directors

The curriculum and profiles of the members of the Board of Directors at 31 December 2022 are detailed in section C.1.3 of the Annual Corporate Governance Report forming part of this Management Report. They are also available on the Company's website www.viscofan.com in the section on Corporate Governance.

Performance of functions

In order to perform their duties with the required rigour and efficiency, the Company's Board of Directors prepares an annual schedule of meetings and the annual work plan of the Board itself and of its various committees, so that the directors can better plan and to facilitate their commitment to and attendance of meetings. Directors receive the information they need well in advance, including, as appropriate, the minutes or reports of the different Board Committees.

The Board of Directors delegates to its Chairman and the General Managing Director the powers of representation, powers relating to the purchase or sale, powers relating to personnel, to charges, payments, contracts, auctions and transactions, to checking accounts, credit or savings, to bills of exchange and promissory notes, securities, guarantees, and supplementary powers to the previous.

Actions are still being carried out to guarantee the participation of the directors, facilitating their dedication and attendance to the meetings, to provide them with tools to give more in-depth knowledge of specific aspects of the activity and specific environments of the different production centres, thus improving the monitoring of the strategy of the Group and of each of its companies.

In this regard, in 2019, the Board of Directors drew up and implemented a programme to update the knowledge of the directors, a programme that continued in 2020, 2021 and 2022, and is expected to do so in subsequent years.

In addition, the annual plan includes visits to some of the Group's production centres and the participation of top management to enable enhanced monitoring of the implementation of the Group's strategy and of the management of each of its companies.

Throughout 2022, the Board met 11 times, the Chairman attended 100% of the meetings, there was 99.2% attendance in person over the total number of votes during the year, and 100% attendance including proxies made with specific voting instructions.

In addition, during the 2022 financial year, the Lead Independent Director, as part of his duties set out in the Regulations of the Board of Directors, held four meetings with non-executive directors to voice their concerns, and was also available for dialogue with investors and shareholders who so requested.

Assessment

The Board of Directors carries out an annual evaluation of the quality and efficiency of the operation, diversity, and competencies of the Board itself and of the Committees, which is promoted by the Appointments, Remuneration and Sustainability Committee, and coordinated by the Lead Director in the case of the evaluation of the Executive Chairman.

Every three years, the Board of Directors is assisted by an external consultant in this evaluation process, whose independence is verified by the Appointments, Remuneration and Sustainability Committee. In 2022, three years after the last external consultancy, Korn Ferry has been consulted to facilitate this evaluation.

The performance evaluation is carried out based a questionnaire and personal interviews, the purpose of which is to obtain each director's particular view of the strengths and weaknesses, as well as any other suggestions they may have for improving the efficiency of the Board and its

committees. The result was analysed by the Appointments, Remuneration and Sustainability Committee of which the Lead Independent Director is a member, by the Audit Committee itself with regard to its own assessment, and the conclusions were presented to the Board of Directors, where the process was concluded and a plan of action approved to include the appropriate improvements.

The conclusions of the evaluation process were presented by the external consultant to the Board of Directors at the January 2023 meeting and, as a result, at the proposal of the Appointments, Remuneration and Sustainability Committee, the Board approved an Action Plan for the 2023 financial year to incorporate the identified improvement opportunities. These include the joint monitoring by both Commissions of the progress of the regulatory framework and trends in the field of Sustainability and continuing to promote the strategy with visits to subsidiaries and focused sessions.

In addition, during the 2022 financial year, the Board of Directors has intensified its dedication to the Group's strategy and has held training sessions with the participation of external experts in the field of sustainability, cybersecurity and trends in corporate governance. And for the 2023 financial year in particular, the market and business situation has been added as a subject.

Remuneration

The Board of Directors' Remuneration is regulated in the directors' remuneration policy, approved at the General Shareholders' Meeting held on 23 April 2021 for a three-year period (2021, 2022 and 2023), and which is available on the company's web page in the Corporate Governance section. This policy establishes a remuneration system for directors based on (i) their capacity as such and (ii) specific executive or senior management functions.

In the short term, variable remuneration included specific CO_2 emission targets, improvement in accident rates and reduced of waste elimination.

In addition, the General Shareholders' Meeting held on 24 April 2020 approved a Long-Term Incentive Plan for 2019-2021 for the Company's executive directors, managers and other key personnel of the Viscofan Group. This plan establishes the delivery of a cash amount and company shares based on the fulfilment of objectives of creation of value for shareholders (TSR) and sustainability which includes the improvement in the indicators of accident rate and reduction of waste in a landfill. Once the measurement period had been complied with, a degree of attainment of 102% was achieved.

The remuneration of the Board of Directors in 2022 was €3,428 thousand (€5,986 thousand in 2021). This difference is due to the fact that the 2021 remuneration included the Long-Term Incentive of the three-year plan (2019-2021) and was paid in 2022 after approval by the General Meeting.

The 2022 Annual Remunerations Report forms part of this Management Report and is available separately on the Company's web page under the Corporate Governance section - Corporate Governance Reports.

In addition, the General Shareholders' Meeting held in April 2022 approved a Long-Term Incentive in shares and cash for executive directors, members of the management team and other employees of the Viscofan Group for the 2022-2024 period. This plan sets out the delivery of an amount in cash and shares in the Company based on the fulfilment of certain objectives for the creation of shareholder value (TSR) and sustainability, including the reduction of the intensity of Scope 1 and 2 emissions, the improvement in accident rate indicators and the performance of audits of suppliers on compliance with the Viscofan Group's supplier code of conduct.

Committees of the Board of Directors

The Board has created two committees in support of its functions: the Audit Committee and the Appointments, Remuneration and Sustainability Committee.

Audit Committee

The Audit Committee is formed by five members, all non-executive and a majority of independent, appointed by the Board of Directors at the proposal of or pursuant to a report by the Appointments, Remuneration and Sustainability Committee, bearing in mind accounting, auditing and financial and non-financial risk management knowledge, skills and experience. Since the 2020 financial year, its chairperson has been the independent director Ms Laura González Molero.

The composition, functions, rules of organisation and operation, as well as the responsibilities conferred upon the Committee, are regulated in the Articles of Association, in the Regulations of the Board of Directors, and in the Regulations of the Committee itself.

The Committee functions are detailed in section C.2.1 of the Annual Corporate Governance Report of this Management Report.

Actions taken during the year:

The Audit Committee met twelve times in the year. It has covered all its functions attributed with respect to the auditing of accounts, internal audits, financial and non-financial information, internal control and risk management systems, the Ethics and Regulatory Compliance Committee and related party transactions.

The procedures performed by the Committee in 2022 are detailed in section C.2.1 of the Annual Corporate Governance Report of this Management Report.

Appointments, Remuneration and Sustainability Committee

This Committee is composed of four non-executive directors appointed by the Board of Directors: three independent and one nominee director. It is chaired by the independent director Mr Jaime Real de Asúa.

The composition, functions, rules of organisation and operation, as well as the responsibilities conferred upon the Committee, are regulated in the Articles of Association, in the Regulations of the Board of Directors, and in the Regulations of the Committee itself.

The Committee functions are also detailed in section C.2.1 of the Annual Corporate Governance Report of this Management Report.

Actions taken during the year:

The Appointments, Remuneration and Sustainability Committee met on 7 occasions in 2022, and, whenever considered appropriate, the presence of the Chairman, the CEO, and senior management members was required.

The main matters dealt with and analysed by the Committee during the 2022 financial year and which have made up its main areas of supervision have been, among others, issues of Corporate Governance and on the composition of the Board, evaluation of the Board of Directors and Chief Executive, succession plans for executive directors and senior management, updating the organisational structure, the governance model and the governing bodies of the Group's subsidiaries, remuneration policy, and the promotion and supervision of the sustainability strategy.

The procedures performed by the Committee in 2022 are detailed in section C.2.1 of the Annual Corporate Governance Report of this Management Report.

Top Management (31 December 2022)

With the launch of the Beyond25 strategic plan, the Group's top management was reorganised. Reporting directly to José Antonio Canales, Chief Executive Officer, regional general directorates have been created (EMEA, APAC, NAM, and SAM), which group together the operations located in the countries belonging to this geographic region and the general directorate of New Business, with a transversal nature. At the same time, the corporate service directorates general are maintained.

ORGANISATION CHART	
Person	Position
ANDRÉS DÍAZ	CEO EMEA (Europe, Middle East and Africa)
GABRIEL LARREA	CEO NAM (North America)
JUAN NEGRI	CEO APAC (Asia Pacific)
LUIS BERTOLI	CEO SAM (South America)
ÓSCAR PONZ	CEO New Business
MARÍA CARMEN PEÑA	Chief Financial Officer
JESÚS CALAVIA	Chief Operating Officer
IÑAKI GOÑI	Chief Commercial Officer
JOSÉ ÁNGEL ARRARÁS	Chief R&D and Quality Officer
JOSÉ ANTONIO CORTAJARENA	Secretary to the Board of Directors and Chief Legal Officer
ARMANDO ARES	Chief Investor Relations and Communications Officer
CÉSAR ARRAIZA	Chief Strategy, Organisation and Systems Officer
BEATRIZ SESMA	Chief Human Resources Officer
IÑAKI RECALDE	Chief Diversification and Technology Officer
ALEJANDRO BERGAZ	Head of Internal Audit

During the 2022 financial year, the remuneration received by key management personnel amounted to 4,234 thousand euros. In the 2021 financial year, the remuneration amounted to 13,297 thousand euros. In relation to the Long-Term Incentive Plan, a liability amounting to 593 thousand euros has been recognized during the year.

The figure as of December 31, 2021 includes the remuneration of the 2019-2021 Long-Term Incentive Plan amounting to 8,133 thousand euros, 3,763 thousand euros in cash and 76,802 shares valued at the closing price of the share on December 31 of 2021.

These amounts do not include the remuneration of the two executive directors, Mr. José Antonio Canales García and Mr. José Domingo de Ampuero y Osma, which are detailed in the annual report on the remuneration of the board that is part of this management report.

Defence of Human Rights

The Viscofan Group sets common basic guidelines on Human Rights as the guiding principles in various areas of the organisation, from employee management to supplier relationship management. These guidelines can be grouped around three lines of action: 1) rights in relation to work – promotion of non-discrimination, free association of workers, integration of the disabled, rejection of child exploitation, rejection of forced labour and compliance with the minimum wage

in each country, among others –; 2) fight against corruption, and 3) the responsible management of the supply chain.

In the area of labour rights, the following measures stand out:

- Promotion of the principle of non-discrimination. The Code of Conduct states that “We respect and promote respect for the personal dignity, privacy and individual rights of all persons. In our day-to-day work, we work inclusively with people of diverse ethnicity, culture, religion, age, disability, race, sexual identity and gender”.

- Rejection of any form of child labour. Viscofan does not permit child labour and requests a similar commitment from its suppliers.

- Prohibition of forced labour. Viscofan promotes work in decent conditions, as well as the prevention of forced labour and consequently, as a control and monitoring measure, this risk has been specifically included in the risk matrix of the Global Risk Committee to detect any violations.

- Protection of the free association of workers. 73% of the company's employees are covered by general collective bargaining agreements regulating their employment activities, improving the minimum conditions set by different labour legislation.

- Compliance training. Viscofan continues with training in regulatory compliance for all employees. Training has been designed in an attractive and multi-format manner that effectively trains employees in ethical standards that must be complied with and, at the same time, empowers all employees to combat any type of conduct that attacks the dignity of people in the employment environment or any corrupt procedures within the company.

- Site accessibility. With regard to the accessibility of people with disabilities, Viscofan does not have a global standard that regulates the accessibility of disabled people at its offices and other sites. However, the company complies with all its local regulations and applicable building codes in the countries in which it operates.

- Salaries above the minimum wage of each country. The minimum remuneration of employees is considered in accordance with the salary level and legal rules of each country where Viscofan carries out its activities. Given the training needs, the characteristics of the production process, and the internal policies of the Viscofan Group that respect the current legislation in each country, the minimum remuneration of the workforce is not below the minimum wage established in the country.

Furthermore, in line with the objective of extending responsible management to the supply chain, Viscofan's Board of Directors has approved in 2022 the Supplier Code of Conduct, which, among other aspects, establishes guidelines for compliance with laws, ethical behaviour and labour practices. Viscofan S.A. also forms part of Sedex, the largest collaborative platform for the responsible sharing of supply chain data.

2.2.2. Regulatory compliance system

Viscofan considers that integrity and transparency contribute directly to achieving its objectives and managing its business in a sustainable manner. To ensure this, it has an ethics and compliance system whose objectives are to promote an ethical culture in the organisation that strengthens its competitiveness and, long-term sustainability, reputation and ensures compliance

with the regulatory system by all employees. This system has elements in place to Prevent, Detect and Respond to potential risks with a negative impact on the Group.

The prevention system is based on internal regulations, consisting of a Code of Conduct indicating ethical principles and behavioural guidelines complemented by internal operational policies and procedures.

Code of Conduct

The Code of Conduct contains a set of binding principles and guidelines for each and every person in the Viscofan Group to guide actions and behaviour within the company and in relation to our shareholders, customers, suppliers and society in general, in accordance with Viscofan's corporate ethics, as well as local, national and international laws and regulations.

The Code of Conduct in force in the Viscofan Group was approved by the Board of Directors in January 2022 following a favourable report from the Audit Committee at the proposal of the Ethics and Compliance Committee, replacing the Code of Conduct in force to date.

One of the functions of the Board of Directors is to ensure the correct application of this Code of Conduct, with the collaboration of the Ethics and Regulatory Compliance Committee, which supervises and monitors compliance with the Code and reports on a recurring basis to the Audit Committee.

Internal Regulations in the scope of good governance policy

The internal rules governing the aforementioned bodies, supplemented by the applicable rules to ensure good corporate governance at the Viscofan Group, are available on the Company's website within the Corporate Governance section, as well as in compulsory publications and registrations, on the website of the CNMV and in the Mercantile Registry of Navarre, respectively.

These internal regulations are mainly formed by the regulations of social bodies and committees:

- Articles of Association: These are the basic rules governing the Company and all its bodies. The articles set out the main features and operating principles of the General Shareholders' Meetings, the Board of Directors and its Committees.

  The Shareholders' Meeting in April 2022 approved the amendment of the Articles of Association with the main aim of adapting their content to Law 5/2021, of 12 April, amending the consolidated Corporate Enterprises Act, approved by Legislative Royal Decree 1/2020, of 2 July, and other financial rules, with regard to encouraging the long-term engagement of shareholders of listed companies and including certain corporate governance improvements and recommendations.

- Regulations of the General Shareholders' Meeting: This text lays down the regulations governing the General Meeting of Shareholders to ensure transparency and safeguard shareholders' rights and their access to Company information. The rules stipulate the formalities of calling, attending, holding and recording General Meetings of Shareholders and of access to prior and General Meeting information by shareholders.

  The Shareholders' Meeting in April 2022 approved the amendment of the Rules of Procedure of the General Shareholders' Meeting for adapting their content to Law 5/2021, of 12 April, amending the consolidated Corporate Enterprises Act, approved by Legislative Royal Decree 1/2020, of 2 July, and other financial rules, with regard to encouraging the long-term engagement of shareholders of listed companies

- Regulations of the Board of Directors: These set down the principles of action of the Board of Directors, including an appraisal mechanism, and its organisational and operating rules, the standards of conduct of Directors, their duties (including the duty to avoid conflict of interest), and the overarching principles that should guide their decisions. They also govern committees existing within the Board of Directors, their organisational and operational rules, and their remit and powers.

- Audit Committee Regulations and Appointments, Remunerations and Sustainability Committee Regulations: These establish the scope and functions of each Committee, its composition and operation, relations with government bodies and other entities, as well as the possibility of requesting advice.

- Internal code of conduct on matters relating to the securities market: This Code lays down rules of conduct to ensure that the institutional and personal acts of the Viscofan Group's directors and employees strictly comply with current laws and regulations on transparency in the markets and to protect investors' interests.

Hence, within the regulatory compliance system, the Viscofan Group has approved procedural policies in the following areas:

Scope	Policy
Good governance	• General sustainability policy • Climate change policy • Risk management and control policy • Policy of Respect for Human Rights • Anti-corruption policy • Crime prevention policy • Policy of communication with shareholders, institutional investors, proxy advisors and of economic-financial and non-financial and corporate information • Board remuneration policy • Director selection and diversity policy of the Board of Directors • Policy to encourage participation in the General Meeting of Shareholders: attendance fee
Commercial	• Commercial Practices Manual • Policy of Business Courtesies • Policy to outsource commercial services: distributors, agents and others • Export control protocol
Financial and tax resources	• Internal control policy for financial and non-financial information • Tax policy

Information and systems	• Personal Data Protection Policy • IT security policy • Confidentiality policy • Authorisation policy on computer access and profiles • Password policy • Computer systems and networks management policy • Policy on audiovisual information control
People	• Diversity and equal opportunities policy • Policy on Staff Selection and Recruitment • Policy on welcoming of new recruits • Training policy • Staff leave procedure • Proxy policy • Policy on Business Expenses • Code of conduct for trips and stays abroad
Production	• Environmental policy • Occupational health and safety policy • Food Regulation Policy • Control procedure instructions in the event of product recalls • Policy for the management of goods purchases and the arrangement of services • Transport management policy • Supplier code of conduct and intermediaries

Supervision and management bodies

The Ethics and Compliance Committee is the body in charge of overseeing and supervising the proper implementation and monitoring of the Group's Compliance System, as defined by the Board of Directors.

Likewise, the Audit Committee supervises the effectiveness and operation of the Ethics and Regulatory Compliance Committee, and, for this purpose, it receives regular information on compliance with the Internal Code of Conduct in matters relating to the Securities Market and the Code of Conduct, and in particular, regarding the whistleblowing channel.

Upon the proposal of the Ethics and Compliance Committee and subject to a report by the Audit Committee, the Board of Directors approves the Group's Compliance Plan, which contains action plans in different areas: improved internal regulations, an annual update of the procedural compliance risk map, training plans, internal control improvement plans.

In relation to the training plans, the company works on a cross-cutting basis with the Department of Human Resources, which, aside from guaranteeing the publication of the Code of Conduct, participates in implementing annual compliance training plans.

Additionally, each of the Group companies has a Local Compliance Head, who is the person appointed by the Ethics and Compliance Committee to monitor the Group's Regulatory Compliance System and to ensure that all local employees, technicians and managers receive ongoing training.

Whistleblowing channel

The whistleblowing channel is a key element of the system. To facilitate supervision of compliance with Viscofan's Code and Ethics and regulations, employees and any person with a legitimate interest can access the Complaints Channel on Viscofan's web page under the Corporate Governance section, on the employee's Intranet or by email to officeofethics@viscofan.com or by post to the Ethics Committee at Viscofan's central offices in Navarre to notify any sign of conduct that they deem to be a possible risk.

The Committee is the body responsible for starting, on its own account or at the request of a third party, an investigation on events or practices that may give rise to a situation of risk for the Viscofan Group because of a breach of the Viscofan Group's Code of Conduct or prevailing regulations.

In 2022, 13 complaints were received, 12 of which were filed, although only on one occasion, following the processing of the corresponding file, was a breach of internal regulations proven, with the competent bodies proposing and adopting the necessary rectification measures. The Ethics and Regulatory Compliance Committee has met on 13 occasions.

Training and dissemination

It is the first and one of the most important default prevention strategies, empowering people to do the right thing proactively.

Without prejudice to the role of the Ethics and Compliance Committee at corporate level, as the body responsible for the management of the system and the specific training plans it promotes, given the importance of adapting to the needs and local culture of the different countries in which the Group operates, the role of the Local Ethics and Compliance Officers is essential. They plan and develop the necessary training and communication actions at the local level, with the support and monitoring of the Ethics and Compliance Committee.

In this respect, Viscofan understands that training in human rights is a fundamental tool for raising employees' awareness in this area. The breakdown of the number of hours of training in this area is as follows:

	2022			2021		
Dedicated human rights training	Men	Women	Total	Men	Women	Total
Training hours	2,624	915	3,539	3,607	1,326	4,933
% of total training hours	6.1%	3.7%	5.2%	9.6%	6.9%	8.7%

Additionally, in 2022, to reinforce awareness and knowledge of regulatory compliance, specific training was provided in different areas:

- Training for top management on the new Code of Conduct, the compliance system, and conflict of interest situations
- Training on the internal rules of conduct in securities market matters
- Training for most of the Group workforce on the new Code of Conduct
- Specific training for purchasing and sales departments on specific compliance issues.

2.2.3. Risk management

Risk management aims to balance our stakeholders' desire for value creation with the risks associated with business, commercial, operational, labour, financial and social initiatives, as established by the sustainability policy.

Viscofan has approved a risk management control policy, which aims to set the basic principles and the general action framework to identify, measure, prevent and mitigate risks of all types that may affect the attainment of the strategic objectives.

Viscofan seeks to reinforce the risk control system, promoting a solid business model enabling risks to be confronted in a controlled manner. Viscofan's risk management policy aims to identify and assess risks as soon as possible, based on the Code of Conduct, the internal regulations and the strategic plan, and to take adequate measures to reduce them and, in some cases, they can present opportunities.

The risk management system is the responsibility of the Board of Directors, which delegates its supervision and correct functioning to the Audit Committee. Likewise, the Viscofan Group has different bodies that oversee the supervision and control of other risks that could arise in Viscofan's activities with different levels occurrence and materiality:

- Internal audit: Their purpose is to promote the application of Risk Management in all activities and supervise to ensure that significant risks are suitably identified, assessed, managed and controlled. It has a broad presence on specific risk committees.

- Ethics and regulatory compliance committee: This is the body responsible for supervising the risks specific to the Group with regard to criminal liability or any other non-compliance and for assessing, implementing and monitoring the Compliance System:

- Global risk committee: This is a collegial body whose purpose is to identify and assess the main risks threatening the Viscofan Group, making a deeper analysis of their organisation and recommendations for the actions required to manage the risks within the established margins.

- Credit risk committee: It is established as a supervisory and control body for those risks related to customer payment management. The objective of this Committee is to delve into the prevention, monitoring and solution of the risks mentioned via the creation and implementation of the instruments considered most appropriate at the time.

- Investments committee: Its main purpose is to control and supervise compliance with the Investment Plan approved by the Board of Directors. To achieve this, it meets every quarter periods to perform periodic follow-up checks on the correct application of approved investments and control investments.

- Cybersecurity committee: It is in charge of defining the strategic objectives of the Group's Cybersecurity, ensuring the secure management of information and assuring the state of protection, as well as periodically monitoring compliance with regulations, risk projects, situations and incidents.

- Executive sustainability committee: This is the body responsible for coordinating and supervising the Sustainability Action Plan, the initiatives, work plans and long-term objectives for the same. The committee reports to the Appointments, Remuneration and Sustainability Committee, the Board of Directors' internal body responsible for

supervising, developing and improving the Company's sustainability policies. The Sustainability Committee met three times in 2022 to analyse the development of the 2022-2025 Sustainability Action Plan, promoting strategic initiatives and the evolution of the main indicators; the start of the project to identify climate change risks and opportunities in accordance with the Task Force on Climate-related Financial Disclosure (TCFD); and the analysis of sustainability reporting regulations, with special emphasis on the EU Taxonomy on Sustainable Finance; among others.

- Top management: It is responsible for identifying and assessing the risks faced by the Group in the course of its activity and taking appropriate measures to prevent these risks from occurring or, if they do occur, to reduce or eliminate their impact. Therefore, it plays a fundamental role in designing and implementing control mechanisms and ensuring their fulfilment across the organisation.

The management and control activities enable the risks to be anticipated and detected and the threats to be examined and measured that may prevent the Viscofan Group from attaining its objectives, as well as the creation of value that is sustainable and shared with the stakeholders.

Moreover, the Viscofan Group monitors the values of the risk indicators and the defined thresholds so that when these thresholds were exceeded, the required management measures are taken to redirect the risks to the defined tolerance level. The information in reference to risk management has been outlined in greater detail in section *E) of the Annual Corporate Governance Report*. In this section, the Viscofan Group describes the main financial and non-financial risks, the bodies responsible for drawing up and enforcing the financial and non-financial risk management system, the description of the main risks, the level of tolerance, the risks that occurred in the year and the plans to respond to and supervise the main risks.

Below are the main risks faced by the company in 2022 and the response and supervision plan:

Risk	Materialisation in 2022	Response and supervision plan
1. COVID-19 Pandemic	1.a) COVID-19: Infection of Viscofan Group workers with the subsequent risk of production shutdowns due to outbreaks of COVID-19 in the workforce or due to a shortage of staff	Viscofan has maintained this 2022 financial year the employee health protection implemented in 2020 with the onset of the pandemic, including the reinforcement of prevention and hygiene measures. There have been no shutdowns of production plants caused by COVID-19. Supply to customers all over the world has been secured.
	1.b) COVID-19: Interruptions in the production of customers due to outbreaks of COVID-19 at their factories.	The diversification of the Viscofan Group's customer portfolio led the impact to be moderated, and action was quickly taken to recover lost volumes.
	1.c) COVID-19: The pandemic has meant that a part of the workforce has had work from home, which could have resulted in connection problems to computer systems and difficulties in the performance of administrative activities	Viscofan has ensured access to computer equipment and connections to corporate programmes in the commercial, financial, purchasing and logistics areas. The security protocols were also strengthened in the Information Systems Master Plan, with the implementation and planning of specific actions in the area of cybersecurity.

2. Environmental and climate change risks:	2.1) Significant increase in the price of CO_2 emission allowances.	The deployment of a sustainability strategy and plan, together with the corresponding policies approved by the Board of Directors and the creation of a committee to manage sustainability risks that include environmental risks and those resulting from climate change. The Group has continued implementing the Environmental Policy, the renewal and extension of certifications in this sphere (mainly ISO 50001 and ISO 14001) and specific projects to improve management. As part of its decarbonisation plan, Viscofan has installed energy equipment with green hydrogen capability and has performed the first tests with this renewable fuel source in a co-generation engine at the Cáseda plant in Spain.
3. Operational risks	3.1) Increase in the cost of raw materials: Disruptions in manufacturing and consumer activity, transport disruptions, and the conflict in Ukraine have led to global shortages of raw materials and commodities. In this context, the price of some critical raw materials for the Viscofan group has increased.	To offset the impact of the increase in operating costs Viscofan has implemented price increases to customers. In addition, the Group has taken other measures such as detailed monitoring of costs, needs and the risk of non-availability, the search for diversification of suppliers, and a plan to reduce consumption.
	3.2) Increase in the cost of energy: The energy cost, both of gas and of electricity, increased significantly in 2022.	Viscofan has implemented price increases to customers to offset part of the impact of energy costs. Likewise, the energy hedging carried out, the supply contracts with the main energy suppliers, and the cogeneration facilities at the Cáseda and Weinheim plants have allowed us to partially mitigate this risk. In parallel, the Group has carried out a detailed analysis of energy needs and the examination of various scenarios, and the search for energy diversification of operations. With a view to the 2023 financial year, and in view of the forecast increase in energy costs, especially for natural gas in Europe, partly due to the shortage caused by the cut in supply from Russia, the Viscofan Group has entered into purchase contracts with a fixed price for part of the natural gas consumption in its European operations.
	3.3) Lack of availability of natural gas in Germany due to the supply cut from Russia, which could lead to a halt in production.	In the second half of the 2022 financial year, this risk was latent but did not materialise. However, Viscofan has implemented several measures to mitigate the occurrence of the risk, such as the electrification of part of the energy equipment, constant contact with the Administrations, and analysis of the energy needs of the references produced, among others.
	3.4) Disruptions in the supply chain: The imbalance between supply and demand in certain sectors, jams at ports, the war conflict in Ukraine and mobility restrictions caused by the COVID-19 pandemic, have led, inter alia, to transport delays in certain goods, thereby representing a risk of production stoppages.	To mitigate this risk, the Viscofan Group increased safety stock, secured purchase volumes, and applied innovative R&D solutions. This risk has not led to shutdowns in production plants.

	3.5) The transport strike in Spain in the first quarter of the year has caused delays in the receipt of key raw materials for the production of casings.	The safety inventory management procurement policy, together with the efficient management of the supply chain during the days of the strike, enabled the Cáseda plant to maintain its operations and service to customers.
4. Regulatory	4.1) In view of the European Commission's ban of 8 April 2022 due to Russia's actions destabilising the situation in Ukraine, justified by the fact that the use of these casings improves the capacities of the industry in Russia compared to the traditional alternative of animal casings, the Board of Directors of Viscofan S.A. adopted the decision to discontinue exports of casings to Russia	In this situation, within Viscofan's risk control and management system - taking into account the dynamism of the market - we have worked on commercial and operational mitigation measures that have enabled us to maintain the growth prospects for the year.

2.2.4. Prevention of corruption, fraud and money laundering

As stated in Principle 10 of the United Nations Global Compact, of which Viscofan is a signatory, “Businesses should work against corruption in all its forms, including extortion and bribery”.

This principle governs at Viscofan, being expressed in the Code of Conduct, and it has been enacted and reinforced in recent years with the approval by the Board of Directors of the Anti-corruption Policy and the Crime Prevention Policy, which, encompassed within the Regulatory Compliance System, demonstrate the Group's commitment to the permanent monitoring and sanctioning of fraudulent acts and conduct and the development of a business culture of ethics and honesty.

To avoid any type of corruption, the regulations establish a series of guidelines, and communication and training is encouraged in this area on forbidden procedures that may form the scope of corruption: bribery, extortion, facilitating payments and influence peddling, gifts, business courtesies, donations and sponsorships and relationships with third parties.

Further, the Global Risk Committee analyses fraud risks, and its different forms are regulated in various policies; it sets specific, controls and mechanisms to reduce their likelihood of occurrence. The identified risks are: conflict of interest and internal fraud, private corruption, and fraud and misleading advertising.

In addition, the Ethics and Compliance Committee carries out the more specific management of Ethics and Compliance Risks.

The definition and assessment of these is reviewed, evaluated, and the controls in place in the organisation are identified to reduce the likelihood of their occurrence. The Ethics and Compliance Risk Map sets out the identification and assessment of risks and controls, specifically identifying criminal risks.

In particular, the Group has a control system with financial, tax and commercial policies to combat money laundering, which is considered a low risk.

During the financial year 2022 there have been no acts that have been the subject of relevant legal actions related to unfair competition, monopolistic practices and against free competition, nor have processes or complaints been opened for breach of laws or regulations in the social field. and economic.

2.3 Environmental pillar

Viscofan is committed to preventing climate change and promoting economic growth that is decoupled from the use of limited natural resources.

This sustainable future means facing challenges throughout the supply chain, from the selection of raw materials and packaging with a better use and reuse of these, the optimisation and depuration of water used in the production process, the efficient use of energy and the promotion of renewable energies as a path towards decarbonisation while collaborating with our customers in their sustainability challenges.

Material aspects

- Climate change
- Energy transition
- Greenhouse gas emissions
- Energy efficiency
- Environmental management
- Circular economy
- Integrated water cycle
- Responsible supply chain management

Lines of action

SDG 13. Climate action	We invest in technologies in the pursuit of decarbonisation, such as the installation of energy equipment with the capacity to use green hydrogen in Cáseda and we promote the use of renewable electricity and the implementation of energy efficiency measures.
SDG 12. Responsible consumption and production	Viscofan is committed to sustainability in the main raw materials used. Viscofan invests in technologies that allow production with less production waste, seeks to reduce the intensity of waste disposed of, and also develops and promotes the use of natural, biodegradable or recyclable materials, highlighting the advances in the family of plastics with the new EFAN casing.
SDG 6. Clean water and sanitation	We carry out a sustainable management of water by investing in technology with reduced water collection requirements. We invest in water purification facilities to improve discharge quality.

2022 highlights

- 14.5% improvement in the ratio of Scope 1 and 2 emissions per metre produced compared to 2021, driven by the promotion of the use of renewable energy.
- Installation of dry-tech technology in capacity expansions in collagen casings with reduced water uptake and energy requirements.
- Start of the Biomass installation project at the Cáseda plant, which will enable the Group's largest production plant to improve the circular economy and the use of energy efficiency.
- Progress on the Group's decarbonisation plan: Green hydrogen tests have been successfully completed on a co-generation engine at the Cáseda plant.
- 93% of Viscofan's revenue corresponds to activities that do not significantly impact climate change according to the EU 2020/852 Taxonomy Regulation.

2.3.1. Governance, strategy and resources for environmental sustainability

Environmental sustainability encompasses relevant aspects identified in the materiality analysis and as such is included in the Group's long-term governance and operational management processes. It is an essential part of our risk mitigation in our Sustainability Action Plan.

Governance

The Board of Directors is ultimately responsible for environmental sustainability management. By extension, the Board's Appointments, Remuneration and Sustainability Committee, among its functions, promotes and supervises compliance with sustainability policies in environmental matters, ensuring that they are improved and that they consider the legitimate interests of stakeholders.

The Audit Committee is also responsible for reviewing the effectiveness of the Group's internal control systems and management of financial and non-financial risks, including environmental risks, and for monitoring and evaluating the process of preparing and presenting the Group's non-financial information.

As the chief executive officer of Viscofan's activities, the CEO is the first executive responsible for environmental sustainability and leads the Executive Sustainability Committee in charge of coordinating and supervising the objectives, initiatives and long-term work plans established by Viscofan in the field of sustainability, and in particular in environment.

In addition, the management of environmental aspects at the Group level is the responsibility of the Corporate Operational Sustainability Department, reporting to the Operations Department, which is in charge of coordinating and supervising this matter in all the Group's production plants.

Firstly, climate change management is regulated in the Climate Change Policy, and demonstrates the Group's commitment to controlling atmospheric emissions, energy efficiency, and a business strategy related to developing alternative energy sources.

Secondly, the Group has an Environmental Policy which sets out that the Group's procedures must be carried out with respect for the environment, which means incorporating sustainable development criteria in all areas of activity, guaranteeing the efficient management of natural resources and minimising the undesirable effects of the activity.

Strategy, risk and opportunity management

The Group has a Sustainability Action Plan for the 2022-2025 period, in line with the new strategic plan and approved by the Board of Directors in January 2022. This plan, among other aspects, identifies risks and opportunities and establishes the Group's metrics, objectives and initiatives in relation to them.

Environmental sustainability brings with it a number of risks and opportunities for the casing industry that need to be identified and managed to minimise negative impacts on our environment, while taking advantage of all the associated positive aspects.

In particular, climate change is a risk identified in the Global Risk Map since its implications may hinder the achievement of long-term objectives and the creation of value for stakeholders. See section 2.2 Governance Pillar, Risk Management section, in which the Viscofan Group's Risk Management System is detailed, together with the main risks and the risks that occurred in the year.

Within the framework of this plan, and based on the methodology established by the Task Force on Climate Related Financial Disclosure (TCFD), Viscofan has started a climate change analysis for the Group in 2022. Material risks and opportunities and their time horizon have been identified. Three global warming scenarios (1.5ºC, 2.4ºC, and 4.0ºC) have then been established to analyse the possible financial impact of these scenarios and the resilience of the Group's business model in 2023.

Material risks associated with climate change and mitigation measures

Transition. Regulatory changes. Viscofan's production process is energy intensive, so legislative proposals related to this resource and aimed at mitigating climate change may have a particular impact on the business. This is the case of the increase in the price of CO_2 emission allowances, carbon taxes or emission restrictions, which may affect the industrial and other energy-intensive sectors.

In this respect, the increased price of greenhouse gas emissions impacts the Group's operating costs. In 2022, the CO_2 emission rights expenditure was €21.5 million. Based on this, Viscofan is implementing actions within its decarbonisation plan:

- Investment in energy equipment that can use green hydrogen as a renewable energy source. Specifically, the Cáseda plant has energy equipment to use this energy vector and which has replaced others whose useful life had come to an end. In 2022, Viscofan also carried out the first tests on the use of green hydrogen in a co-generation engine, testing the feasibility for the production of casings.
- Work has begun on installing a biomass boiler at the Cáseda plant.
- Study and approve a project to implement an energy PPA (Purchase Power Agreement) for solar panels for the Cáseda plant for the self-sufficiency of renewable electricity.

Physical - Chronic. Water scarcity: The increase in the planet's average temperatures can increase the risk of water stress, causing a lack of supply at production plants. Based on this risk, Viscofan has identified plants in regions of high or extremely high water stress, in line with the list of the World Resources Institute. Said plants are in Brazil, Mexico, Belgium and China and, as a whole, represented 22% of the Group's total water withdrawal in 2022. During the year these plants did not have water supply problems. Viscofan is implementing measures to mitigate this:

- Within the Sustainability Action Plan, Viscofan is analysing possible scenarios and measures to be implemented faced with this potential long-term risk.
- Likewise, the 2030 commitments include reducing the intensity of water withdrawal. To comply with this, Viscofan is developing and investing in technologies that require less water, promoting and studying the viability of reusing water in the production process and investing in the best available water treatment and discharge technologies.

Transitional – low-emission technology: accelerated transition to low-emission technology in the company's production lines and facilities, e.g. by switching from natural gas equipment to equipment that uses renewable energy sources or generates less carbon emissions. If the speed of this transition is faster than the amortisation period of the equipment or requires non-mature energy technologies to be adopted, it can lead to associated costs and investments, as well as loss of overall product competitiveness.

At the moment, based on the preliminary analysis carried out following the IEA Sustainable Scenario and IEA Current Policies scenarios, the transition commitments to low-emission technology of the different governments of the countries in which Viscofan is present have a time horizon longer than the useful life of the energy equipment. However, Viscofan, as part of its decarbonisation objective, is seeking to invest in energy equipment that uses renewable energies

to the extent that the existing ones have reached the end of their useful life, as well as the diversification of energy sources, in order to achieve greater self-consumption.

Transitional - Market. Rising raw material prices. The physical consequences of global warming or climate change regulation itself may lead to higher prices for raw materials, affecting the company's procurement, transport and distribution worldwide. Increases in the price of raw materials may be caused by their reduced access or availability or by their carbon footprint. Viscofan has mitigation tools to compensate for the increase in raw material prices:

- Passing on cost inflation through higher selling prices to customers.
- Specific R&D projects and production trials encouraging diversification of sources of supply and suppliers for collagen hides and cellulose.
- Investment and development of more efficient and less wasteful production processes. One example is the recent installation of new cellulose casing technology in Danville (USA) in 2022.

Thus, from the preliminary analysis performed, no impairment was identified on the current assets, and no significant investments were envisaged to comply with the commitments established in our 2022-2025 Sustainability Action Plan.

Climate change opportunities

Viscofan's integral risk management system assesses and monitors the risks and their tendency, taking the necessary management measures which, aside from mitigating the risk, may generate opportunities.

Access to new markets: Viscofan has extensive experience in the sector, and based on its knowledge of processing raw materials, processes and continuous dialogue with the food sector, it can identify business opportunities related to other forms of food alternatives to the current ones.

Efficiency of production processes: the reduction in the intensity of use of resources such as energy or water, as well as a reduction in the generation of waste, could lead to savings for Viscofan and represent a competitive improvement compared to other market players that do not adopt this type of strategy. To this end, it is necessary to optimise and improve manufacturing processes, establishing circularity and efficiency measures in terms of water, waste and energy.

Promoting renewable and sustainable energies: Viscofan is working to promote decarbonising its processes using green hydrogen as an energy vector. If this technology were available on a competitive and continuous basis, it would save CO_2 emissions and the associated cost of emission allowances. In particular, the tests carried out with green hydrogen in 2022 on a co-generation engine in Cáseda have led to a saving of 63 Tn of CO_2, equivalent to more than 7,660 tonnes of CO_2 annually. Also, in terms of energy transition, Viscofan could improve efficiency and favour the purchase of renewable energy with Power Purchase Agreements PPAs, gaining in turn in self-sufficiency.

Resources allocated

Viscofan's commitment to environmental improvement and the fight against climate change is also revealed in its human, operating and financial dimension.

Management systems

Environmental. ISO 14.001:

We are working to attain this environmental management certification at all our production plants. At 2022 year-end, 89% of the Group's plants now have this certificate. During the year,

the necessary work was carried out at the plant in New Jersey (USA), which will be certified in January 2023.

The breakdown of the Group's plants with the ISO 14001 certificate at 31 December 2022 is as follows:

Country	Plant	ISO 14001
Spain	Cáseda	Yes
	Urdiain	Yes
Germany	Weinheim	Yes
	Alfhausen	Yes
Serbia	Novi Sad	Yes
Czech Republic	Ceske Budejovice	Yes
Belgium	Hasselt	Yes
US	Danville	No
	Montgomery	Yes
	New Jersey	(Received January 2023)
Mexico	Zacapu	Yes
	San Luis Potosi	Yes
Brazil	Itu	Yes
	Matarazzo	Yes
Uruguay	Pando	Yes
China	Suzhou (2 plants)	Yes
Australia	Sidney	Yes

ISO 50001 energy efficiency certificates

The Cáseda and Urdiain (Spain), Weinheim (Germany) and Ceske Budejovice (Czech Republic) plants have an ISO 50001 standard certificate, enabling the plants to improve their efficiency, energy costs and green greenhouse emissions.

Other certificates

Viscofan's New Business division obtained the ISCC PLUS certification from the plastic extrusion and plastic converting centres in Brazil, Mexico, Belgium, and Germany. Furthermore, the extrusion and converting centre in the Czech Republic obtained the ISCC PLUS recertification. This certification system ensures the sustainability of raw materials and products for diverse markets.

Environmental investment

Part of Viscofan's industrial asset base relates to environmental management, seeking the best available technology in the management of water, energy and waste, among others. Hence, at the end of December 2022, the gross value of this type of asset was €78.0 million (€65.4 million at 31 December 2021).

Viscofan continues its quest to improve environmental management and with this objective in mind, in 2022, it invested €12.6 million in this area (€6.9 million in 2021). The investment projects

in energy equipment contribute to the reduction of CO_2 such as electric boilers, energy recovery or solar panels; and installations for processing waste from the production process.

Environmental training

Being more sustainable and reducing our impact on the environment is a commitment for all of us. In addition to allocating financial resources, measures are also promoted to further the Group's values and commitments with regard to environmental management among employees, with training courses standing as an essential element of the management approach.

Environmental fines and penalties

In 2022, the Viscofan Group had not received any significant environmental penalties.

2.3.2. Climate change management and energy efficiency

Viscofan is committed to energy efficiency and global climate protection. We seek to reduce the intensity of our atmospheric emissions by investing in and developing more efficient production technology, increasing the use of renewable energy and leading the change in the industry towards technology that helps to fight against climate change. We also wish to positively influence the value chain through sustainable casings that help our customers to reduce their emissions.

Casing production is an ongoing process all year round that requires a lot of heat, especially in the casings drying processes. The main energy input used in the process is natural gas, electricity and steam.

The reduction in energy consumption with new technologies and the availability of renewable energy sources are essential aspects of Viscofan's undertaking to contribute to climate change protection and, hence, Viscofan works on three main axes:

- Development and investment in more efficient production technologies: As far as possible, Viscofan invests in improvements to reduce energy consumption and to make the most of the different ways in which this energy is present in our processes. Viscofan's strategy for reducing overall CO_2 emissions includes using heat, even in the effluents from our production processes, or replacing systems requiring high amounts of energy with more efficient systems.

  Specifically, the Viscofan Group has cogeneration plants that allow greater efficiency from an environmental point of view with savings in CO_2 emissions, cost savings and which ensure the continuity of the energy supply. These facilities are located in Cáseda (Spain), with an installed capacity of 48MW and in Weinheim (Germany), with 8.7MW.

- Fostering the development of technologies that help to combat climate change: In the current technological state, the most efficient way to generate energy to produce casings is on the basis of natural gas combustion. However, within its decarbonisation plan, Viscofan boosts collaboration with public bodies and companies in the energy sector to develop green hydrogen capacities as an energy source in the future casing production process.

- Viscofan promotes the use of renewable energy: within this commitment, in 2022, Viscofan increased the use of renewable electricity at its plants, representing 54.8% of the total electricity acquired by the Group.

In particular, the production plants in Urdiain (Spain) and Alfhausen (Germany) use exclusively renewable energy sources.

Energy consumption

The internal energy consumption expressed in Giga Wh is the following:

Energy consumption	2022	2021	2020	2019	2018
Gigawatt-hour (GWh)	2,526	2,465	2,371	2,294	2,276

In 2022, internal energy consumption increased by 2.5% versus 2021 in a context of increased production activity.

The breakdown by type of energy is as follows:

In GWh	2022	2021
Natural gas	2,118	2,091
Electricity and other non-renewables	190	259
Renewable electricity	213	115
Renewable fuels	5	0
Total energy	**2,526**	**2,465**
Total renewable	218	115
% of total	***8.6%***	***4.7%***

Due to the decarbonisation measures framed in the Sustainability Action Plan, the use of renewable energy has increased compared to 2021. Given the characteristics of the production process, the greatest energy intensity corresponds to thermal energy, the most efficient alternative being the use of natural gas. However, as far as possible and as long as the processes have been electrified, the use of a higher percentage of electricity from renewable sources has been actively pursued. Thus, in 2022, 54.8% of the group's electricity was from renewable sources, compared to 31.2% the previous year.

The detail of the Group's production plants with electricity purchased from renewable sources is as follows:

Detail of plants with electricity from renewable sources	2022
Cáseda. Spain	100%
Urdiain. Spain	100%
Weinheim. Germany	100%
Alfhausen. Germany	100%
Novisad. Serbia	100%
San Luis Potosi. Mexico	100%
Zacapu. Mexico	50%
Itu. Brazil *	33%
Ermelino Matarazzo. Brazil *	32%
Group	**55%**

**Brazil's plants have started to purchase electricity from renewable sources from September 2022.*

In addition, the Group promotes and encourages implementing energy efficiency projects in its operations. The most relevant have been:

- The installation of collagen casing production capacity in several of the Group's plants under dry-tech technology, where less water is used in the process, which means less heat is used to dry the casing.
- At the Cáseda plant, the operational temperature parameters have been optimised in different production phases in fibrous, cellulose and collagen facilities.
- Installation of LED lights in the plants of Weinhein in Germany, Serbia, Belgium, Czech Republic, and Australia.
- Renewal of equipment with greater energy efficiency both in the production process and in energy equipment.

These measures and the consolidation of projects from previous years have improved in 2022 in the ratio of energy consumption intensity over metres of extruded casings. Its development is as follows:

Base 100 year 2018	2022	2021	2020	2019	2018
Consumption in GWh /Metres produced	87	90	94	102	100

Emissions

The breakdown of direct and indirect CO_2 emissions and their intensity is as follows:

CO_2 emissions in tonnes	2022	2021	2020	2019	2018
Direct	415,182	405,299	397,959	386,221	378,128
Indirect	83,444	142,682	165,228	154,580	164,138
TOTAL	**498,626**	**547,981**	**563,188**	**540,801**	**542,266**

Other emissions in tonnes	2022	2021	2020	2019	2018
NOX	762	735	713	657	643
SOX	32	29	29	32	N/A

Base 100 year 2018	2022	2021	2020	2019	2018
Intensity of CO_2 emissions/millions of extruded metres	72	84	94	101	100
Intensity of NOX emissions/millions of extruded metres	93	95	100	103	100
Intensity of SOX emissions/millions of extruded metres	77	74	80	100	N/A

In 2022, CO_2 emissions decreased by 9.0% compared to the previous year due to the fact that the plants in Serbia and Brazil started to purchase electricity from renewable sources in the year and to the energy efficiency measures implemented.

Main projects in 2022

During the 2022 financial year, in addition to the energy efficiency measures mentioned above, the following projects have been implemented to decarbonise our production processes:

Viscofan has successfully completed the tests to use green hydrogen as fuel in one of the cogeneration engines located in the production plant in Cáseda. The use of hydrogen as a fuel reduces the carbon footprint of the combustion processes, as each cubic metre of natural gas replaced saves 2.15 kg of CO_2 from being emitted into the atmosphere, so the contribution to the reduction of the carbon footprint is immediate. In fact, the implementation of this test has led to a saving of 63 Tn of CO_2, equivalent to more than 7,660 tonnes of CO_2 per year.

In Cáseda (Spain), permits have been obtained for installing an energy production centre that uses biomass from our cellulose waste as fuel, contributing not only to a reduction in greenhouse gas emissions, but also to improving the circular economy by obtaining renewable energy from our production processes.

The plant in Alfhausen (Germany) has achieved zero greenhouse gas emissions (Scope 1 and 2) by 2022 by replacing natural gas with biomass and purchasing electricity from renewable sources.

Emission savings:

Electricity production through co-generation

In 2022, Viscofan avoided the emission of CO_2 into the atmosphere by using cogeneration compared to the theoretical emissions from co-generation steam using conventional boilers at the Cáseda (Spain) and Weinheim (Germany). Below is a detail of the equivalent tonnes of CO_2 avoided:

	2022	2021	2020	2019	2018
CO_2 avoided by Energy optimisation	**85,845**	94,033	90,449	90,531	91,715

Thanks to the cogeneration installed, it is worth noting that over the last ten years, the Viscofan Group has managed to avoid the emission of nearly one million tonnes of CO_2 into the atmosphere.

2030 commitment to reduce the intensity of CO_2 emissions

As a signatory member of the United Nations Global Compact, Viscofan is committed to SDG 13. Climate action. This commitment has materialised with a target by 2030 of a 30% reduction in scope 1 and 2 CO_2 emissions over a million extruded metres with respect to 2018.

The ratio evolution on a baseline of 100 for 2018 are as follows:

Base 100 year 2018	2030 Commitment	2022	2021	2020	2019	2018
CO2 emissions scope 1 and 2/Extruded metres	70	72	84	94	101	100

2.3.3. Responsible management of the end-to-end water cycle

Water is essential for life and also for the viability of Viscofan's business, since the casing production process and a large part of raw materials used depend on water. We acknowledge that it is a resource whose availability is affected by climate change and by a growing global demand.

Viscofan's production plants require water withdrawal for different phases of the process, such as casings cleaning, refrigeration, steam production and moistening of casings.

At Viscofan, in 2022, during the production of casings, 17% of the water collected evaporates, is incorporated into the product, or is consumed, while the remaining 83% is taken to depuration plants installed at Viscofan's production plants to be processed before being returned to freshwater surfaces, or to municipal processing plants.

Viscofan's water management focuses its efforts two-fold. Firstly, by seeking production technology with a lower water requirement, mainly in phases of the process that involve the casings cleaning. Once the water has been used, Viscofan works to improve the quality of the water that we discharge even further and to understand the risks associated with the availability and use of water in the areas in which we operate.

Withdrawal, responsible use of water

Water collection by source type. m^3	2022	2021	2020	2019	2018
Surface water	4,127,443	4,269,619	4,107,250	3,849,469	3,755,026
Groundwater	2,929,859	2,810,428	2,756,290	2,643,301	2,636,088
Municipal supplies	3,634,433	3,701,020	3,515,107	2,947,574	3,021,961
Rainwater	0	0	0	0	0
Wastewater	0	0	0	0	0
TOTAL	**10,691,735**	**10,781,067**	**10,378,646**	**9,440,345**	**9,413,076**
Consumption in process	**1,770,905**	**2,348,446**	**2,107,470**	**1,679,531**	**1,745,719**

In 2022, water use efficiency measures have led to a reduction in water withdrawal and an improvement in the indicator of intensity over extruded metres. Of particular note:

- The installation of dry-tech production lines for the production of collagen casings.
- In New Jersey, optimisation measures and installing more efficient collagen raw material processing and washing technology have been carried out.
- Installation of filtering systems in Spain and Brazil to reduce water flow.

Likewise, as part of its efficient water management strategy, Viscofan seeks the greatest possible water reuse. In 2018, it was endeavoured to make greater use of reused water in China, but it did not have the expected results. However, the reuse project at the Pando plant (Uruguay) commenced in 2020 is being consolidated, and it has been implemented in Brazil to reuse water from the production process to supply the fire system and to water the garden.

These projects, of great importance and technical complexity, have increased the percentage of water reuse:

	2022	2021	2020	2019	2018
Water reused in m^3	57,077	16,942	15,172	1,069	26,635

All captures are strictly regulated by the public sector, which assigns permits and determines the maximum permitted capture volumes to preclude significant effects. Hence, there was no record in 2022 of the organisation's water collection activities significantly affecting any water sources.

Furthermore, according to the World Resources Institute list, the plants of Belgium, Mexico, Brazil and China are located in countries of high or extremely high-water stress, a risk that the Group has identified. They account for 22% of total water withdrawal and 24% of the Viscofan Group's total water discharge in 2022. In the year, problems of water supply were not declared in these areas.

Responsible discharge

Protecting the quality of the water that we discharge is one of Viscofan's commitments. Adequate water management also includes a correct treatment of its wastewater and minimising the impact of its activities on the environment; thus, we apply the best available technologies in an ongoing process such as that of the Group.

As a result, Viscofan has water treatment plants at its manufacturing facilities, where water treatment makes it possible to improve the quality of discharges. Factories that treat 100% of the water are: Cáseda (Spain), Zacapu (Mexico), Koteks (Serbia), Itu (Brazil), Pando (Uruguay) and Suzhou (China).

Water discharge broken down by destination is as follows:

Water discharge in m3	2022	2021	2020	2019	2018
Freshwater surface	5,157,283	4,643,755	4,588,313	4,354,863	4,279,568
Municipal processing plant	3,763,547	3,788,866	3,682,863	3,405,950	3,387,789
TOTAL	**8,920,830**	**8,432,621**	**8,271,176**	**7,760,813**	**7,667,357**

2030 commitment to reduce the intensity of water withdrawal

As a signatory member of the United Nations Global Compact, Viscofan is committed to SDG 6. Clean water and sanitation. Viscofan's commitment has materialised with a target by 2030 of a 10% reduction in water withdrawal over a million extruded metres with respect to 2018.

The evolution of the ratio on a baseline of 100 for 2018 are as follows:

Base 100 year 2018	2030 Commitment	2022	2021	2020	2019	2018
Water withdrawal in m^3 / Extruded metres	90	89	95	100	101	100

2.3.4. Circular economy

Population growth influences the availability of the planet's resources, making their efficient use and the circularity of the economy essential. A global challenge that requires incorporating environmental criteria throughout the value chain that minimizes the impact of Viscofan's activity.

Working in conjunction with the whole value chain, Viscofan promotes the sustainable use of resources. Firstly, through the selection, search and homologation of raw materials, which are then transformed by mechanical and chemical means, producing millions of metres of casing per year. In this process, Viscofan is constantly searching for more efficient technology, which leads to less waste generation and a circular life cycle. Finally, Viscofan's product innovations aim to foster customer innovation and help them in their sustainability challenges.

Selection of raw materials

We take the utmost care with the raw materials we work with, ensuring that the highest standards of health and food safety are maintained at all stages of production. In addition, a significant proportion of these products are of natural, biodegradable or recycled origin.

The breakdown of consumption expenditure by category of the ten most relevant raw materials is as follows:

Key raw materials	2022	2021
Animal and plant origin	65%	70%
Plastic polymers	10%	11%
Auxiliary chemicals	25%	19%
Total	**100%**	**100%**

Animal and plant origin

- **Cellulose:** Cellulose is a linear polymer composed of glucose units found in the wall of cells in plants, wood and natural fibres, usually combined with other substances such as lignin, hemicelluloses, and other components. To produce casings, the cellulose chain must be broken to obtain a polymer with the appropriate length for its extrusion in the form of a casing and with very specific elastic properties. This process requires cellulose with a high level of purity, also called “Premium cellulose” or “special cellulose” by our approved suppliers.

- **Collagen:** Collagen is a very common long fibrous protein with remarkable chemical and mechanical properties. It has been used for many years as a basic raw material for several applications, as well as for sausage casings. Among others, it is used in the fields of biomedicine and cosmetics, as well as applications in the food industry. It is also the basic material used in the extensive gelatine industry. The corium, or inner part of the skin of cattle, is mainly used to produce collagen casings since it is very rich in collagen.

- **Abaca paper:** This is obtained from a herbaceous plant called Musa textilis. Paper made from its fibres has a high mechanical and moisture resistance and is used at Viscofan to produce fibrous casings. Other industries also use abaca fibre to produce high-quality paper and non-woven textiles for various uses such as tea bags, paper money and filters.

Plastic polymers: Plastic casings are obtained by treating different plastic polymers widely used in various industries. The most commonly used polymers are polyethene, polypropylene and polyamides.

Chemicals used as auxiliaries in the production of different types of casings, the most relevant are caustic soda and glycerine.

Packaging

Viscofan's business model is characterised by the sale of ingredients or auxiliary raw materials in large volumes to food production companies so that the packaging sent by Viscofan to the customer is not individualised by product or unit of use. For this reason, packaging is a reduced cost and has not been identified as a relevant aspect within Viscofan's materiality matrix, which, moreover, does not end at the final consumer. The majority by relevance and weight are caddies, boxes, and pallets, mostly of renewable origin, being packaging used to protect the quality and safety of the casings sent to the customer.

Furthermore, in terms of raw materials, a part of these use reusable packaging, such as the containers that store the collagen skins; another part is biodegradable and recycled, such as the cardboard containing the cellulose paper; and to a lesser extent, other packaging is of synthetic origin, for which Viscofan promotes the recycling of these as far as possible.

Efficient management and waste circular

Viscofan is constantly searching for a more efficient production technology that allows, among other things, a reduction in production waste. Furthermore, as established by the Environmental Policy, the concept of circular economy is included in the decision-making processes on investments and in the planning and execution of activities.

The production of casing is an ongoing process whose characteristics mean that waste will be generated throughout, notably, viscose, collagen mass and discarded casing in the converting process. Likewise, associated with environmental management at the water purification plants and the gas treatment facilities, the Group generates a material amount of waste.

To manage the waste generated, we use disposal methods that have been determined locally based on local regulations and good practices within the Group, considering the characteristics of the production process and the raw materials used.

The trend in waste by typology is as follows:

In tonnes	2022	2021	2020	2019	2018
Recovered	37,345	29,400	26,648	22,673	25,755
Disposed	31,492	34,010	30,696	26,634	27,668
Total waste	**68,837**	**63,410**	**57,344**	**49,307**	**53,423**

In 2022, the tonnes of waste increased by 8.6%, mainly due to the higher level of casing production and the start-up process of new production machinery, which is associated with an occasional rise in waste that normalises once the learning curve is completed.

As part of the Sustainability Action Plan, a special effort is being made to identify waste and search for recovery alternatives, as well as to prevent waste from ending its life cycle in landfills or incineration. In addition, waste managers are being asked to identify the final destination of the waste better, making it possible to reduce the classification of Other (waste managed by third parties pending classification of its final destination) and to assign it to the different waste

categories according to its final destination. Furthermore, the Executive Sustainability Committee agreed to raise the bar in the waste management targets, extending the 30% reduction target compared to 2018 levels for waste that is considered disposed of, i.e. destined for landfill, incineration or to a third party that does not identify a final destination.

As a consequence of better identification of the final destination of waste, the tonnes of waste reported to landfill has increased, and the tonnes reported in the "Other" category has been significantly reduced.

In tonnes	2022	2021	2020	2019	2018
Incinerated	3,314	4,009	4,035	3,902	3,989
Landfill	27,918	23,192	20,700	18,706	20,734
Other	260	6,809	5,960	4,026	2,945
Total waste disposed	**31,492**	**34,010**	**30,696**	**26,634**	**27,668**

In addition, work is being done on the further valorisation of waste by increasing the reuse of products, or the recycled use of waste after the corresponding transformation, such as composting or energy recovery as a thermal source:

In tonnes	2022	2021	2020	2019	2018
Reused	6,216	7,966	3,333	2,892	3,412
Recycling	7,299	6,393	5,142	5,103	7,069
Composting	16,107	12,995	17,173	13,694	14,029
Energy recovery	7,723	2,045	1,000	984	1,245
Total waste recovered	**37,345**	**29,400**	**26,648**	**22,673**	**25,755**

As part of its commitment to efficient and circular waste management, Viscofan is implementing and analysing the implementation of projects in different subsidiaries. In this area, it is worth highlighting the following:

- In Cáseda (Spain) permits have been obtained for installing an energy production centre that uses biomass from our cellulose waste as fuel, contributing to improving the circular economy by obtaining renewable energy from our production processes.
- A recycling programme for packaging has been implemented at the Montgomery converting plant.
- In Serbia, the process of feeding and unloading materials has been modified to reduce waste. Work has also been carried out in this country on implementing a quality process using artificial intelligence that enables better use of resources and waste reduction.

The following is a breakdown of the categorisation of waste according to its destination and hazardousness:

	2022			2021		
In tonnes	Non-hazardous	Hazardous	TOTAL	Non-hazardous	Hazardous	TOTAL
Recovered	31,802	5,543	37,345	28,206	1,194	29,400
Disposed	28,950	2,542	31,492	27,424	6,586	34,010
TOTAL	**60,752**	**8,085**	**68,837**	**55,630**	**7,780**	**63,410**

Moreover, the Viscofan Group has implemented an environmental management system to prevent spillages and leaks, in which it has established management mechanisms and technical control elements. There were no spills or leaks at Viscofan Group facilities in 2022 that had to be reported to the competent authorities, understood as those that cause damage to the external environment of the facility.

Commitment 2030 to reduce waste disposal

As a signatory member of the United Nations Global Compact, Viscofan is committed to SDG 12. Responsible consumption and production. Viscofan's commitment has taken the form of a target with a 2030 horizon and a 2018 base for reducing non-circular waste.

Initially, the objective was focused on the reduction of waste destined for landfill, although, in the course of the 2022-2025 Sustainability Action Plan, the requirement has been increased in accordance with a greater identification of the destination of the waste, incorporating the objective of reducing everything that is not recovered, so that by 2030 there should be a 30% reduction in the tonnes of disposed waste out of a million extruded metres.

The variations in the ratio on a baseline of 100 for 2018 are as follows:

Base 100 year 2018	2030 Commitment	2022	2021	2020	2019	2018
Tonnes of waste disposed/Metres extruded	70	89	102	100	97	100

2.3.5. Responsible supply chain management

In a world where consumption habits can lead to the use of unsustainable materials, at Viscofan, a very significant part comes from raw materials considered to be renewable, i.e. of natural origin, or are biodegradable or come from raw materials that have already been recycled. Thus, 81% of our revenue comes from the sale of casings with these characteristics.

However, Viscofan also considers how sustainability issues impact not only on its own operations but also along the value chain: raw materials, packaging and helping customers with their sustainability challenges.

Raw materials

Viscofan has the following sustainability commitments for both renewable raw materials and the rest:

- **Cellulose and abaca pulp:** All our suppliers are certified by the international (PFEC and FSC) certification programme, which ensures that the cellulose they obtain comes from sustainably managed trees and forests and, therefore, does not contribute to the deforestation of the planet.
- **Collagen:** Our collagen casings are a good example of a circular economy in the world of casings, as the cowhide is used for recovery in the food industry. In addition, Viscofan seeks as far as possible to contribute to animal welfare under strict controls and by working with European leather suppliers that comply with animal welfare codes.
- **Plastic:** In 2022, the development and processing of plastic have continued to progress in accordance with the 3R rules (reduce, reuse and recycle), and measures have been taken in favour of a circular economy:
  - *Reduce:* The possibility of reducing the thickness of the main references of plastic casings and other packaging by 2% without affecting their properties has been investigated and achieved. With this project, Viscofan has saved 66.2 tonnes of plastic raw material.

    Work on this axis has also reduced the thickness of the adhesive layer by more than 10% in multilayer plastic casings through improvements in process control and product redesign, a project started in 2021 at the Czech Republic plant and extended to Brazil in 2022, achieving savings of 11.6 tonnes of plastic materials.
  - Reuse and recycle: eFAN casing, which contains up to 95% recycled or bio-based plastic material, has been commercially promoted in 2022.

    Likewise, and in line with the promotion of the eFAN casing, by the end of 2022 Viscofan had 32,000 tonnes of recycled or renewable plastics in its warehouses.

    Also, in 2022, Viscofan's Plastics division achieved ISCC PLUS recertification of all plastic extrusion and plastic converting facilities.
- **Vegetable proteins:** This raw material used for the veggie casing is a GMO (Genetically Modified Organism) free product.

Packaging

Viscofan works with the ambition to make responsible use of and minimise as much as possible the packaging of raw materials and the final product by promoting the circular economy. In recent years, concepts of reduction, reuse, redesign and recycling are being used in the packaging management strategy. The main initiatives implemented during the year are:

On the cardboard caddies used for the collagen casings, a project has been carried out and implemented in cooperation with the supplier to reduce the amount of cardboard by about 20% while maintaining the strength of the packaging.

Reduction in the number of pallets and associated packaging by optimising the number of metres of casing per pallet surface area.

In the EMEA region, Viscofan has provided a solution to a customer's logistical problem thanks to a new packaging that has enabled them to stack four carton heights, eliminating an intermediate pallet, while remaining stable during handling by warehouse and shrink-wrapping personnel.

Customers

With our developments, we seek to help customers meet consumer needs and achieve greater sustainability in their production processes, providing them with products with greater production efficiency that generate less food waste and, in addition, enable the reduction of CO_2 emissions during their processing.

Key achievements in 2022 at the product level to help customers with their sustainability challenges have been:

- In the New Business division, work has been done on reducing the thickness of the plastic casings, achieving a product with the same properties and with less need for raw materials.
- Cellulose casing with transfer of annatto, a spice used as a food colouring. It is a solution that makes life easier for our customers, allowing a more efficient application of the spice with less waste.
- Promoting and increasing growth in value-added transfer plastics as a sustainable alternative that allows customers to reduce specific cooking cycles and their products' carbon footprint.

2.3.6. European taxonomy for environmentally sustainable economic activities

In accordance with the European Union's environmental taxonomy criteria, around 93% of Viscofan's revenue has no significant impact on climate change, with the only eligible transition activity being the co-generation of heat/cold and electricity based on natural gas, where the technical alignment requirements need further development of the green hydrogen industry to facilitate fossil fuel substitution in line with the pioneering decarbonisation work that the Group is carrying out in Spain.

Foundation

In its notification dated 8 March 2018, the European Commission published its “Action Plan: Finance sustainable growth”, with which it commences an ambitious integral strategy with which it endeavours to ensure that the finances become an essential driver to move towards an economy that guarantees compliance with the objectives of the Paris Agreement and the agenda 2030 of the European Union (EU) for Sustainable Development.

In this context, the package of measures presented defines ten specific actions, one of the main objectives of which is to redirect the capital flows towards sustainable investments. As a result of the first of these actions, the Taxonomy Regulations were published, Regulation (EU) 2020/852, which endeavours to establish a classification system which, based on objective criteria, determines which economic activities are sustainable.

The Taxonomy Regulations establishes six environmental objectives:

- Climate change mitigation
- Climate change adaptation
- The sustainable use and protection of water and marine resources
- The transition to a circular economy
- Pollution prevention and control
- The protection and restoration of biodiversity and the ecosystems

On 4 June 2021, the Delegated Regulation (EU) 2021/2139 was published on sustainable activities for the objectives to mitigate and adapt to climate change. Therefore, technical selection criteria were established to determine the conditions in which it is considered that an economic activity substantially contributes to these two objectives and to determine if such economic activity does not cause significant harm to any other environmental objectives.

Likewise, on 6 July 2021, the Commission adopted the Delegated Regulation (EU) 2021/2178, completing article 8 of the Taxonomy Regulation. This delegated act specifies the content, methodology and presentation of the information that must be disclosed to the financial and non-financial companies in relation to the proportion of environmentally sustainable economic activities with regard to its commercial, investment or lending activities.

On 9 March 2022, the European Commission published Delegated Regulation 2022/1214 amending Delegated Regulation (EU) 2021/2139 as regards economic activities in certain energy sectors and Delegated Regulation (EU) 2021/2178 as regards public disclosure of specific information on these economic activities.

In order to determine that an activity is "environmentally sustainable", it is necessary to start from the distinction established by the Regulation between two types of activities:

- Eligible activities: Those that significantly impact the achievement of any of the six environmental objectives set out in the Regulation, irrespective of whether that economic activity meets any or all of the technical selection criteria set out in those delegated acts.
- Aligned activities: Those that have a significant impact on the achievement of any of the six environmental objectives set out in the regulation and in addition:
    - Does not cause any detriment to the other environmental objectives set out in the Regulation.
    - It complies with technical selection criteria established by the Commission.
    - It is carried out in accordance with the minimum guarantees set out in Article 18 of the Regulation.

Analysis of implications for Viscofan

Eligibility analysis

The Viscofan Group has conducted an analysis to identify the eligibility of the Group's activities with respect to climate change mitigation and adaptation objectives.

From this analysis, it is concluded that:

- The manufacture and distribution of all types of casings for sausage and other applications; the manufacture and distribution of collagen-based products for food use and bioengineering have not been identified as having a significant impact on climate change. Therefore, they are not eligible for activities that are included in Annexes 1 and 2 of the Regulation that establish the technical selection criteria for determining the conditions under which an economic activity is deemed to make a substantial contribution to climate change mitigation or adaptation.

- Furthermore, the co-generation activity, which in the Viscofan Group consists of the sale to third parties of the electricity that the Group does not use in the production process of its main activity, is included in Annexes 1 and 2 of the Regulation as an eligible activity.

Alignment analysis

Viscofan has analysed the co-generation activity (eligible activity) based on the provisions of Annex 1 of the Regulation, which includes the criteria that this activity must meet to be considered as making a substantial contribution to climate change mitigation.

In this regard, the technical criteria for selection of substantial contribution set out in section 4.30 (High-efficiency co-generation of heat/cold and electricity from gaseous fossil fuels) of this Annex set a minimum level of greenhouse gas emissions for a cogeneration activity to be aligned that is technically impossible to achieve with the use of 100% fossil fuel, requiring the blending of non-fossil fuels and the development of new technologies that would allow such consumption.

In this respect, within the search for decarbonisation of its processes, Viscofan is being a pioneer, and in 2022, it has successfully completed for the first time in Europe the use of green

hydrogen as fuel in a co-generation. In addition, although a regular, continuous supply of green hydrogen is not currently available, Viscofan has already installed two co-generation engines with the capacity to partially use green hydrogen and thus be prepared for a rapid transition when such a supply becomes available.

Based on these requirements, the main key performance indicators have been calculated in accordance with the EU Delegated Regulation of the Commission supplementing Regulation (EU) 2020/852 of the European Parliament and of the Council by specifying the content and presentation of information to be disclosed by companies subject to Articles 19a or 29a of Directive 2013/34/EU with respect to environmentally sustainable economic activities, and the specification of the methodology for complying with the disclosure obligation with regard to the presentation of information on environmentally sustainable economic activities.

Calculation of indicators

Calculation of the key performance indicator on revenue

To calculate the indicator, the accounts required by the Regulations have been identified in the denominator, with revenue being the amount included as "Sales and rendering of services" (see note 20 of the Notes to the Consolidated Financial Statements).

For the calculation of the numerator, the amount of sales and services of the eligible activities has been used.

Calculation of the key performance indicator for capital expenditure (CapEx)

To calculate the CapEx indicator, the denominator includes total investments in intangible assets, investments in property, plant and equipment and investments in assets for rights of use of the Viscofan Group, see notes 5, 6 and 7 of the Notes to the Consolidated Financial Statements.

For the numerator, projects carried out during the year that can be considered as eligible activities for the CapEx indicator, as indicated in Article 8 of the Regulation, are taken into account.

Calculation of the key performance indicator for operating expenses (OpEx)

To calculate the OpEx indicator, the Viscofan Group's accounting accounts for research and development expenses, building renovation measures, short-term leasing expenses and maintenance and repairs or expenses to ensure the proper functioning of the assets have been identified. The sum of these accounts is the denominator.

For the numerator, the breakdown of the accounts by Cost Centre has been extracted by analysing the nature of the expenditure in order to identify whether it is associated with an eligible activity as indicated in Article 8 of the Regulation.

The tables with the calculations of the indicators can be found in the Annex Tables of environmental taxonomy indicators of this Consolidated Management Report.

This Annex also contains the standardised templates for the information referred to in Article 8(6) and (7) of Delegated Regulation (EU) 2022/1214 of 9 March 2022 for the applicable key performance indicators on fossil gas activities.

2.4. Social Pillar

2.4.1. Work management

People are the differential value on which the future of Viscofan is built. Over 5,300 employees in 20 countries constitute an extraordinary human wealth. People management is key to achieving our goals and that is why we want to attract and develop the best team in the industry.

Material aspects

- Diversity, equality and non-discrimination
- Health and safety
- Quality in employment
- Salary gap
- Training

Our commitment to Sustainable Development Goals. Procedural pillar

SDG 8. Decent work and economic growth	Ensure decent working conditions for all company employees, with non-discriminative hiring. Likewise, Viscofan maintains its commitment to create ongoing employment.
	We back the promotion and professional development of our teams, especially among young people. We inform employees of the opportunities and processes that arise at the company so that they can opt for new goals and challenges.
	Guaranteeing freedom of association and collective bargaining.
	Creating a stable working environment, supporting full-time permanent contracts, in a climate of respect and non-discrimination. 88% of our workforce have permanent contracts.
	Encouraging youth employment through recruitment and internship programmes. Almost a third of our workforce is under 35.
	Having occupational health and safety management systems at all the company's factories. We set the target of reducing the accident rate by 50% with respect to 2030.
	Maintaining public-private partnerships with universities to carry out projects that contribute to sustainable economic growth.

2022 highlights

- In 2022, there was a 4.6% increase in the group's average workforce due to the recruitment needs associated with increased production capacity.

- The percentage of women in managerial positions continues to increase, rising to 19.6%, although it is still far from the 30% target for 2030.
- In a context of increased production activity, the Group's accident rate increased from 0.20% in 2021 to 0.26% in 2022, although it is below the average of the last five years.

Human team

Viscofan is made up of a large team of professionals in 20 countries where the company is present, reflecting its marked international character and a multicultural, competitive, qualified team in constant training, which shares solid values and ethical principles, despite having different cultures. In short, a rich and complex multicultural environment, which is both a challenge and an opportunity for the international development for all employees.

People

The average workforce in 2022 amounted to 5,317 people, a rise of 4.6% (234 people) compared to the average workforce reported the previous year, due to the hiring needs to deal with production increases. Of this workforce, 3,783 are men (3,612 in 2021), and 1,534 are women (1,471 in 2021).

At 2022 year-end, the workforce comprised 5,510 employees (up 6.3% on the workforce at 2021 year-end), of which 3,899 are men (3,688 in 2021) and 1,611 women (1,494 in 2021).

The breakdown of the average workforce by country and their coverage by collective agreements is as follows:

	2022				2021			
Breakdown of the average workforce by country	Men	Women	TOTAL	% covered by agreement	Men	Women	TOTAL	% covered by agreement
Spain	689	253	941	66%	644	226	870	68%
Czech Republic	374	294	668	100%	367	280	647	100%
Serbia	437	237	674	100%	406	223	629	100%
Germany	484	80	564	81%	473	76	549	81%
Belgium	59	12	71	100%	58	10	68	100%
France	7	7	14	100%	7	8	15	100%
United Kingdom	10	2	12	0%	6	8	14	0%
Russia	4	2	6	0%	4	2	6	0%
EMEA	2,064	886	2,950	**85%**	1,965	833	2,798	86%
China	227	151	378	0%	211	142	353	0%
Australia	57	18	74	39%	55	14	69	42%
Thailand	6	9	15	0%	8	5	13	0%
New Zealand	4	3	7	0%	10	2	12	0%
Japan	1	0	1	0%	-	-	-	-
India	0	1	1	0%	-	-	-	-
APAC	**295**	**182**	**476**	**6%**	**284**	**163**	**447**	**6%**
US	436	170	606	48%	418	184	602	51%

Mexico	521	115	635	73%	464	93	557	69%
Canada	38	16	54	0%	59	30	89	0%
Costa Rica	6	8	14	0%	8	8	16	0%
NORTH AMERICA	1,001	309	1,310	**58%**	949	315	1,264	55%
Brazil	355	145	500	100%	344	146	490	100%
Uruguay	68	13	81	95%	70	14	84	95%
SOUTH AMERICA	423	158	581	**99%**	414	160	574	99%
TOTAL	3,783	1,534	5,317	**73%**	3,612	1,471	5,083	73%

As part of Viscofan's internationalisation strategy, every year, various initiatives are implemented in the area of international mobility to strengthen the exchange of the Group's best practices to all subsidiaries through benchmarking. In fact, there are numerous projects to share knowledge between the various production plants and to develop specific global training seminars for Group workers.

Since the outbreak of the COVID-19 pandemic in 2020, the Group has had to adapt to the difficulties and constraints inherent in this situation. However, international mobility within the Group remained stable, with an average of 34 employees that participated in international projects and which were posted abroad for long durations (38 in 2021). Likewise, short trips were adapted to the travel guidelines and the travel restrictions imposed by the company. Faced with this scenario, Viscofan reinforced investment in technology and new digital tools to overcome travel restrictions and reduce the risk and the associated economic and environmental costs.

In this regard, it should be noted that 65% of the top local managers in the countries where Viscofan has a production or commercial company are recruited from the local community, i.e. they were born in the country where they hold their position.

Age

The team combines young talent and experience. The average age of the staff is 41 years. Of the total of the average workforce, 32% are people under 35 years old, 43% are between 35 and 50 years old, and 25% are over 50 years old.

	2022			2021		
Breakdown of average workforce by age	Men	Women	Total	Men	Women	Total
17-34 years old	1,199	516	1,715	1,099	499	1,598
35-50 years old	1,557	705	2,262	1,482	665	2,147
More than 50 years old	1,027	313	1,340	1,031	307	1,338
TOTAL	3,783	1,534	5,317	3,612	1,471	5,083

	2022			2021		
Average workforce by age and contract type	Permanent Contract	Temporary Contract	TOTAL	Permanent Contract	Temporary Contract	TOTAL

17-34 years old	1,314	401	1,715	1,272	326	1,598
35-50 years old	2,062	200	2,262	2,004	143	2,147
More than 50 years old	1,296	44	1,340	1,299	39	1,338
TOTAL	4,672	645	5,317	4,575	508	5,083

Likewise, in line with the rules of the International Labour Organisation that appear in the Conventions 138 and 182 on child labour, Viscofan does not employ children under 14.

Hiring and professional category

Our business model has a marked industrial nature: 51% of those working at Viscofan are operators, and 17% are specialised personnel. Within this industrial context, Viscofan is committed to stable quality employment, and 88% of the workforce have permanent contracts and 99% are full-time workers.

	2022			2021		
Average workforce. Type of contract	Men	Women	TOTAL	Men	Women	Total
With permanent contract	3,372	1,300	4,672	3,274	1,301	4,575
Temporary contract	411	234	645	338	170	508
TOTAL	3,783	1,534	5,317	3,612	1,471	5,083

	2022			2021		
Average workforce. Workday type	Men	Women	TOTAL	Men	Women	Total
Full-time contract	3,749	1,505	5,254	3,577	1,439	5,016
Part-time contract	34	29	63	35	32	67
TOTAL	3,783	1,534	5,317	3,612	1,471	5,083

	2022			2021		
Average workforce by category	Men	Women	TOTAL	Men	Women	TOTAL
Management	107	26	133	101	22	123
Technicians and Department Heads	932	357	1,289	896	341	1,237
Administrative personnel	54	178	232	57	176	233
Specialised personnel	699	230	929	670	229	899
Workers	1,991	743	2,734	1,888	703	2,591
TOTAL	3,783	1,534	5,317	3,612	1,471	5,083

	2022			2021		
Average workforce by category and type of recruitment	With permanent contract	Temporary contract	TOTAL	With permanent contract	Temporary contract	TOTAL

Management	132	1	133	121	2	123
Technicians and Department Heads	1,213	76	1,289	1,197	40	1,237
Administrative personnel	207	25	232	215	18	233
Specialised personnel	823	106	929	813	86	899
Workers	2,297	437	2,734	2,229	362	2,591
TOTAL	4,672	645	5,317	4,575	508	5,083

	2022			2021		
Average workforce by category and part-time	Men	Women	TOTAL	Men	Women	TOTAL
Management	1	0	1	1	0	1
Technicians and Department Heads	10	6	16	11	6	17
Administrative personnel	2	8	10	2	8	10
Specialised personnel	4	6	10	3	7	10
Workers	17	9	26	18	11	29
TOTAL	34	29	63	35	32	67

	2022			2021		
Average workforce by age and part-time	Men	Women	TOTAL	Men	Women	TOTAL
17 - 34 years old	7	8	15	7	8	15
35 - 50 years old	7	7	14	7	10	17
More than 50 years old	20	14	34	21	14	35
TOTAL	34	29	63	35	32	67

In a growing group, talent management policies such as selection and recruitment, training and career development are key to ensuring leadership continuity. In this regard, these areas are being promoted, updating talent management policies and developing internal employee communication channels (People channel) through which employees can access the company's job offers. Likewise, the attraction of talent is promoted through various Employer Branding activities, including the promotion of relations with different educational centres and the offer of internships at international level, for which the Viscofan Global Graduate Program has been created.

Viscofan aspires to be a company where the talent of its employees can develop and reach the highest level. In 2022, José Antonio Canales, CEO of the Group, received the Navarre Manager of the Year award from the Association for Progress in Management (APD) and Diario de Navarra. Previously, several of its corporate directors have been recognised with awards for the best professional career, as is the case of the Group's Financial Director and R&D Director.

Also, Viscofan has 1,137 employees with university degrees (1,061 in 2021), of which 44 had a doctorate (50 employees in 2021). A very high level of training that demonstrates Viscofan's rigorousness and the means used to achieve excellence in production and maintain the levels of innovation necessary in our activity.

Equality and work-life balance

Viscofan's employment environment enables the professional and personal development of all people that form part of the company, integrating them and allowing them to participate in the company's future regardless of their race, ethnic group, gender, sexual orientation, age, religion or nationality, among others.

The high percentage of men (71%) compared to women (29%) continues to be significant. A similar percentage to that of the companies in the sector.

Average workforce by gender and category	2022		2021	
	Men	Women	Men	Women
Management	80.4%	19.6%	82.1%	17.9%
Technicians and Department Heads	72.3%	27.7%	72.4%	27.6%
Administrative personnel	23.3%	76.7%	24.5%	75.5%
Specialised personnel	75.2%	24.8%	74.5%	25.5%
Workers	72.8%	27.2%	72.9%	27.1%
TOTAL	71.1%	28.9%	71.1%	28.9%

Commitment 2030: Promotion of female talent and professional development

Increasing the weight of the less represented gender is one of the challenges that we face, especially with respect to the retention, development and promotion of female talent. That is why we have set ourselves the target of 30% women in management by 2030.

Talent management identifies opportunities to incorporate the under-represented gender, both with internal and external candidates, in those positions that are foreseen in the future based on vacancies, growth opportunities or within the succession plan.

The trend in the objective is as follows:

Base 100 year 2018	2030 Commitment	2022	2021	2020	2019	2018
Percentage of women in executive posts	30%	19.6%	17.9%	14.8%	15.4%	15.6%

In 2021, the III Equality Plan for Viscofan SA and the I Equality Plan for Viscofan España SLU were approved, both with four-year terms (2021-2025), in which areas of improvement were detected, and different objectives were set to achieve equality and a work-life balance at the company, and the measures and/or actions were envisaged to obtain such balance in all the analysis areas detailed in RD 901/2020 which regulate the equality plans, as well as adding others that are considered fundamental to correctly develop and implement the plan and, in this regard, the Group has a negotiating committee charged with its promotion and follow-up.

This III Equality Plan of Viscofan SA is based on evaluating the previous plan, analysing the actions performed and implemented or pending performance. Likewise, since the end of 2020, unbundled data was gathered by gender, in line with the new legal regulations, pursuant to RD 901/2020 and RD 902/2020 on remuneration equality, thereby including a remuneration audit.

To promote diversity, Viscofan works with special employment centres in Spain and other countries to perform certain tasks that contribute to developing our production activity. It also employs people with disabilities. It also employs people with disabilities. The breakdown of this heading is as follows:

2022			2021		
Men	Women	TOTAL	Men	Women	TOTAL

No. of employees with disability	65	6	71	67	6	73

Furthermore, in the area of equality, Viscofan has joined the CEO alliance for Diversity, a pioneering initiative in Europe, in which a total of 81 male and female executives have participated in the whole of Spain. Following the mission of uniting the CEOs of the main companies around a common innovative vision of diversity, equity and inclusion, acting as promoters and ambassadors that help to accelerate the development of strategies that contribute to business excellence, the competitiveness of talent in Spain and the reduction of inequality and exclusion in the Spanish society. The participation of Viscofan in the alliance involves its presence at meetings and symposiums, all in line with the commitment to going into depth in our policies and strategies of diversity, equity and inclusion, seeking synergies among different member companies.

In addition, the Viscofan Group participates as a collaborating entity and a member of the Management Committee of the Observatory of Conciliation and Joint Responsibility of Universidad Pontificia de Comillas.

Viscofan's work centres contribute to human development, basing themselves on a culture and shared values, and where they offer conditions that facilitate collective talent, the exchange of ideas, innovation, contrasted opinions and shared initiatives.

The executive Sustainability Committee has analysed the tendency of the workforce by gender, monitoring the universal leave for the birth of children and the death of spouses and children, even in countries whose legislation does not provide for this, and no work disconnection policies were envisaged.

Employment and remuneration

Workers are a key part of the Viscofan Group's success and leadership. Their constantly evolving commitment and work and improvement represent a clear competitive advantage for the Group.

In 2022, the workforce was increased due to the need to create new capacity, while the efficiency and productivity improvements have enabled the earnings ratio per employee to be improved.

	2022	2021	2020
Average workforce	5,317	5,083	4,967
Revenue in Mn €	1,201	969	912
Revenue per employee (thousands of €)	225.9	190.7	183.6

The average workforce increased by 4.6% in 2022 as opposed to 2021, situating the net variation in employment[1] at 234 people. The net variation in employment by category, gender and age is broken down as follows:

Net variation in employment	2022			2021		
Breakdown by age	Men	Women	TOTAL	Men	Women	TOTAL
Between 17 and 34 years old	100	17	117	34	20	54
Between 35 and 50 years old	75	40	115	42	23	65
More than 50 years old	-4	6	2	14	-17	-3
TOTAL	171	63	234	90	26	116

Net variation in employment	2022			2021		
Breakdown by category	Men	Women	TOTAL	Men	Women	TOTAL
Management	6	4	10	-3	4	1
Technicians and Department Heads	36	16	52	21	8	29
Administrative personnel	-3	2	-1	0	-2	-2
Specialised personnel	29	1	30	0	13	13
Workers	103	40	143	72	3	75
TOTAL	171	63	234	90	26	116

The importance of these stakeholders - the employees - can be seen in the generated and distributed value table. In 2022, employees received €236 million of the total value generated by the Group (€208 million in 2021).

The necessary training in the production process, the strategies for creating long-term value, and the high level of commitment of the people who make up our team are reflected in the voluntary redundancy rate of the average workforce for 2022, which stands at 3.5% (4.4% in 2021).

The Group's business activity requires adapting to various market needs in the different locations under criteria of competitiveness and efficiency, which in some cases, requires workforce reductions.

The breakdown of average redundancies by category, age and gender is as follows, having increased by 22.6% in a context of the reorganisation of operations in North America:

Average number of redundancies by category	2022	2021
Management	2	3
Technicians and Department Heads	17	12
Administrative personnel	4	9
Specialised personnel	15	3
Workers	65	57
TOTAL	103	84

[1] The net variation in employment is calculated as the difference between the 2022 average work force and the 2021 average work force.

Average workforce redundancies by age	2022	2021
Between 17 and 34 years old	55	30
Between 35 and 50 years old	32	34
More than 50 years old	16	20
TOTAL	103	84

Average workforce redundancies by gender	2022	2021
Men	76	57
Women	27	27
TOTAL	103	84

Remuneration

The contracting policy of the Viscofan Group is based on objectivity, equal opportunities and training, and one of its aims is to favour gender diversity, among other aspects. This implies competitive remuneration adapted to the capacities and competences of the different profiles required according to the industrial or commercial process and also according to the realities of the multitude of countries in which Viscofan is present.

Average annualised gross remuneration[2] expressed in euros per category and age is as follows:

Average remuneration (€)	2022	2021
Management *	219,816	127,103
Technicians and Department Heads	51,196	46,462
Administrative personnel	33,488	31,801
Specialised personnel	27,836	26,326
Workers	27,138	25,504
TOTAL	36,805	32,610

**Excludes executive directors' remuneration in 2022 and 2021*

Average remuneration (€)	2022	2021
17 - 34 years old	25,848	22,641
35 - 50 years old	33,999	30,848
More than 50 years old	59,254	50,860
TOTAL	36,805	32,610

The increase in average remuneration in 2022 compared to 2021, especially for directors and key personnel of the organisation, largely corresponds to the payment in this financial year of the long-term variable remuneration contemplated in the Long-Term Incentive Plan for the 2019-2021 period, whose objectives have reached a level of compliance of 102%.

Minimum wage paid in the country vs the legal minimum wage in the country:

[2] Gross remuneration excludes remuneration to executive directors, expatriates and those who cannot be standardised in an annual remuneration because of their special nature.

Minimum wage paid in the country vs legal minimum wage in the country (% difference over minimum wage)	
Spain	111%
Czech Republic	16%
Germany	87%
Serbia	5%
Belgium	65%
United Kingdom	52%
France	9%
Russia	N/A
China	5%
Thailand	103%
Australia	19%
New Zealand	19%
Canada	0%
US	47%
Mexico	36%
Brazil	86%
Uruguay	19%
Costa Rica	74%
Japan	N/A.
India	N/A

Within the area of remuneration, 73% of the company's employees are covered by general collective bargaining agreements, therefore improving the minimum conditions set by the different employment legislation. Collective Bargaining Agreements regulate the remuneration received by the workers who sign them, and in particular, establish criteria of equity between similar jobs, thus avoiding gender discrimination and the wage gap between equivalent jobs. The Group's average remuneration is €36,805 (€32,610 in 2021): €40,215 for men (€35,218 in 2021) and €28,525 for women (€26,168 in 2021). This difference in average remuneration corresponds to a multitude of factors, from the gender composition of the Group to its geographical presence, the different distribution of jobs, their level of specialisation, the night shifts for a continuous production process of 24 hours, danger and seniority bonuses, etc., which are in line with the industrial context, the composition of the workforce and the history of the Viscofan Group.

In order to be able to carry out internal monitoring of possible gender-based pay differentials, the guidelines of the job evaluation project carried out in Spain in 2021 have been followed, with the aim of identifying comparable grades, i.e. those which, due to the nature of the functions or tasks effectively entrusted, the educational, professional or training conditions required for their exercise, the factors strictly related to their performance and the conditions in which these activities are carried out, are equivalent. This analysis was performed with the help of the consultant Willis Tower Watson, which enabled up to 21 equivalent degrees to be identified within Viscofan.

Based on this experience, the equivalent in degrees was analysed internally for all the companies included in the scope of consolidation. Hence, the remuneration by degrees and gender was analysed in the different towns to identify salary gaps, understood to be the difference between the fixed salaries of men and women with respect to the fixed salary of men in each of its degrees. Based on this analysis, the Sustainability Committee can monitor the performance of this indicator in the most significant degrees and therefore be able to establish the measures for its improvement.

The result of this analysis is summarised in the salary gaps per country, understood to be the weighted average of the remuneration differences between the salary of men and women with respect to all female employees of that country:

	2022	2021	2020
Grade	GPG avg by Company/ Grade (Weighted Female)	GPG avg by Company/ Grade (Weighted Female)	GPG avg by Company/ Grade (Weighted Female)
Germany	11.0%	7.3%	14.2%
Australia	7.8%	2.7%	7.8%
Belgium	0.0%	-1.9%	2.1%
Brazil *	12.7%	17.1%	16.3%
Canada *	1.2%	12.7%	13.7%
China	10.8%	6.8%	17.0%
Costa Rica	-84.5%	-2.7%	-27.2%
Czech Republic	9.3%	11.9%	15.0%
Spain	8.8%	11.2%	9.9%
France	1.3%	6.0%	11.9%
Mexico *	6.9%	15.3%	15.6%
New Zealand	4.8%	-2.4%	19.9%
Russia	4.3%	5.1%	3.3%
Serbia	5.6%	2.6%	4.2%
Thailand	-16.1%	25.5%	24.0%
United Kingdom	-9.9%	-22.9%	-35.6%
Uruguay	6.1%	5.1%	11.1%
US	19.4%	12.6%	13.1%

* Excludes workplaces with a gender representation of less than 5%.

If we compare the last two years, the most significant changes in the wage gap have occurred in Costa Rica (-84.5% in 2022 vs -2.7% in 2021), Thailand (-16.1% in 2022 vs 25.5% in 2021) and the UK (-9.9% in 2022 vs -22.9% in 2021), commercial branches with small staff sizes and individualised salary conditions. In addition, to provide comparable information, the table presented excludes from the calculation those centres where one of the two genders is under-represented (less than 5% of the workforce), which is the case in Brazil, Canada and Mexico.

The individual remuneration of all members of the Board of Directors is detailed in the Annual Report on Remuneration in section 4. of this Directors' Report.

Moreover, the Group makes contributions to various defined benefit plans. The significant information is set forth in note 14 to the consolidated financial statements.

Professional development

We promote people's personal and professional development through different initiatives that allow us to manage knowledge and take advantage of employees' abilities to achieve the group's objectives.

Likewise, the industrial nature of Viscofan requires combining a large number of operators with specialised staff. This is an increasingly demanding and global industry in terms of requirements,

which requires greater knowledge and expertise of the workforce. To take on this challenge, the Group constantly invests in staff capabilities, added to the continuous training effort carried out in the organisation.

Continuous training is one of Viscofan's primordial goals for its personnel, thereby boosting personal and professional development. The methodology has changed, with training through e-learning platforms, both at the corporate and local level, which have allowed continuity to be given to training activities that could not be given face-to-face. Over the past year, work has been carried out on the development of Viscoacademy, with the aim of housing all the group's training on a single platform, thus promoting knowledge sharing.

As part of this continuous training, February 2022 saw the start of the global roll-out of the Leadership Programme, an education and training programme aimed at establishing a common leadership model in the Group aligned with the company's values. The Leadership programme consisted of 4 different sessions, in which Viscofan leaders had the opportunity to learn tools and be trained in competencies such as: Viscofan DNA, constructive feedback, communication with the manager, and teamwork. Over the past year, several sessions of the Leadership Programme were completed in 10 of the 11 countries where deployment was envisaged (the COVID-19 situation forced the postponement of the programme's deployment in China, where it is scheduled to take place in the first half of 2023).

The Transversal Leadership Programme was also launched last year, aimed at people who, although they do not have a hierarchical team, need to drive and manage people in the organisation to achieve the desired objectives, mainly with regard to transversal projects.

For all this commitment to human capital training, the group has invested €1.4 million (€1.4 million in 2021), of which €0.26 million (€0.3 million in 2021) correspond to training and explicit awareness in health and safety (more information in the workplace safety section).

	2022			2021		
Training	Men	Women	Total	Men	Women	Total
Number of hours	43,221	24,496	67,717	37,385	19,333	56,718
Average number of hours per employee	11.4	16.0	12.7	10.4	13.1	11.2
% of employees who have received training	93.9%	95.1%	94.3%	89.0%	88.1%	88.7%

Within the training plan, subjects related to aspects of human rights have been addressed, such as the use of non-sexist language, corporate social responsibility, gender equality and sexual harassment, for a total of 3,539 hours, compared to the 4,933 hours invested in 2021.

The number of training hours by category are broken down as follows:

	2022			2021		
Training. Number of hours by category	Men	Women	Total	Men	Women	Total
Management	1,581	997	2,578	972	498	1,470
Technicians and Department Heads	17,664	10,160	27,825	14,773	6,627	21,400
Administrative personnel	654	3,972	4,626	644	2,042	2,686
Specialised personnel	6,937	4,561	11,497	6,720	6,032	12,752
Workers	16,385	4,806	21,191	14,276	4,134	18,410
TOTAL	43,221	24,496	67,717	37,385	19,333	56,718

The total number of hours spent on training reported in 2022 has increased by 19% compared to the previous year.

Facilitating training is one of the most effective measures to encourage professional development within the Group. The new processes and vacancies at Viscofan are notified internally so that the people that wish to can set themselves new challenges and goals at the company itself, strengthening and preserving the talent of the human team.

Looking towards promoting employment, the Group also fosters participation in the main universities of the countries in which it carries on its activities. Within the objective of attracting and developing talent, in 2022, there were an average of 44 internships (51 in 2021).

In line with the results from the Work Environment surveys, the purpose of the Viscofan Group is to forward development of a personal high-performing culture and evaluate the established objectives through a performance assessment process. In particular, performance assessment is an ongoing process of planning, monitoring and evaluating the objectives that are defined by each head with each team member. This methodology improves the professional capacity of each person and aligns individual expectations with the strategy and objectives as a company.

In 2022, 44% of the Group's staff was subject to a performance assessment process, compared with 40% in the previous year. The breakdown by gender and professional category is as follows:

	2022				2021			
Performance assessment	Men	Women	TOTAL	% average workforce	Men	Women	TOTAL	% average workforce
Management	98	23	122	92%	90	13	103	84%
Technicians and Department Heads	605	218	823	64%	536	211	747	60%
Administrative personnel	28	87	115	49%	28	79	107	46%
Specialised personnel	220	102	322	35%	209	100	309	34%
Workers	660	294	954	35%	575	189	764	29%
TOTAL	1,611	723	2,335	44%	1,438	592	2,030	40%

In line with the development of a high-performance culture, in 2022, Viscofan implemented a more digital and collaborative workspace at the whole Group, the Modern Workspace, through the implantation of innovative solutions that adapt to the different user profiles at Viscofan (personnel at offices, at the factory or commuting), and which will enable the teams to work more effectively thanks to the adoption of new tools, platforms and work methodologies.

The Group promotes bilateral evaluation through the implementation of multi-year global opinion surveys (Viscofan Opinion Survey). In this regard, the fourth Viscofan Group opinion survey was carried out in 2022 with a response rate of 68%. Two key dimensions were explored throughout this survey: “Engagement” and “Enablement”. In the “Engagement” dimension, which refers to the employees' commitment to the company, the result obtained indicated that 67% of the participants in the survey feel committed to Viscofan. The “Enablement” dimension analyses whether the skills and competencies of Viscofan employees are adequately used in their work, as well as whether the working environment is conducive to their performance. In this case, the result obtained indicated that 66% of the participants consider that their role and environment allow them to develop their skills and perform the functions of their position adequately. The results of the survey have enabled Viscofan's strengths and areas for improvement to be identified in collaboration with Korn Ferry, an international organisational consultancy firm.

Occupational safety

Viscofan works with the belief that it is possible to avoid all occupational accidents. Hence, it not only ensures that its facilities are safer but also that its staff throughout the whole Group are aware of the fundamental importance of safety issues. A reality that was doubly imposed in 2022, due to the urgent need to protect the teams at all locations at which Viscofan is present and to ensure strict compliance with the prevailing safety measures with respect to COVID-19.

Corporate workplace safety policies are overseen by the Operational Sustainability department, in close collaboration with the corporate and local Human Resources departments. To a large extent, this coordination has enabled the immediate application at all subsidiaries of

the safety measures and protocols to prevent and minimise cases of COVID-19 among the workforce, which has permitted Viscofan to maintain its production activities at its factories.

It has boosted measures and investments to improve the employment conditions of our workers and to obtain reliable and consistent indicators to measure and compare performance in the various countries in which the Group operates. The best health and safety practices are thereby extended to the production centres.

Improvements in the field of occupational health and safety in 2022 include the following: the implementation of fire protection projects in Pando (Uruguay), Weinheim (Germany) and Ceske Budejovice (Czech Republic); the renovation of pleating machines in the group, including safety improvements; and the adoption of new collagen and cellulose extrusion technologies in the US plants, which will lead to significant improvements in health and safety conditions in both processes. In addition, the investigation of any incidents and the drawing of lessons for dissemination to the rest of the group is encouraged through monthly meetings of the corporate Operational Sustainability department with all subsidiaries.

For Viscofan, the material aspects that affect safety are essentially based on the characteristics of the position and the activities that are required. This explains the constant effort of Viscofan to standardise procedures and distribute them among the workforce with regard to the company's safety policy, providing workers in this regard with specific courses and information in their areas of work.

In order to carry out these initiatives, the Group has an Occupational Health and Safety policy which establishes the following relevant guidelines:

- Provide employees with a safe and healthy workplace.
- Identify and comply with applicable legislation and regulation in terms of Environment, Health and Safety (EHS) in each of the locations where the group does business, and any other voluntarily-acquired commitments of Viscofan to improve these areas.
- Ensure that management, employees and all staff working for the organisation (or on its behalf) are aware of this policy and are trained, according to their responsibilities, to comply with it.

Alongside this, certain specifications are determined within the collective bargaining agreements of the different locations in which the Viscofan Group is present in matters related to health and safety. In turn, the participation of employees in health and safety matters is guaranteed at all factories through health and safety committees (in which the company's risk prevention procedures are regularly and frequently consulted), suggestion boxes, as well as other communication channels established.

The performance of the health and safety indicators of the Viscofan Group is as follows:

	2022	2021	2020
Hours lost per accident	25,014	18,278	23,745

	2022			2021		
	Men	Women	Total	Men	Women	Total
Number of accidents	107	30	137	103	28	131
Occupational diseases	5	0	5	8	3	11

Accident rate [1]	0.28%	0.21%	0.26%	0.21%	0.17%	0.20%
Severity index [2]	0.34	0.26	0.32	0.29	0.14	0.25
Occupational accidents. Frequency [3]	15.9	9.3	14.1	15.3	10.9	14.2
Absenteeism rate [4]	4.83%	5.14%	4.92%	4.60%	6.00%	5.00%

1. Hours lost per accident / Hours worked
2. Number of equivalent days lost per accident per thousand hours worked
3. Number of accidents per million hours worked
4. Hours lost per illness or accident / Total hours worked

In 2022, the accident rate criteria were revised and standardised across the Group, indicating those occurring at the workplace and excluding those occurring in itinere and occupational illnesses. For comparable purposes, the same criterion is maintained for 2021 and 2022.

In 2022, the number of accidents in the group has increased (137 in 2022 vs 131 in 2021), as well as their severity, reaching a severity index of 0.32 (compared to 0.25 in 2021), below the 0.87 benchmark reported by the industrial sector in Spain in 2022. As for the accident rate, it has increased by 0.06 p.p. compared to 2021. The number of occupational diseases, however, has decreased considerably compared to last year (5 cases of occupational diseases in 2022 vs 11 cases in 2021).

Reducing the accident rate is one of Viscofan's priority objectives in the field of health and safety, which is why it has set itself the target of reducing the accident rate by 50% by 2030. The variations in the ratio on a baseline of 100 for 2018 are as follows:

Base 100 year 2018	2030 Commitment	2022	2021	2020	2019	2018
Accident rate	50	91	87	86	96	100

A reduction in the accident rate has also been set as an objective within the Long-Term Variable Remuneration Plan for Viscofan's senior management and key personnel, reflecting the number of hours lost due to accidents with respect to the total number of hours worked.

Training in accident prevention and about the importance of safe behaviour patterns is one of the cornerstones of health protection of our employees. This training includes basic prevention measures that have to be adopted in the workplace, or the importance of day-to-day heart-healthy habits, the role of middle-level management and the improvement of its leadership in safety. The breakdown of the number of hours of training in this area is as follows:

	2022			2021		
Health and Safety Training	Men	Women	Total	Men	Women	Total
Number of hours	14,039	3,306	17,345	16,253	3,061	19,314
Average number of hours per employee	3.7	2.2	3.3	4.5	2.1	3.8
% of employees who have received training	72%	70%	71%	69%	61%	68%

	2022			2021		
Formación en Salud y Seguridad	Hombre	Mujer	Total	Hombre	Mujer	Total
Número de horas	14.219	3.375	17.594	16.253	3.061	19.314
Número medio de horas por empleado	3,8	2,2	3,3	4,5	2,1	3,8
% de empleados que han recibido formación	72%	70%	71%	69%	61%	68%

In order to meet the organisation's occupational health and safety commitments as set out in the group's policy, our plants operate Health and Safety Management Systems based on the guidelines issued by the corporate department and certified according to the ISO 45001 standard, the international benchmark for occupational safety management systems. Most of our plants are currently certified or have plans for certification in the short term (2024).

The details of the Group's factories that already have these certificates is as follows:

Country	Plant	Certified	
Spain	Cáseda	ISO 45001	Yes
	Urdiain	ISO 45001	Yes
Czech Republic	Ceske Budejovice	ISO 45001	Yes
Germany	Weinheim	ISO 45001	Yes
Serbia	Novi Sad	ISO 45001	Yes
Belgium	Hasselt	ISO 45001	Yes
China	Suzhou extrusion	ISO 45001	Yes
	Suzhou converting	ISO 45001	Yes
US	Danville	*ISO 45001*	Planned for 2024
	Montgomery	*ISO 45001*	Yes
	New Jersey	*ISO 45001*	Yes
Mexico	San Luis	ISO 45001	Yes
	Zacapu	ISO 45001	Yes
Uruguay	Pando	ISO 45001	Yes
Brazil	Itu	ISO 45001	Yes
	Ermelino	ISO 45001	Yes

2.4.2. Taking care of the supply chain

With our products and global positioning we contribute to the nutrition and well-being of millions of people, which requires responsible management of the entire supply chain. From the selection of raw materials, the cooperation with our suppliers on efficiency, social and environmental challenges, to the relationship with our customers, helping them to meet the changing needs of consumers and solve their sustainability challenges, while facilitating food safety.

Material aspects

- Sustainable supply chain management
- Human rights
- Consumer health

Our commitment to Sustainable Development Goals. Procedural pillar

SDG 2. Zero hunger	We include in our portfolio products adapted to the standards of the Islamic religion (Halal) and to the standards of the Jewish religion (Kosher), taking into account the cultural particularities of our customers. We also manufacture products of vegetable origin for vegans and vegetarians. We design sustainable products that help to avoid food waste. Through our products, we provide more efficient and sustainable cold meat manufacturing processes, contributing in the long term to meeting the growing demand for food.
SDG 8. Decent work and economic growth	Through the Supplier Code of Conduct, Viscofan establishes a series of ethical, social and environmental commitments that all its suppliers must comply with.
SDG 12. Responsible consumption and production	Viscofan is committed to sustainability in the main raw materials used. Our production policy in proximity through a production presence of up to 19 factories contributes to reducing the impact of transportation on the environment. We have food safety and quality certifications. We promote energy efficiency throughout the value chain, developing packaging that minimises waste generation - such as gas emissions and wastewater generation, among others - during manufacturing and subsequent processing.

2022 highlights

- In the face of disruptions in global supply chains and accelerating growth in the casing market, Viscofan's strategy has been to collaborate and promote with key suppliers to secure and increase supply in order to keep plants operational and service customers.
- In January 2022, the Board of Directors of Viscofan S.A. approved the Viscofan Supplier and Intermediary Code of Conduct.
- In the Multi-Year Incentive Plan for the 2022-2024 period established for Viscofan's executive directors, managers and other key personnel, a target has been included for audits of compliance with Viscofan's Supplier Code of Conduct in the volume equivalent to 50% of purchases from suppliers of cellulose, collagen skins, cellulose paper and polyamide suppliers.
- 100% of our production plants are certified by the Global Food Safety initiative. In addition, 71% of the production plants have obtained the maximum mark (AA) in the BRC food safety certificate

Supplier relations

Viscofan expects suppliers to comply with applicable laws and to follow recognised environmental, social and governance standards. The Group also makes a global commitment to its suppliers and establishes relationships with them based on respect and trust, and on the quality of products and services,

As a result of this objective and commitment, Viscofan has implemented outstanding elements in supplier management:

Codes and policies:

Supplier Code of Conduct: approved in 2022 by the Board of Directors, seeks to extend Viscofan's culture to suppliers of goods or services in terms of compliance with applicable laws and generally accepted standards, ethical behaviour, labour practices, the environment, the legality of goods and raw materials, and respect for the communities in which they operate.

This Code has been sent to the main raw material suppliers in 2022 and their signed acceptance has been requested.

Sustainability Policy: This establishes commitments and actions for the responsible management of the supply chain from the point of view of human rights, respect for the environment and the fight against climate change.

Code of Conduct and Human Rights Policy: Viscofan rejects any type of child labour and, in accordance with this, a commitment similar to that included in our code of ethics is requested from suppliers.

Anti-Corruption Policy, which includes the company's commitment to fight against bribery and corruption, and establishes the dealings and commercial relationships with third parties.

Whistleblowing channel: All suppliers can contact the Viscofan Ethics and Compliance Committee through the channel provided for this purpose on the website.

Selection and approval

Viscofan has established a supplier approval system that ensures non-discriminatory treatment in the selection processes of suppliers and contractors while seeking to ensure their compliance with quality, safety and cost criteria.

In particular, the system for suppliers of raw materials and packaging includes a declaration of conformity with their performance commitments in accordance with internationally accepted ethical principles and human rights.

Moreover, all suppliers of raw materials, packaging and maintenance must approve an internal approval procedure consisting of verification, either in person or through the completion of a questionnaire. In both cases, among other matters, the following systems are assessed: quality management (ISO 9001, IFS), food safety management in the case of suppliers of raw materials (FSSC 22000, BRC Global Standard, BRC Packaging), occupational health and safety management (OHSAS 18001/ISO 45001), environmental management (ISO 14001) and human rights management (UN Global Compact, BSCI). In the specific instance of collagen, the acquisition of animal hide (mainly cows) is required. In Europe, this must comply with the European regulations on the welfare of animals at the time of slaughter.

Commitment to verification and compliance with the Supplier Code of Conduct

As part of the new 2022-2025 Sustainability Action Plan and on the basis of the Supplier Code of Conduct, a commitment has been made to conduct audits of compliance with the Code.

In this respect, within the multi-year incentive plan for the 2022-2024 period for Viscofan's executive directors, managers and other key personnel, the objective has been set to carry out audits on compliance with Viscofan's Supplier Code of Conduct in 2024 on a volume equivalent to 50% of purchases from suppliers of cellulose, collagen skins, cellulose paper and polyamide suppliers. This target has been extended to 100% by 2030.

Value creation and local suppliers

In addition, the Viscofan Group's activities in the countries in which it operates are geared towards value creation for all stakeholders, including suppliers. Thus, in 2022, the company allocated €739 million to reflect the distribution of value to suppliers of goods and services, and 52% of raw materials were purchased from local suppliers[3] (52% in 2021), which favours the economic development of the communities in which Viscofan is present.

Average Payment Period - Reporting Requirements in Spain

The payment period for the Viscofan Group during 2022 was 24 days (2021: 23 days), which is lower than the maximum established by payment arrears regulations.

Likewise, the monetary volume and number of invoices paid in a period lower than the maximum established in the late payment regulations and the percentage that they represent of the total number of invoices and of the total monetary payments to suppliers is detailed in note 15 of the Consolidated Annual Report.

Helping our customers grow

Our casings facilitate access to basic food to the world's population, achieve greater efficiency in production, following strict quality and food safety controls, and clarity in labelling. Listening to the customer is key to meeting these demands in order to offer them the most suitable product and to promote them in order to achieve a more sustainable industry.

Product safety and food hygiene

[3] Local suppliers are understood as those with a tax domicile in the same country where Viscofan makes the purchase.

In order to guarantee the excellence of products and services for both customers and for the end consumer at all times, Viscofan has a food safety system that covers all of these aspects: manufacturing facilities are built to food safety specifications, employees are trained in food hygiene and product safety, raw materials are tested for compliance with specifications previously agreed with certified suppliers, systems are in place to detect defective materials in the production system, pest control is implemented and policies are in place to monitor hazardous substances, personal hygiene and visitors.

These protocols configuring our product food safety and quality system are based on the following core principles:

Hazard analysis and critical control point. Viscofan has a hazard analysis and critical control point (HACCP) system in place. Hence, an inter-disciplinary team assesses every step of the production process to detect possible hazards (physical, chemical and microbiological pollution, including allergens), identify critical control points, establish relevant controls and take any required corrective action. The system is annually updated in line with any changes in the production process.

Compliance with the applicable laws. Casings manufacturing is becoming more tightly regulated, in the area of food safety, by countries and supranational institutions, making up a growing and constantly changing battery of rules. This regulatory framework directly affects the activity of different production plants due to laws in the country of origin and requirements in the receiving countries, and internationally recognised standards. For this work it has a specific department of Patents and Regulatory Affairs.

Product traceability and certification. Viscofan operates a product traceability system that enables us to identify, at any time and in full detail, the history of every unit and even sub-unit sold, from receipt of raw materials to product use by our customers. In Europe, Viscofan fully implements a food traceability system under Regulation (CE) 178/2002.

Audit and certification. To ensure that our product safety and food hygiene systems comply with requirements, our production processes are audited internally on a regular basis. Our production facilities are also continuously audited by the health authorities, numerous customers and certification authorities. In this regard, all the Group's plants are Global Food Safety Initiative (GFSI) certified, which is an initiative of key food industry partners working together to drive continuous improvement in food safety management systems around the world.

Viscofan also has internationally recognised certifications for meat processors to approve their suppliers and market their products in the world's main distribution chains, and as part of its commitment to food safety and hygiene, it seeks to improve on the marks obtained with these certificates. This effort and commitment has paid off in 2022, with 71% of the plants obtaining the maximum (AA) rating in the BRC food safety certificate, a considerable improvement compared to 40% five years ago.

Certificates that prove the organisation's commitment to product safety, health and quality at its work centres as well as in all the activities carried out around the world are shown below:

Country	Plant	Certifications	
		Food safety	Quality
Spain	Cáseda	BRC Pack	ISO 9001
		BRC Food	
	Urdiain	BRC Pack	
Czech Republic	Ceske Budejovice	BRC Pack	ISO 9001
		BRC Food	
Germany	Weinheim	BRC Food	ISO 9001
	Alfhausen	BRC Pack	
Serbia	Novi Sad	BRC Pack	ISO 9001
		BRC Food	

Belgium	Hasselt	BRC Pack	ISO 9001
China	Suzhou	BRC Pack BRC Food	ISO 9001
Canada	Montreal Moncton	BRC Pack BRC Food	
US	Danville Montgomery New Jersey	BRC Pack BRC Pack BRC Food FSSC 22000	ISO 9001
Mexico	San Luis Zacapu	BRC Pack BRC Pack	ISO 9001
Uruguay	Pando	BRC Food	ISO 9001
Brazil	Itu Ermelino	BRC Pack BRC Food BRC Pack	ISO 9001
Australia	Sidney	FSSC 22000	ISO 9001

The Viscofan Group is also Halal and Kosher certified. These certifications, referring to food products, are based on regulations that are key to servicing different markets and exploring new growth opportunities. The Halal certification is specifically designed for products sold in Muslim countries and Islamic communities, while the Kosher certification is a requirement for food consumption by the Jewish community.

In addition, within the New Business division, the Weinheim (Germany) plant has a Bioengineering unit with DIN ISO 9001 quality control certificates for the industrial production of collagen-based biomaterials and EN ISO 13485 for medical grade collagen products.

Customer satisfaction

2022 was a year of high logistic demand marked by the disruptions in the global supply chains, and also by the successive rises in COVID cases, especially in China. In this context, Viscofan has endeavoured to maintain excellence in customer service and care, supported by an ample geographical positioning that enables greater proximity and an extensive product portfolio. Customer satisfaction is, along with service quality and product safety, a fundamental objective for Viscofan. A commitment backed by what is reflected in an estimated 41% market share that has placed their trust in our products in 2022.

In this regard, the sales team has a satisfaction evaluation system that allows it to directly obtain customers' opinions by measuring mainly four parameters (product quality, delivery service, economic competitiveness and technical assistance). In the latest global survey conducted, a total of 322 questionnaires were sent out and an 80% satisfaction rate was obtained.

Likewise, Viscofan has a very comprehensive integrated complaints and claims system that facilitates dialogue and communication to record, identify, follow up and analyse any notification of dissatisfaction with the product or service provided by the Viscofan Group to its customers. It is a system of cross-sectional, continuous improvement in which the departments involved must analyse the cause of the dissatisfaction and provide the corrective actions that will be established in the organisation to avoid its repetition. Any dissatisfaction is analysed, making it possible to control both the material that is returned as a result of the complaints and compensations paid to customers.

In 2022, a total of 3,927 complaints were registered in our systems[4], including both service and administrative or product complaints, compared to 3,532 complaints in the previous year, and none were registered regarding customer data protection.

In addition, the Code of Conduct of the Viscofan Group establishes that “relationships with customers will be based on respect and transparency”. Therefore, commercial messages fall within principles of transparency and veracity where no subjective comparisons are made nor is information given when it conflicts with third-party rights. These procedural policies extend to all geographical areas where the Viscofan Group has a commercial presence.

In 2022, no penalties or complaints were filed for breaches relating to marketing notices or to the labelling of products and services, nor were there any incidents related to violations of customer privacy or the loss of data.

Sales team and technical assistance service

Viscofan has the largest commercial network in the industry and the level of service of its technicians is widely recognised throughout the market. As experts in artificial casings, we are the only company in the sector that has its own technology in the main families of casings and therefore offers a global and integrated service to customers, providing the casing option that best suits their needs.

Viscofan offers customers a Technical Support service, which is a competitive advantage and of great help to customers when deciding, from the wide range of casings, which one is adequate for the needs of each product. This work is of growing importance because our customers are not divided by technology, but rather they use various technologies for different products, depending on the degree of sophistication of the meat processor.

4 Does not include those third-party products converted and distributed by Viscofan Globus Australia and New Zealand

2.4.3. Local communities

In its Sustainability policy, the Viscofan Group has a firm commitment to Human Rights, undertaking to carry out its activities in a responsible manner and to generate positive impacts on the communities in which it operates. In this regard, in 2022, Viscofan implemented different social initiatives through the help of different bodies and institutions in the communities in which it is present, while collaborating with institutions or research centres.

Material aspects
• Human Rights • Local communities

Our commitment to Sustainable Development Goals. Procedural pillar	
SDG 2. Zero hunger	Donations to NGOs to fight hunger, especially in the context of the crisis generated by COVID-19 Development of specific products to combat malnutrition.
SDG 3. Good health and well-being	Grants for the improvement of health facilities and equipment in hospitals, senior citizens' centres, paediatric centres and centres for the care of disabled persons. R&D&i seeking solutions based on our knowledge for the development of Advanced Therapies in our Bioengineering division and food supplement products.
SDG 8. Decent work and economic growth	Working towards full, productive and decent employment for people with disabilities. Promote the formation and growth of microenterprises and SMEs for the creation of decent jobs. Support for public institutions in projects to promote local industry.

Commitment to our communities

The human rights principles and standards set out in the Agenda 2030 for Sustainable Development encompass a wide range of social, economic and environmental objectives. Of all of these, Viscofan has identified the Sustainable Development Goals (SDGs) where the company can generate the greatest positive impact, and to do so it has taken into account both the nature of its business activity and the corporate mission and vision.

The description of Viscofan's priority SDGs can be found in section 2.1.2 Business Model of this Management Report. Viscofan also contributes to other SDGs with projects to support local communities in several countries where it is present. As a whole, the amount earmarked in 2022 was €305 thousand (€288 thousand in 2021).

Within the projects, Viscofan contributes with donations to the improvement of facilities and health equipment in hospitals, senior citizen centres, paediatric centres and centres for the care of disabled people in various countries. In addition, donations are made to various NGOs to support local projects and micro-projects in the fight against hunger and poverty.

Below, are some of the initiatives that most stand out, by country:

Country projects	Description	Sustainable Development Goals
Spain		
Activities for the promotion, preservation and dissemination of culture and knowledge	Support for seminars to disseminate the culture and artistic heritage of Navarre, including sponsorship of the recovery of artistic works. Contributions to the creation of a new space to promote the training of students from different faculties, multidisciplinary and applied research into biodiversity and the environment and scientific dissemination.	SDG 4. Quality education SDG 17. Partnerships to achieve goals
Support for foundations for the promotion of local development and international relations	Support to foundations aiming at local and regional development, promotion of knowledge and support of international relations for job creation and dissemination of knowledge between countries.	SDG 4. Quality education SDG 8. Decent work and economic growth SDG 9. Industry, innovation and infrastructure SDG 17. Partnerships to achieve goals
Support to non-profit organisations	Financial contributions to various non-profit organisations providing funds for research in the fight against chronic diseases and supporting those who suffer from them.	SDG 3. Good health and well-being
Aid to NGOs fighting hunger and poverty	Financial and food donations for the fight against hunger and the effects of poverty, as well as the humanitarian crisis caused by the war in Ukraine.	SDG 1. End poverty SDG 2. Zero hunger SDG 10. Reducing inequalities
Germany		
Support for disadvantaged groups	Support for the reconstruction of the former farmhouse in Weinheim to accommodate families and orphans in view of the increased needs following the humanitarian crisis caused by the war in Ukraine. Donations to facilitate the distribution of food to people in need.	SDG 1. End poverty SDG 2. Zero hunger SDG 3. Good health and well-being
Actions for the promotion of sport and culture	Donation of sports equipment and funds for the practice of sport with special emphasis on the promotion of youth sport.	SDG 3. Good health and well-being SDG 4. Quality education

	Support for institutions promoting culture through music, ballet and performance, especially aimed at promoting culture among children and young people.	
Belgium		
Promoting responsible production and consumption	Donation for the installation of beehives in companies with the aim of increasing the bee population.	SDG 12. Responsible consumption and production SDG 15 Lives of terrestrial ecosystems SDG 13. Climate action
Aid to vulnerable groups	Support for Extravaganza Tour, a charity tour for abused children. Support for the De Kleine Vincent project to help families with children to buy healthy food.	SDG 2. Zero hunger SDG 3. Good health and well-being
USA		
Support to non-profit associations	Support for the Monogram Loves Kids Foundation to promote research into childhood illnesses. Financial contribution to the Young Life project aimed at children and young people.	SDG 1. End poverty SDG 3. Good health and well-being SDG 4. Quality education
Canada		
Support for medical research and health facilities	Donation to Harvest Meats to support their Health Foundation project by raising funds for the purchase of medical equipment for the ICU at Yorkton Hospital. Donation to the Centre de Pediatrie Sociale Laval to cover the medical care needs of sick children. Funds to support research into childhood diseases.	SDG 3. Good health and well-being
Aid to vulnerable groups	Donation in favour of people with disabilities. Donation of proceeds from a volleyball tournament to Osmow's Shawarma's Osmow's Hope Fund project to serve homeless shelters	SDG 1. End poverty SDG 2. Zero hunger SDG 3. Good health and well-being SDG 10. Reducing inequalities

	and food banks throughout the Toronto area and beyond. Support for SJ Fine Foods to fund education and home building in Africa and Asia.	SDG 17. Partnerships to achieve goals
Actions for the promotion of sport	Sponsorship of hockey team and financial contribution to cover competition costs.	SDG 3. Good health and well-being
Serbia		
Support for disadvantaged groups	Purchase of non-perishable food and hygiene items to be delivered to Ukrainians in need through the Ukrainian Embassy in Belgrade. Donation of a convection oven to Ukrainian refugees at the Vranje Refugee Centre (Serbia).	SDG 2. Zero hunger SDG 10. Reducing inequalities SDG 17. Partnerships to achieve goals
Donation to non-profit associations	Donation of money, sausages and hygiene items to Soup Kitchen, the Red Cross soup kitchens in Novi Sad, and to the Children's Village in Sremska Kamenica. Donation of plastic caps to the organisation “With stupple to the smile” for the purchase of wheelchairs for disabled people.	SDG 2. Zero hunger SDG 3. Good health and well-being
Brazil		
Aid to vulnerable groups	To cover the monthly maintenance costs of the Football, School and Citizenship social inclusion project. Financial donation to the CAEF home for the elderly (Reception centre for needy families, Ermelino Matarazzo). Donation of clothes to the NGO Projeco Bom Samaritano.	SDG 1. End poverty SDG 10. Reducing inequalities
United kingdom		
Aid to vulnerable groups	Donation of food for homeless or vulnerable people.	SDG 2. Zero hunger

Donation to non-profit associations	Financial donation to the British Heart Foundation. Financial donation to Diabetes UK.	SDG 3. Good health and well-being
Uruguay		
Aid to vulnerable groups	Collaboration contract for the comprehensive education of young people in the area. The aim of this association is to promote the integration of young people and women into the labour market.	SDG 4. Quality education SDG 8. Decent work and economic growth

Alliances

We have a long history of collaboration with institutions or research centres in different countries, which ratifies the historical importance of SDG 17 (Partnerships for the Goals) at the company. In particular, Viscofan is part of and promotes various associations and groups seeking to find ways of collaboration in the industry to increase its contribution to society. These institutions include:

-International Committee For Cellulose Films (CIPCEL). Based in Brussels, CIPCEL comprises the leading producers of regenerated cellulose film products.

-Collagen Casing Trade Association (CCTA). An association of leading producers of collagen casings worldwide that provides a forum for its members to discuss the development of legislation and actively promote the use of collagen casings.

-Spanish Plastics Centre (CEP). This is the Spanish association of entities relating to the manufacture and processing of plastics.

-European Association Plastic Converters (EUPC). European association that groups together national plastic converter companies and associations.

-Gelatin Manufacturers of Germany (GMG). An organisation of German gelatin producers.

-AINIA. Food technological centre based in Spain that supports the R&D tasks of its partners, especially in the areas of quality, food safety, sustainability, environment, design and industrial production.

-ANICE. The Spanish National Association of the Meat Sector is the biggest meat association in Spain to provide advice, represent and defend the sector's interests.

- National Centre for Technology and Food Safety (CNTA), the purpose of which is to provide advanced technological services to improve competitiveness in the food sector through quality and innovation and under the principle of food safety.

-CEO for Alliance for Diversity. An alliance that aims to unite companies around a common innovative vision of diversity, equity and inclusion and to accelerate the development of strategies that contribute to: business excellence, competitive talent in Spain and the reduction of inequality and exclusion in the Spanish society.

-AIMPLAS. The Plastics Technology Centre offers integral solutions to companies within the plastics sector through the technical implementation of R&D&i projects.

- NAITEC. Multidisciplinary Technology Centre for the Industry.

Viscofan also collaborates with different universities and research centres:

- University of Navarre (Spain)

- Public University of Navarre (Spain)

- CIDAUT Foundation for Research and Development in Transport and Energy (Valladolid, Spain)

- MORE Institute Research (Germany)

- Hochschule Manheim Fraunhofer Institute (Germany)

- Tübingen University (Germany)

- Sao Paulo University (Brazil)

- Suzhou University (China)

- Universidad Tecnológica del Uruguay (UTEC)

The principal issues on which these collaborations are based are: food safety, analysis and development of new materials, process and food industry engineering, advanced physical and chemical analysis, basic research on materials and alternative uses and other packaging systems.

Moreover, Viscofan is importantly supported by the different administrations of the countries where it develops R&D activities, for example: the Centre for Technical Industrial Development (CDTI) and the Ministry of Economy and Competitiveness (MINECO) in Spain, the Federal Ministry of Education Research in Germany, the National Science and Technology Council (CONACYT) in Mexico, the Institute for Technological Research (IPT) in Brazil and the Federal, Illinois and New Jersey R&D Credit of the US Federal Government, the State of Illinois and the State of New Jersey.

Likewise, in 2020 two regenerative biomedicine research consortiums were approved – ARDAT and TriAnkle - in which Viscofan BioEngineering participates and manages, respectively, together with other leading bodies and public-private companies. The ARDAT consortium, backed by the Innovative Medicines Initiative (IMI), brings together 34 expert organisations throughout the whole of Europe and the USA, with the shared objective of helping to standardise and accelerate the development of Advanced Therapy Medicinal Products (ATMP) and contributing to ensuring that these transforming treatments reach patients as soon as possible. Also, the research consortium TriAnkle, led by Viscofan, will permit the 3D manufacture of personalised implants based on collagen and gelatine to regenerate injured tendons and cartilage, representing an innovative technique that will enable a greater and more rapid recovery of tissue.

2.4.4. Responsible taxation

Viscofan is aware of the social impact its activity generates: from direct or indirect employment generated by its implementations to the financial benefit that it obtains from its activities at each of the different companies at which it operates (note 7.1 of Viscofan S.A.'s financial statements) for which it contributes through the corresponding taxes. In 2022, income tax payments amounted to €44 million as a result of the Group's business activities in different countries. Additional information on taxes is detailed in note 18 to the consolidated financial statements. There is information about capital grants in note 13 of the consolidated annual accounts.

As a result of the relationships described in the previous point, joint projects have arisen with which we have collaborated and for which we have received financial support through grants and loans from official bodies. In this vein, at 31 December, the financial statements included loans with the CDTI and the Ministry of Economy and Competitiveness in Spain, amounting to €12.2 million (note 16 to the consolidated financial statements).

2.5. Economic and financial pillar

2.5.1. Stock market performance

Stock markets

In 2022, the global economy has been hit by several negative forces that are slowing current and projected growth.

Russia's invasion of Ukraine, in addition to the loss of life and destruction of resources, has caused an unprecedented energy crisis in Europe, as well as an increase in the price of raw materials.

This situation, together with persistent mismatches between supply and demand, has generated inflationary pressures not seen in decades, impacting, among other things, on the cost of living for households.

High inflation rates have led major central banks to shift their strategies towards restrictive monetary policies with interest rate hikes and the draining of liquidity from financial markets.

In China, meanwhile, the population confinements caused by the zero COVID-19 policy are slowing down the growth of the Asian country and, because of its importance in international trade, that of the rest of the world.

In the currency market, 2022 has been the year of the US$, which has appreciated significantly against the major peers, and in particular against the Euro has reached parity due to its safe haven status, a faster tightening of monetary policy by the Fed (the US Central Bank), and instability in Europe, largely due to the war in Ukraine.

Nevertheless, the IMF[5] projects global GDP growth to decelerate from +6.2% in 2021 to +3.4% in 2022 and +2.9% in 2023.

The main world stock markets have ended below the level they started 2022 as a reflection of this adverse macroeconomic context. In the United States, the S&P 500 index declined by -19.4% in 2022, and in Europe, the Euro Stoxx 600 fell by -12.9%, the German DAX by -12.3%, and in Spain the Ibex 35 by -5.6%.

Viscofan shares

Viscofan's share capital consisted of 46,500,000 shares of €0.70 par value each, of the same class and fully paid-in.

Viscofan's shares are admitted to trading on the Spanish stock markets, listed on the continuous market, since the company's exit from the stock market in December 1986.

It is listed on the Madrid Stock Exchange General Index (IGBM) and forms part of the Consumer Goods segment, within the Food subsector, the Ibex Mid Cap and at European level to the Euro Stoxx Food and Beverage index and the Stoxx Europe 600 index.

[5] Source: IMF. World Economic Outlook Update, January 2023

2022 performance

During the year, the share has been influenced by a complicated and volatile context for the financial markets, having traded at an annual low of €48.92 per share in March, although the solidity of the financial results published has been recognised by the market, with the share reaching an annual high of €63, 65 in the month of December, to finally close the year at €60.20, an increase of 5.8% and which increases to 9.0% after including the shareholder remuneration paid during the year, a performance which contrasts with the falls in the main world stock exchanges.

The average daily market price in the year was €55.4 per share and Viscofan's market capitalisation stood at €2,799 million at the end of 2022.

Evolution of the Ibex 35, Euro Stoxx 600 and Viscofan in 2022.*



**Graph on a baseline of 100 since 31 December 2021*

In addition, nearly 14 million Viscofan shares were traded on the Spanish continuous market during the year, with cash traded of €763 million, equivalent to a daily average of €3.0 million.

Creating shareholder value

Throughout the different strategic plans, the Viscofan Group has built a sound and flexible business model. This characteristic entails the creation of cash flows that allow investment projects to be carried out in order to improve value creation, which is shared with shareholders in cash and at the same time maintaining a sound balance sheet structure. In this regard, over the last 10 years, the dividend per share distributed in cash by Viscofan has grown by an annual average of 6% from €1.10 in 2012 to the €1.95 proposed by the Board of Directors to be charged to the profit for the financial year 2022.

The stock market continues to recognise the Viscofan Group's value creation and is combined with the Group's commitment to shareholder remuneration. Thus, in the last ten years, the average annual return was 3.5%, reaching 5.9% if we take into account shareholder remunerations.

IBEX 35 performance compared to Viscofan

Year of purchase (31/12)		2013	2014	2015	2016	2017	[illegible] (31/12) 2018	2019	2020	2021	2022	APR
2012	Viscofan	-3.4%	2.9%	30.0%	9.4%	28.5%	12.4%	10.0%	35.6%	32.9%	40 6%	3.5%
2012	Ibex 35	21.4%	25.9%	16.9%	14.5%	23.0%	4.6%	16.9%	-1.1%	6.7%	0.8%	0.1%
2013	Viscofan		6.6%	34.6%	13.3%	33.0%	16.4%	13.9%	40.4%	37.6%	45.6%	4.3%
2013	Ibex 35		3.7%	-3.8%	-5.7%	1.3%	-13.9%	-3.7%	-18.6%	-12.1%	-17.0%	-2.1%
2014	Viscofan			26.3%	6.3%	24.8%	9.2%	6.9%	31.7%	29.1%	36.6%	4.0%
2014	Ibex 35			-7.2%	-9.0%	-2.3%	-16.9%	-7.1%	-21.5%	-15.2%	-19.9%	-2.7%
2015	Viscofan				-15.8%	-1.1%	-13.5%	-15.3%	4.3%	2.3%	8.2%	1.1%
2015	Ibex 35				-2.0%	5.2%	-10.5%	0.1%	-15.4%	-8.7%	-13.8%	-2.1%
2016	Viscofan					17.4%	2.7%	0.5%	23.9%	21.5%	28.5%	4.3%
2016	Ibex 35					7.4%	-8.7%	2.1%	-13.7%	-6.8%	-12.0%	-2.1%
2017	Viscofan						-12.5%	-14.4%	5.5%	3.4%	9.4%	1.8%
2017	Ibex 35						-15.0%	-4.9%	-19.6%	-13.2%	-18.1%	-3.9%
2018	Viscofan							-2.1%	20.6%	18.2%	25.1%	5.8%
2018	Ibex 35							11.8%	-5.5%	2.0%	-3.6%	-0.9%
2019	Viscofan								23.2%	20.8%	27.8%	8.5%
2019	Ibex 35								-15.5%	-8.7%	-13.8%	-4.8%
2020	Viscofan									-2.0%	3.7%	1.8%
2020	Ibex 35									7.9%	1.9%	1.0%
2021	Viscofan										5.8%	5.8%
2022	Ibex 35										-5.6%	-5.6%

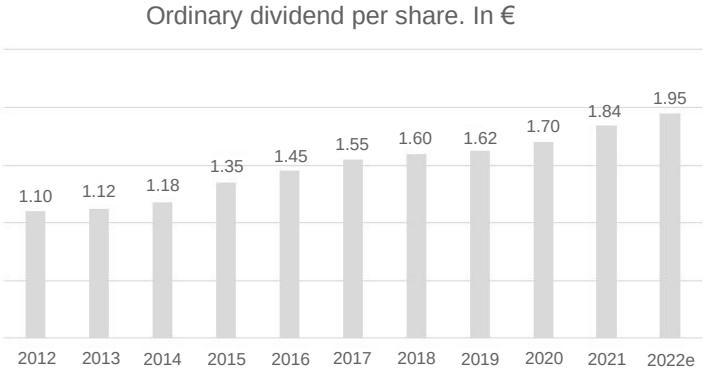
2022 dividend

The proposed total shareholder remuneration with a charge to 2022 profit stood at €1.95 per share and exceeds, by 6.0%, the ordinary remuneration per share of €1.84 approved in the previous year. This proposal means distributing 64,6% of the Group's net earnings in 2022.

This can be broken down as follows:

- An interim dividend of €1.40 per share (paid on 22 December 2022).
- The proposed final dividend of €0.54 per share (payable on 8 June 2023), which the Board of Directors has resolved to propose to the General Shareholders' Meeting.
- A bonus for attending the General Meeting of €0.01 per share.

In terms of profitability, the total dividend proposed for 2022 is 3.5% of the average share price during the year.



Viscofan, its shareholders and investors

One of Viscofan's objectives, through its Department of Investor and Shareholder Relations, is to create value for the investor community by improving accessibility, the transparency of information and providing shareholders with relevant information of a financial and non-financial nature, on its strategy and on its operations to gain a better understanding of the company.

To ensure this information flow and to grant certainty to shareholders, markets and other stakeholders on the transparency and access to information, Viscofan has a Communication policy with shareholders, institutional investors, advisors on voting and economic-financial, non-financial and corporate information, defined in conformity with the good governance practices and recommendations applicable to listed companies.

Communication channels

Viscofan provides the investment community with a multitude of communication channels: presentations at seminars and events organised by the financial community, roadshows with institutional investors promoted by the company or by brokers, earnings presentations, the General Shareholders' Meeting, organised visits to Viscofan's head office, telephone calls to a dedicated investor and shareholder helpline, a special e-mail address, notifications and regular public information submitted to the CNMV (Spanish National Securities Market Commission).

Also, the information published on the website www.viscofan.com:

- In the Investor Relations section in which Viscofan makes the latest news, reports and quarterly presentations of results, annual report, share price performance and other information of interest, etc., available to the public.

- The Sustainability section details information on Viscofan's main commitments to the Sustainable Development Goals, sustainability indicators and the 2030 commitments set out in the Group's Sustainability Action Plan.

- Viscofan's Corporate Governance section publishes the information relating to the Board of Directors, committees, policies and regulations and other related information of interest.

Viscofan also maintains fluid communication with the financial markets, so that at the end of 2022 a total of 17 analysis companies, both national and international, are covering the company.

At the same time, Viscofan encourages direct contact through face-to-face meetings with investors, both shareholders and non-shareholders interested in the company. In this regard, in 2022, once the restrictions on mobility and social contact due to the COVID-19 pandemic had been relaxed, the company resumed face-to-face contact with the financial community.

Accordingly, in 2022, Viscofan held a total of 253 face-to-face or video-call meetings with investors – shareholders or otherwise –, in the framework of seminars and events held by the financial community. There were 229 such meetings in 2021 and 214 in 2020.

The communication effort carried out throughout all these years has been recognised by the investment community. In 2022, Viscofan has been recognised by Institutional Investor in its Developed Europe Executive Team awards as the best Investor Relations team in the Paper & Packaging sector. It was also mentioned in the top 3 in the categories of best CEO, best professional IR, best ESG, and best Board of Directors.

Also in 2022, the Spanish Association of Accounting and Business Administration (AECA) has awarded Viscofan the XXI AECA Award for Business Transparency, in the “IBEX Medium Cap and IBEX Small Cap” category. The Jury thus recognises the quality, accessibility, usability, content and presence of the information disseminated on the corporate website in the general, financial, corporate governance, environmental and social areas.

Bidirectional communication is important, since the questions and concerns of the financial community are taken into account and transmitted within the company, such as financial, strategy, sustainability and corporate governance matters.

In 2022, the most frequently asked questions were related to the impact of cost inflation, sales price increases, the impact of EU trade sanctions against Russia, the impact of the energy crisis in Europe, the deployment of the new Beyond25 Strategic Plan, the growth potential of the New Businesses, the evolution of demand and the replacement of animal casings by collagen casings, sustainability projects in Viscofan, shareholder remuneration, among others.

Key stock market data developments

	Period Beyond25	Period MORE TO BE					
Share price €	**2022**	**2021**	**2020**	**2019**	**2018**	**2017**	**2016**
Year-end	60.20	56.90	58.05	47.10	48.12	55.01	46.85
Maximum in the year	63.65	61.45	64.35	56.55	66.20	56.33	56.06
Minimum in the year	48.92	53.25	43.28	40.12	46.20	46.75	41.84

Viscofan's performance on the continuous market	**Year-end 2022**	**Year-end 2021**	**Year-end 2020**	**Year-end 2019**	**Year-end 2018**	**Year-end 2017**	**Year-end 2016**
% ann. change Viscofan	5.8%	-2.0%	23.2%	-2.1%	-12.5%	17.4%	-15.8%
% annual change IGBM	-4.8%	7.1%	-15.4%	10.2%	-15.0%	7.6%	-2.2%
% annual change IBEX 35	-5.6%	7.9%	-15.5%	11.8%	-15.0%	7.4%	-2.0%
% Annual Change Euro STOXX 600	-12.9%	22.2%	-4.0%	23.2%	-13.2%	7.7%	-1.2%
% Annual change IBEX Medium Cap	-7.4%	8.6%	-9.7%	8.4%	-13.7%	4.0%	-6.6%
% annual change Sub-Sector Food and Beverages IGBM	-0.7%	-1.6%	10.6%	1.8%	-8.4%	5.2%	-5.4%

Stock exchange trading data	**2022**	**2021**	**2020**	**2019**	**2018**	**2017**	**2016**
Capitalisation at year-end (Mn €)	2,799.3	2,645.9	2,699.3	2,190.2	2,242.6	2,563.7	2,183.4
Continuous market traded cash (Mn €)	763.3	1,135.8	1,561.8	1,230.5	1,669.1	1,995.2	2,707.1
Average per session (€Mn)	3.0	4.4	6.1	4.8	6.5	7.8	10.5
Traded shares	13,893,544	19,626,412	28,338,888	25,815,115	29,807,220	38,658,041	54,701,597
Daily average of traded shares	54,060	76,666	110,268	101,236	116,891	151,600	212,022

Ratios per share	**Year-end 2022**	**Year-end 2021**	**Year-end 2020**	**Year-end 2019**	**Year-end 2018**	**Year-end 2017**	**Year-end 2016**
Shares admitted to trading	46,500,000	46,500,000	46,500,000	46,500,000	46,603,682	46,603,682	46,603,682
Basic earnings per share (1)	3.02	2.87	2.63	2.27	2.66	2.62	2.68
Proposed ordinary remuneration per share (2)	1.95	1.84	1.70	1.62	1.60	1.55	1.45

(1) Net earnings per share calculated by dividing net profit by the weighted average of ordinary shares in circulation in the year, excluding treasury shares

(2) Includes interim dividend, final dividend, refund of share premium, refund of capital contributions and premium for attendance at the General Meeting.

2.5.2. Financial results and management

Business performance

Market

The 2022 financial year has been characterised by a strong demand in the casings industry, with an estimated increase in volumes by around 5%, above the range of 2% to 4% average historical market growth. Within this increase, which has occurred in all major casing technologies, collagen casings stand out significantly.

This performance is driven by the growing interest of meat processors who find in casings a suitable solution to increase their productivity and guarantee their service against other alternatives in a context of high inflation and supply chain disruptions.

Geographically, there is momentum in Southeast Asia, where the adoption of animal protein and the industrialisation of food processors is gaining traction, as well as strength in Continental Europe, North America, and Latin America. In China, the persistence of the COVID-19 pandemic and population confinements have led to a weak casings market.

Beyond25 strategy assessment

Viscofan has started the Beyond25 strategic period inspired by a new purpose “Reshaping food and wellbeing. For many, for long", that foresees an acceleration in the Group's revenue growth with a differentiated strategy to capture growth opportunities in the Traditional Business and to boost the activities of the New Business division.

The first year of this plan has been characterised by a high investment effort. Firstly, a plan to increase capacity in collagen casings has been carried out with the installation of new extrusion lines in five different countries to respond to the historic opportunity to replace animal casings, with a very ambitious goal of replacing between 5 and 7% of the animal casing market by 2025. To this end, production lines have been installed and started up in the plants in Spain, Serbia, China, and Germany, and it is planned to do so in the USA at the beginning of 2023.

In addition, one of the objectives is to improve the profitability of the US operations. In this regard, in the last quarter of the year, the first cellulose casing lines were commissioned at the Danville plant using a new technology: this is a specific development for the plant based on the technological improvements in cellulose achieved by the Group in recent years and whose objective is to automate production with more reliable technology and with better handling, and at the same time to increase production output with better product quality.

In terms of capacity increases to boost the development of New Businesses, the installation and start-up of the collagen hydrolysates plant at the Weinheim (Germany) facilities stands out, which means a five-fold increase in production capacity to respond to a market with very positive growth prospects.

In parallel, Viscofan's commercial activity has been geared towards reinforcing the assurance of service to customers and maintaining a strategy of commercial discipline that combines support for customers with the necessary sales price increases to guarantee sustainable returns. Accordingly, the increase in selling prices at the beginning of the year was reinforced by a further price increase in the second half of the year, which partially offset the impact of the higher cost of production inputs (mainly raw materials and energy).

The Sustainability Action Plan continues to progress in line with the objectives set for 2030:

- In climate change mitigation projects, in 2022, the supply of electricity from renewable sources has been increased, along with efficiency improvements in energy and productive output reducing by 14.5% Scope 1 and 2 emissions intensity over metres of extruded casings compared to 2021, close to the targets foreseen for 2030.

- In addition, Viscofan has pioneered the use of green hydrogen as a fuel in one of the co-generation engines at the Cáseda plant. After the tests carried out, the unit is ready for use when the conditions are suitable for constant supply.

- Permits have also been obtained at this plant to install an energy production centre using biomass from our cellulose waste as fuel.

Main financial results:

The 2022 financial year has seen a marked investment, operational and commercial dynamism for the Group. In addition, Viscofan has responded to the increased demand for casing volumes and the opportunities arising in new businesses while facing and adapting to one of the most adverse contexts in the Group's recent history, marked by high inflation in production inputs.

The strength of the business model has enabled the Viscofan Group to reach new all-time highs in revenue, EBITDA, and Net Profit. Revenue stood at €1,201.0 million, up +23.9% year-on-year, EBITDA was €267.2 million, up +8.3% year-on-year, and net profit was €139.4 million, 4.8% higher than 2021.

These results are above the expectations announced in February 20221 of revenue and EBITDA and in line in terms of Net profit.

Investments for the whole of 2022 amount to €125.6 million, an all-time annual high for the Viscofan Group, higher than initially planned due to the anticipation of projects in the second half of the year to meet higher demand for casings and in the search for energy diversification. These investments in industrial equipment have been accompanied by increased investment in working capital to ensure service to the market in a context of accelerating demand, supply chain tightening and expansion plans. This, together with a growing dividend payment, translates into a net bank debt of €101.3 million at December 2022, up from €1.8 million at December 2021.

The Board of Directors has approved to propose a final dividend of €0.54 per share to be paid on 8 June 2023. This proposed distribution of profits will continue to increase shareholder remuneration, with a total remuneration on account of the 2022 profit of €1.95 per share, 6.0% higher than the total remuneration for 2021.

Viscofan Group income statement ('000 €)

	Full year			
	Jan-Dec' 22	Jan-Dec' 21	Change	Like-for-like*
Revenue	**1,201,028**	**969,237**	**23.9%**	**16.2%**
EBITDA	**267,173**	**246,670**	**8.3%**	**-4.4%**
EBITDA margin	***22.2%***	***25.4%***	**-3.2 p.p.**	**-4.5 p.p.**
Operating profit	**189,026**	**174,389**	**8.4%**	
Net profit	**139,430**	**132,997**	**4.8%**	

Revenue breakdown ('000 €)

	Jan-Dec' 22	Jan-Dec' 21	Change
Traditional Business	963,089	808,057	19.2%
New Business	144,465	117,070	23.4%
Other revene from energy	93,474	44,110	111.9%
Revenue	**1,201,028**	**969,237**	**23.9%**

By geographical area	Jan-Dec' 22	Jan-Dec' 21	Change
Europe, Middle East and Africa (EMEA)	507,404	407,778	24.4%
Asia Pacific (APAC)	168,837	145,525	16.0%
North America	369,815	294,629	25.5%
South America	154,972	121,305	27.8%
Revenue	**1,201,028**	**969,237**	**23.9%**

*Like-for-like: For comparative purposes, like-for-like growth excludes the impact of the different exchange rates in 2022.

Revenue:

In the year to December 2022, revenue increased by 23.9% to €1,201.0 million. Of this, revenue from the Traditional Business contributed €963.1 million (+19.2% vs 2021) driven by volume growth in all casing technologies and a higher price mix, and revenue from New Business contributed with €144.5 million, +23.4% year-on-year. Furthermore, energy sales amounted to €93.5 million, +111.9% compared to 2021.

On a like-for-like basis, revenue increased 16.2% vs 2021, i.e. excluding the positive contribution of +7.7 p.p. from currency changes, mainly due to the appreciation of the US$ against the Euro.

The geographical breakdown of revenue in 2022 is as follows:

- EMEA (42.2% of the total): Reported revenue amounted to €507.4 million, 24.4% higher than in 2021 and 22.0% higher on a like-for-like basis.
- North America (30.8% of the total): Revenue amounted to €369.8 million, an increase of 25.5% with respect to 2021 and of 12.5% in like-for-like terms.
- APAC (14.1% of the total): Reported revenue of €168.8 million, 16.0% higher than in 2021 and 9.9% higher on a like-for-like basis.

- South America (12.9% of the total): Revenue amounted to €155.0 million, a growth of 27.8% compared to 2021 and 13.0% on a like-for-like basis.

Operating expenses

Consumption costs[6] grew by 37.5% in 2022 compared to 2021 to €389.3 million, mainly due to the sharp increase in the price of raw materials, natural gas used in co-generation, CO2 emission allowances, and the strength of currencies against the €. The gross margin[7] in 2022 was 67.6%, a decrease of -3.2 p.p. vs 2021.

The average accumulated workforce to December 2022 is 5,317 people, 4.6% higher than in the same period of the previous year due to the hiring of personnel associated with the new production capacity.

This increase in headcount is accompanied by higher wage costs and the appreciation of the main currencies against the euro, bringing personnel expenses to €262.2 million in 2022 (+13.4% vs 2021).

In cumulative terms, other operating expenses amounted to €291.0 million, an increase of 33.1% compared to 2021. Of this, energy supply expenses increased by 52.6% vs 2021 and transport expenses by 38.7% vs 2021.

Operating profit

In FY2022, reported EBITDA grew by 8.3% to €267.2 million setting a record high thanks to volume growth, higher selling prices, cogeneration in Spain, and favourable forex evolution, offsetting the rise in production costs. The EBITDA margin was 22.2% vs 25.4% in 2021.

Excluding exchange rate changes, comparable EBITDA in 2022 declines by -4.4% vs 2021.

Depreciation and amortisation expense in 4Q22 increased by 8.1% to €78.1 million due to the higher level of tangible assets brought on stream in the last two years.

As a result, Operating Profit in the year amounted €189.0 million (+8.4% vs 2021).

Financial result

The net financial result was negative with -€5.2 million with negative exchange rate differences of -€5.0 million, which compares to a positive net financial result of +€2.0 million in 2021, a period in which exchange rate differences were positive with +€2.2 million.

Net profit

In cumulative terms, Profit before tax at December 2022 stands at €183.8 million with a corporate income tax expense of €44.4 million (+2.2% vs. 2021), placing the effective tax rate at 24.1% (24.6% in the same period of the previous year).

Thus, reported net profit grew by 4.8% to €139.4 million.

Investment

A total of €125.6 million (€92.0 million in 2021) has been invested in projects to expand production capacity and to improve service to the market to meet the expected increase in demand.

[6] Consumption costs = Net purchases +/- Changes in inventory of finished goods and work in progress.

[7] Gross margin = (Revenue - Consumption costs) / Revenue.

During the year, new collagen casing production lines were installed at the plants in Spain, Serbia, China, Germany, and the US. In parallel, the upgrade of cellulose technology at the Danville plant in the US to improve the operation's production efficiencies is progressing according to plan, and in New Businesses, the new collagen hydrolysates capacity has been commissioned by the end of 2022 in line with the growth targets for this product.

The breakdown by type of investment in 2022 is as follows:

- 40% of the investment was earmarked for investments in capacity and machinery.
- 30% of the investment was earmarked for process improvements and new technology.
- 16% of the investment was earmarked for improvements in sustainability, including energy equipment and the optimisation of the installations in terms of safety, hygiene, and protecting the environment.
- The remaining 14% was spent on ordinary investments.

Investment in 2022 sets an all-time annual high for Viscofan and is above the €100 million guidance due to projects to adapt to the new environment (energy) and the anticipation of plans envisaged in the Beyond25 Strategy. All of this will imply a lower investment requirement in 2023.

Thus, at year-end 2022, the investment commitments are €4.2 million compared to €43.8 million at year-end 2021.

Dividends and Shareholder remuneration

The Board of Directors of Viscofan has agreed to propose to the General Shareholders' Meeting a distribution of profit that includes a final dividend of €0.54 per share, to be paid on 8 June 2023.

This will mean total shareholder remuneration out of 2022 profit of €1.95 per share, equivalent to a distribution of 64.6% of net profit. This is broken down as follows:

- An interim dividend of €1.40 per share (paid on 22 December 2022).
- A proposed final dividend of €0.54 per share (to be paid on 8 June 2023).
- A bonus of €0.01 per share for attending the General Shareholders' Meeting.

This proposal increases ordinary remuneration by 6.0% as compared to the €1.84 per share approved in the previous year.

Equity

The Group's equity at 2022 year-end amounted to €906.9 million, up 10.2% on the end of the previous year, due to the increased net profit and the decrease in the negative translation differences, originating from the consolidation of the subsidiaries whose currencies have appreciated significantly against the euro in 2022 (mainly Brazil and Mexico).

Treasury shares

At 31 December 2022, the company had 321,684 treasury shares representing 0.69% of the voting rights valued at €16.2 million.

During 2022, 129,811 treasury shares were delivered to Viscofan staff within the framework of the company's variable remuneration plans. Also in 2022, the Company acquired 234,500 treasury shares under the authorisation granted by the General Shareholders' Meeting on 25 May 2018.

At 31 December 2021, the company held a total of 216,995 treasury shares representing 0.47% of its voting rights, for a value of €10.5 million.

Financial liabilities

Net bank debt at December 2022 is €101.3 million, up from €1.8 million at December 2021 due to increased investments, shareholder remuneration, and higher working capital as a result of acceleration in revenue, higher raw material sourcing, and safety inventory increases in a context of tightening supply chains and start-up of investment projects.

The new accounting standard IFRS 16 entered into force on 1 January 2019 and stated that the majority of non-cancellable minimum operating leases should be recorded in the balance sheet as a right-of-use asset and a liability for the future payments to be made.

So, the breakdown for net financial debt is as follows:

	`Dec 2022	`Dec 2021	Change
Net Bank Debt *	**101,264**	**1,754**	**5673.3%**
Debts related to right-of-use assets	*10,490*	*13,892*	*-24.5%*
*Other net financial liabilities***	*29,859*	*22,806*	*30.9%*
Net Financial Debt	**141,613**	**38,452**	**268.3%**

* Net bank debt = Non-current bank borrowings + Current bank borrowings - Cash and cash equivalents.

** Other net financial liabilities mainly consist of loans with an interest rate subsidised by entities like the CDTI and the Ministry of Economy, debt with fixed asset providers minus other current financial assets.

The net financial debt is the equivalent of 15.6% of the equity, with a leverage level that is sufficient to be able to attend to all Viscofan's liquidity needs.

Outlook for 2023

The Viscofan Group faces 2023 with growth prospects in the main financial figures, in revenue to grow between 9% and 12%, in EBITDA between 6% and 9% and in Net profit by between 10% and 15% supported by an investment of €75 million. Given the current currency situation, Viscofan has considered the average exchange rate of 1.07 US$/€.

Changes in the consolidation scope

• In financial year 2022

Effective January 1, 2022, the merger by absorption of Viscofan Collagen USA Inc. domiciled in Bridgewater, New Jersey (United States) was carried out by Viscofan USA Inc. domiciled in Montgomery, Alabama (United States).

On June 14, 2022, the liquidation of the company Supralon International AG (with registered office in Schaan – Liechtenstein) was registered.

• In financial year 2021

Effective January 1, 2021, the merger by absorption of Viscofan de Mexico Servicios, S.R.L. de C.V. by Viscofan de Mexico, S.R.L. de C.V., was carried out, both with registered offices in San Luis de Potosí (Mexico).

In June, Viscofan Japan GK was incorporated in Tokyo (Japan), with a capital of JPY 6 million and 100% owned by Viscofan S.A.

On December 31, 2021, the company Viscofan Collagen Canada Inc (with registered office in Markham - Canada) is liquidated.

2.6. Appendices

2.6.1. Environmental taxonomy indicator tables

Revenue
In million €

Economic activity	ID	Absolute Revenue	Proportion of revenue	Substantial contribution criteria: Climate change mitigation	Climate change adaptation	Water and marine resources	Circular economy	Contamination	Biodiversity and ecosystems	Criteria for the absence of material injury: Climate change mitigation	Climate change adaptation	Sustainability and protection of the water and marine resources	Transition to circular economy	Pollution prevention and control	Protection and restoration of the biodiversity and ecosystems	Minimum guarantees	Proportion of revenue that conforms to the taxonomy. 2022	Proportion of revenue that conforms to the taxonomy. 2021	Category. Facilitating activity	Category. Transition activity
		€	%	%	%	%	%	%	%	Yes/No	Yes/No	Yes/No	Yes/No	Yes/No	Yes/No	Yes/No	%	%	F	T
A.ACTIVITIES ELIGIBLE ACCORDING TO TAXONOMY																				
A.1 Environmentally sustainable activities (conforming to the taxonomy)																				
Total A.1		0	0.0%	0%	N/A	N/A	N/A	N/A	N/A								0%	N/A		
A.2 Taxonomy-eligible but not environmentally sustainable activities (activities that do not comply with the taxonomy)																				
High-efficiency co-generation of heat/cooling and electricity from fossil fuels	4.30.	85	7.1%																	
Total (A.2)		85	7.1%																	
Total A.1 + A.2		85	7.1%																	
B.NON-ELIGIBLE ACTIVITIES ACCORDING TO THE TAXONOMY																				
Revenue from activities not eligible according to taxonomy		1,116	92.9%																	
TOTAL A + B		**1,201**	**100.0%**																	

CapEx
In million €

Economic activity	ID	Absolute CapEx €	CapEx ratio %	Substantial contribution criteria: Climate change mitigation %	Climate change adaptation %	Water and marine resources %	Circular economy %	Contamination %	Biodiversity and ecosystems %	Criteria for the absence of material injury: Climate change mitigation Yes/No	Climate change adaptation Yes/No	Sustainability and protection of the water and marine resources Yes/No	Transition to circular economy Yes/No	Pollution prevention and control Yes/No	Protection and restoration of the biodiversity and ecosystems Yes/No	Minimum guarantees Yes/No	Proportion of CapEx that conforms to the taxonomy. 2022 %	Proportion of CapEx that conforms to the taxonomy. 2021 %	Category. Facilita-ting activity F	Category. Transi-tion activity T
A.ACTIVITIES ELIGIBLE ACCORDING TO TAXONOMY																				
A.1 Environmentally sustainable activities (conforming to the taxonomy)																				
Total A.1		0	0.0%	0.0%	N/A	N/A	N/A	N/A	N/A								0.0%	N/A		
A.2 Taxonomy-eligible but not environmentally sustainable activities (activities that do not comply with the taxonomy)																				
High-efficiency cogeneration of heat/cooling and electricity from fossil fuels	4.30.	0.6	0.5%																	
Total (A.2)		0.6	0.5%																	
Total A.1 + A.2		0.6	0.5%																	
B.NON-NELIGIBLE ACTIVITIES ACCORDING TO THE TAXONOMY																				
CapEx from activities not eligible according to taxonomy		126.6	99.5%																	
TOTAL A + B		**127.2**	**100.0%**																	

OpEx
In million €

Economic activity	ID	Absolute OpEx €	Proportion of OpEx %	Substantial contribution criteria: Climate change mitigation %	Climate change adaptation %	Water and marine resources %	Circular economy %	Contamination %	Biodiversity and ecosystems %	Criteria for the absence of material injury: Climate change mitigation Yes/No	Climate change adaptation Yes/No	Sustainability and protection of the water and marine resources Yes/No	Transition to circular economy Yes/No	Pollution prevention and control Yes/No	Protection and restoration of the biodiversity and ecosystems Yes/No	Minimum guarantees Yes/No	Proportion of OpEx that conforms to the taxonomy. 2022 %	Proportion of OpEx that conforms to the taxonomy. 2021 %	Category. Facilita-ting activity F	Category. Transi-tion activity T
A.ACTIVITIES ELIGIBLE ACCORDING TO TAXONOMY																				
A.1 Environmentally sustainable activities (conforming to the taxonomy)																				
Total A.1		0	0.0%	0%	N/A	N/A	N/A	N/A	N/A								0.0%	N/A		
A.2 Taxonomy-eligible but not environmentally sustainable activities (activities that do not comply with the taxonomy)																				
High-efficiency cogeneration of heat/cooling and electricity from fossil fuels	4.30.	2.8	6.4%																	
Total (A.2)		2.8	6.4%																	
Total A.1 + A.2		2.8	6.4%																	
B.NON-NELIGIBLE ACTIVITIES ACCORDING TO THE TAXONOMY																				
OpEx from activities not eligible according to taxonomy		40.9	93.6%																	
TOTAL A + B		**43.7**	**100.0%**																	

Specific templates on fossil gas activities

Template 1 Nuclear and fossil gas activities

Row	Fossil gas activities	Revenue	CapEx	OpEx
4.	The company carries out, finances or has exposures to the construction or operation of electricity generation facilities that produce electricity from gaseous fossil fuels.	No	No	No
5.	**The company carries out, finances or has exposures to the construction, renovation and operation of combined heat/cold and power generation facilities using gaseous fossil fuels.**	**Yes**	**Yes**	**Yes**
6.	The company carries out, finances or has exposures to the construction, renovation and operation of heat generation facilities producing heat/cooling from gaseous fossil fuels.	No	No	No

Template 2 Economic activities that conform to the taxonomy (denominator)

		Climate change mitigation					
Row	Fossil gas activities	Revenue	%	CapEx	%	OpEx	%
5.	Amount and proportion of the economic activity that complies with the taxonomy referred to in section 4.30 of Annexes I and II of the Delegated Regulation (EU) 2021/2139 in the denominator of the applicable KPI	85.2	7%	0.6	0%	2.8	6%
7.	**Amount and share of other economic activities conforming to the taxonomy not mentioned in rows 1 to 6 in the denominator of the applicable KPI**	**1,115.9**	**93%**	**126.6**	**100%**	**40.9**	**94%**
8.	**Applicable KPI total**	**1,201.0**	**100%**	**127.2**	**100%**	**43.7**	**100%**

Template 3 Economic activities that conform to the taxonomy (numerator)

		Climate change mitigation					
Row	Fossil gas activities	Revenue	%	CapEx	%	OpEx	%
5.	Amount and proportion of the economic activity that complies with the taxonomy referred to in section 4.30 of Annexes I and II of the Delegated Regulation (EU) 2021/2139 in the numerator of the applicable KPI	0.0	0%	0.0	0%	0.0	0%
7.	**Amount and proportion of other economic activities that conform to the taxonomy and are not referred to in rows 1 to 6 above in the numerator of the applicable KPI**	**0.0**	**0%**	**0.0**	**0%**	**0.0**	**0%**
8.	**Total amount and share of economic activities that conform to the taxonomy in the numerator of the applicable KPI**	**0.0**	**0%**	**0.0**	**0%**	**0.0**	**0%**

Template 4 Economic activities eligible according to the taxonomy but which do not conform to the taxonomy

		Climate change mitigation					
Row	Fossil gas activities	Revenue	%	CapEx	%	OpEx	%
5.	Amount and proportion of economic activity eligible according to the taxonomy but not conforming to the taxonomy referred to in section 4.30 of Annexes I and II of the Delegated Regulation (EU) 2021/2139 in the denominator of the applicable KPI	85.2	100%	0.6	100%	2.8	100%
7.	**Amount and share of other economic activities eligible according to the taxonomy but not conforming to the taxonomy not mentioned in rows 1 to 6 above in the denominator of the applicable KPI**	**0.0**	**0%**	**0.0**	**0%**	**0.0**	**0%**
8.	**Amount and proportion of economic activities eligible according to the taxonomy but not conforming to the taxonomy in the denominator of the applicable KPI**	**85.2**	**100%**	**0.6**	**100%**	**2.8**	**100%**

Template 5 Ineligible economic activities according to the taxonomy

		Climate change mitigation					
Row	Fossil gas activities	Revenue	%	CapEx	%	OpEx	%
5.	Amount and proportion of the economic activity referred to in row 5 of Template 1 that is not eligible under the taxonomy according to section 4.30 of Annexes I and II of the Delegated Regulation (EU) 2021/2139 in the denominator of the applicable KPI	0.0	0%	0.0	0%	0.0	0%
7.	**Amount and share of other non-taxonomy eligible economic activities not mentioned in rows 1 to 6 above in the denominator of the applicable KPI**	**1115.9**	**100%**	**126.6**	**100%**	**40.9**	**100%**
8.	**Total amount and share of non-taxonomy-eligible economic activities in the denominator of the applicable KPI**	**1115.9**	**100%**	**126.6**	**100%**	**40.9**	**100%**

2.6.2. Global Reporting Initiative content index (GRI)

Declaration of use	Viscofan has presented the information in this table of contents for the period from 1 January 2022 to 31 December 202 using the GRI standards as a reference.
GRI 1 used	GRI 1: Foundation 2021

GRI 2: General Disclosures

GRI standard	Description	Section	Omission
1. The organisation and its reporting practices			
2-1	Organisational details	- Legal name: Viscofan Group, which comprises Viscofan S.A. and its subsidiaries. - Location of its headquarters; Polígono Industrial Berroa. C/Berroa, 15 – 4ª planta. 31192 Tajonar (Navarre) – España - Countries. See Our Business Model. Competitive advantages	
2-2	Entities included in sustainability reporting	General Information - Foundation	
2-3	Reporting period, frequency and contact point	General Information - Foundation	
2-4	Restatements of information	General Information - Foundation	
2-5	External assurance	General Information - Foundation	
2. Activities and workers			
2-6	Activities, value chain and other business relationships	General Information - Business Model	
2-7	Employees	Social pillar - People	
2-8	Workers who are not employees	Social pillar - People	
3. Governance			
2-9	Governance structure and composition	Governance Pillar - Good governance practices	
2-10	Nomination and selection of the highest governance body	Governance Pillar - Good governance practices	
2-11	Chair of the highest governance body and its committees	Governance Pillar - Good governance practices	
2-12	Role of the highest governance body in overseeing the management of impacts	Governance Pillar - Good governance practices and risk management	
2-13	Delegation of responsibility for impact management	Governance Pillar - Risk Management	
2-14	Role of the highest governance body in sustainability reporting	General Information - Foundation	
2-15	Conflicts of interest	Annual Corporate Governance Report. Section D.6.	
2-16	Communication of critical concerns	General Information - Foundation Governance Pillar - Governing Bodies	

2-17	Collective knowledge of the highest governance body	Governance Pillar - Good governance practices
2-18	Evaluation of the performance of the highest governance body	Annual Corporate Governance Report. Section C.1.17
2-19	Remuneration policies	Governance Pillar - Good governance practices Annual Remuneration Report
2-20	Process to determine remuneration	Annual Remunerations Report
2-21	Annual total compensation ratio	Annual Remunerations Report. Section C.2.
4. Strategy, policy and practice		
2-22	Statement on sustainable development strategy	Chairman's letter General Information - Business Model
2-23	Policy commitments	General Information - Business Model Governance Pillar - Compliance System
2-24	Embedding policy commitments	General Information - Business Model and Strategy Governance Pillar - Regulatory Compliance System Environmental pillar - Governance, strategy and resources for environmental sustainability Social pillar - Labour management
2-25	Processes to remediate negative impacts	Governance Pillar - Regulatory Compliance System
2-26	Mechanisms for seeking advice and raising concerns	General Information - Foundation Governance Pillar - Regulatory Compliance System
2-27	Compliance with laws and regulations	Governance Pillar - Regulatory Compliance System
2-28	Membership associations	Social Pillar – Local communities
5. Participation of stakeholders		
2-29	Approach to stakeholder engagement	General Information - Foundation
2-30	Collective bargaining agreements	Social Pillar – Labour management

GRI 3. Material Topics 2021

GRI standard	Description	Section	Omission
3-1	Process to determine material topics	General Information - Foundation	
3-2	List of material topics	General Information - Foundation	
3-3	Management of material topics	General Information - Foundation The management of each material issue is dealt with in the corresponding section	

GRI 200: Economic

GRI standard	Description	Section	
GRI 201: Economic performance (2016)			
201-1	Direct economic value generated and distributed	General Information – Foundation. Generated and distributed value matrix	
201-2	Financial implications and other risks and opportunities derived from climate change	Environmental pillar - Governance, strategy and resources for environmental sustainability	
201-3	Defined benefit plan obligations and other retirement plans	Social pillar - Labour management	
201-4	Financial assistance received from government	Social pillar - Responsible taxation	
GRI 202: Market presence (2016)			
202-1	Ratios of standard entry-level wage by gender compared to the local minimum wage	Social pillar - Labour management	
202-2	Proportion of senior management hired from the local community	Social pillar - Labour management	
GRI 203: Indirect economic impacts (2016)			
203-1	Infrastructure investments and services supported	Chairman's letter Social pillar – Local communities Environmental pillar - Governance, strategy and resources for environmental sustainability	
203-2	Significant indirect economic impacts	Economic and financial pillar. Economic and management results	
GRI 204: Procurement practices (2016)			
204-1	Proportion of spending on local suppliers.	Social pillar – Taking care of the supply chain	
GRI 205: Anti-corruption (2016)			
205-1	Operations assessed for risks related to corruption	Governance pillar – Regulatory compliance system and Prevention of corruption, fraud and money laundering	
205-2	Communication and training about anti-corruption policies and procedures	Governance pillar – Regulatory compliance system and Prevention of corruption, fraud and money laundering	
205-3	Confirmed incidents of corruption and actions taken	Governance pillar – Regulatory compliance system and Prevention of corruption, fraud and money laundering	
GRI 206: Anti-Competitive Behaviour (2016)			
206-1	Legal actions for anti-competitive behaviour, anti-trust, and monopoly practices	Governance pillar – Regulatory compliance system and Prevention of corruption, fraud and money laundering	
GRI 207: Tax (2019)			
207-1	Approach to tax	Governance pillar – Good governance practices	
207-2	Tax governance, control, and risk management	Governance pillar – Good governance practices	
207-2	Stakeholder engagement and management of concerns related to tax	General Information – Foundation.	
207-4	Country-by-country reporting	Social pillar - Responsible taxation	
GRI 300: ENVIRONMENTAL			
GRI 302: Energy (2016)			
302-1	Energy consumption within the organisation	Environment - Climate change management and energy efficiency	
302-3	Energy intensity	Environment - Climate change management and energy efficiency	

302-4	Reduction of energy consumption	Environment - Climate change management and energy efficiency
GRI 303: Water and effluents (2018)		
303-1	Interactions with water as a shared resource	Environmental pillar - Responsible management of the end-to-end water cycle
303-3	Water withdrawal	Environmental pillar - Responsible management of the end-to-end water cycle
303-4	Water discharge	Environmental pillar - Responsible management of the end-to-end water cycle
303-5	Water consumption	Environmental pillar - Responsible management of the end-to-end water cycle
GRI 305: Emissions (2016)		
305-1	Direct (Scope 1) GHG emissions	Environment - Climate change management and energy efficiency
305-2	Energy indirect (Scope 2) GHG emissions	Environment - Climate change management and energy efficiency
305-4	GHG emissions intensity	Environment - Climate change management and energy efficiency
305-5	Reduction of GHG emissions	Environment - Climate change management and energy efficiency
305-7	Nitrogen oxides (NOx), sulphur oxides (SOx) and other significant air emissions	Environment - Climate change management and energy efficiency
GRI 306: Waste (2020)		
306-1	Waste generation and significant waste-related impacts	Environmental pillar - Circular economy
306-2	Management of significant waste-related impacts	Environmental pillar - Circular economy
306-3	Waste generated	Environmental pillar - Circular economy
306-4	Waste diverted from disposal	Environmental pillar - Circular economy
306-5	Waste directed to disposal	Environmental pillar - Circular economy
GRI 307: Environmental compliance (2016)		
307-1	Non-compliance with environmental legislation and regulations	Environmental pillar - Governance, strategy and resources for environmental sustainability In Brazil, an environmental administrative file was underway in 2010, for which no decision had been handed down, although, at 2022 year-end, it is considered that a favourable resolution is possible.
GRI 308: Environmental evaluation of suppliers (2016)		
308-1	New suppliers that were screened using environmental criteria	Environmental pillar - Responsible supply chain management Social pillar - Taking care of the supply chain
GRI 400: SOCIAL		
GRI 401: Employment (2016)		
401-1	New employee hires and employee turnover	Social pillar - Labour management
GRI 402: Worker-company relations (2016)		
402-1	Minimum warning periods for operational changes	Governance Pillar - Good governance practices
GRI 403: Occupational health and safety (2018)		
403-1	Occupational health and safety management system	Social pillar - Labour management - Safety at work

403-2	Hazard identification, risk assessment, and incident investigation	Social pillar - Labour management - Safety at work
403-4	Worker participation, consultation, and communication on occupational health and safety	Social pillar - Labour management - Safety at work
403-5	Worker training on occupational health and safety	Social pillar - Labour management - Safety at work
403-8	Workers covered by an occupational health and safety management system	Social pillar - Labour management - Safety at work
403-9	Work-related injuries	Social pillar - Labour management - Safety at work
403-10	Work-related ill health	Social pillar - Labour management - Safety at work
GRI 404: Training and teaching (2016)		
404-1	Average hours of training per year per employee	Social pillar - Labour management – Professional development
404-2	Programmes for upgrading employee skills and transition assistance programmes	Social pillar - Labour management – Professional development
404-3	Percentage of employees receiving regular performance and career development reviews	Social pillar - Labour management – Professional development
405-1	Diversity of governance bodies and employees	Governance Pillar - Good governance practices Social pillar - Labour management Equality and work-life balance
405-2	Ratio of basic salary and remuneration of women to men	Social pillar - Labour management Employment and remuneration
GRI 406: Non-Discrimination (2016)		
406-1	Incidents of discrimination and corrective actions taken	Governance Pillar - Regulatory Compliance System
407-1	Operations and suppliers in which the right to freedom of association and collective bargaining may be at risk	Governance Pillar - Good governance practices Social pillar - Taking care of the supply chain
GRI 408: Child labour (2016)		
408-1	Operations and suppliers at significant risk for incidents of child labour	Governance Pillar - Good governance practices Social pillar - Taking care of the supply chain
GRI 409: Forced or compulsory labour (2016)		
409-1	Operations and suppliers at significant risk for incidents of forced or compulsory labour	Governance Pillar - Good governance practices Social pillar - Taking care of the supply chain
GRI 412: Human rights assessment (2016)		

412-2	Training of employees in human rights policies or procedures	Social pillar - Labour management - Professional development Governance Pillar - Good Governance Practices and Compliance System
GRI 413: Local communities (2016)		
413-1	Operations with local community engagement, impact assessments and development programmes	Social pillar – Local communities Environmental pillar - Governance, strategy and resources for environmental sustainability
GRI 414: Supplier social assessment (2016)		
414-1	New suppliers that were screened using social criteria	Social pillar - Taking care of the supply chain
GRI 416: Customer health and safety (2016)		
416-1	Assessment of the health and safety impacts of product or service categories	Social pillar - Taking care of the supply chain
GRI 417: Marketing and labelling (2016)		
417-1	Requirements for product and service information and labelling	Social pillar - Taking care of the supply chain
GRI 418: Customer privacy (2016)		
418-1	Substantiated complaints concerning breaches of customer privacy and losses of customer data	Social pillar - Taking care of the supply chain

2.6.3. Content index of law 11/2018 on non-financial and diversity information

Contents of Law 11/2018 on Non-financial and diversity information			Standard used
Business Model	Description of the Group's business model	Brief description of the Group's business model, which will include its business environment, organisation and structure, the markets in which it operates, its objectives and strategies and the main factors and tendencies that may affect its future performance.	GRI 2-6. Activities, value chain and other business relationships GRI 3-2. List of material topics
Information on environmental issues	Policies	Policies that apply to the Group, which include the due diligence procedures applied in the identification, assessment, prevention and reduction of significant risks and impacts, and of verification and control, together with the measures that have been adopted.	GRI 2-23 Policy commitments GRI 2-24 Embedding policy commitments GRI 2-25 Processes to remediate negative impacts
	Main risks	Main risks related with these matters linked to Group activities, among them, when they are pertinent and proportioned, their commercial relations, products or services that may have negative effects on these areas, and on how the Group manages these risks, explaining the procedures used to detect and assess them, in accordance with the benchmark national, European or international frameworks for each area. Information must be included on the impacts detected, offering a breakdown of them, in particular, on the main short-, medium- and long-term risks.	GRI 3-2. List of material topics GRI 3-3. Management of material topics GRI 201-2 Financial implications and other risks and opportunities due to climate change
	General	Current and foreseeable effects of company activities on environment issues and, where appropriate, health and safety.	GRI 3-3. Management of material topics
		· Environmental assessment or certification procedures.	GRI 3-3. Management of material topics
		· Resources aimed at preventing environmental risks.	GRI 3-3. Management of material topics
		Application of precautionary principle.	GRI 2-3 Policy commitments
		· Provisions and guarantees for environmental risks.	GRI 307-1 Non-compliance with environmental laws and regulations (Autonomous Communities)

Contamination	Measures to prevent, reduce or repair the carbon emissions that seriously affect the environment, taking into account any form of specific atmospheric pollution from an activity, including noise and light pollution.	GRI 201-2 Financial implications and other risks and opportunities due to climate change GRI 302-4 Reduction of energy consumption GRI 305-5 Reduction of GHG emissions GRI 305-7 NOx, SOx and other significant atmospheric emissions
Circular Economy and prevention and waste management	Measures of prevention, recycling, reuse and other forms of recovery and elimination of waste. Action to combat food waste.	GRI 3-3. Management of material topics GRI 303 Water and effluents GRI 306-1. Waste generation and significant waste-related impacts GRI 306-2. Management of significant impacts related with waste GRI 306-3. Waste generated GRI 306-4. Waste diverted from disposal GRI 306-5. Waste directed to disposal
Sustainable use of resources	Water consumption and water supply in accordance with local limitations.	GRI 303-1 Interactions with water as a shared resource GRI 303-3 Water withdrawal GRI 303-5 Water consumption
	Consumption of raw materials and the measures adopted to improve efficiency of use.	Confidential
	Energy: Direct and indirect consumption; measures taken to improve energy efficiency. use of renewable energy.	GRI 3-3. Management of material topics GRI 302-1 Energy consumption within the organisation GRI 302-3 Energy intensity GRI 302-4 Reduction of energy consumption
Climate Change	Greenhouse gas emissions.	GRI 305-1 Direct (Scope 1) GHG emissions GRI 305-2 Energy indirect (Scope 2) GHG emissions GRI 305-4 GHG emissions intensity
	The measures adopted to adapt to the consequences of climate change.	GRI 201-2 Financial implications and other risks and opportunities due to climate change. GRI 3-3. Management of material topics. GRI 305-5 Reduction of GHG emissions.

		Reduction goals established voluntarily at medium and long term to reduce GHG emissions and means implemented for this purpose.	GRI 3-3. Management of material topics.
	Protection of biodiversity	Measures taken to preserve or restore biodiversity.	Non material.
		Impacts caused by activities or operations in protected areas	Non material.
Information on social and staff-related issues	Policies	Policies that apply to the Group, which include the due diligence procedures applied in the identification, assessment, prevention and reduction of significant risks and impacts, and of verification and control, together with the measures that have been adopted.	GRI 3-3. Management of material topics.
	Main risks	Main risks related with these matters linked to Group activities, among them, when they are pertinent and proportioned, their commercial relations, products or services that may have negative effects on these areas, and on how the Group manages these risks, explaining the procedures used to detect and assess them, in accordance with the benchmark national, European or international frameworks for each area. Information must be included on the impacts detected, offering a breakdown of them, in particular, on the main short-, medium- and long-term risks.	GRI 3-3. List of material topics. GRI 3-3. Management of material topics.
	Employment	Total number and distribution of employees by gender, age, country and professional classification.	GRI 2-7 Employees.
		Total number and distribution of employment contract types.	GRI 2-7 Employees.
		Annual average of permanent, temporary and part-time contracts by gender, age and professional classification.	GRI 2-7 Employees.
		Number of dismissals by gender, age and professional classification.	GRI 401-1.b) Total number and rate of employee turnover during the reporting period, by age group, gender and region (in relation to dismissals).
		Average remuneration and its tendency broken down by gender, age and professional classification or equal value.	GRI 405-2: Ratio of basic salary and remuneration of women to men for each job category.

	Salary gap.	GRI 405-2: Ratio of basic salary and remuneration of women to men for each job category.
	Remuneration of equal or average work posts of the company.	GRI 405-2 Ratios of standard entry-level wage by gender compared to local minimum wage.
	The average remuneration of directors and executives, including variable remuneration, attendance fees, indemnity payments, payments to long-term savings insurance schemes and any other benefit broken down by gender.	GRI 2-19 Remuneration policies. GRI 2-20 Process for determining the remuneration.
	Implementation of employment disconnection measures.	GRI 3-3. Management of material topics.
	Disabled employees.	GRI 405-1. b) Percentage of employees per employee category in each of the following diversity categories (iii. Vulnerable groups).
Work organisation	Organisation of working time.	GRI 2-7 Employees. GRI 3-3. Management of material topics.
	Number of hours of absenteeism.	GRI 403-2 Types of accidents and ratios of occupational accidents, occupational diseases, lost days, and absenteeism, and number of related deaths (section a).
	Measures aimed at facilitating a work-life balance and promoting co-responsible care by both parents.	GRI 3-3. Management of material topics.
Health and safety	Occupational health and safety conditions.	GRI 3-3. Management of material topics GRI 403-1 Occupational health and safety management system. GRI 403-2 GRI 403-2 Hazard identification, risk assessment, and incident investigation. GRI 403-5 Worker training on occupational health and safety.
	Occupational accidents (frequency and seriousness) broken down by gender	GRI 403-9 a) Work-related injuries.
	Occupational accidents (frequency and seriousness) broken down by gender.	GRI 403-10 a) Work-related ill health.
Social Relations	Organisation of social dialogue, including the procedures to inform on and consult employees and negotiate with them.	GRI 2-29. Approach to stakeholder engagement. GRI 402-1 Minimum warning periods for operational changes. GRI 403-4 Worker participation, consultation, and communication on occupational health and safety.

	Mechanisms and procedures that the company has in place to promote the involvement of workers in the management of the company, in terms of information, consultation and participation.	GRI 3-3 Management of material topics
	Percentage of employees covered by a collective bargaining agreement by country.	GRI 2-30 Collective bargaining agreements.
	Balance of collective bargaining agreements, especially in the area of occupational health and safety.	GRI 403-8 Occupational health and safety management system coverage.
Training	Policies implemented in the training area.	GRI 3-3. Management of material topics.
	Total number of training hours by professional category.	GRI 404-1 Average training hours per employee per year.
Accessibility	Universal accessibility of the disabled.	GRI 3-3. Management of material topics (Diversity and equal opportunities and Non-discrimination).
Equality	Measures adopted to promote equal treatment and opportunities between men and women.	GRI 3-3. Management of material topics (Diversity and equal opportunities).
	Equality plans.	GRI 3-3. Management of material topics (Diversity and equal opportunities and Non-discrimination).
	Measures adopted to promote employment.	GRI 3-3. Management of material topics (Employment).
	Protocols to counter sexual harassment due to gender.	GRI 3-3. Management of material topics (diversity and equal opportunities and non-discrimination).
	Universal integration and accessibility of the disabled.	GRI 3-3. Management of material topics (diversity and equal opportunities and non-discrimination).
	Policy against all type of discrimination and, where appropriate, to manage diversity.	GRI 3-3. Management of material topics (diversity and equal opportunities and non-discrimination) GRI 406-1 Incidents of discrimination and corrective actions taken.

Information on respect for human rights	Policies	Policies that apply to the Group, which include the due diligence procedures applied in the identification, assessment, prevention and reduction of significant risks and impacts, and of verification and control, together with the measures that have been adopted.	GRI 3-3. Management of material topics. GRI 412-2 Employee training on human rights policies or procedures.
	Main risks	Main risks related with these matters linked to Group activities, among them, when they are pertinent and proportioned, their commercial relations, products or services that may have negative effects on these areas, and on how the Group manages these risks, explaining the procedures used to detect and assess them, in accordance with the benchmark national, European or international frameworks for each area. Information must be included on the impacts detected, offering a breakdown of them, in particular, on the main short-, medium- and long-term risks.	GRI 3-2. List of material topics. GRI 3-3. Management of material topics.
	Human Rights	Application of due diligence procedures to human rights.	GRI 3-3. Management of material topics (Human Rights evaluation).
		Prevention of the risks of breaching human rights and, where appropriate, measures to reduce, manage and repair possible abuse committed.	GRI 3-3. Management of material topics (Human Rights evaluation). GRI 412-1 Operations that have been subject to human rights reviews or impact assessments.
		Complaints regarding human rights breaches.	GRI 2-16 Communication of critical concerns. GRI 3-3. Management of material topics (Human Rights evaluation). GRI 419-1 Non-compliance with laws and regulations in the social and economic area.
		Promotion of and compliance with the provisions of the ILO's fundamental agreements related with respect for freedom of association and the right to collective bargaining, the elimination of employment discrimination and occupation, the elimination of forced and obligatory labour and the effective abolition of child labour.	GRI 3-3. Management of material topics (non-discrimination; freedom of association and collective bargaining; child labour; forced or compulsory labour and human rights).
Information related to the fight against corruption and bribery	Policies	Policies that apply to the Group, which include the due diligence procedures applied in the identification, assessment, prevention and reduction of significant risks and impacts, and of verification and control, together with the measures that have been adopted.	GRI 2-23. Commitments and policies. GRI 3-3. Management of material topics.

	Main risks	Main risks related with these matters linked to Group activities, among them, when they are pertinent and proportioned, their commercial relations, products or services that may have negative effects on these areas, and on how the Group manages these risks, explaining the procedures used to detect and assess them, in accordance with the benchmark national, European or international frameworks for each area. Information must be included on the impacts detected, offering a breakdown of them, in particular, on the main short-, medium- and long-term risks.	GRI 3-3. Management of material topics. GRI 3-3. Management of material topics.
	Corruption and bribery	Measures adopted to prevent corruption and bribery.	GRI 3-3. Management of material topics.
		Measures to combat money laundering	GRI 3-3. Management of material topics (anti-corruption).
		Contributions to foundations and non-profit organisations.	GRI 3-3. Management of material topics (anti-corruption). GRI 201-1 Direct economic value generated and distributed (investments in the community). GRI 203-2 Significant indirect financial impacts.
Company information	Policies	Policies that apply to the Group, which include the due diligence procedures applied in the identification, assessment, prevention and reduction of significant risks and impacts, and of verification and control, together with the measures that have been adopted.	GRI 3-3. Management of material topics
	Main risks	Main risks related with these matters linked to Group activities, among them, when they are pertinent and proportioned, their commercial relations, products or services that may have negative effects on these areas, and on how the Group manages these risks, explaining the procedures used to detect and assess them, in accordance with the benchmark national, European or international frameworks for each area. Information must be included on the impacts detected, offering a breakdown of them, in particular, on the main short-, medium- and long-term risks.	GRI 3-2. List of material topics GRI 3-3. Management of material topics.

Commitment of the company to sustainable development	Impact of the company's activity on employment and local development.	GRI 203-2 Significant indirect financial impacts. GRI 204-1 Proportion of spending on local suppliers. GRI 413-1 Operations with local community participation, impact assessments and development programmes.
	Impact of the company's activity on local towns and on territory.	GRI 203-2 Significant indirect financial impacts. GRI 413-1 Operations with local community engagement, impact assessments, and development programmes.
	Relationships with local community players and dialogue systems with them.	GRI 3-3. Management of material topics (relating to community). GRI 413-1 Operations with local community engagement, impact assessments, and development programmes
	Association or sponsorship actions.	GRI 2-28 Membership associations GRI 201-1 Direct economic value generated and distributed (investments in the community).
Outsourcing and suppliers	Inclusion in the purchasing policy of social, gender equality and environmental issues.	GRI 3-3. Management of material topics (Environmental and social assessment of suppliers).
	Consideration in relationships with suppliers and subcontractors in their social and environmental responsibility.	GRI 3-3. Management of material topics (Environmental and social assessment of suppliers). GRI 308-1 New suppliers that were screened using environmental criteria. GRI 407-1 Operations and suppliers in which the right to freedom of association and collective bargaining may be at risk. GRI 409-1 Operations and suppliers at significant risk for incidents of forced or compulsory labour. GRI 414-1 New suppliers that were screened using social criteria.
	Supervision and audit systems and their outcome.	GRI 308-1 New suppliers that were screened using environmental criteria.
Consumers	Measures for the health and safety of consumers.	GRI 3-3. Management of material topics (health and safety of customers). GRI 416-1 Assessment of the health and safety impacts of the categories of products or services. GRI 417-1 Requirements for product and service information and labelling.

	Systems to process claims, complaints received and their resolution.	GRI 2-26 Mechanisms for seeking advice and raising concerns. GRI 3-3. Management of material topics (health and safety of customers). GRI 418-1 Substantiated complaints concerning breaches of customer privacy and losses of customer data.
Tax information	Profits obtained by country.	GRI 207-4 Country-by-country reporting.
	Income tax paid.	GRI 207-4 Country-by-country reporting.
	Public grants received.	GRI 201-4 Financial assistance received from government.

2.6.4. Alternative Performance Measures

The Viscofan Group has included in this report various Alternative Performance Measures (hereinafter APMs), as established in APM Guidelines published by the European Securities and Markets Authority on 5 October 2015 (ESMA/2015/1415es) and adopted by the National Securities Market Commission (the CNMV).

This involves a series of measures designed using the financial information of Viscofan, S.A. and its subsidiary companies, and they are complementary to the financial information drawn up in agreement with International Financial Reporting Standards (IFRS). Under no circumstance should they be assessed separately or considered a substitute.

They are measures used internally in decision-making processes and which the Board of Directors decides to report externally if it believes they provide additional information that is useful in the analysis and assessment of the Viscofan Group's results and its financial situation.

The APMs included in this report are as follows:

- The EBITDA, or operating income before depreciation and amortisation, is calculated excluding depreciation and amortisation costs from the operating profit. The EBITDA is a measure commonly reported and widespread among analysts, investors and other stakeholders in the casing industry. The Viscofan Group uses this measure to monitor the business' development and to establish operational and strategic objectives in Group companies. However, it is not a defined indicator in IFRS and, therefore, it may not be compared with other similar indicators employed by other companies in their reports.

- Consumption costs: This is calculated as the net amount of supplies plus the change in finished and unfinished products. Management monitors consumption costs as one of the main cost components for Viscofan. The weight of this cost component on income or gross margin is also analysed to study the operating margin's development. However, it is not a defined indicator in IFRS and consumption costs must not be considered a substitute for the different items in the profit and loss account that comprise them. Furthermore, it may not be compared with other similar indicators employed by other companies in their reports.

- Net bank debt: This is calculated as non-current borrowings plus current borrowings netted from cash and cash equivalents. Management considers net bank debt to be relevant to shareholders and other stakeholders as it provides an analysis of the Group's solvency. However, net bank debt should not be considered a substitute for gross bank debt in the consolidated balance sheet, nor other liability or asset items that may affect the Group's solvency.

- Like-for-like income and EBITDA: This measure excludes the impact of exchange rate fluctuations compared to the previous comparable period to present a like-for-like comparison of the Viscofan Group's performance. However, like-for-like income and EBITDA are not defined indicators in IFRS and, therefore, they may not be compared with other similar indicators employed by other companies in their reports, nor may they be considered a substitute for the business development indicators defined in IFRS.

ANNUAL CORPORATE GOVERNANCE REPORT FOR LISTED COMPANIES

(Free translation from the original in Spanish, in event of discrepancy, the Spanish-language version prevails)

ISSUER IDENTIFICATION

Financial year end:	31/12/2022
TAX ID NO.	A-31065501

Registered Name:

VISCOFAN, S.A.

Registered address:

CALLE BERROA, 15 4th FLOOR, 31192, TAJONAR, NAVARRE, SPAIN

A. OWNERSHIP STRUCTURE OF THE COMPANY

A.1. Complete the following table on share capital and attributed voting rights. Include, where appropriate, loyalty shares, as at the close of the financial year:

Indicate whether the company by-laws provide for double votes originating from loyalty shares:
[ ] Yes
[√] No

Date of last change	Share capital (euros)	Number of indirect	Number of total voting rights
25/01/2019	32,550,000	46,500,000	46,500,000

Indicate if there are different classes of shares with different rights associated with them:
[ ] Yes
[√] No

A.2. Detail the direct and indirect owners of significant holdings at year-end, including directors that have a significant shareholding:

Name or company name of the shareholder	% voting rights attributed to the shares		% of voting rights from financial instruments		% total voting rights
	Direct	Indirect	Direct	Indirect	
CORPORACIÓN FINANCIERA ALBA S.A.	14.25	0.00	0.00	0.00	14.25
APG ASSET MANAGEMENT N.V.	9.99	0.00	0.00	0.00	9.99
MR SANTIAGO DOMECQ BOHÓRQUEZ	0.00	5.02	0.00	0.00	5.02
SETANTA ASSET MANAGEMENT LIMITED	0.00	3.96	0.00	0.00	3.96

Details of the indirect investment:

Name or company name of the indirect shareholder	Name or company name of the direct shareholder	% voting rights attributed to the shares	% of voting rights from financial instruments	% total voting rights
MR SANTIAGO DOMECQ BOHÓRQUEZ	ANGUSTIAS Y SOL S.L.	5.02	0.00	5.02
SETANTA ASSET MANAGEMENT LIMITED	OTHER COMPANY SHAREHOLDERS	3.96	0.00	3.96

Indicate the most significant movements in the shareholding structure during the year:

Most significant movements
- Wellington Management Group LLP reduced its shareholding to less than 3% of the share capital on 26 January 2022 to transfer voting rights. - APG Asset Management N.V. reduced its shareholding to below 10% of the share capital on 28 July 2022 by transferring voting rights. - Marathon Asset Management Limited reduced its shareholding to below 3% of the share capital on 8 August 2022 by transferring voting rights.

A.3. Regardless of the percentage, indicate as at the end of the financial year the shareholdings of the members of the board of directors with voting rights attributed to shares of the company or through financial instruments, excluding those directors identified in section A.2.

Name of director (person or company)	% voting rights attributed to shares (including loyalty votes)		% of voting rights from financial instruments		% total voting rights	Of the total % of voting rights attached to the shares, indicate, if applicable, the % of additional votes attached to loyalty voting shares	
	Direct	Indirect	Direct	Indirect		Direct	Indirect
MR JOSÉ DOMINGO DE AMPUERO Y OSMA	0.16	0.00	0.00	0.00	0.16	0.00	0.00
MR JAIME REAL DE ASÚA Y ARTECHE	0.00	0.00	0.00	0.00	0.00	0.00	0.00
MR JOSÉ ANTONIO CANALES GARCÍA	0.07	0.02	0.00	0.00	0.09	0.00	0.00

Name of director (person or company)	% voting rights attributed to shares (including loyalty votes)		% of voting rights from financial instruments		% total voting rights	Of the total % of voting rights attached to the shares, indicate, if applicable, the % of additional votes attached to loyalty voting shares	
	Direct	Indirect	Direct	Indirect		Direct	Indirect
MR JOSÉ MARÍA ALDECOA SAGASTASOLOA	0.00	0.00	0.00	0.00	0.00	0.00	0.00
MS AGATHA ECHEVARRÍA CANALES	0.09	0.00	0.00	0.00	0.09	0.00	0.00
MR JAVIER FERNÁNDEZ ALONSO	0.00	0.00	0.00	0.00	0.00	0.00	0.00
MS LAURA GONZÁLEZ MOLERO	0.00	0.00	0.00	0.00	0.00	0.00	0.00
MS CARMEN DE PABLO REDONDO	0.00	0.00	0.00	0.00	0.00	0.00	0.00
MR ANDRÉS ARIZKORRETA GARCÍA	0.01	0.00	0.00	0.00	0.01	0.00	0.00
MS MARIA CRISTINA HENRÍQUEZ DE LUNA BASAGOITI	0.00	0.00	0.00	0.00	0.00	0.00	0.00

Total % of voting rights of the held by members of the board of directors:	0.35

Details of the indirect investment:

Name of director (person or company)	Name or company name of the direct shareholder	% voting rights attributed to shares (including loyalty votes)	% of voting rights from financial instruments	% total voting rights	Of the total % of voting rights attached to the shares, indicate, if applicable, the % of additional votes attached to loyalty voting shares
MR JOSÉ ANTONIO CANALES GARCÍA	OTHER COMPANY SHAREHOLDERS	0.02	0.00	0.02	0.00

Indicate the total percentage of voting rights represented on the board of directors:

Total percentage of voting rights represented on the board of directors:	19.62

Mr. Javier Fernández Alonso is a nominee director representing Corporación Financiera Alba S.A.

Mr. Santiago Domecq Bohórquez is a nominee director representing Angustias y Sol S.L.

A.4. Describe, if applicable, the family, commercial, contractual or corporate relationships between significant shareholders, to the extent known to the Company, unless they are immaterial or result from the ordinary course of business, except those shown in the section A.6:

Related name (person or company)	Type of relationship	Short description
N/D		

A.5. Where applicable, indicate any commercial, contractual or corporate relationships between holders of significant shareholdings, and the company and/or its group, unless they are of little relevance or due to ordinary trading or exchange activities:

Related name (person or company)	Type of relationship	Short description
N/D		

A.6. Describe the relationships, unless they are scarcely relevant to the two parties, between the significant shareholders or those represented on the board, and the directors, or their representatives, in the case of legal entity administrators.

Explain, if applicable, how significant shareholders are represented. Specifically, indicate the directors who have been appointed on behalf of significant shareholders, those whose appointment would have been encouraged by significant shareholders, or those who are linked to significant shareholders and/or entities of their group, with a specification of the nature of such associating relationships. Especially and where applicable, details will be given of the identity and position of members of the board or representatives of directors of the listed company who are also members of the administrative body, or their representatives, in companies that have a significant shareholding in the listed company or in group entities of these significant shareholders:

Name or company name of the associated director or representative	Name or company name of the related significant shareholder	Name of the Group Company of the significant shareholder	Relationship/position description
MR JAVIER FERNÁNDEZ ALONSO	CORPORACIÓN FINANCIERA ALBA S.A.	CORPORACIÓN FINANCIERA ALBA S.A.	Professional. Javier Fernández Alonso is the General Manager of Corporación Financiera Alba S.A.
MR SANTIAGO DOMECQ BOHÓRQUEZ	ANGUSTIAS Y SOL S.L.	ANGUSTIAS Y SOL S.L.	Corporate. Santiago Domecq holds 100% of the share capital of Angustias y Sol S.L.

A.7. Indicate whether the company has been informed of any shareholder agreements that may affect it as set out under articles 530 and 531 of the Corporate Enterprises Act. Where applicable, briefly describe them and list the shareholders bound by such agreement:

[ ] Yes
[√] No

Indicate whether the company is aware of the existence of concerted actions amongst its shareholders. If so, describe them briefly:

[ ] Yes
[√] No

Expressly indicate whether any of such agreements, arrangements or concerted actions have been modified or terminated during the fiscal year:

A.8. Indicate whether any person or organisation exercises or may exercise control over the company pursuant to article 5 of the Securities Exchange Act. If so, identify names:

[ ] Yes
[√] No

A.9. Fill in the following tables about the Company's treasury stock:

At year-end:

Number of direct shares	Number of indirect shares (*)	% of total share capital
321,684		0.69

(*) Via:

name or company name of the direct shareholder	Number of direct shares
N/D	

Explain the significant changes that occurred during the year:

Explain the significant changes

During the 2022, 129,811 treasury shares were delivered to Viscofan staff within the framework of the company's variable remuneration plans.

Also in 2022, the Company acquired 234,500 treasury shares under the protection of the authorisation granted by the General Shareholders' Meeting on 25 May 2018.

Thus, at 31 December 2022, the company had 321,684 treasury shares representing 0.69% of the voting rights valued at 16,181 thousand euros.

A.10. Describe the conditions and term of the current mandate from the general shareholders' meeting to the Board of Directors to issue, buy back and transfer treasury shares.

On the General Shareholders Meeting held on 25 May 2018 on second call, the following resolution was adopted by majority:

It was proposed to authorise the Board, through any person, Company or entity that it deems appropriate, to buy and sell treasury shares on the stock market at the listed price on the transaction day, in the maximum number of shares permitted by the Law on Joint Stock Companies and harmonising provisions, at a minimum price which is not less than the nominal value and a maximum of not more than 15% higher than the share price on the Sistema de Interconexión Bursátil at the time of acquisition.

The proposed authorisation will be valid for the maximum as established by law, from the date of the resolution and is granted to the Board of Directors subject to existing legal restrictions on the purchase of treasury shares and, more specifically, those restrictions contained in articles 146 and 509 of the Corporate Enterprises Act.

In the event of the Board needing to avail itself of the authorisation granted to it by the General Shareholders' Meeting, the shares in the Company's portfolio would be subject to the regime laid down by article 148 of the aforementioned law.

It was also proposed that the Board of Directors to be delegated to carry out the redemption of the shares acquired by virtue of this authorisation, by means of a reduction in the Company's capital, determining their amount and their destination, all in accordance with the provisions established in current legislation.

It is expressly stated that this acquisition of treasury shares is also in accordance with the provisions established in current legislation with the possibility that the purpose of the acquisition, in addition to that indicated in the preceding paragraphs, is that they are to be delivered directly to the Company's employees and/or Directors, or as a consequence of the option rights they hold, and therefore this resolution of the General Meeting states that the authorisation is also granted for this purpose, in accordance with the provisions of article 146.1.a), third paragraph of the aforementioned legal text.

A.11. Estimated floating capital:

	%
Estimated floating capital	65.74

A.12. Indicate whether there is any restriction (statutory, legislative or of any other nature) on the transferability of securities and/or any restriction on voting rights. In particular, report the existence of any type of restrictions that may make it difficult to take control of the company through the acquisition of its shares in the market, as well as authorisation or prior notice systems that are applicable to the acquisitions or transfers of the company's financial instruments by sectoral regulations.

[ ] Yes
[√] No

A.13. Indicate whether the General Meeting has agreed to adopt measures to neutralise a public takeover bid, pursuant to Act 6/2007.

[ ] Yes
[√] No

If so, explain the measures approved and the terms and conditions under which the restrictions would become inefficient:

A.14. Indicate whether the company has issued securities that are not traded on a regulated market in the EU.

[ ] Yes
[√] No

Where applicable, indicate the different types of shares, and what rights and obligations each share class confers.

B. GENERAL SHAREHOLDER'S MEETING

B.1. Indicate and, if applicable, explain whether there are differences with the minimum requirements set out in the Corporate Enterprises Act ("CEA") in connection with the quorum needed to hold a valid General Shareholders' Meeting.

[ ] Yes
[√] No

B.2. Indicate, and where applicable give details, whether there are any differences from the minimum standards established under the Corporate Enterprises Act (CEA) for the adoption of corporate resolutions:

[ ] Yes
[√] No

B.3. Indicate the rules applicable to amendments to the company by-laws. In particular, report the majorities established for amending the Bylaws, and, if applicable, the rules established to safeguard member rights when amending the Bylaws.

There is no specific regulation for the amendment of articles of association other than that provided for by the applicable regulations themselves, relating to the requirements established by art. 194 of the Capital Companies Act for the quorum of constitution reinforced in special cases and by the other provisions of Title VIII "The amendment of the articles of association" of the aforementioned regulation.

The requirements for passing resolutions to modify company bylaws set forth in article 20 of the Bylaws and articles 18 and 22 of the Regulations of the General Shareholders' Meeting match those stated above.

B.4. Indicate the data on attendance at the general shareholders' meetings held the year to which this report refers and the previous two years:

	Attendance information				
General Shareholders Meeting Date	% shareholders present	% Attending by proxy	% voting remote		Total
			Electronic vote	Other	
24/04/2020	19.19	24.69	0.00	43.69	87.57
Of floating capital	2.31	24.69	0.00	33.62	60.62
23/04/2021	19.30	62.20	0.00	0.60	82.10
Of floating capital	0.38	51.84	0.00	0.60	52.82
29/04/2022	19.90	62.20	0.00	0.60	82.70
Of floating capital	0.04	51.83	0.00	0.60	52.47

B.5. Indicate whether there have been any items on the agenda at the general meetings held during the year that, for any reason, have not been approved by the shareholders.

[ ] Yes
[√] No

B.6. Indicate if there is a statutory restriction that establishes a minimum number of shares necessary to attend the general shareholders' meeting, or to vote remotely.

[√] Yes
[ ] No

Number of shares necessary to attend the General Shareholders' meeting:	100
Number of shares necessary to vote remotely	1

B.7. Indicate whether it has been established that certain decisions, other than those established by law, involving an acquisition, transfer, contribution of essential assets to another company or other similar corporate operations must be submitted for the approval of the general shareholders' meeting.

[ ] Yes
[√] No

B.8. Indicate the address and means of access through the company website to the information on corporate governance and other information on the general meetings that must be made available to shareholders on the company's website.

The information is published on Viscofan's website whose address is: www.viscofan.com

The information relating to Corporate Governance is available on the Corporate Governance tab, which can be found at the top of the website homepage.

The information relating to the General Shareholders Meetings is available on the Investor Relations tab, located at the top of the website homepage. Once inside the tab, the information can be accessed by selecting the General Shareholders' Meeting section. Moreover, as of the date of publication of the notice to hold a new General Meeting, a direct link is enabled on the company's Home Page where the notice of meeting is found and in accordance with the shareholders' right to information, there is also access to legally-required documentation and other documentation for information purposes.

C. CORPORATE GOVERNANCE STRUCTURE

C.1. Board of directors

C.1.1 Maximum and minimum number of directors established in the bylaws and the number set by the general meeting:

Maximum number of Directors	12
Minimum number of Directors	5
Total number of Directors set by the board	11

C.1.2 Fill in the following table on the Board members:

Name of director (person or company)	Representative	Type of directorship	Position on the board	Date first elected	Date of last election	Election procedure
MR JOSÉ DOMINGO DE AMPUERO Y OSMA		Executive	CHAIRMAN	27/02/2009	12/04/2019	VOTE AT THE GENERAL SHAREHOLDERS ' MEETING
MR JOSÉ ANTONIO CANALES GARCÍA		Executive	DIRECTOR	11/04/2014	29/04/2022	VOTE AT THE GENERAL SHAREHOLDERS ' MEETING
MR JAIME REAL DE ASÚA Y ARTECHE		Independent	VICE-CHAIRMAN	11/04/2014	29/04/2022	VOTE AT THE GENERAL SHAREHOLDERS ' MEETING
MR JOSÉ MARÍA ALDECOA SAGASTASOLOA		Independent	INDEPENDENT LEAD DIRECTOR	23/05/2012	29/04/2022	VOTE AT THE GENERAL SHAREHOLDERS ' MEETING
MS LAURA GONZÁLEZ MOLERO		Independent	DIRECTOR	25/05/2018	29/04/2022	VOTE AT THE GENERAL SHAREHOLDERS ' MEETING
MS AGATHA ECHEVARRÍA CANALES		Other External	DIRECTOR	24/06/1998	29/04/2022	VOTE AT THE GENERAL SHAREHOLDERS ' MEETING
SANTIAGO	ANGUSTIAS Y SOL S.L.	Nominee	DIRECTOR	21/04/2016	24/04/2020	BOARD AGREEMENT

Name of director (person or company)	Representative	Type of directorship	Position on the board	Date first elected	Date of last election	Election procedure
DOMECQ BOHÓRQUEZ						GENERAL SHAREHOLDERS' MEETING
MS CARMEN DE PABLO REDONDO		Independent	DIRECTOR	24/04/2020	24/04/2020	VOTE AT THE GENERAL SHAREHOLDERS ' MEETING
MS MARIA CRISTINA HENRÍQUEZ DE LUNA BASAGOITI		Independent	DIRECTOR	29/04/2022	29/04/2022	VOTE AT THE GENERAL SHAREHOLDERS ' MEETING
MR ANDRÉS ARIZKORRETA GARCÍA		Independent	DIRECTOR	29/04/2022	29/04/2022	VOTE AT THE GENERAL SHAREHOLDERS ' MEETING
MR JAVIER FERNÁNDEZ ALONSO	CORPORACIÓN FINANCIERA ALBA S.A.	Proprietary	DIRECTOR	23/06/2022	23/06/2022	CO-OPTATION

Total number of Directors	11

Indicate any termination that have occurred on the Board of Directors as a result of resignation or by agreement at the General Shareholders' Meeting during the reporting period.

Name of director (person or company)	Condition of director at time of severance	Date of last election	Date of leaving	Specialised committees of which he/she was a member	Indicate whether the dismissal occurred before the end of their term
MR NESTOR BASTERRA LARROUDÉ	Other External	25/05/2018	29/04/2022	Appointments, Remuneration and Sustainability Committee	YES
MR IGNACIO MARCO-GARDOQUI IBAÑEZ	Independent	24/04/2020	29/04/2022	Appointments, Remuneration and Sustainability Committee	YES
MR JUAN MARCH DE LA LASTRA	Nominee	12/04/2019	23/06/2022	Appointments, Remuneration and Sustainability Committee	YES

Cause of removal, if before the end of the term of office and other remarks; information on whether the director has sent a letter to the other members of the board and, in the case of removals of non-executive directors, explanation or opinion of the director who has been removed by the general meeting

D. Ignacio Marco-Gardoqui Ibáñez completed 12 uninterrupted years in the post of director of Viscofan on 1 January 2022, hence he ceased to be considered an independent external director and acquired the status of other external directors. For this reason, Marco Gardoqui, formally communicated his irrevocable resignation as director of the Company by letter addressed to the Chairman and the entire Board and with effect from the date of the Ordinary General Shareholders' Meeting in 2022 so that the shareholders can fill the vacancy created and appoint a new director who, in addition to meeting the appropriate perfil, has the status of independent external director.

Néstor Basterra Larroudé, whose term of office expired on 25 May 2022, considering that the Ordinary General Meeting had been called for 28 and 29 April 2022, a few days before the expiry of the term of office he also tendered his resignation as a director of the Company by letter addressed to the Chairman and the entire Board irrevocably and with effect from the date of the Ordinary General Meeting of Shareholders in 2022.

Juan March de la Lastra, by means of a letter addressed to the Chairman and the entire Board, on 23 June 2022, tendered his resignation as a member of the Board of Directors of the Company for professional reasons linked to the assumption of new responsibilities that will prevent him from duly attending to his duties as a director.

C.1.3 Fill in the following tables on the Board members and their different kinds of directorship:

EXECUTIVE BOARD MEMBERS		
Name of director (person or company)	Position within company organisation	Profile
MR JOSÉ DOMINGO DE AMPUERO Y OSMA	EXECUTIVE CHAIRMAN	Industrial Engineer from Bilbao's Higher School of Industrial Engineers and Master of Business Administration from the University of Southern California. Los Angeles. USA. His extensive professional career has led him to hold various important positions, such as Vice-Chairman of Naviera Vizcaína, Chairman of S.A. de Alimentación, Vice-Chairman of BBVA Bancomer (México), Chairman of Bodegas y Bebidas S.A., Vice-Chairman of Banco Bilbao Vizcaya Argentaria S.A., Vice-Chairman of Iberdrola, Chairman of Cementos Lemona S.A. and Director of Tubacex S.A., Corporación Financiera Alba and member of the Board of Directors of the Asociación para el Progreso de la Dirección. He is currently Chairman of Autopista Vasco-Aragonesa S.A. His business activities include being is member of the Basque Business Circle, and its former chairman, member of the Board of Caridad de la Santa y Real Casa de Misericordia of Bilbao, and its former chairman. He is the Executive Chairman of Viscofan S.A.
MR JOSÉ ANTONIO CANALES GARCÍA	GENERAL MANAGING DIRECTOR	Degree in Economics and Business from Deusto Business School, Advanced course of studies in International Transport & Distribution at the London School of Foreign Trade. He has in-depth knowledge of the casings business, thanks to his experience within the Viscofan Group, which he joined in 1996 as Managing Director of Viscofan do Brasil, where he led the expansion of the Viscofan Group in South America until his appointment in 2006 as Managing Director of Viscofan, S.A. and the Group of companies of which it is the parent company, a position he currently holds, and from which he has significantly contributed to strengthening Viscofan's leadership and its international expansion. Member of the advisory board of ABE capital partners and of the Board of Trustees representing the Viscofan Group at Fundación Cetena (CEMITEC) and until 2019 he was a director of Maxam Corporation Holding, S.L. He is also a member of the Board of Directors of ACERMAS, Asociación Centro Rafaela María de Acción Social, for the integration of people with mental disabilities.

Total number of Executive Directors	2
% of total directors	18.18

NOMINEE DIRECTORS		
Name of director (person or company)	Name or company name of the significant shareholder he/she represents or who proposed his/her appointment	Profile
MR SANTIAGO DOMECQ BOHÓRQUEZ	ANGUSTIAS Y SOL S.L.	He has studies at the School of Economic and Business Sciences of Universidad Pontificia Comillas-ICADE (Madrid) and at the School of Economic and Business Sciences of the University of Cádiz (UCA). Specialisation course in Managing Agrifood Companies (DEA) at the International Institute San Telmo (Seville). Throughout his broad professional experience as a businessman he was, among others, Director of Coca-Cola Iberian Partners, S.L. until 2015, and prior to that, from 1997 Director of Refrescos Envasados del Sur, S.A. (RENDELSUR), a company that joined Coca-Cola Iberian Partners S.L. in 2013. He was also a Director of Algar Aguas de Cádiz, S.A. He is currently a Member of the Provincial Board of Cádiz, a member of the Los Alcornocales Nature Reserve and Member of the Provincial Environment Council. He is the Sole Director of Angustias y Sol, S.L and of its group of subsidiary companies operating in the financial, agriculture and livestock sectors, among others. Proprietary Director of Viscofan representing Angustias y Sol S.L., and member of its Appointments, Remuneration and Sustainability Committee
MR JAVIER FERNÁNDEZ ALONSO	CORPORACIÓN FINANCIERA ALBA S.A.	Degree in Business Administration and Management from the University of Deusto, with honours, specialising in Finance. He has extensive experience in business management and administration. He is currently the General Manager of Corporación Financiera Alba, S.A. In 2000, he started his career in investment banking and mergers and acquisitions at Goldman Sachs in London and subsequently joined ABN AMRO in Madrid in 2002. In 2006, he joined the Investment Department of Corporación Financiera Alba S.A., being appointed Deputy Chief Investment Officer in 2007, Chief Investment Officer in 2012 and Chief Executive Officer from 2020. On behalf of Alba, he is currently a member of the Board of Directors of CIE Automotive S.A., Ebro Foods S.A., Profand Fishing Holding S.L. and the Rioja and Rioja Acquisition S.à r.l. vehicles. (Naturgy). Previously, he was Director, among others, of Acerinox, ACS, Dragados, ACS Servicios y Concesiones, Euskaltel, Parques Reunidos and Clínica Baviera. In addition, he is a director and member of the Investment Committee of Artá Capital SGEIC, S.A. and in several of the group's private equity vehicles. Since June 2022, he has been a proprietary director of Viscofan SA on behalf of Corporación Financiera Alba and a member of its Audit Committee.

Total number of nominee directors	2
% of total directors	18.18

EXTERNAL INDEPENDENT DIRECTORS	
Name of director (person or company)	Profile
MS LAURA GONZÁLEZ MOLERO	Holds a Degree in Pharmacy, specialising in industry, from the Universidad Complutense de Madrid, an Executive MBA from the IE Business School awarded in 1999, and has taken advanced courses in prestigious international academic institutions such as Insead, IMD and Harvard. He has held top executive positions in major international corporations in the Healthcare and Chemical sectors in Europe and America. She was Chairwoman for Latin America at Merck Serono Biopharmaceuticals and Bayer Healthcare, having resided in Brazil and the United States, where she was responsible for more than two thousand five hundred employees and managed business figures in excess of one billion dollars, which has made her an international benchmark in these sectors. Her work as an executive has been rewarded on numerous occasions. She has also been an Independent Director of Bankia S.A. until its merger with Caixabank S.A. in March 2021 and of Ezentis S.A. until June 2022. Between 2010 and 2016 she was an Independent Director of Viscofan and a member of its Appointments and Remuneration Committee, where she carried out an important job promoting and consolidating the functions of this Committee, as well as contributing diversity to the Board's decision-making through her participation in the various debates and deliberations where her criteria and opinion have contributed to the development of the Viscofan Group until the end of her mandate as an independent Director in 2016, when her professional commitments prevented her from considering her renewal as a Director. She is currently an independent director of Acerinox SA, Banco Sabadell, President of the Asociación para el Progreso de la Dirección (ApD), member of the Advisory Board of ISS in Spain. Member of the Board of Directors of Viscofan S.A. and of its Audit Committee, of which she is the Chairperson.

EXTERNAL INDEPENDENT DIRECTORS	
Name of director (person or company)	Profile
MS CARMEN DE PABLO REDONDO	She has a degree in Business Administration from CUNEF and an MBA from the Tuck Business School in Dartmouth (USA). She has an extensive professional career in corporate finance, M&A, capital markets and corporate development, as well as in financial management, currently holding the position of Director of Financial, Economic and General Services (CFO) and Director of Strategy, Sustainability, IT/Systems and M&A at Cepsa, as well as a member of its Management Committee, highlighting her experience and knowledge of the energy and industrial sector in the automotive sector. Before joining Cepsa in January 2022, she was the Chief Financial Officer (CFO) for Grupo Gestamp and a member of its Management Committee. She started her career in auditing at EY and was an associate at McKinsey, and she worked for over 15 years in investment banking in London and Madrid, in JP Morgan, Lehman Brothers and Morgan Stanley, where she was the Executive Director of Investment Banking. She has undergone executive training at the UCLA Anderson School of Management and at ESADE. She is a member of the Board of Directors of Viscofan and a member of the Audit Committee.
MR JAIME REAL DE ASÚA Y ARTECHE	Industrial engineer, specialising in industrial organisation from the ETSII (Bilbao). He is currently Non-executive Chairman of the Board of Directors of Elecnor S.A., Chairman of the Executive Committee and member and secretary of the Appointments, Remuneration and Sustainability Committee. He is also Chairman of the Elecnor Services and Projects Committee and Director of Enerfín Sociedad de Energía, S.L., belonging to the Elecnor Group, Vice-chairman of Cantiles XXI, S.L, and director of Tasdey S.A. He is also a member of the BBVA Advisory Board of the Northern Zone and of the Business Circle, and member of the Board of Trustees of the Fundación Adey. He has also been Chairman and Director of Adhorna Prefabricación S.A. until its takeover merger by Elecnor in 2015, and director of Celeo Concesiones e Inversiones, S.L.U., as well as of the Elecnor Group. From 1987 to 2012 he was director of Internacional de Desarrollo Energético, S.A. (IDDE). At the same time, from 1981 until 2011 he was linked to Grupo Cementos Portland Valderrivas, where he held different management positions and was a member of the Board of Directors of various companies of this Group. He is Vice-Chairman of the Board of Directors of Viscofan, S.A, and Chairman of the Appointments, Remuneration and Sustainability Committee.
MR JOSÉ MARÍA ALDECOA SAGASTASOLOA	Technical Engineer in Electronics from the University of Mondragón and Senior Business Management Programme from IESE. Throughout his long professional career, he has held various posts at Copreci (1971-1982), Managing Director of Fagor Electrónica and member of the Board of Directors of Fagor, S. Coop. (1982-1991). Between 1984 and 1991, he was Vice-Chairman of ANIEL (National Association of Electronic Industries) and Board member of Asociación Europea de Componentes Electrónicos (EECA). Since 1992, he has been developing his professional career at MONDRAGON CORPORACION as Vice Chairman (1992-2006), managing the Components Division (1992-1999) and the Automotive Division (1999-2006). In 2007 he was appointed Chairman, a position he held until July 2012. He has a wealth of experience in the international industrial world, especially in Asia, including the creation of Fagor Electrónica in Hong Kong and Thailand and the integration of the production plants in the Kunshan industrial park, China. He has sat on the Board of Directors of various automotive and components companies (Copreci in the Czech Republic and Mexico, Fagor Ederlan in Brazil and Slovakia, Paranoa-Cicautxo in Brazil, FPK, Chairman of Vitorio Luzuriaga), and the role of Member (1992-2006) and Chairman (2007-2012) of MONDRAGON INVERSIONES. He was an independent director and member of the Executive Committee of Gamesa Corporación Tecnológica, S.A. from 2012 to 2017. He is a member of the Board of Directors of Viscofan S.A., and of the Appointments, Remuneration and Sustainability Committee and has been a member of the Audit Committee until November 2022. In 2014 he was appointed Coordinating Director.

EXTERNAL INDEPENDENT DIRECTORS	
Name of director (person or company)	Profile
MR ANDRÉS ARIZKORRETA GARCÍA	Degree in Economics from the University of Deusto. He has extensive experience in General Management as CEO of a listed company with a wide projection in the Spanish industrial business environment. Accustomed to international business development, he has been able to successfully implement his company in all global markets. He has spent his entire professional career at CAF. He started in the economic area in 1980 in an internal control post and progressed until 1982, when he became responsible for accounting, administration and people in the areas related to manufacturing. This experience gave him in-depth knowledge of CAF factory environments and the understanding of operations. In 1987, he was appointed Personnel Director of the Company and in 1989 he became Director of the Beasain and Irún plants. In 1992, he became part of the Board of Directors and was appointed as the Company's Managing Director. In 2006, he was appointed as CEO of the CAF Group until 2015, the year in which he was appointed as the Company's Executive Chairman, holding the post of Non-Executive Chairman since 2021. He is also linked with Deusto Business School as a Director with the Management Knowledge Cluster as Chairman, and with the Technical Research Centre of Guipúzcoa as a member of the Board of Trustees. His current responsibilities in addition to his roles at CAF are at Orkestra Instituto Vasco de Competitividad, where he is a member of the Board. He is also the Vice Chairman of the Circle of Basque Businessmen, member of the Academy of Sciences, Arts and Letters (Jakiunde), and of the Board of Trustees of the Donostia International Physics Center Foundation. He has been a member of the Board of Directors of Viscofan, S.A. since April 2022, and of its Appointments, Remuneration and Sustainability Committee.
MS MARIA CRISTINA HENRÍQUEZ DE LUNA BASAGOITI	Degree in Business Administration from Universidad Pontificia Comillas (ICADE E2). She has extensive experience and financial knowledge of best multinational practices in various sectors and vast international experience, both on developed and developing markets and has worked in Spain, Germany, Peru, Mexico, Switzerland and the United Kingdom. Between 1989 and 2010, she carried out her career at Procter & Gamble, where she joined as a Financial Analyst (1989-1991), then coupling posts of varying responsibility: Manager of Finance, Cosmetics and Fragrances, (1991-1994), Director of Finance and Accounting for Peru, Ecuador and Bolivia (1994-2001), Tesorera Latam (2001-2004), Financial and Accounting Director, Latam North (2004-2006) and Vice Chairman of Finance and Accounting for Western Europe (2006-2010), where she led a financial organisation for a region with €18 billion in revenues. In 2010, she joined GSK as Senior Vice President Finance for Pharma Europe and, two years later, also assumed financial responsibility for the Global Franchises. Since 2014, she has been the Chairwoman and Chief Executive Officer in Spain and Head of Iberia and Israel. She is also currently a Director and member of the Audit and Compliance Committee of the companies Meliá Hotels International, S.A. and Applus Services, S.A. She is the Vice Chairwoman of the Health Sciences Foundation, the Vice Chairwoman of the Spain Health Foundation, and the Vice Chairwoman of Farmaindustria. and member of its Governing Council and Board of Directors. She is a member of the Executive Committee and Trustee of the SERES Foundation, Society and Responsible Business, as well as Trustee of the Cotec Foundation. She is a member of the Board of Directors of Viscofan and a member of the Audit Committee.

Total number of Independent Directors	6
% of total directors	54.55

Indicate whether any director considered an independent director is receiving from the company or from its group any amount or benefit under any item that is not the remuneration for his/her directorship, or maintains or has maintained over the last year a business relationship with the company or any company in its group, whether in his/her own name or as a significant shareholder, director or senior manager of an entity that maintains or has maintained such a relationship.

Where applicable, include a reasoned statement from the Board with the reasons why it deems that this director can perform his/her duties as an independent director.

Name of director (person or company)	Description of the relationship	Motivated declaration
N/D		

OTHER EXTERNAL DIRECTORS			
Identify all other external Directors and explain why these cannot be considered proprietary or independent Directors and detail their relationships with the company, its executives or its shareholders:			
Name of director (person or company)	Reasons	Company, senior manager or shareholder to which Director has ties	Profile
MS AGATHA ECHEVARRÍA CANALES	For having remained on the Board of Directors for more than 12 years	-----	Law degree and Business Studies graduate from Universidad Pontificia de Comillas (ICADE). She has broad professional experience in a number of multi-nationals, including the audit firm Touche and Ross, S.A., British Petroleum España, S.A. and the investment bank Charterhouse Limited where she served as Director General and Director of its Spanish subsidiary, and founder and director of D+A Documentación y Análisis S.A. She has advised family businesses on their business strategies and is currently a Board Member of Papelera Guipuzcoana de Zicuñaga, S.A. and Banca March, S.A., where she is a member of the Audit Committee and the Remunerations Committee. She is a member of the Board of Directors of Viscofan S.A. and a member of its Audit Committee.

Total number of other external directors	1
% of total directors	9.09

Indicate any changes that may have occurred during the period in the type of directorship of each director:

Name of director (person or company)	Date of the change	Former category	Current category
N/D			

C.1.4 Fill in the following table with information regarding the number of female directors at year-end over the last 4 years, and the category of their directorships.

	Number of female directors				% of total female directors of each category			
	FY 2022	FY 2021	FY 2020	FY 2019	FY 2022	FY 2021	FY 2020	FY 2019
Female Executives					0.00	0.00	0.00	0.00
Female Proprietary Directors					0.00	0.00	0.00	0.00
Independent	3	2	2	1	50.00	40.00	40.00	25.00
Other external	1	1	1	1	100.00	50.00	50.00	50.00
Total	4	3	3	2	36.36	27.27	27.27	20.00

C.1.5 Indicate whether the company has diversity policies in relation to the company's board of directors with regard to issues such as age, gender, disability, or professional training and experience. As a minimum, small and medium-sized companies, in accordance with the definition contained in the Accounts Auditing Law, will have to inform of the policy they have established in relation to gender diversity.

[√] Yes
[ ] No
[ ] Partial policies

If you have ticked yes, describe these diversity policies, their objectives, the measures and the way in which they have been applied and their results during the year. The specific measures adopted by the board of directors and the appointments and remuneration committee should also be indicated to achieve a balanced and diverse presence of directors.

In case the company does not apply a diversity policy, explain the reasons why.

Description of the policies, objectives, measures and manner in which they have been applied, as well as the results obtained

The Viscofan Group has a specific policy on the Selection of Directors and Diversity of the Board of Directors approved by the Board itself.

In accordance with the principles of good corporate governance and following the amendment of the Code of Good Governance by the Spanish National Securities Market Commission (CNMV) of June 2020, this policy for director selection and diversity - public, specific and verifiable- was updated in 2020. The objective of the policy is to ensure that proposals for the appointment or re-election of directors are based on a prior analysis of the skills required by the Board of Directors and to encourage the diversity of knowledge, experience, age and gender required on the Board at all times, taking into account the vacancies to be covered and the structure and composition of the Board.

This policy therefore establishes and promotes the principle of diversity. Based on this, the selection of directors should be guided by the aim of achieving a diverse and balanced composition of the Board of Directors which would contribute different points of view to the discussions it holds, thus enriching the decision-making process. With this in mind, in the selection of candidates for board members, consideration will be given to candidates whose appointment contributes to increasing the diversity of knowledge, skills, experience, origins, nationalities, age and gender.

Article 8 of the Regulations of the Board of Directors was amended in 2021 to incorporate into the director selection procedure the diversity criteria under the terms introduced by the Code of Good Governance in the reform of June 2020.

This article states that the Board of Directors must ensure that the selection procedures for their members favour diversity, respect matters regarding age, gender, disability or professional knowledge and experience and do not have an implicit bias that may imply any discrimination and, in particular, that facilitates the selection of female directors to allow for a balanced presence of men and women.

In this aspect the Regulations includes the need for establishing an objective regarding representation for the least represented sex on the Board of Directors and the drafting of recommendations to reach this objective, for which the Appointments, Remuneration and Sustainability Committee was made responsible.

In relation to the measures and the manner in which they are applied and their results in the exercise of the aforementioned regulations and policy, when the Appointments, Remuneration and Sustainability Committee or the Board itself, as the case may be, has to propose the appointment or re-election of directors, without prejudice to respect for the competence matrix, the inclusion in the process of candidates who contribute to incorporating directors of the least represented gender is actively sought, and when faced with two similar professional profiles, the female candidate will be chosen.

Thus, the Appointments, Remuneration and Sustainability Committee, in view of the expiry of the Directors' term of office in 2022, conducted a search for the most suitable candidates to join the Board of Directors of Viscofan, S.A. in accordance with the Director Selection Policy and the diversity objectives and, with the assistance of the consulting firm Russell Reynolds, incorporated, in the selection process, a higher number of female candidates than male candidates, finally proposing, among others, the appointment of Cristina Henríquez de Luna Basagoiti as a new Viscofan S.A. director. Likewise, with regard to the proposals or reports on the re-election of directors, it proposed the re-election of Laura González Molero and reported favourably on the re-election of Agatha Echevarría Canales as members of the Board of Directors. These proposals were approved at the General Shareholders' Meeting held on 29 April 2022.

Thus, in the 2022 financial year, the number of directors of the least represented gender on the Board has been increased from 3 to 4, from 27% to the current 36%.

C.1.6 Explain the measures, if any, agreed by the Appointments Committee to ensure that selection procedures do not suffer from implicit biases that may hinder the selection of female directors, and that the company deliberately seeks and includes potential female candidates that meet the professional profile sought and that makes it possible to have a balanced number of men and women. Also indicate whether these measures include promoting the presence of a significant number of women in the company's senior management:

Explanation of measures

Based on the Director Selection and Diversity policy explained in the previous point, the Appointments, Remuneration and Sustainability Committee must ensure that consideration is given to persons of both sexes who have the necessary qualifications for the position of director.

Pursuant to section C.1.5 above. the Appointments, Remuneration and Sustainability Committee, in view of the expiry of the Directors' term of office in 2022, carried out a search for the most suitable candidates to join the Board of Directors of Viscofan S.A. in accordance with the Director Selection Policy and the diversity objectives and incorporated a number of female candidates in the selection process, finally proposing, among others, the appointment of a new director, Cristina Henríquez de Luna Basagoiti as a member of the Board of Directors of Viscofan S.A. (50% of new proposals). Likewise, with regard to the proposals or reports on the re-election of directors, it proposed the re-election of Laura González Molero and reported favourably on the re-election of Agatha Echevarría Canales as members of the Board of Directors.

These proposals were approved at the General Shareholders' Meeting held on 29 April 2022.

Thus, in the 2022 financial year, the number of directors of the least represented gender on the Board has been increased from 3 to 4, from 27% to the current 36%.

Likewise, the director selection and diversity policy determines that the Company shall also promote diversity policies that encourage the Company to have a significant number of senior managers through effective equal opportunities, measures to reconcile personal and family life and including candidates of the least represented gender in all internal processes for filling management positions.

In its development, within the Sustainability Action Plan approved by the Board of Directors, the objective has been set to increase the percentage of women in management positions from 15.6% in 2018 to 30% in 2030. As part of this commitment, as of 1 January 2022, Ms Beatriz Sesma has been appointed as General Director of Human Resources and Ms Dragana Roknic as General Director of Viscofan Serbia and during 2022 work has been carried out to identify and promote female talent. Thus, the percentage of women in management positions in the Viscofan Group in 2022 has increased to 19.5% compared to 17.8% in 2021.

When, despite any measures that might have been adopted, the number of female directors or in senior management is low or zero, explain the reasons:

Explanation of reasons

See previous point.

C.1.7 Explain the conclusions of the Appointments Committee regarding verification of compliance with the policy aimed at establishing an appropriate composition of the Board of Directors.

The Appointments, Remuneration and Sustainability Committee considers that the director selection and diversity policy has been suitably complied with, for a number of reasons:

All proposals for appointment and re-election submitted to the General Meeting of Shareholders for the 2022 financial year, in addition to being in line with the outcome of the previous analysis of the needs and competence matrix of the Board, have actively sought to achieve a better balance on the Board, from the perspective of diversity and, in particular, gender. In conclusion, the proposals have led to an increase in the number of women on the Board as described in sections C.1.5. and C.1.6. of this Annual Corporate Governance Report.

The Committee considers that there is a need to analyse the implementation of the policy on a yearly basis, and also in the longer term, taking account of any projected vacancies, based on the director term of appointment, in order to guarantee at all times the quality of the Board's decisions and its ability to effectively promote corporate interest.

C.1.8 Explain, where applicable, the reasons why nominee directors have been appointed at the behest of a shareholder whose holding is less than 3% of the capital:

Name or company name of the shareholder	Reasons
N/D	

Indicate whether formal petitions have been ignored for presence on the Board from shareholders whose holding is equal to or higher than that of others at whose behest proprietary directors were appointed. Where applicable, explain why these petitions have been ignored:

[ ] Yes
[√] No

C.1.9 Indicate, if any, the powers and faculties delegated by the board of directors, including those relating to the possibility of issuing or buying back shares, to board members or board committees:

Name of director (person or company) or committee	Short description
JOSÉ DOMINGO DE AMPUERO Y OSMA	In his role as Chairman of the Board, he has granted powers of representation, powers relating to the purchase or sale, powers relating to personnel, to charges, payments, contracts, auctions and transactions, to checking accounts, credit or savings, to bills of exchange and promissory notes, securities, guarantees, and supplementary powers to the previous.
JOSÉ ANTONIO CANALES GARCÍA	In his position as Managing Director, he has been granted powers of representation, powers relating to purchase or disposal, powers relating to personnel, collections, payments, contracts, tenders and transactions, current accounts, credit and savings accounts, bills of exchange and promissory notes, securities and shares, bonds and guarantees, and complementary powers to the above.

C.1.10 Identify any members of the Board holding positions as directors, representatives of directors or managers in other companies belonging to the listed company's group:

Name of director (person or company)	Name of the Group Company	Position	Does the director hold executive functions?
MR JOSÉ DOMINGO DE AMPUERO Y OSMA	VISCOFAN URUGUAY S.A.	CHAIRMAN	NO
MR JOSÉ DOMINGO DE AMPUERO Y OSMA	SUPRALON VERPACKUNGS AG	CHAIRMAN	NO

Name of director (person or company)	Name of the Group Company	Position	Does the director hold executive functions?
MR JOSÉ DOMINGO DE AMPUERO Y OSMA	NATURIN VISCOFAN GMBH	CHAIRMAN	NO
MR JOSÉ DOMINGO DE AMPUERO Y OSMA	VISCOFAN DE MEXICO S. DE R.L. DE C.V.	CHAIRMAN	NO
MR JOSÉ DOMINGO DE AMPUERO Y OSMA	VISCOFAN USA INC	DIRECTOR	NO
MR JOSÉ DOMINGO DE AMPUERO Y OSMA	VISCOFAN DO BRASIL SOCIEDADE COMERCIAL E INDUSTRIAL LTDA	CHAIRMAN	NO
MR JOSÉ DOMINGO DE AMPUERO Y OSMA	VISCOFAN CZ S.R.O.	CHAIRMAN	NO
MR JOSÉ DOMINGO DE AMPUERO Y OSMA	VISCOFAN TECHNOLOGY SUZHOU CO. LTD.	CHAIRMAN	NO
MS AGATHA ECHEVARRÍA CANALES	SUPRALON VERPACKUNGS AG	DIRECTOR	NO
MR JOSÉ ANTONIO CANALES GARCÍA	VECTOR PACKAGING EUROPE NV	CHAIRMAN	NO
MR JOSÉ ANTONIO CANALES GARCÍA	VECTOR EUROPE NV	CHAIRMAN	NO
MR JOSÉ ANTONIO CANALES GARCÍA	NATURIN VISCOFAN GMBH	DIRECTOR	YES
MR JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN CZ S.R.O.	DIRECTOR	YES
MR JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN DO BRASIL SOCIEDADE COMERCIAL E INDUSTRIAL LTDA	MEMBER OF THE ADVISORY BOARD	NO
MR JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN TECHNOLOGY SUZHOU CO. LTD.	DIRECTOR	NO
MR JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN URUGUAY S.A.	VICE-CHAIRMAN	NO
MR JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN USA INC	CHAIRMAN	NO
MR JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN UK LIMITED	DIRECTOR	NO
MR JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN CANADA INC	CHAIRMAN	NO
MR JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN CENTROAMÉRICA COMERCIAL SOCIEDAD ANÓNIMA	CHAIRMAN	NO

Name of director (person or company)	Name of the Group Company	Position	Does the director hold executive functions?
MR JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN DE MEXICO S. DE R.L. DE C.V.	VICE-CHAIRMAN	NO
MR JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN JAPAN GK	SHOKUMU-SHIKKOSHA (DUTY EXECUTOR)	NO
MR JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN (THAILAND) CO. LTD	DIRECTOR	NO
MR JOSÉ ANTONIO CANALES GARCÍA	SUPRALON VERPACKUNGS AG	DIRECTOR	NO
MR JOSÉ ANTONIO CANALES GARCÍA	SUPRALON FRANCE SARL	GÉRANT	NO
MR JOSÉ ANTONIO CANALES GARCÍA	SUPRALON PRODUKTIONS UND VERTRIEBS GMBH	DIRECTOR	NO
MR JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN GLOBUS AUSTRALIA PTY LTD	DIRECTOR	NO
MR JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN GLOBUS NEW ZEALAND LTD	DIRECTOR	NO
MR JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN ESPAÑA S.L.U	CHAIRMAN	NO
MR JOSÉ ANTONIO CANALES GARCÍA	ZACAPU POWER S. DE R.L. DE C.V.	CHAIRMAN	NO

C.1.11 Detail the positions of board member, director, general manager, or representative thereof, that the board members or representatives of members of the board of directors of the company hold in other entities, listed or not:

Identification of the director or representative	Company name of the company, listed or not	Position
MR JOSÉ DOMINGO DE AMPUERO Y OSMA	AUTOPISTA VASCO ARAGONESA	CHAIRMAN
MR SANTIAGO DOMECQ BOHÓRQUEZ	ANGUSTIAS Y SOL S.L.	SOLE ADMINISTRADOR
MR SANTIAGO DOMECQ BOHÓRQUEZ	MODERNIZACIÓN DE CULTIVOS S.L.	SOLE ADMINISTRADOR
MR SANTIAGO DOMECQ BOHÓRQUEZ	JAIMEJUAN S.L.U.	SOLE ADMINISTRADOR
MR SANTIAGO DOMECQ BOHÓRQUEZ	CULTIVOS VARIOS S.L.U.	SOLE ADMINISTRADOR
MR SANTIAGO DOMECQ BOHÓRQUEZ	AGRÍCOLA DE JÉDULA S.L.U.	SOLE ADMINISTRADOR
MR SANTIAGO DOMECQ BOHÓRQUEZ	CALDERETONES S.L.U.	SOLE ADMINISTRADOR

Identification of the director or representative	Company name of the company, listed or not	Position
MR SANTIAGO DOMECQ BOHÓRQUEZ	PUERTO DE CORCHITO S.L.U.	SOLE ADMINISTRADOR
MR SANTIAGO DOMECQ BOHÓRQUEZ	PUERTO DE GÁLIS S.L.U.	SOLE ADMINISTRADOR
MR SANTIAGO DOMECQ BOHÓRQUEZ	ARRAIJANOSA S.L.U.	SOLE ADMINISTRADOR
MR SANTIAGO DOMECQ BOHÓRQUEZ	INMOBILIARIO LEBRERO S.A.	CHAIRMAN-MANAGING DIRECTOR
MR JAIME REAL DE ASÚA Y ARTECHE	ELECNOR S.A.	CHAIRMAN
MR JAIME REAL DE ASÚA Y ARTECHE	ELECNOR SERVICIOS Y PROYECTOS S.A.	CHAIRMAN
MR JAIME REAL DE ASÚA Y ARTECHE	ENERFIN SOCIEDAD DE ENERGÍA S.L.	DIRECTOR
MR JAIME REAL DE ASÚA Y ARTECHE	CANTILES XXI S.L.	VICE-CHAIRMAN
MR JAIME REAL DE ASÚA Y ARTECHE	TASDEY S.A.	DIRECTOR
MR JAIME REAL DE ASÚA Y ARTECHE	RACAZ SEIS S.L.	SOLE DIRECTOR
MR ANDRÉS ARIZKORRETA GARCÍA	CONSTRUCCIONES Y AUXILIAR DE FERROCARRILES, S.A.	CHAIRMAN
MS AGATHA ECHEVARRÍA CANALES	PAPELERA GUIPUZCOANA DE ZICUÑAGA S.A.	DIRECTOR
MS AGATHA ECHEVARRÍA CANALES	BANCA MARCH S.A.	DIRECTOR
MS AGATHA ECHEVARRÍA CANALES	MERINECHEA S.L.	DIRECTOR
MS LAURA GONZÁLEZ MOLERO	EZENTIS S.A. (until June 2022)	DIRECTOR
MS LAURA GONZÁLEZ MOLERO	ACERINOX S.A.	DIRECTOR
MS LAURA GONZÁLEZ MOLERO	BANCO DE SABADELL, S.A. (from September 2022)	DIRECTOR
MS LAURA GONZÁLEZ MOLERO	APD, Asociación para el Progreso de la Dirección	CHAIRWOMAN
MR JAVIER FERNÁNDEZ ALONSO	CIE AUTOMOTIVE, S.A.	DIRECTOR
MR JAVIER FERNÁNDEZ ALONSO	EBRO FOODS, S.A.	DIRECTOR
MR JAVIER FERNÁNDEZ ALONSO	PROFAND FISHING HOLDING, S.L.	DIRECTOR
MR JAVIER FERNÁNDEZ ALONSO	ARTA CAPITAL, SGEIC, S.A.	DIRECTOR

Identification of the director or representative	Company name of the company, listed or not	Position
MR JAVIER FERNÁNDEZ ALONSO	DEYA CAPITAL IV, SCR, S.A.	DIRECTOR
MR JAVIER FERNÁNDEZ ALONSO	RIOJA, S.A.R.L.	DIRECTOR
MR JAVIER FERNÁNDEZ ALONSO	RIOJA ACQUISITION, S.A.R.L.	DIRECTOR
MS MARIA CRISTINA HENRÍQUEZ DE LUNA BASAGOITI	GLAXOSMITHKLINE, S.A.	CHAIRWOMAN-MANAGING DIRECTOR
MS MARIA CRISTINA HENRÍQUEZ DE LUNA BASAGOITI	MELIA HOTELS INTERNATIONAL, S.A.	DIRECTOR
MS MARIA CRISTINA HENRÍQUEZ DE LUNA BASAGOITI	APPLUS SERVICES, S.A.	DIRECTOR
MS MARIA CRISTINA HENRÍQUEZ DE LUNA BASAGOITI	GLAXO, S.A.	CHAIRWOMAN- MANAGING DIRECTOR
MS MARIA CRISTINA HENRÍQUEZ DE LUNA BASAGOITI	SMITHKLINE BEECHAM FARMA, S.A.	CHAIRWOMAN- MANAGING DIRECTOR
MS MARIA CRISTINA HENRÍQUEZ DE LUNA BASAGOITI	DESARROLLO ENERGÍA SOLAR ALTERNATIVA, S.L.	JOINT AND SEVERAL DIRECTOR
MS MARIA CRISTINA HENRÍQUEZ DE LUNA BASAGOITI	FUNDACIÓN DE CIENCIAS DE LA SALUD	VICE-CHAIRWOMAN
MS MARIA CRISTINA HENRÍQUEZ DE LUNA BASAGOITI	FUNDACIÓN ESPAÑA SALUD	VICE-CHAIRWOMAN
MS MARIA CRISTINA HENRÍQUEZ DE LUNA BASAGOITI	FARMAINDUSTRIA	VICE-CHAIRWOMAN

O Of the higher detail, the paid positions are the following:

MR JOSÉ DOMINGO AMPUERO: AUTOPISTA VASCO ARAGONESA
- MR JAIME REAL DE ASÚA Y ARTECHE: ELECNOR S.A.
- MR JAIME REAL DE ASÚA Y ARTECHE: ELECNOR SERVICIOS Y PROYECTOS S.A.
- MR JAIME REAL DE ASÚA Y ARTECHE: ENERFIN SOCIEDAD DE ENERGÍA S.L.
- MR JAIME REAL DE ASÚA Y ARTECHE: CANTILES XXI S.L.
- MR JAIME REAL DE ASÚA Y ARTECHE: TASDEY S.A.
- MR ANDRÉS ARIZKORRETA: CONSTRUCCIONES Y AUXILIAR DE FERROCARRILES, S.A.
- MS AGATHA ECHEVARRÍA CANALES: PAPELERA GUIPUZCOANA DE ZICUÑAGA S.A.
- MS AGATHA ECHEVARRÍA CANALES: BANCA MARCH S.A.
- MS LAURA GONZÁLEZ MOLERO: EZENTIS S.A. (until June 2022)
- MS LAURA GONZÁLEZ MOLERO: ACERINOX S.A.
- MS LAURA GONZÁLEZ MOLERO: BANCO SABADELL (From September 2022)
- MR JAVIER FERNANDEZ ALONSO: EBRO FOODS, S.A.
- MR JAVIER FERNANDEZ ALONSO: PROFAND FISHING HOLDING, S.L.
- MR CRISTINA HENRIQUEZ DE LUNA BASAGOITI: GLAXOSMITHKLINE, S.A
- MR CRISTINA HENRIQUEZ DE LUNA GASAGOITI: APPLUS SERVICES, S.A.
- MR CRISTINA HENRIQUEZ DE LUNA GASAGOITI: MELIA HOTELS INTERNATIONAL, S.A.

Indicate, where relevant, other remunerated activities of the board members or representatives of the board members, whatever their nature, other than those indicated in the above table.

Identification of the director or representative	Other remunerated activities
MR JOSÉ ANTONIO CANALES GARCÍA	MEMBER OF THE ADVISORY BOARD OF ABE CAPITAL PARTNERS

Identification of the director or representative	Other remunerated activities
MS CARMEN DE PABLO REDONDO	DIRECTOR OF FINANCIAL, ECONOMIC AND GENERAL SERVICES (CFO), DIRECTOR OF STRATEGY, SUSTAINABILITY, IT/SYSTEMS AND M&A AT CEPSA AND MEMBER OF ITS MANAGEMENT COMMITTEE.
MS LAURA GONZÁLEZ MOLERO	ISS ESPAÑA - MEMBER OF THE ADVISORY BOARD
MR JAVIER FERNÁNDEZ ALONSO	GENERAL MANAGER OF CORPORACIÓN FINANCIERA ALBA, S.A.
MS MARIA CRISTINA HENRÍQUEZ DE LUNA BASAGOITI	FUNDACIÓN SERES EMPRESA RESPONSABLE

C.1.12 Indicate and, if applicable, explain whether the Company has established rules regarding the maximum number of boards of directors of which its directors may be members, identifying, if applicable, where this is regulated:

[√] Yes
[ ] No

Explanation of the rules and identification of the document where it is regulated
According to that established in article 23 of the Board of Directors Regulations the directors of the Company may not form part of more than three Board of Directors of listed companies, in addition to that of Viscofan, S.A.

C.1.13 Indicate the amounts of the following items relating to the overall remuneration of the board of directors:

Remuneration accrued during the year in favour of the Board of Directors (thousands of euros)	3,428
Cumulative amount of funds of current directors in long-term savings schemes with consolidated economic rights (thousands of euros)	
Cumulative amount of funds of current directors in long-term savings schemes with unconsolidated economic rights (thousands of euros)	
Cumulative amount of funds of former directors in long-term savings schemes (thousands of euros)	

C.1.14 Identify members of senior management that are not in turn executive directors, and indicate the total remuneration accruing to them during the year:

Name (person or company)	Position(s)
MR GABRIEL LARREA	CEO NORTH AMERICA
MR ANDRES DÍAZ	CEO EUROPE, MIDDLE EAST AND AFRICA
MR LUIS BERTOLI	CEO SOUTH AMERICA
MR JUAN NEGRI	CEO ASIA PACIFIC
MR ÓSCAR PONZ	CEO NEW BUSINESS
MR JESÚS CALAVIA	CHIEF OPERATIONS OFFICER VISCOFAN GROUP
MS MARÍA DEL CARMEN PEÑA	CHIEF FINANCIAL OFFICER VISCOFAN GROUP
MR IGNACIO GOÑI	CHIEF COMMERCIAL OFFICER VISCOFAN GROUP

Name (person or company)	Position(s)
MR JOSÉ ÁNGEL ARRARÁS	CHIEF R&D AND QUALITY OFFICER VISCOFAN GROUP
MS BEATRIZ SESMA	CHIEF HUMAN RESOURCES OFFICER VISCOFAN GROUP
MR JOSE ANTONIO CORTAJARENA	SECRETARY OF THE BOARD OF DIRECTORS AND CHIEF LEGAL OFFICER VISCOFAN GROUP
MR JOSÉ IGNACIO RECALDE	CHIEF DIVERSIFICATION AND TECHNOLOGY OFFICER VISCOFAN GROUP
MR CÉSAR ARRAIZA	CHIEF STRATEGY, ORGANISATION AND SYSTEMS OFFICER VISCOFAN GROUP
MR ARMANDO ARES	CHIEF INVESTOR RELATIONS AND COMMUNICATIONS OFFICER VISCOFAN GROUP
MR ALEJANDRO BERGAZ	INTERNAL AUDIT MANAGER VISCOFAN GROUP

Number of women in senior management	2
Percentage over total members of senior management	13.33

Total senior management remuneration (thousands of euros)	4,234

C.1.15 Indicate whether there has been any change in the Board regulations during the year:

[ ] Yes
[√] No

C.1.16 Indicate procedures for selection, appointment, re-election and removal of directors. List the competent bodies, the procedures to be followed and the criteria to be employed in each procedure.

This point has been answered in section H- OTHER INFORMATION OF INTEREST as the maximum size allowed by the electronic format of the CNMV has been exceeded.

C.1.17 Explain to what degree the self-assessment has led to significant changes in its internal organisation and the procedures applicable to its activities:

Description of amendments

As a consequence of the annual evaluation of the Board, Committees and Executive Chairman in 2021, during the 2022 financial year, in the process of renewal of the Board of Directors, appointments and re-election of directors have been proposed and approved by the Ordinary General Meeting of Shareholders on 29 April 2022, which have contributed to increase the percentage of women - from 27% to 36% - and of independent directors - from 45% to 55% - on the Board of Directors. Likewise, during the 2022 financial year, the number of members of the two Board Committees has been reduced from 6 to 5 in the case of the Audit Committee and from 5 to 4 in the case of the Appointments, Remuneration and Sustainability Committee, and their members have been reviewed and updated in accordance with the most appropriate profiles.

Finally, during 2022, the dedication of the Board of Directors to the Group's strategy has been intensified, visits to foreign subsidiaries have been resumed and dedicated offsite sessions have been held.

Describe the assessment process and the areas assessed by the board of directors, assisted, where applicable, by an external consultant, regarding the operation and composition of the board and its committees and any other area or aspect that has been subject to assessment.

Description of the assessment process and assessed areas

Pursuant to Article 18 of Board of Director Regulations, each year the Board of Directors will evaluate:

a) the quality and efficiency of the Board's operations, based on a report drawn up by the Appointments Committee;
b) the diversity of board membership and responsibilities;
c) the performance of their duties by the Chairman of the Board and the company's Chief Executive Officer, based on a report drawn up by the Appointments Committee. If the Chair is an executive director, the Lead Director shall conduct the regular assessment of the Chair of the Board of Directors.
d) the performance and contribution of individual directors, with particular attention to the Chairpersons of the committees.
e) the functioning and composition of the Board's committees, based on a report drawn up by each Committee.

Based on the results of this evaluation, the Board should propose an action plan to correct any shortcomings detected.

In the 2022 financial year, the evaluation process was carried out with the collaboration and assistance of Korn Ferry as an external consultant, in accordance with recommendation 36 of the Code of Good Governance, and was led by the Appointments, Remuneration and Sustainability Committee.

Specifically, the 2022 evaluation has been carried out on the basis of a questionnaire whose purpose is to provide the particular vision of the -self-assessment- of each director on the main aspects that affect the effective functioning of the Board of Directors and Committees, as well as a personal interview with each director. The evaluation of the Executive Chairman was led by the Lead Director.

In particular, a detailed analysis in the following areas was performed in the assessment process:

1) Size and structure of the Board
2) The Board's Mandate
3) Functioning and dynamics of the Board
4) Fulfilment of mandate
5) Assessment of the Executive Chairman
6) Evaluation of the secretary of the Board
7) Committees

The conclusions of the evaluation process were presented by the external consultant to the Board of Directors at the January 2023 meeting and, as a result, at the proposal of the Appointments, Remuneration and Sustainability Committee, the Board approved an Action Plan for the 2023 financial year to incorporate the opportunities for improvement identified.

C.1.18 For the years in which the assessment has been assisted by an external consultant, explain the business relationships that the consultant or any company of its group maintains with the company or any company of its group.

In addition to the evaluation of the Board, Korn Ferry has provided professional consultancy services for the company's Human Resources department.

C.1.19 Indicate the circumstances under which Directors are obliged to resign.

In accordance with the provisions of Art. 26 of the Rules and Regulations of the Board, the directors shall adopt the measures required to avoid situations of conflict with the company interest and with their duties towards the company and its group of companies, and they shall be obliged to inform the Board, prior to occurrence or as soon as they are aware of the existence thereof, with the obligation to immediately resign should the said conflict persist or should their presence on the board be contrary to the company's interests.

Furthermore, according to article 30 of the Board of Director Regulations, Directors serve at the pleasure of the Board of Directors and if the Board considers it appropriate, they will tender their resignation under the following circumstances:

a) When they become subject to any of the disqualifications or prohibitions set down in law.
b) When their remaining on the Board could undermine the Company's interests or when the reasons for which they were elected no longer apply.

c) Directors representing a controlling shareholder will tender their resignations when the shareholder they represent sells a substantial part of its stake.

C.1.20 Are reinforced qualified majorities required, other than the legal majorities, for some type of resolution?

[ ] Yes
[√] No

If applicable, describe the differences.

C.1.21 Explain whether there are specific requirements, other than those regarding directors, to be appointed Chairman of the Board of Directors.

[ ] Yes
[√] No

C.1.22 Indicate whether the bylaws or the Board Regulations establish an age limit for directors:

[ ] Yes
[√] No

C.1.23 Indicate whether the bylaws or the Board Regulations establish a limited term of office or other stricter requirements in addition to those legally provided for independent directors, other than that established by law:

[ ] Yes
[√] No

C.1.24 Indicate whether the bylaws or the Board of Directors Regulations establish specific rules for proxy voting in the Board of Directors in favour of other directors, the way this is done and, in particular, the maximum number of proxies a director may have, and whether it has established any limit regarding the categories that may be delegated beyond the limits stipulated by legislation. If so, briefly give details on such standards.

The Rules and Regulations of the Board of Directors on its Article 7 – Functioning of the Board, establishes the following:

"The Directors must personally attend the sessions that are held, either in person or remotely in accordance with the provisions laid out in the Law and in these Regulations. Notwithstanding the foregoing, the directors may grant a proxy to another director. Non-executive directors may only grant a proxy to another non-executive director.

The Board of Directors shall be quorate when its meetings are attended in person or by proxy by the majority of its members."

Furthermore, article 14 of the Regulations establishes the following with regard to Board Committees:

"Directors must attend the meetings in person, either in person or online. However, the directors may grant a proxy to another director. Non-executive directors may only grant a proxy to another non-executive director."

C.1.25 Indicate the number of meetings the Board of Directors has held during the year. Where applicable, indicate how many times the Board has met without the Chairman in attendance. In calculating this number, proxies given with specific instructions will be counted as attendance.

Number of Board Meetings	11

Number of Board Meetings not attended by the Chairman	0

Indicate the number of meetings held by the coordinating director with the other directors that have not been attended or without representation by any executive directors:

Number Meetings	4

Indicate the number of meetings of the Board's different committees have held during the year:

Number of Audit Committee Meetings	12
Number of meetings of the APPOINTMENTS, REMUNERATION AND SUSTAINABILITY COMMITTEE	7

C.1.26 Indicate the number of meetings held by the Board of Directors during the year and provide information about member attendance:

Number of meetings attended by at least 80% of the directors in person	11
% of meetings attended in person of the total votes during the year	99.17
Number of meetings attended by all the directors in person, or by proxy with specific instructions	11
% of votes issued, attended by all the directors in person and proxies with specific instructions, out of all votes during the year	100.00

C.1.27 Indicate whether the individual and consolidated financial statements presented for Board authorisation for issue are certified beforehand:

[√] Yes
[ ] No

Where applicable, identify the person(s) who has (have) certified the Company's individual and consolidated financial statements to be filed by the Board:

Name	Position
MR JOSÉ DOMINGO DE AMPUERO Y OSMA	CHAIRMAN
MR JOSÉ ANTONIO CANALES GARCÍA	GENERAL MANAGING DIRECTOR
MS MARÍA CARMEN PEÑA	CHIEF FINANCIAL OFFICER VISCOFAN GROUP

C.1.28 Explain the mechanisms, if any, established by the Board of Directors to ensure that the final accounts that the Board of Directors present to the general shareholders' meeting are drawn up in accordance with accounting regulations.

In order to ensure that the annual accounts submitted to the general meeting of shareholders are drawn up in accordance with accounting regulations, the Board of Directors has entrusted this function to the Audit Committee as stipulated in article 15 of the Board Regulations:

"C) In relation to information systems and internal control:
Overseeing and assessing the process of preparing and presenting the compulsory financial and non-financial information relating to the Company and its group, ensuring that the system of internal control of financial reporting (ICFR) is correctly designed and that all legal requirements have been met, and defining an appropriate consolidation perimeter, taking into account, among other aspects, possible complex corporate structures, the correct application of accounting standards and presenting recommendations or proposals to the Board of Directors, designed to safeguard their integrity."

"D) In relation to the external auditor:
(b) Ensure that the financial statements finally prepared by the Board are presented to the General Shareholders' Meeting without limitations or qualifications in the auditor's report and in the event that the auditor has included any qualifications in its audit report, issue its opinion on the content and scope of such audits or qualifications, which will be explained by the Chairman of the Committee during the General Shareholders' Meeting.
(d) Monitoring the decisions of the senior management team regarding any adjustments recommended by the external auditor, and to hear and, where applicable, mediate any disagreements between both parties.
(e) (iv) It shall ensure that the external auditor has a yearly meeting with the Board of Directors in a plenary session, to inform it of the work undertaken and developments in the Company's risk and accounting positions"

In addition, Article 6 of the Regulations of the Audit Committee, Functions relating to auditing, states the following:

"g) Supervise the content of the audit reports before issuance and, where appropriate, of the limited review reports of intermediate accounts ensuring that said content and the opinion on the annual accounts are drafted clearly, precisely and without limitations or exceptions by the auditor, explaining them to the shareholders (if any). In this regard, together with the auditor, the Committee must oversee the significant findings derived from its work and, where appropriate, propose to the Board of Directors the measures it deems appropriate to address the shortfalls found by the auditor."

For practical purposes, the Audit Committee will ensure compliance with the necessary mechanisms established to perform continuous control over the preparation of financial information at every level, from its start to its consolidation in the Viscofan Group companies.

Both the corporate financial department and the internal audit department have collaborated closely with the Audit Committee to establish, put in place and monitor the most appropriate controls for guaranteeing the truthfulness of the financial information to ensure that it gives a true and fair view of the Group's financial situation.

The internal audit department has also included the continuous review of said controls in its annual plan for various subsidiaries, where said review will apply to the financial departments and areas that also take part in preparing the information: operations, human resources, purchasing and commercial, etc.

The Audit Committee, internal audit and corporate financial departments have also held informative and follow-up meetings with external auditors to give them the characteristics of the internal control system and its implantation in all the Group's companies and to involve them in their fulfilment and maintain bidirectional communication to allow better monitoring of the improvements that have been put in place. All with the aim of continuing to guarantee the operation of the Group's financial information with greater control at all levels.

Furthermore, the company has maintained a policy of pre-closing the year on 31 October in order to anticipate and correct any incidents that may have arisen during the year.

C.1.29 Is the company Secretary a director?

[ ] Yes
[√] No

Complete if the Secretary is not also a Director:

Name or corporate name of Secretary	Representative
MR JOSE ANTONIO CORTAJARENA	

C.1.30 Indicate the specific mechanisms established by the company to preserve the independence of the external auditors, as well as, if any, mechanisms to preserve the independence of financial analysts, investment banks and rating agencies, including how the legal provisions have been implemented in practice.

- INDEPENDENCE OF THE EXTERNAL AUDITORS

Article 15 of the Board of Directors Regulations, confers upon the Audit Committee the following duties relating to the external auditor:

D) In relation to the external auditor:

(e) Safeguarding the independence of the auditor, paying particular attention to any circumstances or issues that could jeopardise such independence, including that their remuneration does not compromise their quality or independence, and any others relating to the process of auditing the accounts:

(i) For this purpose, it shall be ensured that the Company publicly discloses to the National Securities Market Commission (CNMV), as a relevant event, any replacement of the auditor and includes a statement regarding any possible disagreement with the outgoing auditor and the details thereof. If the auditor resigns, then it shall explore the underlying causes.
(ii) The Audit Committee shall likewise ensure that the company and the auditor adhere to current regulations safeguarding the independence of the auditors, and those governing the provision of non-audit services and the limits on the concentration of the auditor's business.
(iii) It shall establish a suitable relationship with the auditor to receive information on matters that may jeopardise the auditor's independence, so that it may be examined by the Committee, and any other matters related to the process of performing the audit, and, where necessary, authorise services that are not forbidden by the provisions of the current regulations.
v) Annually receiving from the auditors their statement of independence in relation to the related party or parties, in addition to a statement concerning additional services provided and the fees received by the external auditor or by the persons and entities related thereto, in accordance with the audit provisions set out in the regulations.
(vi) Each year, it shall issue, prior to the report on the auditing of the accounts, a report expressing its opinion on the independence of the auditor, containing the valuation of any additional services provided, considered on an individual basis and as a whole, in relation to the status of independence or to the rules governing the audit.

- INDEPENDENCE OF FINANCIAL ANALYSTS, INVESTMENT BANKS AND RATING AGENCIES

Article 5 of the Regulations of the Board of Directors includes the following powers among those reserved exclusively for the Board of Directors sitting in full session, in addition to those reserved for the Board by law:

g) Determining the policy on information to shareholders, markets and public opinion.

With regard to analysts and investment banks, the mechanisms envisaged under Article 37 of the Regulations of the Board of Directors - Shareholder and Securities Markets Communications, coupled with the company's commitment to monitoring applicable law, ensure that independence is upheld and that the information is made available to everyone at the same time and under the same conditions, thus ensuring equal access to such information.

In addition, the communication policy with shareholders, institutional investors, proxy advisors and the economic-financial and non-financial and corporate information establishes that Viscofan's Board of Directors is responsible for managing and overseeing the information supplied to shareholders and markets and relations with shareholders, institutional investors and voting advisors, as well as that relating to the communication of economic-financial, non-financial and corporate information through the channels it deems appropriate in order to contribute to maximising the dissemination and quality of the information available to the market, investors and other stakeholders by adopting the appropriate measures to protect the exercise of their rights within the framework of the defence of corporate interests.

C.1.31 Indicate whether the company has changed its external auditor during the year. If so, identify the incoming and outgoing auditors:

[ ] Yes
[√] No

If there has been any disagreement with the outgoing auditor, describe the content thereof:

[ ] Yes
[√] No

C.1.32 Indicate whether the audit firm does other work for the company and/or its group other than the audit. If so, declare the amount of fees received for such work and the percentage that the previous amount represents over the total fees charged for auditing work to the company and/or its group:

[ ] Yes
[√] No

C.1.33 Indicate whether the audit report on the annual financial statements for the previous year contained any qualifications. If so, indicate the reasons given to the shareholders at the General Shareholders' Meeting by the chairman of the audit committee to explain the content and scope of these qualifications.

[ ] Yes
[√] No

C.1.34 Indicate the number of consecutive years during which the current audit firm has been auditing the individual and/or consolidated financial statements for the company. Indicate the percentage of the number of years audited by the current audit firm to the total number of years in which the annual financial statements have been audited:

	Individual	Consolidated
Number of consecutive years	6	6

	Individual	Consolidated
Number of years audited by current audit firm / number of years the company or its group have been audited (%)	18.75	20.69

C.1.35 Indicate and, where applicable, give details on the existence of a procedure for directors to obtain the information they need to prepare the meetings of the governing bodies with sufficient time:

[√] Yes
[ ] No

Description of procedure

This aspect is regulated by Article 19 of the Board of Directors Regulations. Right to Information

"The directors will receive the precise information for the development of their work on time and with the appropriate depth to the matters to be dealt with, except that there are reasons of urgency for its convocation or constitution on an exceptional basis.

The call will indicate those items on the agenda on which the directors must adopt a decision or agreement or, in cases of urgency, the prior consent of the majority of those present will be required.

The directors may collect additional information when they deem it appropriate.

The request will be channelled through the Secretary of the Board".

C.1.36 Indicate, and where appropriate detail, if the company has established rules that oblige directors to report and, if applicable, to resign where situations arise that may affect them, whether or not they are related to their actions in the company itself and that may harm the credit or reputation of the company:

[√] Yes
[ ] No

If so, describe such rules:
It has been reported in point C.1.19 above

C.1.37 Indicate, unless special circumstances apply that have been entered into the minutes, whether the Board has been informed or in any way discovered circumstances affecting a director, whether or not they are related to their actions in the company itself and that may harm the credit or reputation of the company:

[ ] Yes
[√] No

C.1.38 Detail significant agreements reached by the Company that come into force, are amended or concluded in the event of a change in the control of the company stemming from a public takeover bid, and its effects.

No significant agreements have been made with these characteristics.

C.1.39 Individually identify in the case of directors and in aggregate terms for the other cases, and indicate in detail any agreements between the company and its directors, managers or employees that have guarantee or ring-fencing severance clauses for when such persons resign or are wrongfully dismissed or if the contractual relationship comes to an end due to a public takeover bid or other kinds of transactions.

Number of beneficiaries	2
Beneficiary type	Description of the agreement
MR JOSÉ DOMINGO DE AMPUERO Y OSMA - CHAIRMAN. MR JOSÉ ANTONIO CANALES GARCÍA - MANAGING DIRECTOR	MR JOSÉ DOMINGO DE AMPUERO Y OSMA: Indemnity of two years of fixed salary for cases provided for in the remuneration policy, with two years of non-competition MR JOSE ANTONIO CANALES GARCÍA: Indemnity of two years of fixed salary for cases provided for in the remuneration policy, with two years of non-competition.

Indicate whether, apart from the events provided for by the regulations, these contracts should be disclosed to and/or approved by the company or group governance bodies: If so, specify the procedures, foreseen assumptions and the nature of the bodies responsible for their approval or communication:

	Board of directors	General shareholders' meeting
Body that authorises the provisions	√	√

	Yes	No
Is the General Meeting informed of the clauses?	√	

C.2. Board of Directors Committees

C.2.1 Detail all the Board Committees, their members and the proportion of executive, nominee, independent and other external directors sitting on them:

Audit Committee		
Name	Position	Category
MS LAURA GONZÁLEZ MOLERO	CHAIRWOMAN	Independent
MS AGATHA ECHEVARRÍA CANALES	DIRECTOR	Other external
MS CARMEN DE PABLO REDONDO	DIRECTOR	Independent
MR JAVIER FERNÁNDEZ ALONSO	DIRECTOR	Nominee
MS MARIA CRISTINA HENRÍQUEZ DE LUNA BASAGOITI	DIRECTOR	Independent

% Executive Directors	0.00
% Nominee Directors	20.00
% Independent Directors	60.00
% of other external directors	20.00

Explain the committee's duties including, if applicable, those in addition to the duties provided by law, and describe the procedure and organisational and operational rules and summarise the main actions taken during the year. Indicate the most important actions taken during the financial year for each of the duties, and how these duties (attributed by law, the bylaws or other corporate resolutions) were put into practice.

This point has been answered in section H- OTHER INFORMATION OF INTEREST as the maximum size allowed by the electronic format of the CNMV has been exceeded.

Identify the Directors who has been appointed on the basis of knowledge and experience of accounting or auditing, or both and state the date on which they were appointed as Chairman.

Names of directors with experience	MS LAURA GONZÁLEZ MOLERO / MS AGATHA ECHEVARRÍA CANALES / MS CARMEN DE PABLO REDONDO / MR JAVIER FERNÁNDEZ ALONSO / MS MARIA CRISTINA HENRÍQUEZ DE LUNA BASAGOITI

Date that the chairman was appointed to post	24/04/2020

APPOINTMENTS, REMUNERATION AND SUSTAINABILITY COMMITTEE		
Name	Position	Category
MR JAIME REAL DE ASÚA Y ARTECHE	CHAIRMAN	Independent
MR JOSÉ MARÍA ALDECOA SAGASTASOLOA	DIRECTOR	Independent
MR ANDRÉS ARIZKORRETA GARCÍA	DIRECTOR	Independent
MR SANTIAGO DOMECQ BOHÓRQUEZ	DIRECTOR	Proprietary

% Executive Directors	0.00
% Proprietary Directors	25.00
% Independent Directors	75.00
% of other external directors	0.00

Explain the committee's duties including, if applicable, those in addition to the duties provided by law, and describe the procedure and organisational and operational rules and summarise the main actions taken during the year. Indicate the most important actions taken during the financial year for each of the duties, and how these duties (attributed by law, the bylaws or other corporate resolutions) were put into practice.

This point has been answered in section H- OTHER INFORMATION OF INTEREST as the maximum size allowed by the electronic format of the CNMV has been exceeded.

C.2.2 Fill in the following table with information on the number of female directors sitting on Board Committees at the end of the last four years:

	Number of female directors							
	FY 2022		FY 2021		FY 2020		FY 2019	
	Number	%	Number	%	Number	%	Number	%
AUDIT COMMITTEE	4	80.00	3	50.00	3	50.00	2	40.00
APPOINTMENTS, REMUNERATION AND SUSTAINABILITY COMMITTEE	0	0.00	0	0.00	0	0.00	0	0.00

C.2.3 Indicate, where applicable, the existence of regulations for the Board Committees, where they can be consulted and any amendments made to them during the year. Indicate whether an annual report on the activities of each committee has been drawn up voluntarily.

The Audit Committee and the Appointments, Remuneration and Sustainability Committee are regulated under article 33 of the Company By-Laws, registered in the Commercial Register and published on the company's website (www.viscofan.com).

The Audit Committee is governed by Article 15 of the Board of Directors Regulations and the Appointments, Remuneration and Sustainability Committee by Articles 16 and 17 of the same regulation, as posted on the company's website, duly filed with the Spanish CNMV and registered in the Commercial Register.

The Audit Committee and the Appointments, Remuneration and Sustainability Committee are governed by their own regulations that are published on the corporate website, in the Corporate Governance section under Regulations and Policies.

Both Committees, within the framework of the annual process for assessing their performance, prepared and presented a report to the Board of Directors detailing the activity undertaken by each committee during the 2022 financial year in compliance with their duties, and which is explained in greater detail in the above section C.2.1. A summary of the annual activity report for both Committees was presented to the General Shareholders' Meeting by their respective Chairpersons.

The Audit Committee also drafted an annual report on auditor independence and a report on related transactions, both of which were made available to the shareholders.

During the year there have been no changes to the regulation of the Board of Directors' Committees.

D. RELATED-PARTY TRANSACTIONS AND INTRA-GROUP TRANSACTIONS

D.1. Explain, where appropriate, the procedure and competent bodies for approving operations with related and intragroup parties, indicating the internal criteria and general rules of the entity that govern the obligations concerning the abstention of affected directors or shareholders and detailing the internal procedures for regular information and control established by the company concerning those related transactions whose approval have been delegated by the board of directors.

It corresponds to the Board of Directors as one of the matters reserved exclusively for the Board by virtue of Article 5 of the Board Regulations decisions about:

"f) The approval of the related transactions under the terms provided for by law, except when their approval falls within the remit of the General Shareholders' Meeting.

The Board shall approve related-party transactions following a favourable report from the Audit Committee, and without prejudice to the cases for delegation provided for by law. The directors who are directly or indirectly affected, due to the performing the operation with a person related to them, must abstain from participating in the deliberation and voting of the agreement in question."

In parallel, the Audit Committee Regulations establish in article 11.a):

"In relation to related transactions, ensure that rigorous and transparent processes are established to ensure that the transactions comply with the corporate interest, strictly complying with the applicable legality and the corporate governance regulations of the Company. To this end, it will inform the General Shareholders' Meeting or the Board of Directors prior to the latter adopting any of the corresponding resolutions and will supervise the internal procedure established by the Company for those whose approval has already been delegated."

Likewise, Article 22 of the Regulations of the General Meeting of Shareholders stipulates the following in Article 22. Point C. Conflict of interest:

"The shareholder may not exercise the voting right that pertains to their shares when the matter being addressed aims to: d) the approval of related transactions, when envisaged legally".

D.2. Individually detail any transactions that are considered significant due to their amount or nature performed between the company or its subsidiaries and shareholders holding more than 10% more of the voting rights or represented on the board of directors of the company, indicating the competent body for their approval and whether any affected shareholder or director abstained. In the case that the competent body was the General Meeting, indicate whether the proposed resolution was approved by the Board without the vote against by the majority of the independent directors:

Name or corporate name of the shareholder or any of its subsidiaries	% Stake	Name or company name of the company or subsidiary	Amount (in thousands of Euros)	Approving body	Identification of the significant shareholder or director who has abstained	The proposal before the General Meeting, where appropriate, was approved by the board without a vote against by the majority of the independent directors
N/D						

	Name or corporate name of the shareholder or any of its subsidiaries	Nature of relationship	Type of operation and other information necessary for its evaluation
N/D			

Pursuant to article 231 of the Corporate Enterprises Act, none of the companies forming part of the Viscofan Group have performed transactions with related parties. However, in 2022, the Group had dealings with Banca March, S.A., a financial institution linked to Corporación Financiera Alba, S.A., which held 14.25% of the Company's shares at 31 December 2022 (13.97% at 31 December 2021). Specifically, on 6 November, the loan of 10 million euros that the company had contracted was cancelled (10 million euros at 31 December 2021). In addition, the exchange rate hedges that the company had contracted with Banca March S.A. have finalised (in 2021, an asset amounting to 147 thousand euros). No additional services have been received by companies related to this shareholder in 2022 or 2021. All transactions have taken place in normal market conditions.

D.3. Individually detail any transactions that are considered significant due to their amount or nature performed by the company or its subsidiaries with the directors or senior managers of the company, including those transactions carried out with entities that the director or senior manager controls or jointly controls, and also indicating the competent body for their approval and whether any affected shareholder or director abstained. In the case that the competent body was the General Meeting, indicate whether the proposed resolution was approved by the Board without the vote against by the majority of the independent directors:

	Name or corporate name of directors or senior managers or their controlled or jointly controlled entities	Name or company name of the company or subsidiary	Relationship	Amount (in thousands of Euros)	Approving body	Identification of the significant shareholder or director who has abstained	The proposal before the General Meeting, where appropriate, was approved by the board without a vote against by the majority of the independent directors
N/D							

	Name or corporate name of directors or senior managers or their controlled or jointly controlled entities	Nature of the transaction and other information necessary for its evaluation
N/D		

D.4. Individual report on the significant intragroup transactions that are considered significant due to their amount or nature carried out by the company with its parent company or other entities belonging to the parent's group, including subsidiaries of the listed company, except when no other related party of the listed company has interests in these subsidiaries or these are wholly owned, either directly or indirectly by the listed company.

In any event, provide information on any intragroup transaction with companies established in countries or territories considered tax havens:

Corporate name of the group company	Brief description of the transaction and other information necessary for its evaluation	Amount (in thousands of Euros)
N/D		

D.5. Individually detail the transactions that are considered significant due to their amount or nature performed by the company or its subsidiaries with other related parties which are done so in accordance with the International Accounting Standards adopted by the EU, which have not been reported in previous headings.

Corporate name of the related party	Brief description of the transaction and other information necessary for its evaluation	Amount (in thousands of Euros)
N/D		

D.6. Detail the mechanisms established to detect, determine and resolve any possible conflicts of interest between the company and/or its group, and its directors, managers and/or significant shareholders or other related parties.

This point has been answered in section H- OTHER INFORMATION OF INTEREST as the maximum size allowed by the electronic format of the CNMV has been exceeded.

D.7. Indicate whether the company is controlled by another entity in accordance with Article 42 of the Commercial Code, listed or not, and whether it has a direct business relationship with this company or any of its subsidiaries (other than the listed company) or undertakes any activity relating to any of them.

[ ] Yes
[√] No

E. RISK CONTROL SYSTEMS

E.1. Explain the scope of the company's financial and non-financial Risk Control and Management System, including those of a tax-related nature.

The Viscofan Group risk management system is governed by the Risk Control and Management Policy, whose purpose is to establish the basic principles and general action framework to identify, measure, prevent and mitigate risks of all types that may affect the creation of value that is sustainable and shared but its stakeholders.

This policy establishes that the Viscofan Group's integral risk control and management system will be applied to all its companies, it will be mandatory for all administrators, directors and employees and will be followed in accordance with the basic principles of integration into management, adaptation to changes, transparency, ongoing improvement and the application of best international practices for good governance. It should include at least the following activities:

a. Identifying the main risks taking into account their impact on the creation of sustainable and shared value for the Viscofan Group's stakeholders within the Strategic Plan in force at any given time and assessing their probability of occurrence and impact in order to prioritise them accordingly.
b. Determining risk appetite by establishing tolerances and suitably monitoring their development with key risk indicators.

c. Implementing a control system integrated into the internal rules and regulations of the Viscofan Group, including the identification and assessment of the controls and contingency plans necessary to mitigate the impact in case the risks materialise.
d. Assessing the effectiveness of the control system and its application, as well as its compliance by all Viscofan Group employees.
e. Establishing action plans in the event that the occurrence of one of the main risks negatively affects the creation of long-term sustainable value, taking residual risk to an acceptable risk level. As a direct consequence of this reduction in the level of risk, it will be necessary and appropriate to reassess and prioritise these risks, forming a continuous process of risk management.
f. Auditing of the system by the Internal Audit Division.

Within the framework of the integral risk control and management system, the Viscofan Group has drawn up risk maps which represent the key risks, based on their impact and probability. This will serve as a management tool which enables informed decision making, defined in Risk Records which identify the key risk indicators together with their corresponding tolerances, the associated controls and management measures and, where appropriate, the action plans to be implemented. These records enable the Company to assess and monitor its risks and determine the most appropriate response to them, and they are periodically reviewed and updated.

The Global Risk Committee met three times in 2022 to update the risk map and the methodology as well as to assess and monitor the main risks.

The organisation's risk map was defined in accordance with the code of conduct, internal regulations and the current Strategic Plan, which includes different types of risks (market, business, operational, credit, social, environmental, climate change, technological, legal and regulatory), and is presented adopting the COSO methodology, grouping the existing risks in four categories in accordance with type of objective they affect: strategic, operational, information and compliance.

E.2. Identify the corporate bodies responsible for drawing up and enforcing the financial and non-financial Risk Control and Management System, including tax-related risks.

BOARD OF DIRECTORS
In accordance with Art. 5 of the Company Board of Directors Regulations, relating to "Exclusive Powers", the financial and non-financial risk control and management policy, including tax risks, and the regular monitoring of internal information and control systems constitute one of the issues that may only be heard and addressed by the Board of Directors in full session.

AUDIT COMMITTEE
It is a specific responsibility of the Audit Committee to oversee the suitability of the control policies and procedures implemented, and to review the internal control systems and risk management, financial and non-financial, and the adaptation of the control policies and procedures implemented so the main risks can be identified, managed and suitably disseminated. The Audit Committee will establish monitoring mechanisms, including appearances by executives in relation to risk management and periodic reporting to the Board on the situation and implementation of the integral risk control and management system.

INTERNAL AUDIT
Their purpose is to promote the application of Risk Management in all activities and supervise to ensure that significant risks are suitably identified, assessed, managed and controlled. They have a broad presence on specific risk Committees.

ETHICS AND REGULATORY COMPLIANCE COMMITTEE
It is the body responsible for supervising the risks specific to the Group with regard to criminal liability or any other non-compliance, and for assessing, implementing and monitoring the Compliance System. It is responsible for regularly reporting on the implementation and monitoring of the Group's compliance system and reporting on it to the Audit Committee, as well as for proposing its review and/or updating. In particular, with regard to the whistleblower channel, it is the body responsible for opening, on its own account or at the request of a third party, the investigation of any situation that may involve a breach of rules and regulations in the Viscofan Group.

GLOBAL RISK COMMITTEE
The purpose of the Global Risk Committee is to identify and assess the main risks threatening the Viscofan Group, going into depth in the exposure of the organisation thereto to prepare the recommendations and actions required to manage the risks within the established margins.

CREDIT RISK COMMITTEE
It is established as a supervisory and control body for those risks related to customer payment management. The objective of this Committee is to delve into the prevention, monitoring and solution of the risks mentioned, via the creation and implementation of the instruments considered most appropriate at the time.

INVESTMENTS COMMITTEE
Its main purpose is to control and supervise compliance with the Investment Plan approved by the Board of Directors. To achieve this, it meets on a quarterly basis for the purposes of performing periodic follow-up checks on the correct application of approved investments and controlling the efficient use of Group resources and investments.

CYBERSECURITY COMMITTEE
It is in charge of defining the strategic objectives of the Group's Cybersecurity, ensuring the secure management of information and assuring the state of protection, as well as periodically monitoring compliance with regulations, risk projects and situations and incidents.

SUSTAINABILITY COMMITTEE
This is the body responsible for coordinating and supervising the Sustainability Action Plan, the initiatives, work plans and long-term objectives for the same. The committee reports to the Appointments, Remuneration and Sustainability Committee, the Board of Directors' internal body responsible for the supervision, development and improvement of the Company's sustainability policies.

SENIOR MANAGEMENT
It is responsible for identifying and assessing the risks faced by the Group in the course of its activity and taking appropriate measures to prevent these risks from occurring or, if they do occur, to reduce or eliminate their impact. Therefore, it plays a fundamental role in designing and implementing control mechanisms and ensuring their fulfilment across the organisation.

E.3. Indicate the main financial and non-financial risks, including tax risks, and to the extent that those derived from corruption (the latter being within the scope of Royal Decree Law 18/2017) that could affect the attainment of business objectives, are significant.

The management and control activities enable the risks to be anticipated and detected and the threats to be examined and measured that may prevent the Viscofan Group from attaining its objectives, as well as the creation of value that is sustainable and shared with the stakeholders. During the 2022 financial year, the comprehensive risk management and control system assessed these risks and identified those that were most critical (by expected impact and probability of occurring), as well as considering new risks and evaluating their development.

The main sources of risks that may affect the Viscofan Group's activities in the coming financial years are the following:

- The competitive environment within the sector, both with regard to competitors and the appearance of substitute products.
- Cybersecurity due to exposure as a result of leadership in the sector and greater mobility and connectivity.
- Variations in the rate of exchange, especially the appreciation of the Euro against the USD.
- The fiscal environment, that affects commercial and financial transactions and is subject to tax regulations and norms in different countries.
- The cohesion of the Group arising from the internationalisation and dispersion of the production centres.
- The budgetary planning and control process.
- Environmental risks and those resulting from climate change. In particular, the increase in the price of CO2 emission allowances.
- Customer satisfaction linked to product quality, customer service and services provided.
- Credit risk.
- Meeting expectations with regard to the group's stakeholders and Viscofan's reputation.
- Material damages resulting from impairment or a sudden loss of value due to extraordinary circumstances.
- Technological change and its impact on innovation and internal technologies.
- The integrity of financial and non-financial information.
- Work-related accidents that could affect people's physical integrity.
- The pandemic and its repercussions on the value chain and the business environment.
- The lack of raw materials and the general increase in prices.
- Rising energy prices, and the shortage of natural gas in Europe.

All these risks are included in the Viscofan Group's risk control and management system, and this includes the methodology required for the identification and ongoing inclusion of new risks.

E.4. Identify if the company has risk tolerance levels, including tax risk.

The Viscofan Group's risk control and management system includes establishing the levels of tolerance to the risk, including tax risks, both at an individual and a joint level for each risk. Their management falls within the framework of the risk control and management policy, the specific policies approved by the Board of Directors and the resulting risk management procedures. The latter include the Fiscal Policy that enables the Board of Directors to establish fiscal strategy with a view to guaranteeing the application of action principles that will enable fiscal risk to be minimised.

In the 2022 financial year low tolerance levels for risk continued to be established resulting in proactive management of the main risk indicators.

Risks are prioritised in terms of their impact and probability based on quantitative and qualitative criteria, and this makes it possible to create a risk map for the Viscofan Group based on the establishment of risk appetite. Furthermore, the main risk indicators are identified for each risk and these are instruments for establishing tolerance to risk by setting threshold or reference values.

During the 2022 financial year the Viscofan Group monitored the values of the risk indicators and the defined thresholds, so where these thresholds were exceeded the required management measures were taken to redirect the risks to the defined tolerance level. This management applies to the materialised risks and the response plans described in sections E.5 and E.6 below.

E.5. State what financial and non-financial risks, including tax-related risks, have occurred during the financial year.

This point has been answered in section H- OTHER INFORMATION OF INTEREST as the maximum size allowed by the electronic format of the CNMV has been exceeded

E.6. Explain the response and supervision plans for the main risks of the company, including tax risks, and the procedures followed by the company to ensure that the board of directors responds to the new challenges that arise.

The different committees met monthly and quarterly and their results were supervised by the Audit Committee, which during its meetings was informed by the Internal Audit Division and at least quarterly reviews the reports of the Global Risk Committee and informs the Board of Directors

Viscofan Group's integral risk control and management system described in sections E.1 (scope) and E.2 (responsible bodies) was applied in response to and to supervise the main risks that materialised in the 2022 financial year. These risks and the plan to respond to and supervise them is detailed in section E.5 above.

With regard to the remaining risks, the main plans and actions taken during the 2022 financial year were as follows:

- Projects continued to be promoted to improve the levels of service, quality and productivity that would result in greater protection of the market share and even take advantage of the shortage of animal intestines that could be replaced by Viscofan products and the price strategy was adapted to the market situation and developments with regard to raw materials.
- The sustainability strategy and plan, together with the related policies approved by the Board of Directors, have been monitored and a committee for sustainability risk management has been set up.
- The required insurance policies were taken out in all the Viscofan Group's areas of risk (personal, assets, third-party and environmental liability, etc.).
- The development of a Master Plan for Information Systems and the implementation and planning of actions in matters of cybersecurity.
- Innovation and diversification as a source of competitive advantage and growth.
- The development of people and cohesion plans to maintain and promote the Viscofan Group's culture and values adapted to the specific circumstances prevalent in each of the countries in which it operates.
- In order to prevent the risk of accidents, specific awareness campaigns are being carried out, safety training is being promoted and investments are being made to reinforce safety equipment in factories.

F. SYSTEMS OF INTERNAL RISK MANAGEMENT AND INTERNAL CONTROL OVER FINANCIAL REPORTING (ICFR)

Describe the mechanisms comprising the risk management and control systems for financial reporting (ICFR) in the entity.

F.1. The entity's control environment.

Give information, describing the key features of at least:

F.1.1 Which bodies and/or functions are responsible for: (i) the existence and maintenance of an adequate and effective ICFR; (ii) its implementation; and (iii) its supervision.

The Board of Directors of the Viscofan Group has the exclusive power to review the risk control and management policy, as well as the periodic monitoring of the internal information and control systems. The Corporate Finance area is responsible for the implementation and supervision of the ICFR. In addition, all other Group Departments are to cooperate in the dissemination of the ICFR within their area of responsibility. As such, each Department shall be responsible for applying the controls corresponding to their area and for coordinating with the other departments in applying the ICFR.

In accordance with Article 15.C. of the Regulations of the Board of Directors, the Audit Committee's duties include supervising the effectiveness of the company's internal control, internal audit and risk management systems. This point mentions that the Committee's powers include supervising the process of preparing and presenting the mandatory financial information on the Company and the Group.

F.1.2 Whether, especially in the process of drawing up the financial information, the following elements exist:

- Departments and/or mechanisms responsible for: (i) the design and review of the organisational structure; (ii) the clear definition of lines of responsibility and authority, with an adequate distribution of tasks and functions; and (iii) ensuring that sufficient procedures exist for their correct dissemination within the entity.

In the first instance, the Board of Directors, as established in its own Regulations, is responsible for approving the definition of the corporate structure. In addition, at the proposal of the chief executive, the Board decides on the appointment and removal of senior executives. The General Management and the Corporate Human Resources Division are responsible for the design and review of the organisational structure and for the definition of the lines of responsibility and authority, and the appropriate distribution of tasks and roles.

The Corporate Human Resources Division has procedures for updating corporate-level organisational structures and those of each of the Group subsidiaries. Dissemination is via the corporate Human Resources Management platform and the corporate intranet, with the current organisation charts of each company and any major changes being managed and published on the latter.

The Corporate Finance Division has organisational structure charts with the composition of the financial departments of each subsidiary company, as well as information about the tasks performed by different members of these departments. Each team has a person responsible for the ICFR at local level, responsible for disseminating it to the rest of the departments involved, checking that each one of them carries out the checks allocated and regularly reporting on the operation of the system.

- Code of conduct, approval body, degree of dissemination and instruction, principles and values included (indicating whether specific mention is made of recording the transactions and drawing up of the financial information), body in charge of analysing non-compliance and proposing corrective measures and sanctions.

the body responsible for approving the Code of Conduct is the Board of Directors, subject to a report by the Audit Committee and that the recommendation of the Ethics and Regulatory Compliance Committee. The code affects the Boards of Directors, Senior Management and the rest of the Group's employees in their daily professional performance, regarding the relations and interactions they have with all their stakeholders.

The Code of Conduct in force in the Viscofan Group was approved by the Board of Directors in January 2022. This Code has been communicated and made available on the website, www.viscofan.com in the Corporate Governance, Regulations and Policies section.

At the recommendation of the Ethics and Regulatory Compliance Committee and subject to a report by the Audit Committee, the Board of Directors approved the Group's Compliance Plan, which contains action plans in different areas: improved internal regulations, annual update of the procedural compliance risk map, training plans, internal control improvement plans. In relation to the training plans, the company works on a cross-cutting basis with the Department of Human Resources which, aside from guaranteeing the publication of the Code of Conduct, participates in the implementation of annual Compliance Training Plans.

Additionally, each of the Group companies has a Local Compliance Head, who is the person appointed by the Ethics and Compliance Committee to monitor the Group's Regulatory Compliance System and responsible for ensuring that all local employees, technicians and managers receive ongoing training.

This Ethics and Compliance system, including the Internal Control of the Financial and Non-Financial Information policy, has been widely disseminated and is available to employees on the Group Intranet.

In addition to the Code of Conduct, Viscofan has an Internal Code of Conduct for the Securities Markets (ICC), which ensures, among other aspects, compliance with the legislation on market abuse. Thus, under the responsibility of the Secretary to the Board of Directors, all people affected by the Internal Code of Conduct (which also applies to the members of the Board of Directors, senior management and personnel who on a recurring basis may have access to information classified as insider information), recurringly receive notifications concerning the presentation of results with the prohibition of trading with Company shares,Monitoring the register of transactions and finally, when the information may be considered as inside information, the opening of the corresponding transaction and list of insiders. The Compliance Training Plan includes training activities relating to the ICC.

Lastly, the Viscofan Compliance System has a reporting process in place by virtue which the Ethics and Compliance Committee report to the Audit Committee at least twice a year regarding the implementation of the Compliance Plan for the year, which includes the correct functioning of the Whistleblowing Channel and the management of claims received through this channel. The Committee then reports to the Board of Directors regarding the functioning of the System and the Improvement plans to increase its efficiency.

- Whistle-blowing channel, to allow financial and accounting irregularities to be communicated to the Audit Committee, as well as possible non-compliance with the code of conduct and irregular activities in the organization, reporting where applicable if this is confidential in nature And if permitted, perform anonymous communications regarding the rights of the accuser and the accused.

Article 15 of the Board of Directors Regulations allocates the following role to the Audit Committee: "Set up and supervise a mechanism enabling employees to communicate confidentially and, if deemed necessary, anonymously, their concerns regarding possible irregular and potentially significant practices within the company, particularly those relating to accounting, finances and auditing."

For this purpose a whistle-blowing channel has been implemented and is regularly operational as a virtual space for Group employees to discuss matters associated with compliance with the Code of Conduct and, generally, with the all of the Viscofan Group's Ethics and Regulatory Compliance Systems, especially when there are signs of non-compliance. This whistle-blowing channel makes it possible to establish a suitable channel to facilitate reporting to the Audit Committee of any financial and accounting irregularities, while guaranteeing the confidentiality of communications.

In addition, the whistle-blowing channel is open to third parties with the possibility of processing anonymous complaints, under terms and with the legally established guarantees.

The Audit Committee has delegated the creation and management of this Whistle-blowing Channel to the Ethics and Compliance Committee. In particular, Article 10 of the Audit Committee Regulations, Functions related to the Ethics and Compliance Committee, is as follows:

"Oversee the effectiveness and operation of the Ethics and Compliance Committee and for this purpose, receive regular information on compliance with the Internal Code of Conduct and the Code of Conduct, and in particular, on the mechanism (complaint channel) that allows employees and other people associated with the Company to confidentially, and anonymously if necessary, report possible irregularities of potential significance"

- Periodic training and refresher courses for employees involved in preparing and revising the financial information, and in ICFR assessment, covering at least accounting standards, audit, internal control and risk management.

The aim of the Viscofan Group Training Policy is to guarantee that Group employees have all the knowledge and skills necessary for optimum execution of the duties assigned to them, improving or updating their performance.

Concerning one of the principles of this Policy, namely, planning, and in accordance with the responsibilities described therein, each year the Annual Training Plan is prepared, in which the managers of each department take part. Together with Human Resources Management, they identify training opportunities and the programmes to be carried out during the year.

In the case of the personnel involved in the preparation and review of the financial information, the external training actions for the review of standards and accounting procedures are combined with internal training, mainly concentrated on the dissemination of policies and procedures and on the execution of the internal controls included in the ICFR.

The employees of the Internal Audit department follow the guidelines laid down the Spanish Institute of Internal Auditors of which Viscofan is a member, and undertake any training required to comply with their functions and best practices.

F.2. **Financial reporting risk assessment.**

Provide information on, at least, the following:

F.2.1 The key features of the risk identification process, including error and fraud risks, with respect to:

- Whether the process exists and is documented:

The two areas most directly involved in the identification of risks that could affect the drafting of financial information are the Corporate Finance Division and the Internal Audit Division. In their daily activities, permanent communication is encouraged between these two departments to analyse how the ICFR is working and identify risk areas for which additional controls should be incorporated into the system.

Every month, the Corporate Finance Department monitors compliance in the execution of controls of each subsidiary. The Internal Audit Division also informs the Audit Committee on a quarterly basis of the main incidents identified in the period, together with a risk assessment based on qualitative criteria and the monitoring carried out on the corrective actions established in previous periods.

- Whether the process covers all the objectives of financial reporting (existence and occurrence; completeness; valuation; presentation, breakdown and comparability; and rights and obligations), whether the information is updated and with what frequency.

In each process and sub-process that affects the preparation of financial information, the Group identifies the risks that may materialise taking the following information into account:

- Description of the existing control objectives to meet the business targets defined by the Company and guarantee the reliability of the financial information.

- Possibility of the occurrence of an error risk, according to its impact on the financial statements, being categorised as follows:

a) Validity: All transactions generated in the period are valid.
b) Integrity: All transactions have been recorded correctly.
c) Registry: All transactions have been accurately entered into the accounts.
d) Cut-off: All transactions recorded represent economic events that occurred during the period in question; transactions are recorded in the corresponding period.
e) Assessment: Assets and liabilities are correctly valued (they appropriately reflect the existing circumstances of the business and its financial conditions).
f) Presentation: The financial statements are appropriately presented and disclosed.

At the meetings discussed in the previous point, a conclusion may be reached as to the need or not to modify the existing list of risks for each process (affecting the preparation of financial information), following an analysis of the information complied.

- The existence of a process for identifying the consolidation perimeter, taking into account aspects including the possible existence of complex corporate structures, instrumental or special purpose vehicles.

In accordance with the Board Regulations, the definition of the structure of the group of companies is the exclusive remit of the Board of Directors, and in exturn the Audit Committee's role is to supervise the appropriate delimitation of the scope of consolidation, considering, amongst other aspects, the possible istence of complex company structures, instrumental entities or special purpose vehicles.

The Viscofan Group Accounting Policy Manual determines that the responsibility of keeping the scope of consolidation duly updated lies with the Consolidation Area, which forms part of the Corporate Finance Division. Corporate operations that could affect the scope are reported appropriately by the General Management and Legal Divisions.

The Audit Committee is informed about structural and corporative modification operations that are planned for its analysis and report to the Board of Directors regarding its economic conditions and accounting impact.

Independently of the fact the Group can grow either via acquisitions or organic growth, the Group's corporate strategy is to maintain as simple a structure as possible, in order to facilitate control of the business, from both an operational and a financial and accounting perspective.

In addition, it is the exclusive knowledge of the Board of Directors in full to create or acquire interests in special purpose vehicles or institutions registered in countries or territories regarded as tax havens, as well as any other transactions or operations of a similar nature whose complexity might impair the transparency of the group.

According to article 15 of these same Regulations, the Audit Committee is responsible for informing the Board, prior to it making the corresponding decisions in this area.

- Whether the process takes into account the effects of other types of risks (operational, technological, financial, legal, tax-related, reputational, environmental, etc.) insofar as they impact the financial statements.

The process of identification of risks of error or fraud in financial information takes into account the effects of other types of risks insofar as they affect the financial statements, risks that are assessed and managed as described in Section E of this report.

- Which of the entity's governance bodies supervises the process:

Article 15 of the Viscofan Board of Directors Regulations assigns the Audit Committee the role of monitoring the risk management carried out by the Group:

"Reviewing the internal control and financial and non-financial risk management systems, including tax risks, so that the main risks may be correctly identified, managed and suitably reported."

In addition, as described in section E of this report, all departments of the organisation, including the Internal Audit Division, collaborate with the Audit Committee through the Global Risk Committee, continuously identifying and assessing the risks faced by the organisation.

F.3. **Control activities.**

Provide information, indicating the main characteristics, about the existence of at least the following:

F.3.1 Procedures for review and authorisation of the financial information and the description of the ICFR, to be published on the securities markets, indicating who is responsible for it, and the documentation describing the activity flows and controls (including those concerning risk of fraud) for the different types of transactions that may materially impact the financial statements, including the procedure for closing the accounts and the specific review of the relevant judgments, estimates, valuations and projections.

The procedures existing in the Viscofan Group define the activities and controls to be carried out in the process of drafting the financial information, distinguishing the following stages until its dissemination:
- Recording of daily operations by each local department involved, including the book closing for each subsidiary.
- Carryover of financial information for consolidation.
- Consolidation of the information.
- Validation and approval of the financial information.
- Publication and dissemination of the information.

In accordance with what is set forth in the Policy on the Internal Control of Financial Reporting, the Corporate Finance Division is responsible for the design, start-up and dissemination of the ICFR, and for the accounting policies and procedures to be applied, the definition of the process of preparation of the financial information and the control activities for mitigating possible risk. To do this, it receives support from the Internal Audit Division, which in its task of overseeing the comprehensive nature of the accounting and management information issued, both internally and externally, cooperates in assessing the ICFR.

To do so, based on the documentation describing the flows that affect the different departments (purchasing, billing, salaries, banks and cash, etc.), the risk areas are identified and the internal controls to be carried out are proposed.

On the other hand, based on the balance sheet and profit and loss accounts, the most significant accounts are identified, analysing, by means of the controls implemented or establishing new controls if considered necessary, the coverage percentage, in order to guarantee the reliability of the information published. In this way, adding the two approximations by process and by items in the income statement and profit and loss account, the aim is to guarantee that the controls in place cover the most significant risk areas.

To facilitate the internal control, a tool has been developed on Viscofan's intranet to implement the ICFR controls, enabling the management of master control data according to subsidiary (executor, supervisor, frequency, etc.), the management of execution and supervision flows for each control, the storage of evidence of each control and access to controls and evidence from Corporate Finance and Internal Audits.

In the course of 2022, further progress was made in the improvement and standardisation of evidence provided by the companies within the Group and the streamlining of the controls jointly undertaken by the Internal Audit and Corporate Finance departments, and with the collaboration of those responsible at a corporate level. Progress has also been made on the project to automate ICFR controls, in collaboration with the Internal Audit and IT Directorate and within the framework of the continuous audit project. In particular, those ICFR controls that could be automated have been identified, and the design and parameterisation of some of them has continued.

The document "The Internal Risk Management and Control Systems" implemented in Viscofan, explains the set of measures and controls that allow assurance to be given on financial closings, as well as narratives and flow charts related to the local procedure for closing accounts, with the corporate ICFR review process and the operations of the various existing committees.

When the local financial information has been generated, in accordance with the Reporting Validation and Analysis Procedure, each company should carry out the additional controls established in this Procedure, with the participation of at least two people: on the one hand, the person responsible for book closing at local level and, on the other hand, the person responsible for validating this closing, who is usually the Company finance manager or the person responsible for the commercial subsidiary.

The procedure for validation of the financial information reported by each subsidiary makes it possible to check that the data received for consolidation is consistent with that existing in the local systems and is standardised in accordance with the corporate accounting plan in force. The computer application used for consolidation has basic controls incorporated to flag any inconsistency in the information reported.

Those responsible for the accounting inform about changes to the financial statements of their subsidiary, transmitting the most relevant accounts with details of the calculations made.

The consolidated information is reviewed by the General Management, the Corporate Finance Division and the Investor Relations and Communication Division. This review takes place before the information is sent to the Board of Directors for final approval.

The Audit Committee intervenes in the supervision of the Company's regular financial information, filling the roles assigned to it in the Board of Directors Regulations.

"Overseeing the process devised by the senior management for instituting lawsuits, making assessments and reaching significant estimates, and the impact thereof on the financial statements. Review, analyse and discuss the financial statements and other relevant financial information with the senior management team and the internal and external auditors so as to ensure that the information is reliable, understandable and relevant, and that the accounting standards used for the preceding year have been duly followed."

This involvement from the Audit Committee extends to permanently monitoring account auditing, holding regular meetings with the external auditor to directly supervise the result of the process after both pre-closing and definitive closing of the annual accounts.

The Committee pays special attention to proposals for improving internal control, the quality of the opinions and estimates and the accounting criteria applied in the Group.

F.3.2 Internal control procedures and policies for information systems (among others, access security, change control, their operation, operational continuity and segregation of functions) that support the relevant processes in the entity with respect to the drawing up and publication of the financial information.

The main standards and procedures existing in the Viscofan Group in relation to the control of computer systems are contained in the following manuals and policies, available on the Group intranet, which regulate the use of computer systems and networks and their control and management:

• Authorisation policy on computer access and profiles
• Password policy
• Computer systems and networks management policy
• IT Security Policy
• Confidentiality policy

These policies develop the following aspects:

• The control systems should record and limit access to all Group computer systems and networks, establishing at least the creation of a username for each authorised user and the need for a password associated with it in accordance with the Password Policy.
• Management of access to any computer system or network shall comply with the provisions of the IT Profile Access Authorisation Policy. Thus, the person responsible for managing profiles and access should keep a record that justifies the authorisation of each action or modification of profiles and each access made.
• Maintenance of the computer systems and networks should include periodic measures that guarantee the copying and the possibility of backup and recovery of the data and information contained in the different Viscofan Group computer systems and networks in each case. Access to these copying and backup resources or mechanisms should be limited, protecting their content in all cases and establishing mechanisms for safekeeping and custody that guarantee their security.
• Any development or modification made by the computer departments to the Viscofan Group computer systems and networks shall be carried out with as much coordination as possible, requesting the authorisations necessary for its implementation or for performing any test process and, in any case, establishing at least the same measures in terms of security and limitation of access to the data.
•The security policy, change management, maintenance and handling of incidents should guarantee rapid recovery of the Viscofan Group computer systems and networks in the event of any contingency that could have an impact on their availability.
• All personnel, and from this moment all employees, without prejudice to the commitment established in their contract or not, having access to confidential information in the Viscofan Group must sign a confidentiality agreement that explicitly and unequivocally Details the obligation of restrictive use of the confidential information and the obligation to keep it secret, restricting its access and disclosure.

The main infrastructure of the Group is located in a main Data Processing Centre (CPD). In a second CPD the secondary infrastructure is housed to ensure the continuity of the service in case of disaster.

The Viscofan Group has a Disaster Recovery Plan, coming within the framework of processes and procedures, and which will serve to guide and support the teams during an incident. This will enable the teams to respond in a way which is as most efficient and controlled as possible, minimising the impact on users, in order to return to operational service as soon as possible.

F.3.3 Internal control procedures and policies designed to supervise the management of activities subcontracted to third parties, and those aspects of the evaluation, calculation and assessment outsourced to independent experts, which may materially impact the financial statements.

The Viscofan Group assigns to independent expert third parties the actuarial calculations on labour liabilities and the calculation of the Corporate Tax of one of the Group companies, as well as the performing of PPA (Purchase Price Allocation) processes in the purchases of new businesses and the valuations of the share-based plans.

In any case, the criterion is maintained of working only with prestigious institutions, and the valuations received are reviewed by the financial departments involved.

In line with the evolution of technology, housing and maintenance services are contracted for the Group's main data centres, as well as plans that ensure business continuity in the event of computer incidents. Outsourced services are periodically monitored by checking the critical management indicators. A validation service has been implemented for cloud services offered by software companies for the access and use of their applications.

F.4. Information and communication.

Provide information, indicating the main characteristics, about the existence of at least the following:

F.4.1 A specific function in charge of defining and keeping the accounting policies updated (accounting policy department or area) and dealing with queries or conflicts stemming from their interpretation, ensuring smooth communication with those in charge of operations in the organization, and an up-to-date manual of accounting policies, communicated to the units through which the entity operates.

The responsibility for defining, updating and disseminating the accounting policies and procedures to be applied to guarantee standardisation of processes and accounting information lies with the Corporate Finance Division, in accordance with the Policy on the Internal Control of Financial Reporting.

The accounting manuals are disseminated through the document libraries on the corporate Intranet and are available to the financial teams. Contact between corporate and local levels is continuous, and lines of communication are maintained for resolving any queries and conflicts derived from their interpretation.

The manuals are reviewed by the person responsible for Consolidation, at least annually, generally during the months of November and/or December. The perimeter is updated and new legal regulations applicable to the Group are incorporated. The documents are issued in Spanish and English.

In addition, regular account coordination meetings are held to transmit accounting policies, provide training in the performance of the controls included in the ICFR and check standardisation in the preparation of the information reported by each subsidiary.

F.4.2 Mechanisms to capture and prepare the financial reporting in standardised formats, for application and use by all the units of the entity or the group, that support the main financial statements and the notes, and the information detailed on ICFR.

In accordance with the Policy on the Internal Control of the Financial Information, the Group Financial Department is responsible for supervising the appropriate design and use of the financial computer systems.

For these purposes, the Corporate Finance Division has organised selection, set-up, implementation and training into a single reporting tool for consolidation for all Viscofan Group companies.

The data from the local applications are integrated into the consolidation system following a single corporate accounting procedure, the Corporate Accounting Plan. The Corporate Finance Division is responsible for reviewing the equivalence between the accounting plans from each subsidiary and the Corporate Accounting Plan in order to guarantee the standardisation of the information received.

As an additional control measure, the financial team ensures that at year-end, the accounting balances of the consolidation system coincide with the accounting balances of the financial modules of each subsidiary to ensure that the origin and destination information is the same.

The content of the information reported includes both the financial statements and most of the information necessary for preparing the tables and notes for the Annual Report of the company and subsidiaries, the first draft of which is prepared directly in this system.

In 2022, the implementation of the unified local chart of accounts was completed in the two Spanish companies and one German company.

F.5. **Supervising the system's operation.**

Provide information, indicating the main characteristics, about at least the following:

F.5.1 The ICFR supervision activities carried out by the Audit Committee and whether the entity has an internal audit function whose powers include providing support to the Audit Committee in its task of supervising the internal control system, including the ICFR. Likewise, give information on the scope of the ICFR assessment carried out during the year and of the procedure by which the person in charge of performing the assessment communicates its results, whether the entity has an action plan listing the possible corrective measures, and whether its impact on the financial reporting has been considered.

As stated in Art. 8 of the Regulations of the Audit Committee, one of its main functions is to oversee and evaluate the process of preparation, presentation and integrity of the economic and financial and non-financial information relating to the Company and its consolidated Group, reviewing the correct design of the internal control systems for financial and non-financial information, compliance with the regulatory requirements for both types of information and the correct application of generally accepted accounting principles.

Reporting directly to the Audit Committee is the Viscofan Group's Internal Audit Division, whose scope of work includes determining whether the Viscofan Group's risk management, control and corporate governance processes, designed and operated by Management, are suitable and functioning in a manner that ensures that significant financial, management and operational information is accurate, reliable and available in a timely manner.

During the 2022 financial year, the Internal Audit Division's work plan has focused in particular on:

- The implementation of automatic controls (continual audit) comprises the automation of detective controls (alerts) in the SAP management system environment for different Group processes.
- Participation in the Investment Committee, overseeing its activity. In 2022, the Investment Committee held four meetings, coinciding with the quarterly financial closures. Investments are strictly monitored at all subsidiaries.
A report is issued by the Corporate Finance Department every month and emailed to the Committee members, making it possible to ensure that any possible deviations are quickly detected and the appropriate actions can be taken. In addition, the eight projects with the largest budget allocations have been monitored more closely this year, on a fortnightly basis.
- Participation in the Credit Risk Committee, overseeing its activity, particularly with regard to credit risk coverage levels and the principal accounts receivable. The Credit Risk Committee met during the year on four occasions. The key objective of the Credit Risk Committee is to report on the taking out of credit insurance, compliance with established procedures and the added risk involved in selling to some countries. Furthermore, a detailed analysis is made of the total exposure of customers, particularly those with the largest amounts of matured debt. This year, in the wake of the war in Ukraine, the open debt of both Russian and Ukrainian customers has also been monitored. Monitoring conducted by the Committee has made it possible to keep the amount of the debt covered compared to last year. The default rate was maintained at a level considered satisfactory by the organisation.
- Participation in the Global Risk Committee described above, re-evaluating and redefining some of the risks on the existing Risk Map, redefining all the KRIs associated with each of these risks and monitoring the values of these KRIs.
- The quarterly assessment of the ICFR, reviewing the controls made and the quality of the evidence provided, establishing appropriate corrective measures. Specifically, every quarterly closure is accompanied by a review of the most important controls, submitting the findings report to the Audit Committee prior to the approval of the financial information to be published.
- The review of different processes in various national and international subsidiaries in compliance with the annual Audit Plan approved for 2022.
- The monitoring of the implementation of the recommendations arising from the reviews of the different processes audited in the past. For this purpose there is a tool to monitor Internal Audit's recommendations, with the creation of reports for Senior Management.

The Internal Audit Division conducts an ongoing independent review of the effectiveness of the various controls implemented on the ICFR platform, both through the quarterly reviews conducted on the ICFR controls and actions approved in the annual audit plan that enable analysis to be made of the controls implemented to mitigate the risks being audited. Subsequently, these conclusions are discussed with the Corporate Finance Department as the head of the System, agreeing on action plans to correct any possible incidents. Subsequently, these conclusions are presented to the Audit Committee for its consideration prior to the approval of the financial information to be published. The activity of the Internal Audit Department is considered to be satisfactory, mainly thanks to the high implementation rate for the improvements and recommendations made in order to correct the incidents detected.

F.5.2 Whether there is a discussion procedure by which the auditor (in line with the technical auditing notes), the internal audit function and other experts can inform senior management and the audit committee or the directors of the entity of significant weaknesses in the internal control encountered during the review processes for the annual accounts or any others within their remit. Likewise, give information on whether there is an action plan to try to correct or mitigate the weaknesses observed.

The Audit Committee has its own Regulations in accordance with the law and internal corporate governance regulations, which develop and complement the rules of the Articles of Association and the Regulations of the Board of Directors applicable to the Committee.

Art. 6 of these Regulations describes the different functions of the Committee regarding the external auditors, and among others the following functions are indicated;

- Supervise the results of each audit and the management team's responses to its recommendations.
- Supervise the content of the audit reports before issuance and, where appropriate, of the limited review reports of intermediate accounts ensuring that said content and the opinion on the annual accounts are drafted clearly, precisely and without limitations or exceptions by the auditor, explaining them to the shareholders (if any). In this regard, together with the auditor, the Committee must oversee the significant findings derived from its work and, where appropriate, propose to the Board of Directors the measures it deems appropriate to address the shortfalls found by the auditor.
- Assess whether the relationships and collaboration of senior management and the financial department with the auditor has been suitable for the performance of the audit functions.

Art. 7 of these Regulations describes the different functions of the Committee regarding the internal auditors, and among others the following functions are indicated;

- Receive regular information on the activities carried out by the Internal Audit Department of Viscofan and the companies of its Group, and specifically on the execution of the annual work plan, the incidents found and the annual report containing a summary of the activities.
- Ensure that senior managers take into account the conclusions and recommendations of the reports of the Internal Audit Department.

F.6. **Other significant information.**

We do not consider it necessary to disclose any other information that has not been already described in the above sections.

F.7. **External audit report.**

Provide information about the following:

F.7.1 Whether the ICFR information disclosed to the markets has been submitted by the external auditor, in which case the entity must attach the corresponding report as an annexe. Otherwise, explain the reasons why it was not.

The ICFR information was subjected to review by our external auditors, PwC in accordance with the Professional Action Guidelines and the Audit Report model concerning SCIIF-related information on listed companies as laid down in Circular No. 5/2013 of 12 June by the National Securities Market Commission (CNMV), subsequently amended by Circular No. 7 2015 of the CNMV on 22 December 2015 and Circular No. 2/2018 of the CNMV on 12 June 2018.

G. DEGREE OF COMPLIANCE WITH CORPORATE GOVERNANCE RECOMMENDATIONS

Indicate the extent to which the company follows the recommendations of the Good Governance Code of listed companies.

Should any recommendation not be followed or be only partially followed, a detailed explanation should be given of the reasons so that the shareholders, investors and the market in general have sufficient information to assess the way the company works. General explanations will not be acceptable.

1. The bylaws of listed companies should not place an upper limit on the votes that can be cast by a single shareholder, or impose other obstacles to the takeover of the company by means of share purchases on the market.

   Complies [X] Explain [ ]

2. That, when the listed company is controlled in accordance with Article 42 of the Commercial Code by another entity, listed or not, and has a direct business relationship with this company or any of its subsidiaries (other than the listed company) or undertakes any activity relating to any of them, they should publicly provide precise information on:

   a) The respective areas of activity and any business relationships between the listed company or its subsidiaries on one hand, and the parent company or its subsidiaries on the other hand.

   b) The mechanisms envisaged to resolve any possible conflicts of interest that may arise. Complies [

   Partially complies [ ] Explain [ ] Not applicable [X]

3. During the annual general meeting the chairman of the board should verbally inform shareholders in sufficient detail of the most relevant aspects of the company's corporate governance, supplementing the written information circulated in the annual corporate governance report. In particular:

   a) Changes taking place since the previous General Shareholders' Meeting.

   b) The specific reasons for the company not following a given Code Good Governance recommendation and any alternative procedures followed in its stead.

   Complies [X] Partially complies [ ] Explain [ ]

4. The company should define and promote a policy relating to communication and contacts with shareholders and institutional investors within the framework of their involvement with the company, as well as with proxy advisors that complies in full with market abuse regulations and accords equitable treatment to shareholders in the same position. This policy should be published on the company's website, complete with details of how it has been put into practice and the identities of the relevant spokespersons or those responsible for its implementation.

   And that, notwithstanding the legal obligations for the dissemination of privileged information and other types of regulated information, the Company also has a general policy regarding the communication of economic-financial, non-financial and corporate information through the channels it deems appropriate (the media, social networks and other channels), which contributes to maximising the dissemination and quality of the information available to the market, investors and other stakeholders.

   Complies [X] Partially complies [ ] Explain [ ]

5. The board of directors should not make a proposal to the general meeting for the delegation of powers to issue shares or convertible securities without pre-emptive subscription rights for an amount exceeding 20% of capital at the time of such delegation.

   When a board approves the issuance of shares or convertible securities without pre-emptive subscription rights, the company should immediately post a report on its website explaining the exclusion as envisaged in company legislation.

   Complies [X] Partially complies [ ] Explain [ ]

6. Listed companies drawing up the following reports on a voluntary or compulsory basis should publish them on their website well in advance of the annual general meeting, even if their distribution is not obligatory:

   a) Report on auditor independence.

   b) Reviews of the operation of the audit committee and the nomination and remuneration committee.

   c) Audit committee report on third-party transactions.

   Complies [X] Partially complies [ ] Explain [ ]

7. The company should broadcast its general meetings live on the corporate website.

   And that the company has mechanisms the enable the delegation and exercise of voting by means of telematics and, in the case of large cap companies and as far as is commensurate, attendance and active participation in the General Shareholders' Meeting.

   Complies [X] Partially complies [ ] Explain [ ]

8. That the audit committee ensures that the annual accounts presented by the board of directors to the general shareholders' meeting are prepared in accordance with accounting regulations. In the event that the account auditor has included any qualifications in its audit report, the chairman of the audit committee will clearly explain the opinion of the audit committee before the General Shareholders' Meeting with regard its content and scope, and will, at the same time as the announcement of the call for the general meeting, provide shareholders a summary of said opinion together with all the other proposals and reports of the board.

Complies [X] Partially complies [ ] Explain [ ]

9. The company should disclose its conditions and procedures for admitting share ownership, the right to attend general meetings and the exercise or delegation of voting rights, and display them permanently on its website.

Such conditions and procedures should encourage shareholders to attend and exercise their rights and be applied in a non-discriminatory manner.

Complies [X] Partially complies [ ] Explain [ ]

10. When an accredited shareholder exercises the right to supplement the agenda or submit new proposals prior to the general meeting, the company should:

a) Immediately circulate the supplementary items and new proposals.

b) Disclose the model of attendance card or proxy appointment or remote voting form duly modified so that new agenda items and alternative proposals can be voted on in the same terms as those submitted by the board of directors.

c) Put all these items or alternative proposals to the vote applying the same voting rules as for those submitted by the board of directors, with particular regard to presumptions or deductions about the direction of votes.

d) After the general meeting, disclose the breakdown of votes on such supplementary items or alternative proposals.

Complies [ ] Partially complies [ ] Explain [ ] Not applicable [X]

11. In the event that a company plans to pay for attendance at the general meeting, it should first establish a general, long-term policy in this respect.

Complies [X] Partially complies [ ] Explain [ ] Not applicable [ ]

12. The board of Directors should perform its duties with unity of purpose and independent judgement, according the same treatment to all shareholders in the same position. It should be guided at all times by the company's best interest, understood as the creation of a profitable business that promotes its sustainable success over time, while maximising its economic value.

    In pursuing the corporate interest, it should not only abide by laws and regulations and conduct itself according to principles of good faith, ethics and respect for commonly accepted customs and good practices, but also strive to reconcile its own interests with the legitimate interests of its employees, suppliers, clients and other stakeholders, as well as with the impact of its activities on the broader community and the natural environment.

    Complies [X] Partially complies [ ] Explain [ ]

13. The Board of Directors should have an optimal size to promote its efficient functioning and maximize participation. The recommended range is accordingly between five and fifteen members.

    Complies [X] Explain [ ]

14. That the Board of Directors should approve a policy aimed at establishing a suitable composition of the Board of Directors and which:

    a) is specific and verifiable.

    b) ensures that the appointment or re-election proposals are based on a prior analysis of the skills required by the Board of Directors; and

    c) encourages a diversity of knowledge, experience, age and gender. With regard to this, measures that promote gender diversity are those promoting the presence of a significant number of women in the company's senior management.

    That the results of the prior analysis of the skills required by the board should be included in the appointment committee's justifying report that is published when the general shareholders' meeting is convened and in which the appointment and re-election of each director will be ratified.

    The appointments committee should run an annual check on compliance with this policy and include its findings in the annual corporate governance report.

    Complies [X] Partially complies [ ] Explain [ ]

15. Nominee and independent directors should constitute an ample majority on the board of directors, while the number of executive directors should be the minimum practical bearing in mind the complexity of the corporate group and the ownership interests they control.

And that the number of female directors should represent at least 40% of the members of the Board of Directors by the end of 2022 and thereafter, and before this should never be less than 30%.

Complies [] Partially complies [X] Explain []

In accordance with principle 11 of the Good Governance Code, the Board of Directors has a balanced composition, with a large majority of external directors, an adequate proportion between nominee and independent directors, these being the majority on the Board of Directors. In particular, independent directors add up to 6 out of a total of 11 directors (55%) and nominee directors 2 (18%), so that the sum of both represents a large majority on the Board of Directors (73%), while the number of executive directors adds up to 2 out of a total of 11 directors (18%).

In recent years, Viscofan has increased the number of female directors from 1 to 4, currently representing 36.4% of the total Board, a percentage very similar to that established in this recommendation. In accordance with the Director Selection and Diversity Policy, the Appointments, Remuneration and Sustainability Committee, or the Board of Directors itself, as the case may be, actively seeks the inclusion in the process of female candidates who, responding to the needs of the matrix of competencies, contribute to improving the percentage of women, and when faced with two similar professional profiles, the female candidate will be proposed.

16. The percentage of nominee directors out of all non-executive directors should be no greater than the proportion between the ownership stake of the shareholders they represent and the remainder of the company's capital.

This criterion can be relaxed:

a) In large cap companies where few or no equity stakes attain the legal threshold for significant shareholdings.

b) In companies with a plurality of shareholders represented on the board but not otherwise related.

Complies [X] Explain []

17. Independent directors should be at least half of all directors.

However, when the company does not have a large market capitalisation, or when a large cap company has shareholders individually or concertedly controlling over 30% of capital, independent directors should occupy, at least, a third of the total number of directors.

Complies [X] Explain [ ]

18. Companies should disclose the following information on their directors on their websites and keep it regularly updated:

    a) Background and professional experience.

    b) Directorships held in other companies, listed or otherwise, and other paid activities they engage in, of whatever nature.

    c) Statement of the director class to which they belong, in the case of proprietary directors indicating the shareholder they represent or have links with.

    d) Dates of their first appointment as a director and subsequent re-elections.

    e) Shares held in the company, and any options on the same.

    Complies [X] Partially complies [ ] Explain [ ]

19. Following verification by the appointments committee, the annual corporate governance report should disclose the reasons for the appointment of proprietary directors at the urging of shareholders controlling less than 3% of capital; and explain any rejection of a formal request for a place on the board from shareholders whose equity stake is equal to or greater than that of others applying successfully to be appointed a proprietary director.

    Complies [ ] Partially complies [ ] Explain [ ] Not applicable [X]

20. Proprietary directors should resign when the shareholders they represent dispose of their ownership interest in its entirety. If such shareholders reduce their stakes, thereby losing some of their entitlement to nominee directors, the latter's number should be reduced accordingly.

    Complies [X] Partially complies [ ] Explain [ ] Not applicable [ ]

21. The Board of Directors should not propose the removal of independent directors before the expiry of their tenure as mandated by the Bylaws, except where they find just cause, based on a proposal from the Nomination Committee. In particular, just cause will be presumed when directors take up new posts or responsibilities that prevent them allocating sufficient time to the work of a director, or are in breach of their fiduciary duties or come under one of the disqualifying grounds for classification as independent enumerated in the applicable legislation.

    The removal of independent directors may also be proposed when a takeover bid, merger or similar corporate transaction alters the company's capital structure, provided the changes in board membership ensue from the proportionality criterion set out in recommendation 16.

    Complies [X] Explain [ ]

22. That companies should establish rules obliging directors to disclose any circumstance and, where appropriate, resign when circumstances arise that affect them, whether or not they are related to their actions within the company itself, that might harm the organisation's name or reputation and, in especially, to inform the board of any criminal charges in which they may be investigated, and their involvement in any subsequent legal proceedings.

    And that, if the Board has been informed or become aware in any other way of the existence of any of the situations mentioned in the previous paragraph, the case should be examined as soon as possible, according to the specific circumstances and with a prior report to the Appointment and Remuneration Committee, to determine whether or not any measures should be taken, such as opening an internal investigation, asking the director to resign or proposing their dismissal. And that a report regarding this is included in the annual corporate governance report, unless there are special circumstances to justify this, in which case they should be confirmed in the minutes. Notwithstanding the information that the company needs to provide, where applicable, at the time when the measures are taken.

    Complies [X] Partially complies [ ] Explain [ ]

23. Directors should express their clear opposition when they feel a proposal submitted for the board's approval might damage the corporate interest. In particular, independents and other directors not subject to potential conflicts of interest should strenuously challenge any decision that could harm the interests of shareholders lacking board representation.

    When the board makes relevant or reiterated decisions about which a director has expressed serious reservations then he or she must draw the pertinent conclusions. Directors resigning for such causes should set out their reasons in the letter referred to in the next recommendation.

    The terms of this recommendation should also apply to the secretary of the board of directors, whether a director or otherwise.

    Complies [X] Partially complies [ ] Explain [ ] Not applicable [ ]

24. When a director steps down before the end of their term of office, whether by resigning or with the agreement of the general meeting, they must explain the reasons for their departure or, in the case of non-executive directors, their opinion on the reasons for the dismissal by the general meeting, in a letter to be sent to all other members of the Company's Board of Directors.

    And that, notwithstanding including all this in the annual corporate governance report, insofar as it concerns the investors, the company should publish the dismissal as soon as possible making sufficient references to the reasons or circumstances given by the director.

    Complies [X] Partially complies [ ] Explain [ ] Not applicable [ ]

25. The nomination committee should ensure that non-executive directors have sufficient time available to discharge their responsibilities effectively.

    The board of directors regulations should lay down the maximum number of company boards on which directors can serve.

    Complies [X] Partially complies [ ] Explain [ ]

26. The board should meet with the necessary frequency to properly perform its functions, eight times a year at least, in accordance with a calendar and agendas set at the start of the year, to which each director may propose the addition of initially unscheduled items.

    Complies [X] Partially complies [ ] Explain [ ]

27. Director absences should be kept to a strict minimum and quantified in the Annual Corporate Governance Report. In the event of absence, directors should delegate their powers of representation with the appropriate instructions.

    Complies [X] Partially complies [ ] Explain [ ]

28. When directors or the secretary express concerns about some proposal or, in the case of directors, about the company's performance, and such concerns are not resolved at the meeting, they should be recorded in the minute book if the person expressing them so requests.

    Complies [ ] Partially complies [ ] Explain [ ] Not applicable [X]

29. The company should provide suitable channels for directors to obtain the advice they need to carry out their duties, extending if necessary to external assistance at the company's expense.

    Complies [X] Partially complies [ ] Explain [ ]

30. Regardless of the knowledge directors must possess to carry out their duties, they should also be offered refresher programmes when circumstances so advise.

Complies [X] Explain [ ] Not applicable [ ]

31. The agendas of board meetings should clearly indicate on which points directors must arrive at a decision, so they can study the matter beforehand or gather together the material they need.

For reasons of urgency, the chairman may wish to present decisions or resolutions for board approval that were not on the meeting agenda. In such exceptional circumstances, their inclusion will require the express prior consent, of the majority of directors present, which shall be duly shown in the minutes.

Complies [X] Partially complies [ ] Explain [ ]

32. Directors should be regularly informed of movements in share ownership and of the views of major shareholders, investors and rating agencies on the company and its group.

Complies [X] Partially complies [ ] Explain [ ]

33. The chairman, as the person charged with the efficient functioning of the board of directors, in addition to the functions assigned by law and the company's bylaws, should prepare and submit to the board a schedule of meeting dates and agendas; organise and coordinate regular evaluations of the board and, where appropriate, the company's chief executive officer; exercise leadership of the board and be accountable for its proper functioning; ensure that sufficient time is given to the discussion of strategic issues, and approve and review refresher courses for each director, when circumstances so advise.

Complies [X] Partially complies [ ] Explain [ ]

34. When a lead independent director has been appointed, the Bylaws or Board of Directors regulations should grant him or her the following powers over and above those conferred by law: chair the board of directors in the absence of the chairman and vice chairmen give voice to the concerns of non-executive directors; maintain contacts with investors and shareholders to hear their views and develop a balanced understanding of their concerns, especially those to do with the company's corporate governance; and coordinate the chairman's succession plan.

Complies [X] Partially complies [ ] Explain [ ] Not applicable [ ]

35. The board secretary should strive to ensure that the board's actions and decisions are informed by the governance recommendations of the Code of Good Governance of relevance to the company.

Complies [X] Explain [ ]

36. The board in full should conduct an annual evaluation, adopting, where necessary, an action plan to correct weaknesses detected in:

a) The quality and efficiency of the board's operation.

b) The performance and membership of its committees.

c) The diversity of board membership and competences.

d) The performance of the chairman of the board of directors and the company's chief executive.

e) The performance and contribution of individual directors, with particular attention to the chairmen of board committees.

The evaluation of board committees should start from the reports they send the board of directors, while that of the board itself should start from the report of the nomination committee.

Every three years, the board of directors should engage an external facilitator to aid in the evaluation process. This facilitator's independence should be verified by the nomination committee.

Any business dealings that the facilitator or members of its corporate group maintain with the company or members of its corporate group should be detailed in the annual corporate governance report.

The process followed and areas evaluated should be detailed in the annual corporate governance report.

Complies [X] Partially complies [ ] Explain [ ]

37. That where an executive committee exists, it should include at least two non-executive directors, at least one of whom should be independent; and the secretary should be that of the board of directors.

Complies [ ] Partially complies [ ] Explain [ ] Not applicable [X]

38. The board of directors should be kept fully informed of the business transacted and decisions made by the executive committee. To this end, all board members should receive a copy of the committee's minutes.

Complies [ ] Partially complies [ ] Explain [ ] Not applicable [X]

39. That the members of the Audit Committee as a whole and, particularly, the Chairman thereof, should be appointed taking into account their background knowledge and experience in accounting, auditing and the management of financial and non-financial risks.

Complies [X] Partially complies [ ] Explain [ ]

40. Listed companies should have a unit in charge of the internal audit function, under the supervision of the audit committee, to monitor the effectiveness of reporting and control systems. This unit should report functionally to the board's non-executive chairman or the chairman of the audit committee.

Complies [X] Partially complies [ ] Explain [ ]

41. That the head of the unit responsible for internal auditing should submit their annual work plan to the Audit Committee to be approved by them or by the board, report directly to them with regard to its execution, including and possible incidents or restrictions to the scope of its actions, the results and monitoring of its recommendations and at the end of each financial year to submit an activity report.

Complies [X] Partially complies [ ] Explain [ ] Not applicable [ ]

42. The audit committee should have the following functions over and above those legally assigned:

1. With respect to internal control and reporting systems:

a) Supervise and assess the preparation process for and the integrity of the financial and non-financial information, the financial risk control and management systems relating to the company and, where applicable, to the Group (including operational, technological, legal, social, environmental, policy, reputational and relating to corruption) to review compliance with regulatory requirements, a suitable delimitation of the consolidation perimeter and the correct application of accounting criteria.

b) Monitor the independence of the unit responsible for the internal audit function; propose the selection, appointment, and removal of the head of the internal audit service; propose the service's budget; approve or propose approval to the board for its priorities and the annual work for internal auditing, ensuring that it focuses primarily on the main risks the company is exposed to (including reputational); receive regular report-backs on its activities; and verify that senior management are acting on the findings and recommendations of its reports.

c) Establish and supervise a mechanism that allows employees and other people related to the company, such as directors, shareholders, suppliers, contractors and subcontractors, to report any irregularities of a significant nature, including financial and accounting, or of any other nature, relating to the company that may arise within the company or its group. This mechanism should guarantee confidentiality and, in any case, envisage the possibility of the notifications being made anonymously, always respecting the rights of both the accuser and the accused.

d) Generally safeguard that the established policies and systems with regard to internal control are applied effectively in practice.

2. With respect to the external auditor:

a) Investigate the issues giving rise to the resignation of the external auditor, should this come about.

b) Ensure that the remuneration of the external auditor does not compromise its quality or independence.

c) Ensure that the company notifies any change of auditor through the Spanish Securities Market Commission (CNMV) and accompanies the notification with a declaration on the possible existence of disagreements with the outgoing auditor and with the contents of the audit, if any.

d) Ensure that the external auditor has a yearly meeting with the board in full to inform it of the work undertaken and developments in the company's risk and accounting positions.

e) Ensure that the company and the external auditor adhere to current regulations on the provision of non-audit services, limits on the concentration of the auditor's business and other

requirements concerning auditor independence.

Complies [X] Partially complies [ ] Explain [ ]

43. The audit committee should be empowered to meet with any company employee or manager, even ordering their appearance without the presence of another senior officer.

Complies [X] Partially complies [ ] Explain [ ]

44. The Audit Committee should be informed of any fundamental changes or corporate transactions the company is planning, so the committee can analyse the operation and report to the board beforehand on its economic conditions and accounting impact and, when applicable, the exchange ratio proposed.

Complies [X] Partially complies [ ] Explain [ ] Not applicable [ ]

45. That risk control and management policy should identify or conform at least the following:

a) The different types of financial and non-financial risk the company is exposed to (including operational, technological, financial, legal, social, environmental, political and reputational risks, including those related to corruption), with the inclusion under financial or economic risks of contingent liabilities and other off-balance-sheet risks.

b) A risk control and management model based on different levels and that should include a committee specialising in risks when sector norms envisage this or if the company feels it is appropriate.

c) The risk level the company feels is acceptable.

d) The measures in place to mitigate the impact of identified risk events should they occur.

e) The internal control and reporting systems to be used to control and manage the above risks, including contingent liabilities and off-balance sheet risks.

Complies [X] Partially complies [ ] Explain [ ]

46. Companies should establish a risk control and management function in the charge of one of the company's internal department or units and under the direct supervision of the audit committee or some other dedicated board committee. This function should be expressly charged with the following responsibilities:

a) Ensure that risk control and management systems are functioning correctly and, specifically, that major risks the company is exposed to are correctly identified, managed and quantified.

b) Participate actively in the preparation of risk strategies and in key decisions about their management.

c) Ensure that risk control and management systems are mitigating risks effectively in the frame of the policy drawn up by the board of directors.

Complies [X] Partially complies [ ] Explain [ ]

47. Appointees to the nomination and remuneration committee – or of the nomination committee and remuneration committee, if separately constituted – should have the right balance of knowledge, skills and experience for the functions they are called on to discharge. The majority of their members should be independent directors.

Complies [X] Partially complies [ ] Explain [ ]

48. Large cap companies should operate separately constituted nomination and remuneration committees.

Complies [ ] Explain [ ] Not applicable [X]

49. The Nomination Committee should consult with the company's Chairman and chief executive, especially on matters relating to executive Directors.

When there are vacancies on the board, any Director may approach the Nomination Committee to propose candidates that it might consider suitable.

Complies [X] Partially complies [ ] Explain [ ]

50. The remuneration committee should operate independently and have the following functions in addition to those assigned by law:

a) Propose to the board the standard conditions for senior officer contracts.

b) Monitor compliance with the remuneration policy set by the company.

c) Periodically review the remuneration policy for directors and senior officers, including share-based remuneration systems and their application, and ensure that their individual compensation is proportionate to the amounts paid to other directors and senior officers in the company.

d) Ensure that conflicts of interest do not undermine the independence of any external advice the committee engages.

e) Verify the information on director and senior officers' pay contained in corporate documents, including the annual directors' remuneration statement.

Complies [X] Partially complies [ ] Explain [ ]

51. The remuneration committee should consult with the company's chairman and chief executive, especially on matters relating to executive directors and senior officers.

Complies [X] Partially complies [ ] Explain [ ]

52. The terms of reference of supervision and control committees should be set out in the board of directors regulations and aligned with those governing legally mandatory board committees as specified in the preceding sets of recommendations. They should include at least the following terms:

a) Committees should be formed exclusively by non-executive directors, with a majority of independents.

b) They should be chaired by independent directors.

c) That the board of directors should appoint the members of such committees with regard to the knowledge, skills and experience of its directors and each committee's terms of reference and discuss their proposals and reports; and provide report-backs on their activities and work at the first plenary meeting of the board of Directors following each committee meeting.

d) They may engage external advice, when they feel it necessary for the discharge of their functions.

e) Meeting proceedings should be recorded in minutes and a copy made available to all directors.

Complies [X] Partially complies [ ] Explain [ ] Not applicable [ ]

53. The task of supervising compliance with the policies and rules of the company concerning environmental, social and corporate governance, as well as the internal code of conduct, is assigned to a single board committee or split between several, which could be the audit committee, the appointments committee, a committee specialising in sustainability or corporate social responsibility or any other dedicated committee established by the board of directors under its powers of self-organisation. Any such committee will be formed solely by non-executive directors, the majority of whom will be independent and they should be assigned the minimum functions as detailed in the following recommendation.

Complies [X] Partially complies [ ] Explain [ ]

54. The minimum functions referred to in the above recommendation are the following:

a) Supervision of compliance with the company's corporate governance rules and internal codes of conduct, whilst ensuring that corporate culture is in line with its purpose and values.

b) Supervision of the application of the general policy regarding the notification of economic-financial, non-financial and corporate information, as well as communication with shareholders and investors, proxy advisers and other stakeholders. There will also be monitoring of how the entity communicates with and relates to small and medium-sized shareholders.

c) Regular assessment and review of the Company's corporate governance system and its policy regarding environmental and social issues, with the purpose of confirming compliance with its mission to promote social interest and where appropriate, taking into account the legitimate interests of remaining stakeholders.

d) Supervision that the company's practices regarding environmental and social issues are in accordance with the established strategy and policies.

e) Monitor and assess the company's interaction with its stakeholder groups.

Complies [X] Partially complies [ ] Explain [ ]

55. That sustainability policies regarding environmental and social issues identify and include at least the following:

a) The principles, commitments, objectives and strategy relating to shareholders, employees, customers, suppliers, social welfare issues, the environment, diversity, fiscal responsibility, respect for human rights and the prevention of corruption and other illicit behaviour

b) The methods and systems for monitoring compliance with the policies, associated risks and their management.

c) The mechanisms for supervising non-financial risk, including that relating to ethics and business conduct.

d) Channels for stakeholder communication, participation and dialogue.

e) Responsible communication practices that prevent the manipulation of information and protect the company's honour and integrity.

Complies [X] Partially complies [ ] Explain [ ]

56. Director remuneration should be sufficient to attract individuals with the desired profile and compensate the commitment, abilities and responsibility that the post demands, but not so high as to compromise the independent judgement of non-executive directors.

Complies [X] Explain [ ]

57. Variable remuneration linked to the company and the director's performance, the award of shares, options or any other right to acquire shares or to be remunerated on the basis of share price movements, and membership of long-term savings schemes such as pension plans should be confined to executive directors.

The company may consider the share-based remuneration of non-executive directors provided they retain such shares until the end of their mandate. The above will not be applicable to shares that the director has to sell to satisfy costs related to their acquisition.

Complies [X] Partially complies [ ] Explain [ ]

58. In the case of variable awards, remuneration policies should include limits and technical safeguards to ensure they reflect the professional performance of the beneficiaries and not simply the general progress of the markets or the company's sector, or circumstances of that kind.

Specifically, variable components of remuneration should meet the following conditions:

a) Be subject to predetermined and measurable performance criteria that take into account the risk assumed to obtain a given result.

b) Promote the long-term sustainability of the company and include non-financial criteria that are relevant for the company's long-term value, such as compliance with its internal rules and procedures and its risk control and management policies.

c) Be focused on achieving a balance between the delivery of short, medium and long-term objectives, such that performance-related pay rewards ongoing achievement, maintained over sufficient time to appreciate its contribution to long-term value creation. This will ensure that performance measurement is not based solely on one-off, occasional or extraordinary events.

Complies [X] Partially complies [ ] Explain [ ] Not applicable [ ]

59. That the payment of variable remuneration components should be subject to sufficient verification that performance criteria have effectively been met, or any other criteria previously established. In their annual report on remunerations to directors, entities will include the criteria with regard to the time required and the methods used for this verification in accordance with the nature and characteristics of each variable component.

That the entities should also assess the creation of a reduction clause ("malus") based on deferring for a suitable period of time the payment of part of the variable components that may involve total or partial loss where prior to payment an event may occur that makes payment inadvisable.

Complies [ ] Partially complies [X] Explain [ ] Not applicable [ ]

The components for variable remuneration are subject to the preparation of annual accounts, the control system, and supervision by the Appointments, Remuneration and Sustainability Committee in the clawback clause. However, the establishment of a malus clause, based on the deferral of the payment of part of the variable components, has not been included.

60. Remuneration linked to company earnings should bear in mind any qualifications stated in the external auditor's report that reduce their amount.

Complies [X] Partially complies [ ] Explain [ ] Not applicable [ ]

61. A major part of executive directors' variable remuneration should be linked to the award of shares or financial instruments whose value is linked to the share price.

Complies [X] Partially complies [ ] Explain [ ] Not applicable [ ]

62. That following the award of shares, financial options and instruments corresponding to the remuneration systems, executive directors may not transfer ownership or exercise them until at least three years have passed.

An exception is made where at the time of transfer or exercise the director maintains net economic exposure to a variation in the price of the shares for a market value equivalent to amount corresponding to at least double the annual fixed remuneration from the ownership of shares, options or other financial instruments.

The above shall not be applicable to shares that the director needs to transfer to satisfy costs relating to their acquisition or, following prior favourable assessment by the Appointments and Remuneration Committee, to address any extraordinary circumstances that may require this.

Complies [X] Partially complies [ ] Explain [ ] Not applicable [ ]

63. Contractual arrangements should include provisions that permit the company to reclaim variable components of remuneration when payment was out of step with the Director's actual performance or based on data subsequently found to be misstated.

Complies [X] Partially complies [ ] Explain [ ] Not applicable [ ]

64. That payment for the termination or expiry of the contract should not exceed a fixed amount equivalent to two years of the director's total annual remuneration and should not be paid until the company confirms that he/she has met the predetermined performance criteria or conditions for receiving it.

For the purposes of this recommendation, payments for the termination or expiry of a contract should include those payment whose accrual or obligation to pay arises as a result or at the time of the expiry of the contractual relationship that linked the director with the company, including amounts not previously consolidated in the savings systems in the long term and the amounts paid corresponding to post-contractual non-competition pacts.

Complies [X] Partially complies [ ] Explain [ ] Not applicable [ ]

H. OTHER INFORMATION OF INTEREST

1. If there is any other aspect relevant to the corporate government in the company or in the group entities that has not been reflected in the rest of the sections of this report, but is necessary to include to provide more comprehensive and well-grounded information on the corporate governance structure and practices in your entity or its group, detail them briefly.

2. This section may also include any other relevant information, clarification or detail related to previous sections of the report insofar as they are relevant and not reiterative.

   Specifically indicate whether the company is subject to corporate governance legislation from a country other than Spain and, if so, include the mandatory information to be provided when different from that required by this report.

3. The company may also indicate if it has voluntarily signed up to other international, industry-wide or any other codes of ethical principles or best practices. Where applicable, the code in question will be identified along with the date of signing. If applicable, the code in question and the date of accession will be identified. In particular, it will mention whether it has adhered to the Code of Good Tax Practices of 20 July 2010:

Below you will find the content of the issues that could not be addressed in the corresponding paragraphs because they exceeded the maximum size allowed by the CNMV format:

POINT C.1.16 Indicate procedures for selection, appointment, re-election and removal of directors. List the competent bodies, the procedures to be followed and the criteria to be employed in each procedure.

The procedures for selection, appointment, re-election, assessment and removal of directors are regulated in:

- Articles of Association
- The Board of Directors Regulations
- The Policy for Director Selection and Diversity on the Board of Directors.
- Regulations of the Appointments, Remuneration And Sustainability Committee

In accordance with their respective responsibilities, the General Shareholder´s Meeting, the Board of Directors and the Appointments, Remunerations and Sustainability Committee have a role to play in the different procedures.

1. PROCEDURES FOR SELECTION, APPOINTMENT AND RE-ELECTION

The appointment of directors corresponds to the General Shareholders meeting in accordance with the regulations applicable with regard to the proportional representation system, as detailed in article 25 of the Articles of Association.

Furthermore, article 8 of the Board of Directors Regulations establishes that the appointment of Directors will be undertaken at the General Shareholders Meeting or by the Board of Directors itself where this is legally envisaged. This article grants the Board of Directors the duty to ensure that the selection procedures for their members favour diversity, respect matters regarding age, gender, disability or professional knowledge and experience and do not have an implicit bias that may imply any discrimination and, in particular, that facilitates the selection of female directors to allow for a balanced presence of men and women.

The Policy on the Selection of Directors and Diversity on the Board of Directors also establishes that any director may propose candidates for director provided that they meet the requirements laid down in this policy. Likewise, the Company can count on the collaboration of external advisors in searching for and validating candidates for board membership.

The proposals relating to the appointment or re-election of directors, within the limits established in the articles of association, shall be made by the Appointment, Remuneration and Sustainability Committee in the case of independent directors and by the Board itself, subject to a report by the Committee, in the case of the other directors. Any proposals must be accompanied, in any case, by an explanatory report from the Board, assessing the competence, experience and merits of the candidate proposed, and shall include the presence on the Board of a reasonable number of independent directors and shall tend to maintain a majority of directors who are external to management.

The preparation of proposals for the appointment or re-election of Board members shall be based on an analysis of the Company's needs, which should be carried out by the Board of Directors with the advice and reporting of the Appointments, Remunerations and Sustainability Committee. In proposals for the re-election of directors, the Appointments, Remunerations and Sustainability Committee will assess the quality of work and dedication to the post during the term of office.

This report by the Appointments, Remunerations and Sustainability Committee on the Company's requirements will be published when the General Shareholders Meeting is called to vote on the ratification, appointment or re-election of each director, either as an independent document or as part of the proposal or report concerning the corresponding candidate.

Candidates for the position of director of the Company should have independent criteria, recognised professional prestige, good character, solvency, competence and experience. In addition, efforts will be made to ensure that, in the selection of candidates, an appropriate balance is achieved in the Board as a whole, which will enrich decision-making and bring a pluralistic viewpoint to the discussion of matters within its competence. Specifically, the following principles should be taken into account when formulating proposals or reports for director candidates:

a) Principle of honesty and expertise
b) Principle of sufficient dedication
c) Principle of diversity
d) Principle of specialisation

Candidates should also comply with the requirements established in the Company's Articles of Association, in the Regulations of the Board of Directors and in the provisions on good governance, for the suitable performance of a Director's duties and, especially those relating to due diligence and loyalty, always avoiding situations of conflict of interest or incompatibility.

Article 26 of the Articles of Association also establishes that to be appointed as a director it is not necessary to be a shareholder.

The Appointments, Remuneration and Sustainability Committee plays an essential role in the selection procedures for the appointment and re-election of directors. In this regard, article 16 of the Board of Directors Regulations assigns the following functions to this Committee:

a) Evaluating the skills, knowledge and experience required by the Board and, as a result, defining the functions and abilities required from candidates who are to cover each vacant position and evaluating the amount of time and dedication required for the effective performance of their duties.

b) Setting a representation target for the least represented sex on the Board of Directors and preparing guidelines on how to achieve this target.

c) Providing the Board of Directors with proposals for appointing independent directors, for appointment by co-optation or submission for voting at the General Shareholders' Meeting. Submitting proposals for the re-election or removal of these directors.

d) Providing information on proposals for the appointment of all other Directors for appointment by co-optation or submission for voting at the General Shareholders Meeting, as well as proposals for their re-election or removal by the General Shareholders Meeting.

f) Examining and organising the succession procedure for the Chairman of the Board of Directors and the Chief Executive Officer and where applicable, to submit proposals to the Board of Directors to ensure that such succession is addressed in an orderly and planned manner.

Article 6 of the Regulations for the Appointments, Remuneration and Sustainability Committee also establishes responsibilities with regard to the composition of the Board of Directors and its committees, the selection, removal and dismissal of directors and the designation of internal responsibilities for the Board of Directors.

DURATION OF THE TERM OF OFFICE:

According to article 26 of the Articles of Association, the term of office for Directors is four years from the date they are appointed. The appointment of Directors will cease when their term of office has ended and the next General Shareholders' Meeting has been held or the period stipulated by law for holding the Shareholders' Meeting to resolve on the approval of the prior year's accounts has passed.

Article 8 of the Board of Directors Regulations establishes that Directors shall hold their posts for the term envisaged in the Articles of Association, and may be re-elected one or more times.

Independent Directors may not be re-elected or appointed for a new term of office under the same classification when they have sat on the Company's Board for a term of twelve (12) years as from the date on which they were first appointed.

Under no circumstances shall the provisions of the foregoing paragraphs limit the power of the Company's General Shareholders' Meeting or, where applicable, the Board of Directors to re-elect or appoint a specific candidate as a director and, where applicable, it shall only affect his/her possible classification as an independent director.

DISMISSAL OF DIRECTORS

The procedure for the dismissal of directors is governed by the following articles of the Board of Directors Regulations:

Article 30 - Dismissal of directors.

Directors shall serve at the pleasure of the Board of Directors and if the Board considers it appropriate, they shall tender their resignations in the following cases:

a) When they become subject to any of the disqualifications or prohibitions set down in law.
b) When their remaining on the Board could undermine the Company's interests or when the reasons for which they were elected no longer apply.
c) Directors representing a controlling shareholder will tender their resignations when the shareholder they represent sells a substantial part of its stake.

The Board of Directors may not propose the removal of independent directors before the end of their term of office, unless the Board considers there is due cause following a report to such effect from the Appointments and Remuneration Committee.

Directors must inform the Board should situations arise that affect them, related or not with their actions for the Company and, especially, to inform the board of any criminal charges in which they may be investigated, and their involvement in any subsequent legal proceedings.

When the Board has been informed or become aware in any other way of the existence of any of the situations mentioned in the previous paragraph, the case should be examined as soon as possible, according to the specific circumstances and with a prior report to the Appointments and Remuneration Committee, to determine whether or not any measures should be taken, such as opening an internal investigation, or asking the director to resign or proposing their dismissal. The foregoing will be detailed in a reasoned manner in the Annual Corporate Governance Report, unless there are special circumstances to justify this, in which case they should be confirmed in the minutes.

When a director steps down before the end of their term of office, whether by resigning or on some other grounds, they must explain the reasons for their departure or, in the case of non-executive directors, their opinion on the reasons for the dismissal by the general meeting, in a letter to be sent to all other members of the Board, without prejudice to an account being provided in the Annual Corporate Governance Report to the extent that it is relevant for investors.

Article 31. Directors' duties after dismissal

After leaving upon completion of the period for which they were elected or for any other reason, the directors may not serve at any entity competing with the Company and its corporate group for a period of two years unless the Board of Directors grants dispensation from this requirement or shortens its term.

C.2.1. FUNCTIONS OF THE AUDIT COMMITTEE AND ITS MOST IMPORTANT ACTIONS IN THE YEAR

The Audit Committee is regulated under article 15 of the Board of Directors Regulations, under article 33, paragraph 2 of the Articles of Association, and a specific Regulation for the purpose of promoting the independence of the Committee and establishing the principles for action and operating regime.

Below is an explanation about article 15 of the Board Regulations, regulating, in the broadest sense, its composition, the appointment and dismissal of its members and their principal duties, calling meetings, and formulating and adopting resolutions.

Article 15 - Audit Committee

There shall be an Audit Committee within the Board of Directors, which shall be composed of a minimum of three and a maximum of six members.

The Audit Committee shall be composed solely of non-executive directors appointed by the Board of Directors, the majority of whom must be independent directors, and its members shall be appointed by the Board of Directors, subject to the legal requirements and a report from the Appointments and Remuneration Committee, with due consideration given to the knowledge, skills and experience in accounting, auditing or both, internal control and risk management, both financial and non-financial, of its directors and, above all, its Chairman, and overall, the members of the Committee shall have relevant technical expertise in relation to the sector to which the audited entity belongs.

The members of the Committee shall automatically cease to sit on the Committee when they cease to sit as directors of the Company or at the discretion of the Board of Directors.

Audit Committee members shall appoint a Chairman, selected from the independent directors that form the Committee, who shall be replaced every four years; the Chairman may be re-elected one year after they cease to serve as Chairman.

The Audit Committee will meet whenever convened by its Chairman, by decision of the Board of Directors, or upon the request of the majority of its members.

The Audit Committee shall be quorate with the attendance in person or by proxy of the majority of its members.

Resolutions will be adopted by simple majority vote of the members attending the meeting and the Chairman will have the casting vote.

The Audit Committee shall have the power to request the presence of any member of the management team or any member of the Company's staff at its meetings, as well as the presence of the Company's independent auditors or any Company advisor whose presence is deemed advisable. All the aforementioned persons will be bound to cooperate and provide access to any information they may have.

The Audit Committee shall report to the Board on the business it addresses and on all resolutions adopted at the Board meetings convened for such purpose, and shall provide to all directors with the minutes of its meetings.

Notwithstanding other functions set out in the governing legislation, company by-laws or assigned to it by the Board of Directors, the Audit Committee's mission will include the following:

A) Reporting to the General Shareholders' Meeting regarding matters that fall within its remit and, in particular, regarding the result of the audit, explaining how this has helped to ensure the integrity of the financial and non-financial information and the function that the Committee has performed in that process.

B) Proposing the appointment of the auditor to the Board of Directors, which shall then pass the matter on to the General Shareholders' Meeting in addition to the conditions of recruitment.

C) With respect to internal control and reporting systems

(a) Monitoring the efficiency of the Company's internal control, internal auditing and control systems and the financial and non-financial risk management.

(b) Overseeing and assessing the process of preparing and presenting the compulsory financial and non-financial information relating to the Company and its group, ensuring that the system of internal control of financial reporting (ICFR) is correctly designed and that all legal requirements have been met, and defining an appropriate consolidation perimeter, taking into account, among other aspects, possible complex corporate structures, instrumental or special purpose entities, the correct application of accounting standards and presenting recommendations or proposals to the Board of Directors, designed to safeguard their integrity.

(c) Overseeing the process devised by the senior management for instituting lawsuits, making assessments and reaching significant estimates, and the impact thereof on the financial statements.

(d) Review, analyse and discuss the financial statements and other relevant financial and non-financial information with the senior management team and the internal and external auditors so as to ensure that the information is reliable, understandable and relevant, and that the accounting standards and criteria used for the preceding year have been duly followed.

(e) Reviewing the internal control and financial and non-financial risk management systems, including tax risks, so that the main risks may be correctly identified, managed and suitably reported.

(f) Discussing with the auditor any significant shortcomings in the internal control system, detected during the audit, without undermining their independence. For such purposes, where appropriate, they may submit recommendations or proposals to the administrative body and respective period for their follow-up.

(g) Overseeing the internal auditing services, including, in particular:

(i) Proposing the selection, appointment, re-election and cessation of the Internal Audit Manager;

(ii) Approving the annual internal audit work plan, ensuring that their activity focuses primarily on the main risks the Company is exposed to; and receiving periodic information on the results of the work performed, including any incidents that may arise. Likewise, receiving an annual activities report and action plan to correct any deficiencies detected;

(iii) Ensuring the independence and efficiency of the internal audit function;

(iv) Proposing the budget for the internal audit area;

(v) Receiving periodic information on its activities, and;

(vi) Verifying that senior management takes into account the conclusions and recommendations set forth in its reports.

D) With respect to the external auditor:

(a) Referring to the Board of Directors the proposals for selecting, appointing, re-electing and replacing the auditor, being responsible for the selection process, pursuant to the provisions of the current regulations and the terms of their recruitment, regularly gathering information from them about the audit plan and its implementation, and preserving their independence in the exercise of their duties.

(b) Ensure that the financial statements finally prepared by the Board are presented to the General Shareholders' Meeting without limitations or qualifications in the auditor's report and in the event that the auditor has included any qualifications in its audit report, issue its opinion on the content and scope of such audits or qualifications, which will be explained by the Chairman of the Committee during the General Shareholders' Meeting.

(c) Overseeing compliance with the audit agreement and perform an annual final assessment of the actions of the external auditor, collecting information on the audit plan and its implementation and ensuring that the opinion on the annual accounts and the main contents of the audit report are drawn up clearly and accurately.

(d) Monitoring the decisions of the senior management team regarding any adjustments recommended by the external auditor, and to hear and, where applicable, mediate any disagreements between both parties.

(e) Safeguarding the independence of the auditor, paying particular attention to any circumstances or issues that could jeopardise such independence, including that their remuneration does not compromise their quality or independence, and any others relating to the process of auditing the accounts:

(i) For this purpose, it shall be ensured that the Company publicly discloses to the National Securities Market Commission (CNMV), as a relevant event, any replacement of the auditor and includes a statement regarding any possible disagreement with the outgoing auditor and the details thereof. If the auditor resigns, then it shall explore the underlying causes.

(ii) The Audit Committee shall likewise ensure that the company and the auditor adhere to current regulations safeguarding the independence of the auditors, and those governing the provision of non-audit services and the limits on the concentration of the auditor's business.

(iii) It shall establish a suitable relationship with the auditor to receive information on matters that may jeopardise the auditor's independence, so that it may be examined by the Committee, and any other matters related to the process of performing the audit, and, where necessary, authorise services that are not forbidden by the provisions of the current regulations.

(iv) Ensure that the external auditor has a yearly meeting with the Board of Directors in full to inform it of the work undertaken and developments in the company's risk and accounting positions.

(v) Annually receiving from the auditors their statement of independence in relation to the related party or parties, in addition to a statement relating to additional services provided and the fees received by the external auditor or by the persons and entities related thereto, in accordance with the audit provisions set out in the regulations.

(vi) It shall annually issue, prior to the report on the auditing of the accounts, a report expressing its opinion on the independence of the auditor, containing the valuation of any additional services provided, considered on an individual basis and as a whole, in relation to the status of independence or to the rules governing the audit.

(f) Favour that the Company's auditor assuming responsibility for the audits of the companies that form the group of which it is the parent.

E) Reporting to the Board, prior to the latter making any respective decisions provided for in current regulations, in the Bylaws and in these Regulations, particularly with regards to:

(a) The periodic financial and non-financial information that the Company must publicly disclose, ensuring that it is prepared in accordance with the same standards and practices as those used for the annual accounts and, for such purpose, weighing up the merits of conducting a limited audit of the external auditor.

(b) The creation or acquisition of interests in special purpose vehicles or those domiciled in countries or territories considered tax havens, plus any other similar transactions or operations which, owing to their complexity, might diminish the group's transparency.

(c) Any structural and corporate modification procedures that are planned by the Company and, specifically, their economic conditions and accounting impact and, where applicable, the proposed exchange ratio.

(d) Related-party transactions.

F) Address and, where appropriate, respond to any initiatives, suggestions or complaints raised by shareholders in relation to the Committee's remit.

G) Set up and supervise a mechanism enabling employees to communicate confidentially and, if deemed necessary, anonymously, their concerns regarding possible irregular and potentially significant practices within the company, particularly those relating to accounting, finances and auditing.

H) Monitoring the effectiveness and operation of the compliance system.

The duties of the Audit Committee shall be:

I) Evaluating all aspects of the non-financial risks the company is exposed to, including operational, technological, legal, social, environmental, political and reputational risks as well as those associated with corruption.

J) Coordinate non-financial and diversity reporting processes in accordance with applicable legislation and international benchmarks.

SUMMARY OF THE MAIN ACTIVITIES OF THE AUDIT COMMITTEE IN 2022:
The Audit Committee met on 12 occasions during the financial year and, whenever considered appropriate, the presence of senior management members was required. In the performance of its activity, the Audit Committee has fulfilled all duties assigned to it.

ACCOUNT AUDITING: With regard to its relationship with the external auditor (PricewaterhouseCoopers S.L.), the Audit Committee:
- Has ensured that the annual accounts were filed without reservation or provisos.
- Has maintained its independence in the performance of its duties. Specifically, has monitored compliance with the audit engagement and ensured that internal procedures are in place to ensure that situations do not arise which could give rise to conflicts with independence.
- Followed up on the recommendations made by the external auditor arising from its review of ICFR and in particular in 2022 of IT and cybersecurity controls.
- Accepted the proposal for its appointment as account auditor for the financial year ended 31 December 2023.
- Has been informed of the result of the work performed during the preliminary phase, which involved reviewing pre-closure, and closure, to identify and plan the tasks that, given their uniqueness or impact on accounting, require special attention from the external auditor.

During the 2022 financial year the Audit Committee met three times with the external auditor.

INTERNAL AUDIT: The Committee analysed and approved the work plan for 2021 drawn up by internal audit. It has regularly monitored its implementation and has been directly informed of any incidents in its development.

FINANCIAL AND NON-FINANCIAL INFORMATION: Prior to their presentation to the Board and communication to the Spanish National Securities Market Commission (CNMV) and securities markets, the Audit Committee reviewed and analysed the financial statements of Viscofan S.A. and its Group, contained in the annual, half-yearly and quarterly reports.

Corporate structure evolution of the Group was also supervised, and the company found to be in full growth but with an ongoing search for simplification and efficiency.

The Committee has supervised the correct application of the accounting principles and practices and the evaluation criteria followed in the process of preparing and presenting the mandatory financial information.

The Committee has monitored reporting process of the non-financial information, which content forms part of the Management Report and has ensured that it is presented in an unqualified form. The Committee has requested the presence of the external verificator on one occasion and has been informed of the independent external verificator's compliance with the independence and ethics requirements.

INTERNAL CONTROL AND RISK MANAGEMENT SYSTEMS: The Audit Committee has reviewed the internal control systems set up by the Group, the results of the internal audit activity and the systems for risk management. In particular, it has supervised:

- The quarterly reports on the internal control of financial information.
- The Group's risk map.
- The control activities carried of the Investment Committee and the Credit Risk Committee.
- The monitoring of the tax principles and best practices contained in the Group's Tax Policy.
- 2022–2024 Cybersecurity Master Plan risks.

ETHICS AND COMPLIANCE COMMITTEE: The Committee has supervised the activity performed by the Ethics and Regulatory Compliance Committee, which involves the management, monitoring and, where applicable, proposed updating of the Group's Compliance System and, particularly, the supervision of communications received via the Whistleblowing Channel. This year, the 2022-2023 Compliance Plan has been monitored, and the indicators have been received and submitted to the Committees in the planned six-monthly reports (in June and December).

TRAINING SESSIONS: As part of the training plan, two training sessions were held, one on "IT/O risks" and the other on "Non-financial risks (ESG)".

RELATED-PARTY TRANSACTIONS: A report has been prepared on related-party transactions for its publication on the Company's website. During the 2022 financial year, none of the companies that form part of the Viscofan Group have carried out transactions with related parties, although the cancellation of the loan of 10 million euros that the Group had contracted with Banca March S.A. is noted. (10 million euros at 31 December 2021), the finalisation of the exchange rate hedges the Group had contracted with Banca March S.A. (in 2021, an asset amounting to 147 thousand euros).

Lastly, the Committee informed the Board of Directors of all of its activities, also delivering all the minutes of its sessions to the directors, as well as the information related to the risk map and tax matters.

C.2.1. FUNCTIONS OF THE APPOINTMENTS, REMUNERATION AND SUSTAINABILITY COMMITTEE AND ITS MOST IMPORTANT ACTIONS DURING THE FINANCIAL YEAR

The Appointments, Remuneration and Sustainability Committee is regulated under article 33, section 2, of the Articles of Association, under article 16 and 17 of the Board of Directors Regulations, that identically regulate the composition, form of selection and dismissal of its members and its main functions, and it has its own Regulation for the purpose of favouring the independence of the Committee and establishing the principles for action and the operating regime.

We attach below the content referring to the Board of Directors Regulations as a broader and more complete draft of the duties, procedures, organisation and operational rules of the Appointments and Remuneration Committee.

Article 16 - Appointments and Remuneration Committee, establishes the following:

The Appointments and Remuneration Committee will be formed by a minimum of three and a maximum of six members and will be exclusively comprised of non-executive Directors appointed by the Board of Directors. At least two must be independent directors.

The members thereof shall be appointed ensuring that they have the right balance of knowledge, skills and experience for the functions they are called on to discharge and they shall automatically step down when they cease to serve as Company directors or at the discretion of the Board of Directors.

The Chairman will be selected from the independent Directors that sat on the committee.

The Appointments and Remuneration Committee will report to the Board of Directors on the business it addresses and all resolutions it adopts and will submit the minutes of its meetings to all directors.

The Appointments and Remuneration Committee will have the following functions:

a) Evaluating the skills, knowledge and experience required by the Board and, as a result, defining the functions and abilities required from candidates who are to cover each vacant position and evaluating the amount of time and dedication required for the effective performance of their duties.
b) Setting a representation target for the least represented sex on the Board of Directors and preparing guidelines on how to achieve this target.
c) Providing the Board of Directors with proposals for appointing independent directors, for appointment by co-optation or submission for voting at the General Shareholders' Meeting. Submitting proposals for the re-election or removal of these directors.
d) Providing information on proposals for the appointment of all other Directors for appointment by co-optation or submission for voting at the General Shareholders' Meeting, as well as proposals for their re-election or removal by the General Shareholders' Meeting.
e) Provide information about proposals for appointing and dismissing of senior management and principal conditions of their contracts.
f) Examining and organising the succession procedure for the Chairman of the Board of Directors and the Chief Executive Officer and where applicable, to submit proposals to the Board of Directors to ensure that such succession is addressed in an orderly and planned manner.
The Appointments and Remuneration Committee shall consult with the Chairman of the Board of Directors and the Chief Executive Officer of the Company, especially on matters relating to executive directors.
Any director may request that the Appointments and Remuneration Committee consider any potential candidates who they believe to be suitable to cover vacancies on the Board.
g) Propose to the Board of Directors the remunerations policy of the directors and senior officers, as well as the individual remuneration and the rest of the contractual conditions of the executive directors, and ensure its observance.
h) Propose to the board the standard conditions for senior officer contracts.
i) Monitor compliance with the remuneration policy set by the Company.
j) Periodically review the remuneration policy for directors and senior officers, including share-based remuneration systems and their application, and ensure that their individual compensation is proportionate to the amounts paid to other directors and senior officers in the company.
k) Ensure that conflicts of interest do not undermine the independence of any external advice the committee engages.
l) Verify the information on director and senior officers' pay contained in corporate documents, including the annual directors' remuneration statement.
m) Periodically evaluating the effectiveness of the Company's corporate governance system, to confirm that it is fulfilling its mission to promote the interests of the company and catering, as appropriate, to the legitimate interests of remaining stakeholders.

The Appointments and Remuneration Committee will consult with the Company's Chairman and Chief Executive Officer, especially on matters relating to executive directors and senior managers.

The provisions of this article will apply in the event that the Board of Directors decides to establish a separate Appointments Committee and a separate Remuneration Committee.

Article 17 - Sustainability Committee, establishes the following:

The Board of Directors will be able to create a Sustainability Committee or assign the powers and functions relating to environmental, social and corporate governance matters to any of the Committees indicated in the above articles.

The Committee assuming these powers and functions will be formed by a minimum of three and a maximum of six members and must be exclusively comprised of non-executive directors, and have at least two independent directors, one of which will be appointed as Chairman. The Committee assuming these powers will include the word "Sustainability" or a similar expression in its name.

In particular, it is the responsibility of the Committee assuming these powers and functions relating to environmental, social and corporate governance matters, in addition to others set forth by the Law and in the Bylaws, as well as the following:

a) The supervision of the Company's sustainability policy, ensuring that it is geared to value creation.
b) Monitor sustainability strategy and practices and assess compliance in their respect.
c) Oversee the Economic-financial and non-financial information communication strategy and relationship with shareholders and investors, including small and medium-sized shareholders and proxy advisers.
d) Monitor and assess the company's interaction with its stakeholder groups.

SUMMARY OF THE MAIN ACTIONS TAKEN BY THE COMMITTEE IN 2022:

The Appointments, Remuneration and Sustainability Committee met on seven occasions in 2022 and, whenever considered appropriate, the presence of the Chairman, Managing Director and senior management members was required.

The main issues dealt with and analysed by the Committee during the 2022 financial year and that have shaped its main areas of supervision are:

- With the Committee's impetus, the process of renewing the composition of the Board of Directors was successfully completed during 2022, with near-unanimous shareholder support at the 2022 AGM. It has also contributed to the reorganisation of the composition of the Committees, in accordance with best practices of good governance, all within the framework of the Board of Directors' Director Selection and Diversity Policy.

- The Committee has fulfilled its role in ensuring an orderly succession of the Company's chief executive and other members of senior management.

- In relation to remuneration:

• The Committee prepared and submitted to the Board of Directors, the proposed 2021 Annual Directors' Remuneration Report that the 2022 General Shareholders' Meeting approved with 98,3% of the votes in favour, 1.1% of the votes against and 0.6% abstentions.

• The 2022 Annual General Meeting of Shareholders endorsed the work and proposals of the Committee by approving by a large majority - 95.0% in favour, 0.1% against and 4.9% abstentions - a new Long-Term Incentive Plan for executive directors, members of the management team and other employees for the 2022-2024 period, aligned with the Group's strategy and the interests of shareholders, investors, and other stakeholders.

• In compliance with the Spanish Companies Act, in 2022 the Committee started work on the new Directors' Remuneration Policy for the years 2024, 2025 and 2026, which is expected to be submitted for approval at the 2023 AGM.

- In the area of Sustainability, the Committee, in addition to reporting on the Group's Sustainability Action Plan for the 2022-2025 period approved by the Board of Directors at its meeting in January 2022, has monitored its key indicators, both environmental (i.e. reduction of CO2 emissions, waste and water withdrawal intensity), Occupational Health and Safety (accident rate) and promotion of diversity with the main objective of increasing the number of women in management positions. In short, it has driven the Group's strategy in this area, promoting its adaptation to market trends, improving the Company's position in the main ESG rankings, and in coordination with the Group's Sustainability Committee, it has monitored the implementation of the lines of action included in the Sustainability Action Plan, as well as the initiatives towards an energy transition in line with the objectives set. Finally, the Committee has followed up on the work of adaptation, compliance and preparation, as appropriate, of the requirements derived from the regulations in the field, in particular with regard to the EU Taxonomy Regulations, the Climate Change and Energy Transition Act of 20 May 2021 and the Group's preparation for the obligations linked to the new proposed Sustainability Directive.

POINT D.6. DETAIL THE MECHANISMS ESTABLISHED TO DETECT, DETERMINE AND RESOLVE POSSIBLE CONFLICTS OF INTEREST BETWEEN THE COMPANY AND/OR ITS GROUP, AND ITS DIRECTORS, MANAGERS AND/OR SIGNIFICANT SHAREHOLDERS OR OTHER RELATED PARTIES.

The duty to prevent conflicts of interest is governed in article 26 of the Board of Directors Regulations. It states the following:

"The directors shall adopt the measures required to avoid situations of conflict with the company interest and with their duties towards the company and its group of companies, and they shall be obliged to inform the Board, prior to occurrence or as soon as they are aware of the existence thereof, with the obligation to immediately resign should the said conflict persist or should their presence on the board be contrary to the company's interests.

Directors shall refrain from discussing and voting on matters in which they have either a direct or indirect interest, even through related parties, except in the resolutions or decisions affecting their capacity as members of the Board under the terms provided for by Law, such as their appointment for or removal from positions within the Board.

Likewise, the directors shall refrain from conducting transactions with the company, except for ordinary transactions, of little importance, made in standard conditions for customers under the terms provided for by Law.

Any conflicts of interest involving the directors shall be included in the annual corporate governance report.

Directors cannot, either personally or through an intermediary, carry out activities or hold positions of any nature in businesses or companies that are currently or potentially competitors of Viscofan and its group of companies; neither may directors act as a representative or consultant to such businesses or companies or perform any other activity that puts them in conflict with the interests of the Company."

The duty to abstain is regulated by Article 27 of the Board of Directors Regulations. It states the following:

"Directors must not use the name of the Company or its related companies, or take advantage of their position to conduct transactions for themselves or related parties.

A director's duty to abstain implies not making personal use of the company's assets, including any confidential information received while fulfilling their role as a director and not making any investments or conducting any commercial transactions related to the fulfilment of said role, for their own gain or that of related third parties.

Directors shall abstain from trading - or suggesting that anyone else trades - in the securities of the Company or its related companies, regarding which they have inside information due to the position they hold.

The directors may not take advantage of the business opportunities of the Company and its related companies, obtain advantages or remuneration from third parties, except for mere courtesy services in compliance with current internal regulations."

Moreover, both the duty of loyalty and the duty to avoid conflicts of interest extends to related persons, whose definition is established in Article 28 of the Board of Directors Regulations. Related persons.

"The director's duty of loyalty, of avoiding conflicts of interest and duty to abstain in their various facets, also covers those activities performed by related parties, based on the definition set forth in the Law."

Article 34 of the Board of Directors Regulations states the following regarding duties in relation to significant shareholders:

"Directors acting on behalf of major shareholders shall ensure that the aforesaid obligations of directors are extended to the shareholders, in addition to any legal obligations and those set out in the Articles of Incorporation.

Any transactions performed with these major shareholders shall be approved by the Board in a plenary session and must be included in the Company's annual report and in the annual corporate governance report and comply with the current legislation."

Lastly, Article 36 of the Board of Directors Regulations, regulating the use of voting by proxy, reads as follows:

"Directors who have made public requests for representation may not exercise their voting rights pertaining to the represented shares in relation to the business on the agenda in which they have a conflict of interests and, in all cases, in relation to:
a) Their appointment, ratification, removal or resignation as a director.
b) The bringing of an action for liability against him/her.
c) The approval or ratification of transactions with the company in relation to which the director has a conflict of interests."

In addition, the Viscofan Group's Code of Conduct, among its general ethical principles, establishes that the directors, managers and employees of the Viscofan Group shall, as well as any person who carries out their professional activity within the Viscofan Group, should act with loyalty in the permanent defence of the Group's interests and shall refrain in particular from carrying out any actions and operations, of whatever nature, that could mean a conflict between their personal interests and those of the Group, and even more so when those actions could be in the interest of competing companies. Likewise, among the action recommendations, the Code includes information regarding conflicts of interest:

"Viscofan Group employees shall notify the Regulatory Compliance Committee, or, where applicable, the Viscofan S.A. Board of Directors, regarding any economic, family or any other link that could give way to conflicts of interest because it could compromise their impartial action. In the event of a conflict of interests, employees shall be governed by the principles of independence and abstention, and, by virtue of these, shall refrain from performing operations in which conflicts of interest exist, unless under the strict authorisation of the Viscofan S.A. Board of Directors."

POINT E.5 STATE WHAT FINANCIAL AND NON-FINANCIAL RISKS, INCLUDING TAX-RELATED RISKS, HAVE OCCURRED DURING THE FINANCIAL YEAR.

Below follows the risks that have materialised with a more significant impact during the financial year and their response plan:

1) COVID-19 Pandemic

1.1) Infection of Viscofan workers with the consequent risk of production stoppages due to COVID-19 outbreaks in the plants or staff shortages, more accentuated this year in the Chinese operations. Viscofan's risk response and monitoring plan has been to protect the health of employees by reinforcing prevention and hygiene measures. As a result, there have been no COVID-19-induced plant shutdowns and supply to customers has been secured.
1.2) Restrictions to commercial activity for new products in the face of restrictions on the mobility of people. To mitigate this risk remote meetings were arranged with customers and commercial activity has been maintained whenever possible.
1.3) The pandemic has meant that a part of the workforce has had to undertake teleworking that could have resulted in connection problems for the computer systems and administrative activities. Viscofan ensured access to computer equipment and connections to corporate programmes in the commercial, financial, purchasing and logistics areas. The protocols for security were also strengthened in the Master Plan for Information Systems, with the implementation and planning of specific actions in matters of cybersecurity.

2) Environmental risks and those resulting from climate change:

2.1) Significant increase in the price of CO2 emission rights and greater regulatory requirements in the area of sustainability. The Response and Supervision Plan for this risk includes:

- The deployment of a sustainability strategy and plan, together with the corresponding Policies approved by the Board of Directors and the creation of a committee to manage sustainability risks that include environmental risks and those resulting from climate change.
- The Group has continued with the implementation of the Environmental Policy, the renewal and extension of certifications in this sphere (mainly SO 50001 and ISO 14001) and specific projects to improve management.
- As part of its decarbonisation plan, Viscofan has installed energy equipment with green hydrogen capability and has performed the first tests with this renewable fuel source in a co-generation engine at the Cáseda plant in Spain.

3) Operational risks: raw materials, transport and energy.

3.1) Disruptions in manufacturing and consumer activity, transport disruptions, and the conflict in Ukraine have led to global shortages of raw materials and commodities. In this context, the price of some critical raw materials for the Viscofan group has increased. To offset the impact of the increase in operating costs Viscofan has implemented price increases to customers. In addition, the Group has taken other measures such as detailed monitoring of costs, needs and the risk of non-availability, the search for diversification of suppliers, and a plan to reduce consumption.

3.2) The energy cost, both of gas and of electricity, increased significantly in 2022. Against this background, Viscofan has implemented price increases to customers to offset part of the impact of energy costs. Likewise, the energy hedging carried out, the supply contracts with the main energy suppliers, and the co-generation facilities at the Cáseda and Weinheim plants have allowed us to partially mitigate this risk. In parallel, the Group has carried out a detailed analysis of energy needs and the examination of various scenarios, and the search for energy diversification of operations. With a view to the 2023 financial year, and in view of the forecast increase in energy costs, especially for natural gas in Europe, partly due to the shortage caused by the cut in supply from Russia, the Viscofan Group has entered into purchase contracts with a fixed price for part of the natural gas consumption in its European operations.

3.3) Lack of availability of natural gas in Germany due to the supply cut from Russia, which could lead to a halt in production. In the second half of the 2022 financial year, this risk was latent, but did not materialise. However, Viscofan has implemented several measures to mitigate the occurrence of the risk, such as the electrification of part of the energy equipment, constant contact with the Administrations, and analysis of the energy needs of the references produced, among others.

3.4) Disruptions in the supply chain: The imbalance between supply and demand in certain sectors, jams at ports, the war conflict in Ukraine and mobility restrictions caused by the COVID-19 pandemic, have led, inter alia, to transport delays in certain goods, thereby representing a risk of production stoppages. To mitigate this risk, the Viscofan Group increased safety stock, insured purchase volumes and applied innovative R&D solutions. This risk has not led to shutdowns in production plants.

3.5) The transport strike in Spain in the first quarter of the year has caused delays in the receipt of key raw materials for the production of casings. The safety inventory management procurement policy, together with the efficient management of the supply chain during the days of the strike, enabled the Cáseda plant to maintain its operations and service to customers.

4) Regulatory.

4.1) In view of the European Commission's ban of 8 April 2022 due to Russia's actions destabilising the situation in Ukraine, justified by the fact that the use of these casings improves the capacities of the industry in Russia compared to the traditional alternative of animal casings, the Board of Directors of Viscofan S.A. adopted the decision to discontinue the activity of exporting casings to Russia.

In this situation, within Viscofan's risk control and management system - taking into account the dynamism of the market - we have worked on commercial and operational mitigation measures that have enabled us to maintain the growth prospects for the year.

This annual corporate governance report was approved by the Board of Directors of the Company at its meeting of:

28/02/2023

Indicate whether any board members voted against or abstained from voting on approving the present Report.

[ ] Yes
[√] No

(This is a free translation of the original Spanish document. In the event of any discrepancy between this translation and the original Spanish document, the original Spanish version shall prevail.)

ANNUAL REPORT ON DIRECTORS' REMUNERATION AT LISTED LIMITED LIABILITY COMPANIES

ISSUER IDENTIFICATION DETAILS

END DATE OF THE REPORTING PERIOD 31/12/2022.

Company Tax ID No.
(C.I.F.) A31065501

Registered Name: VISCOFAN SA

Registered Address:

POLÍGONO INDUSTRIA BERROA 15-4ª PLANTA
31192 TAJONAR – NAVARRE
SPAIN

ANNUAL REPORT ON DIRECTORS' REMUNERATION AT LISTED LIMITED LIABILITY COMPANIES

A CORPORATE REMUNERATION POLICY FOR THE CURRENT YEAR

A.1.1 Explain the current Directors' Remuneration Policy applicable to the current year. Whenever relevant, certain information may be included by reference to the remuneration policy approved by the general meeting, so long as the inclusion is clear, specific and concrete.

Descriptions should be given for specific determinations for the year in progress regarding the remuneration of directors in their status as such and as a result of their executive functions carried out for the board pursuant to contracts signed with executive directors and the remuneration policy approved by the general meeting.

In any event, the following aspects should be reported:

a) Description of the procedures and company bodies involved in determining, approving and applying the remuneration policy and its terms and conditions.

b) Indicate and, where applicable, explain whether comparable companies were considered when establishing the company's remuneration policy.

c) Information on whether any external advisors took part in this process and, if so, **their identity.**

d) **Procedures envisaged in the prevailing remuneration policy of the directors to apply temporary exceptions to the policy, conditions in which these exceptions can be resorted to and components that must be the object of exception in line with the policy.**

The prevailing remunerations policy for the directors applicable to the period underway was approved by the Ordinary General Shareholders' Meeting on 23 April 2021 for the 2021-2023 period ("Remunerations Policy").

The Remuneration Policy was prepared by the Appointments, Remuneration and Sustainability Committee (the "**Committee**"), following a process of reflection in which the opinion and information received from shareholders, institutional investors and proxy advisors were analysed. The Committee took into consideration the provisions of the Code of Good Corporate Governance regarding directors' remuneration, as amended in June 2020, and the amendments introduced by Law 5/2021 of 12 April to article 529r of the Capital Companies Act were incorporated into the Remuneration Policy.

This process was carried out with the advice of the consultant Willis Towers Watson.

Comparable companies were taken into account during the process. The remuneration of the non-executive directors ("in their condition as such") has essentially been compared with IBEX-35 companies of a similar size. The remuneration of the executive directors is comparable to a group of companies from the Packaged Foods & Meats sector and a selection of IBEX-35 companies of a comparable size.

The Remuneration Policy establishes a remuneration system for directors based on (i) their capacity as such and (ii) specific executive or senior management functions:

1. Remuneration for directors in their capacity as such:

   a. Limit. - The annual remuneration to directors in their capacity as such, for all the items, shall not exceed the limit of 1.5% of the annual consolidated cash profit before taxes (article 29 of the Articles of Association). The previous remuneration is, in any case, the maximum amount corresponding to the Board of Directors itself, the proposed distribution of its amount between the directors. The payment is usually settled after the General Shareholders' Meeting approves the financial statements from the previous year.
   b. Items. - The Policy addresses two separate items:
      i. fixed remuneration for sitting on the Board of Directors and the Committees, according to positions or functions held on those bodies.
      ii. attendance allowances for Board of Directors meetings.

2. Remuneration for executive or senior management duties of executive directors. - It comprises the following items:

- An annual fixed remuneration (without distinction, also referred to as a "Salary"), determined on the basis of the executive functions associated with the office and which is paid to comparable companies in the market.

- An annual variable remuneration(also referred to as "Annual Bonus").

   a. Limit. The annual variable remuneration is capped at 70% of Salary for the "Target Annual Variable Remuneration" (i.e. when achieving 100% of the targets) and may reach a maximum of 150% of the Target Annual Variable Remuneration (i.e. up to a maximum of 105% of the executive director's Salary) when exceeding the pre-established targets.

   b. Metrics. It is linked to the accomplishment of a combination of objectives,

      (i) firstly, a series of common corporate objectives of an economic-financial and Non-financial and sustainability nature for the executive directors, all of which are specific, predetermined and quantifiable, with a minimum threshold and a target level that corresponds to the 100% fulfilment of the objectives and exceeding targets within the indicated limits. Corporate objectives have a weight of at least 50% in the incentive as a whole;

      (ii) secondly, quantifiable objectives specific to each executive director that will have a maximum weight of 30%;

      (iii) lastly, the individual performance of each executive director; the weight of the performance assessment will be a maximum of 20%.

- A long-term incentive plan (also known as the "Three-year Plan") to reward the fulfilment of the Viscofan Group's long-term strategic objectives, the sustainability of results and the creation of sustainable value for shareholders.

   a. Limit. The limit of the "Target Annualised Incentive" is 70% of the Executive Director's Salary and can reach a maximum of 150% of the Target Annualised Incentive (105% of Salary).

   b. Metrics. It is linked to the accomplishment of a combination of objectives:

      (i) Creation of value for shareholders (for example, changes in the share price or total shareholder return) and economic-financial and operating objectives of the strategic plan.

      (ii) non-financial and sustainability objectives. The weight of non-financial targets shall not exceed 20%.

      For the 2022-2024 period, the Committee prepared, and the Board of Directors submitted for approval by the General Shareholders' Meeting of 29 April 2022, a new Long-Term Incentive Plan ("2022-2024 Three-Year Plan"), which was approved by the aforementioned Meeting and the terms of which are explained in section A.1.6 below.

- Other benefits: life and accident insurance, healthcare assistance policy and company vehicle; these benefits cannot exceed 20% of the employee's fixed remuneration.

The Board of Directors, upon the proposal of the Committee, may also submit, to the General Shareholders' Meeting, the concession of special incentives to executive directors in light of extraordinary operations.

The Company also has civil liability insurance for directors and executives.

The Remuneration Policy does not envisage procedures to apply temporary exceptions to it.

A1.2 Relative importance of variable remuneration items vis-à-vis fixed items (remuneration mix) and the criteria and objectives used to determine and guarantee a suitable balance between fixed and variable remuneration items. In particular, explain the actions taken by the company in connection with the remuneration system to reduce excessive risk exposure and match it to the long-term targets, values and interests of the company, which should include, whenever pertinent, measures taken in relation to those categories of staff whose professional activities have a material impact on the risk profile of the entity; clawback formulae or clauses to reclaim variable components of performance-based remuneration when such components have been paid on the basis of data that is subsequently proven to be wholly inaccurate; and measures designed to prevent conflicts of interest.

Furthermore, state whether the company has established any period for the accrual or vesting of certain variable remuneration items, in cash, shares or other financial instruments, any deferral period in the payment of amounts or the handover of accrued and vested financial instruments, or if any clause has been approved reducing the deferred remuneration not yet consolidated or that obliges the director to return remuneration received, when such remuneration has been based on certain figures that have clearly proven to be inaccurate.

The Remuneration Policy provides a reasonable balance between the different components of fixed (annual) and variable (annual and long-term) remuneration, which reflects a suitable assumption of risks combined with the achievement of defined short- and long-term objectives linked to the creation of sustainable value.

- The fixed component is accrued in any case, so it is not an item that entails risk exposure.

- The annual variable remuneration or Annual Bonus is linked to the fulfilment of annual business targets of a financial, operational, share performance, non-financial and sustainability nature and are proposed by the Committee and approved by the Board of Directors. The objectives of the Annual Bonus, as they are primarily based on the annual budget and on the guidelines provided to the market, are aligned with the strategic vision and the long-term objectives in the Viscofan Group's strategic plans, which, as they are recurring, avoid the assumption of excessive risks. This is reinforced by the fact that their evaluation is carried out once the financial statements have been audited and presented.

- The long-term variable remuneration or Three-year Plan, which essentially takes the creation of value for the shareholder as a reference (for example, total shareholder return or TSR) and its sustainability with a minimum measurement period of three years, without prejudice to the moment of payment or settlement. Furthermore, it includes essentially non-financial, sustainability, environmental and social objectives.

In a scenario of standard fulfilment of targets (i.e., when targets are 100% met), the fixed remuneration would represent approximately 42% of the total remuneration, the annual variable remuneration 29% and the long-term variable another 29%; therefore, there is a balanced distribution between annual and multi-year remuneration. The end structure of the “remuneration mix” for executive directors ultimately depends on targets being met and on the Board of Directors' assessment, based on the committee's proposal, of the director's performance.

The Remuneration Policy includes an ex-post control of variable remuneration ("clawback"), both for the Annual Bonus and for the Three-year Plan, should the following circumstances arise within the 24 months of payment of said remuneration:

- Significant fall in consolidated net profit (more than 50%).

- Serious non-compliance by the beneficiary of the internal rules, including, in particular, risk-related rules.

- Material reformulation of the Group's financial statements, when considered by the external auditors, except when it is appropriate according to a modification of the accounting regulations.

Furthermore, there are risk mitigation measures:

- the Committee may propose to the Board of Directors that adjustments be made to the elements, criteria, thresholds and limits of the variable annual or pluriannual remuneration in exceptional circumstances due to extraordinary internal or external factors or events. The detail and justification of these adjustments will be included in the corresponding Annual Report on Directors' Remuneration.

- To reinforce the commitment of executive directors to long-term company interests and alignment with shareholder interests, the Remuneration Policy includes a share ownership commitment in which executive directors must hold a number of shares equivalent to two years of gross fixed remuneration while they are in office. To achieve this objective, a period of four years is established, calculated from the start of the effectiveness of the Policy or from the appointment in the case of new Directors. Should this limit not be reached, the net shares, if any, that are received by the executive directors deriving from any element of variable remuneration will be subject to a retention period of at least three years. Notwithstanding the indicated measures, the executive directors currently in office (Executive Chairman and the General Managing Director) are, at this date, the owners of the shares whose value exceeds the indicated threshold.

  Regarding the measures to preclude conflicts of interest, in accordance with the Regulations of the Board of Directors, in application of the legal precepts in force regarding the matter, the directors are annually required to declare or have the duty to do so, as soon as they become aware of any conflicts of interest, and they must immediately resign should this conflict persist or should their presence on the Board contravene the Company's interests. Directors must also refrain from discussing and voting on matters in which they have either a direct or indirect interest, even through related parties, except in the resolutions or decisions affecting their capacity as members of the Board, such as their appointment for or removal from positions within the Board. Internal company regulations on measures to prevent conflicts of interest are applicable to all Viscofan Group employees.

A.1.3 Amount and nature of fixed components that directors are expected to receive in the year for their status as such.

The remuneration of directors in their capacity as such in 2023 is as follows:

- The Chairman of the Board will receive fixed remuneration for that office of €160,000.

- Board members shall receive a fixed remuneration for membership thereof of €80,000 each.

- An additional fixed remuneration will be paid per office and membership on Committees of the Board of Directors:

  - Audit Committee: Chairman €45,000 and members €30,000.

  - Appointments, Remuneration and Sustainability Committee: Chairman €37,500 and members €25,000.

- LeadDirector for holding said office: €25,000.

- Allowances for attendance at Board of Directors meetings to pay for personal and effective attendance at the meetings of the Board of Directors remain at €3,000 per meeting and director. The Chairman and Managing Director will receive no allowance whatsoever in this regard. New elements included in the Remuneration Policy:

    - In the event the Vice Chairman chairs the meeting of the Board of Directors to substitute the Chairman, they will receive twice the amount of attendance fees (€6,000 instead of €3,000).

    - €1,000 per meeting and director in the event of attendance via remote means of the sessions of the Board of Directors (not applicable in the event of mobility restrictions preventing attendance in person).

  Attending Committee meetings does not accrue a specific attendance allowance.

A.1.4 Amount and nature of fixed components that executive directors will receive in the year for discharging senior management duties.

In the Remuneration Policy for 2021-2023, the fixed annual remuneration of executive directors for their senior management duties remains unchanged.

- Chief Executive Officer: €656,000.
- General Managing Director: €506,000.

A.1.5 Amount and nature of any component of remuneration in kind that will accrue during the year, including, but not limited to, insurance premiums paid in favour of the director.

The remuneration in kind that will be accrued in 2023 for the concepts contemplated by the Remuneration Policy (life/accident insurance premiums, healthcare and vehicles) is estimated at €23 thousand for the Chief Executive Officer and €56 thousand for the Managing Director.
The Company has arranged civil liability insurance for both executive and non-executive directors (D&O insurance), as well as for executives of the Company and the Group's subsidiaries. In this insurance, the directors will be considered as the insured parties due to the liabilities that may arise as a consequence of the performance of their activities. The premium for the aforementioned D&O insurance for 2022 is €81,000. Due to the civil liability insurance being arranged globally, it is not possible to calculate the proportionate part for the directors as remuneration in kind.

A.1.6 Amount and nature of variable components, differentiating between those established in the short and long term. Financial and non-financial parameters, including social, environmental and climate change parameters, selected to determine the variable remuneration in the year in progress, explaining the extent to which these parameters are related to performance, both of the director and of the company, together with their risk profile, and the methodology, deadline necessary and techniques established to determine the degree of compliance with the parameters used in the design of the variable remuneration at the end of the year, detailing the criteria and factors applicable with regard to the time required and methods to effectively verify the conditions of performance or any other type to which the accrual and consolidation of each component of variable remuneration is linked.

State the range, in monetary terms, of the different variable components according to the degree of compliance with the objectives and parameters established and whether any maximum monetary amounts exist in absolute terms.

The variable components of the remuneration system for executive directors for 2022, in accordance with that established in the Remuneration Policy, continuing on from the previous policy, are the following and have been proposed by the Committee and approved by the session of the Board of Directors on 28 February 2023:

a. Annual variable remuneration (Annual Bonus):

- Amounts and limits.

  - A Target Annual Bonus of €459,000 has been set for the Executive Chairman (i.e. when targets are met 100%); In the case of exceeding the target, the Annual Bonus for the Executive Chairman could reach a maximum of €688,000.

  - A target Annual Bonus of €354,000 has been set for the Managing Director (i.e. when targets are met 100%); In the case of exceeding the target, the Annual Bonus for the General Managing Director could reach a maximum of €531,000.

- Metrics and weighting. -

  - Corporate Targets. These are common to the two executive directors with a combined weighting of 50% in the Annual Bonus:

    - Economic-financial parameters, in terms of Increased sales, improved EBITDA and the net profit and share performance (75% of the corporate objectives).

    - Non-financial and sustainability parameters in terms of accident reduction and waste overproduction, taking the Group's sustainability strategy as a reference (weighted at 25% of the corporate objectives).

  - Quantifiable targets for each executive director (30% weighting): execution of the Group's priority projects linked to strategic positioning, business growth and maximising operations.

  - Individual performance of each executive director (20% weighting). Valuation of the qualitative factors for each Director upon the proposal of the Committee linked to commitment to the project, transformation and teamwork.

  - Exceeding targets linked to the additional profitability targets in terms of EBITDA and net profit.

- Determination procedure. –

  At the end of the reporting period, the Committee, with the internal support that it deems necessary (i.e., Internal Audit, Corporate Financial Management) as well as external (audited financial statements and verified non-financial statements), will determine the proposed degree of fulfilment (establishing a specific percentage and amount) of each of the targets and the evaluation of the performance of the executive directors. This percentage will be applied to the Target Annual Bonus to determine the specific amount of the annual variable remuneration, which will be submitted to the Board of Directors for approval at the time of preparation of the financial statements, directors' report, Annual Corporate Governance Report and the Annual Directors' Remuneration Report, which usually takes place within the first two months following the close of the reporting period to which they refer.

  In particular, during said period, it has been verified that the performance conditions to which the accrual and consolidation of the Annual Bonus are linked have been fulfilled, essentially through an external audit process of the financial statements and directors' report, and the verification of the non-financial information statement by an independent third party, which guarantees the verification of financial and non-financial parameters, and the verification of processes and internal reports that are collected on the remaining objectives or on the basis of public information (i.e. price of the share in line with stock market index listings).

b. Long-term incentive plan (Three-year Plan).

The General Meeting of Shareholders held on 29 April 2022 approved the "2022-2024 Three-Year Plan", which was prepared by the Committee and submitted by the Board of Directors for approval by the General Meeting of Shareholders. The 2022-2024 Three-Year Plan (which replaces the previous 2019-2021 plan) is intended for the Company's Executive Directors, senior management and other key personnel of the Viscofan Group.

The terms and conditions of the Plan approved by the Board are available on the company's website. For the purposes of this report, the noteworthy aspects relating to the executive directors are highlighted:

- Amount and limits. -

  - Chief Executive Officer - For the Target Incentive, a maximum of 17,287 shares and €413,280 in cash; in the event of the Maximum Incentive for exceeding targets, 25,931 shares and €619,920. In line with the price of €55.78 per share taken at the start of the Measurement Period, the Plan's total value for the Executive Chairman is €1,377,660 for the Target Incentive and €2,066,351 for the Maximum Incentive for exceeding targets.

  - General Managing Director.- For the Target Incentive, a maximum of 13,334 shares and €318,780 in cash; in the event of the Maximum Incentive for exceeding targets, 20,002 shares and €478,170. In line with the price of €55.78 per share taken at the start of the Measurement Period, the Plan's total value for the General Managing Director is €1,062,600 for the Target Incentive and €1,593,882 for the Maximum Incentive for exceeding targets.

- Metrics and weighting. -

  The Plan reflects the expected value creation during the Measurement Period, taking into account the Viscofan Group's strategy.

  - Three metrics blocks are established for the Target Incentive:

    (i) Creating value for shareholders (75% of the Target Objective).

    We propose the Total Shareholder Return ("TSR") Plan as an essential metric, which measures the return on investment for the shareholder as a sum of the variation in the share price in the Measurement Period, plus dividends and other similar items received during this period.

    The average listed price of the share in December 2021, i.e., €55.78 per share, is taken as the initial reference. To calculate the performance of TSR at the end of the period, the average listed price of the share in December 2024 will also be considered.

    In accordance with these benchmark values, a minimum level of compliance is established, from which the plan begins to receive 4% of the Compound Annual Growth Rate (CAGR) and 6.5% of the CAGR as a Target Objective, in line with the Company's historical average.

    (ii) Creating sustainable value in environmental matters (10% of the Target Objective).

    The Company approved a new 2022-2025 Sustainability Action Plan (period which therefore comprises the Plan's Measurement Period). In line with this Sustainability Action Plan, investments are included in the Viscofan Group aimed at the decarbonisation of processes. In this regard, as the Target Objective, it is proposed to reduce the CO2 emissions per kilometre of casing at the Viscofan Group by between 4.5% and 7.5% in the measurement period. The average range is in line with the ambitious objective of reducing, with respect to 2018 values, 30% of CO2 emissions per km produced for 2030.

(iii) Creating sustainable value in social matters (15% of the Target Objective).

The metric is subdivided into two:

a. Reduction of the accident rate.- In the materiality analysis performed by the Viscofan Group in 2021 to prepare the new 2022-2025 Sustainability Action Plan, the security of people in the workplace was once again highlighted as a priority and an especially critical area. Aligned with the objective of reducing the accident rate at the Viscofan Group by 50%, the objective is proposed of reducing the seriousness index between 3% (minimum) and 5% annually (Target Objective), calculated as the number of days lost per thousand hours worked. 10% of the Target Objective is weighted.

b. Audits to suppliers - Also, in line with the fact that the sustainability commitment is transmitted throughout the whole of the Viscofan Group's supply chain, the objective is proposed (as a unique value, which acts as a minimum and maximum) to perform, at the end of the measurement period, audits on the compliance of the Viscofan Group's Supplier Conduct Code, in a volume equivalent to 50% of the purchases from suppliers of the main raw materials, namely: cellulose, collagen skins, cellulose paper and suppliers of polyamides. The raw materials represent around 55% of raw material purchases. 5% of the Target Objective is weighted.

- Maximum Incentive for exceeding targets (up to an additional 50% of the Target Incentive).

  For the accrual and recognition of this additional 50% of the Target Objective, an exceptional performance of the TSR is demanded, obtained from the absolute viewpoint and from another relative, that is, comparing the Company's TSR with the performance of a reference group.

  (i) Creation of historical absolute value for shareholders (35% of the Objective)

  If an absolute TSR is obtained between 6.5% (minimum value) and 10% (maximum), values that correspond to a return obtained in the exceptional periods of greater value creation for the Company.

  (ii) Creation of value exceeding other companies of reference (15% of the Objective)

  To measure this objective, it is proposed to use the relative TSR, in which Viscofan must perform better than the average of a reference group. This benchmark group will be composed of the seven non-financial Ibex 35 companies with a market capitalisation of less than €4 Billion and seven other benchmark companies in the speciality ingredients and packaging market. If Viscofan's TSR is in the 50th percentile of this group, over-compliance starts to accrue, with the maximum compliance being the 100th percentile.

– Determination procedure. -

It shall be a condition for payment of the Plan that the Board of Directors has ratified the degree of compliance with the parameters and magnitudes of the Plan at the proposal of the Committee. Executive Directors who are beneficiaries of the Plan may not transfer the shares delivered during a period of three (3) years unless they hold, directly or indirectly, a number of shares equivalent to twice their annual fixed remuneration. The provisions of the current Directors' Remuneration Policy will apply to the ex-post control of variable remuneration (“clawback”).

A.1.7 Main characteristics of the long-term savings systems. In addition to other information, state the contingencies covered by the system, whether through defined contributions or benefits, the annual contribution that needs to be made to the defined contribution system, the benefits directors are entitled to in the event of defined benefit systems,

the conditions under which economic rights are vested for directors and their compatibility with any other type of payment or severance pay as a result of the early termination or dismissal of the director, or deriving from the termination of the contractual relation, on the terms provided, between the company and the director.

State if the accrual or vesting of any of the long-term savings plans is linked to achieving certain objectives or parameters related to the short- or long-term performance of the director.

The Company has no long-term savings systems for directors.

A.1.8 Any type of payment or severance pay for early termination or dismissal of the director, or deriving from the termination of the contractual relation in the terms agreed between the company and director, whether voluntary resignation by the director, dismissal of the director by the company, or any other type of termination agreement reached, such as exclusivity, post-contractual non-competition, continuance in office or loyalty, which would entitle the director to some sort of remuneration.

The following cases are addressed in executive director contracts:

The compensation of two annual payments of the annual fixed remuneration for extinguishing the contractual relationship not attributable to the director, including termination initiated by the executive director in the following cases:

- Substantial modification of the conditions of provision services that redound notoriously to the detriment of the executive director.

- Substantial change in the conditions of the provision of services of the executive director as a result of a significant change in ownership of the Company equal to or greater than 30% of the share capital, with the effect of renewing the governing bodies of the Company or the content and approach of its main activity, provided that the termination occurs within three months after the occurrence of such changes.

There will be no compensation if the dismissal is the result of gross misconduct, wilful misconduct and culpable conduct of the executive director in the performance of duties.

Two-year non-compete agreement. The compensation for the two-year non-compete commitment is included in the compensation contemplated for the termination of the relationship. In case of noncompliance with the non-compete commitment, the executive director must return the received compensation and pay three times its amount in damages.

Under the Remuneration Policy, a notification period of 6 months is foreseen to terminate the relationship with the executive chairman, and, in the case of non-compliance, the breaching party must compensate the other with the amount of remuneration corresponding to the notification period. In this regard, the Remuneration Policy establishes that the amount which, where applicable, the Company will pay for breach of the contractually established notification period, will be discounted from the two years of fixed remuneration deriving from the compensation in the event of termination of the contractual relationship.

A.1.9 Indicate the conditions that must be respected in the contracts of those who exercise senior management functions as executive directors. Among other aspects, give information on the duration, limits to the amounts of indemnity, tenure clauses, notice periods and payments that can replace such notice periods, and any other

clauses regarding hiring bonuses, as well as severance payments or ring-fencing for early cancellation or termination of the contractual relationship between the company and the executive director. Include, inter alia, covenants or agreements regarding non-competition, exclusivity, tenure or loyalty and non-competition after the termination of the contract, unless already explained in the section above.

Executive director contracts adapt to the following essential conditions:

- Commercial nature
- Indefinite.
- Notice of 6 months for voluntary termination (reciprocal). In case of failure to observe the 6-month notice period (reciprocal), the compensation shall be payment of the remuneration corresponding to the unfulfilled notice period. The amount which, where applicable, the Company pays for the breach of the contractually established notification period, will be discounted from the two years of fixed remuneration deriving from the applicable compensation in the event of termination of the contractual relationship.
- Compensation and a post-competition covenant (refer to section above).
- The duty of confidentiality on information, data, reports or background information to which directors had access while in office shall persist even after they leave office, regardless of the reason.

To streamline the hiring of candidates, the Policy provides the Committee with the possibility of submitting a proposal to the Board of Directors for a hiring bonus to offset any loss of incentives not accrued, and the possibility of an international assignment of the application of the Company's policy for such cases (e.g. housing supplement). Such circumstances did not occur, and the Company made no premium payment in this regard.

A.1.10 The nature and estimated amount of any other supplementary remuneration that will be accrued by directors in the year in progress in consideration for services furnished other than those inherent in the post.

No supplementary remuneration other than the remuneration explained in previous sections are expected.

A.1.11 Other remuneration items, including items deriving from the company providing advances, loans, guarantees or any other remuneration to directors.

None were or are expected to be granted.

A.1.12 The nature and estimated amount of any other planned supplementary remuneration that will be accrued by directors in the year in progress not included in the previous sections, whether payment is made by the company or another group company.

There are not and will not be any supplementary remuneration other than the remuneration explained in previous sections.

A.2 Explain any relevant change in the remuneration policy applicable to the current year arising from:

a) A new policy or amendment in the policy already approved by the General Shareholders' Meeting.

b) Significant changes in specific determinations established by the Board for the current year on the valid remuneration policy compared with those applied in the previous year.

c) Proposals that the Board of Directors may have agreed to at the General Shareholders' Meeting to which this annual report will be submitted and proposed to be applicable in the current year.

There are no changes in the remuneration policy applicable in the year. As indicated in Section A.1.

A.3 Identify the direct link to the document where the current company remuneration policy is posted, which must be available on the company website.

https://www.viscofan.com/corporate-governance/regulations-and-policies

A.4 Explain, taking into account the data provided in Section B.4, the outcome of voting, of a consultative nature, by shareholders at the General Shareholders' Meeting regarding the Annual Remuneration Report for the previous year.

The Annual Directors' Remuneration Report for the year ended 31 December 2021 received the backing of the majority of shareholders, specifically 98.3% of the votes cast, in line with that obtained in the previous year ended 31 December 2020 (99.00%), with 1.1% of the votes against and an abstention rate of 0.6%. Therefore, it is concluded from continuous contact with shareholders and investors that the application of the Remuneration Policy is aligned with the vote of shareholders.

B GLOBAL SUMMARY OF HOW THE REMUNERATION POLICY WAS APPLIED DURING THE YEAR-ENDED

B.1.1 Explain the process followed to apply the remuneration policy and determine the individual remuneration contained in Section C of this report. This information will include the role played by the Remunerations Committee, the decisions taken by the Board of Directors and, as the case may be, the identity and the role of the external advisors whose services have been used in the process to apply the remuneration policy in the year ended.

In line with the prevailing legislation and the Company's internal regulations, the Board of Directors is the competent body to apply the Directors' Remuneration Policy in force in the year, although the different decisions involved in this application are adopted upon the proposal or subject to a report of the Committee.

The Committee, which met on seven occasions in 2022, is made up of the following members at the date of this report:

Name	Position	Type
Mr Jaime Real de Asúa Arteche	Chairman	External Independent
Mr José María Aldecoa Sagastasoloa	Member	External Independent
Mr Andrés Arizkorreta García	Member	External Independent
Mr Santiago Domecq Bohorquez	Member	External Nominee
Mr José Antonio Cortajarena Manchado	Non-member secretary	N/A

In all the processes for adopting their respective decisions, the committee and the Board of Directors have received information and advice from the company's internal services.

In this regard, it is worth noting:

(i) Regarding the remuneration of directors in their capacity as such, the Policy in force in 2022 is applied as follows:

a. Attendance fees. Each director entitled to the accrued attendance fee is paid after each meeting of the Board of Directors, subject to the secretary verifying the attendance list.

b. Fixed remuneration: Payment of the amounts accrued by each director in their capacity as such for 2022 is subject to the approval of the annual financial report for that year at the 2023 General Shareholders' Meeting, within the first six months of the year. Once these financial statements have been approved by the General Shareholders' Meeting, the corresponding resolution must be adopted by the Board of Directors to recognise and pay each director pursuant to the amounts set out in the Remunerations Policy.

(ii) Regarding the remuneration of executive directors:

a. The fixed individual remuneration of each executive director for 2022. Such remuneration or salary is determined in the Remuneration Policy approved by the General Shareholders' Meeting for the 2021-2023 period. This salary is paid to the executive directors in 2022 on a monthly basis.

b. The settlement and recognition of the Annual Bonus accrued in 2022. The 2022 Annual Bonus was proposed by the Committee at its meeting of 16 February 2023 and approved by the Board of Directors at its meeting of 28 February 2023. The degree of achievement of the financial and operational targets is based on the duly audited annual financial report as formulated and submitted for approval by the shareholders. The remaining targets are determined based on verified internal reports and public information (i.e. share price).

c. The settlement and recognition of the 2019-2021 Triennial Bonus: Although the measurement period of the 2019-2021 Triennial Bonus ended on 31 December 2021, in the 2022 financial year, at the proposal of the Committee, the Board of Directors recognised a degree of achievement of 102.1% and, following the General Shareholders' Meeting of 29 April 2022, it was paid and delivered to the executive directors in accordance with the terms set out in the Plan itself. Details of the amount and shares delivered were reflected in the Directors' Remuneration Report for the year ended 31 December 2021.

B.1.2 Explain any change in the procedure established to apply the remuneration policy that occurred in the year.

No changes occurred.

B.1.3 Indicate if any temporary exceptions have been applied to the remunerations policy and, if they have been applied, explain the exceptional circumstances that have led to the application of these exceptions, the specific components of the remuneration policy affected and the reasons why the company considers that these exceptions are necessary to serve the long-term interests and sustainability of the company as a whole or to ensure its viability. Also, quantify the impact of the application of these exceptions on the remuneration of each director in the year.

No temporary exception was applied.

B.2. Explain the different actions taken by the company in relation to the remuneration system and how they have contributed to reducing exposure to excessive risks and adapting them to the long-term objectives, values and interests of the company, including a reference to the measures that have been adopted to guarantee that the long-term results of the company have been taken into consideration in the remuneration accrued and that a suitable balance has been reached between the fixed and variable components of the remuneration, the measures that have been adopted in relation to those categories of staff whose professional activities have a material repercussion on the company's risk profile and the measures that have been adopted to avoid conflicts of interest, if any.

The answer to this section is completed with the explanations provided in section A.1. However, the following is highlighted:

- In relation to the remuneration of the directors in their capacity as such, the system to establish fixed remuneration and attendance fees, excluding the variable remuneration for business objectives, is an efficient instrument to reduce exposure to excessive risks and to include a long-term vision.

- With respect to executive directors, the Remuneration Policy has an appropriate remuneration mix (see Section A.1.2), with the following essential elements:

  - A fixed component which accrues in any case, so it does not represent any exposure to risk; this fixed component remains unchanged during the Policy term.

  - Annual variable remuneration, with a temporary performance period of one year, linked to specific measurable business objectives - some of which are recurring since they constitute critical elements of the supervision of performance and enable comparisons with previous years-, aligned with the management budget and the previsions or guides provided to the market, which prevents the encouragement of the assumption of excessive risks. This is reinforced by the fact that the assessment is carried out once the duly audited financial statements and directors' report are available and the non-financial information statement for the year has been verified.

  - A reasonable balance is established between annual and multi-year remuneration.

- The long-term variable component (Three-year Plan) has a measurement period of three years, which moderates the undertaking of risks and offers the creation of value over a longer term than usual.

- Specifically, the current Remunerations Policy approved by the 2021 General Shareholders' Meeting for 2021-2023 has reinforced the items aimed at reducing exposure to risk and at consolidating a suitable balance between the fixed and variable components of the remuneration. It is highlighted that the clawback clause has extended its applicability to the annual variable remuneration (until 2020 it only applied to long-term variable remuneration) and its term is extended from 12 to 24 months.

B.3 Explain how the remuneration accrued and vested over the year meets the provisions of the current remuneration policy and, in particular, how it contributes to the sustainable long-term returns of the company.

Furthermore, report on the relationship between the remuneration obtained by the directors and the results or other performance measures of the company in the short and long term, explaining, as the case may be, how the variations in the performance of the company have influenced changes in the remuneration of directors and how the latter contribute to the short- and long-term results of the company.

Remuneration accrued by directors in their capacity as such is determined in a fixed manner in the Remuneration Policy and is not determined by profit or other measures of the company's performance. Pursuant to this Policy, the total amount paid as attendance fees for these sessions of the Board of Directors and the accrual by each director of a fixed amount for membership on the Board of Directors, committees and positions, amounts to €1,543 thousand and falls within the statutory limit (article 29 of the Articles of Association and which is reproduced by the Remuneration Policy), which cannot exceed 1.5% of the annual consolidated cash profit before taxes, which totalled €183,789 thousand.

The fixed remuneration or salary of executive directors has been set in the Remuneration Policy on a fixed basis for 2021-2023, in line with the results obtained by the Company and the fixed remuneration paid by like-for-like companies in the market (section A.1.4).

As regards the annual variable remuneration earned by the executive directors, the objectives and metrics to which it is conditioned consist of magnitudes linked to the Group's consolidated results and are aimed at promoting the Group's long-term performance. The specific amount to be received by each executive director is the result of applying the percentage of achievement of each objective to the target incentive. This degree of achievement was determined by the Board of Directors at its meeting of 28 February 2023, at the proposal of the Committee, once it had the annual accounts and the duly audited individual and consolidated management report, including verification by a third party verifier of the non-financial information statement. The details of the foregoing may be verified in section B.7

Lastly, regarding remuneration in kind, the Company has paid what is set out in the Policy (for a joint total for executive directors of €78,000), without this exceeding the limit of 20% of the fixed remuneration for executive directors.

B.4 Report on the outcome of the consultative vote at the General Shareholders' Meeting on the annual remuneration report for the previous year, indicating the number of abstentions, votes in favour and against and blank votes cast:

	Number	% of total
Votes cast	38,476,057	82.7%

	Number	% of votes cast
Votes against	421,099	1.1
Votes in favour	37,830,648	98.3
Blank votes	0	0
Abstentions	224,310	0.6

Remarks

B.5 Explain how the fixed components accrued and vested during the year by the directors in their capacity as such were determined, their proportion in relation to each director and how they have changed with respect to the previous year:

The remuneration of the members of the Board of Directors in their capacity as such consisted of applying the Remuneration Policy approved by the 2021 General Shareholders' Meeting, in force in the year:

- Chairman of the Board of Directors: €160,000/year.
- Director: €80,000/year.
- Chairman of the Audit Committee: €45,000/year
- Chairman of the Appointments, Remuneration and Sustainability Committee: €37,500/year
- Member of the Audit Committee: €30,000/year.
- Member of the Appointments, Remunerations and Sustainability Committee: €25,000/year
- Fixed remuneration of the Lead Director: €25,000/year

Similarly, in 2022, in line with the Remuneration Policy, attendance fees were applied to remunerate the non-executive directors at the meetings of the Board of Directors: €3,000 for each face-to-face meeting and €1,000 for telematic attendance and director, with 11 meetings of the Board of Directors having been held. In one of the meetings of the Board of Directors, the Company directly assumed the travel expenses and therefore the per diem for this meeting was not paid.

B.6 Explain how the salaries accrued and vested by each one of the executive directors over the past financial year for the performance of management duties were determined, and how they have changed with respect to the previous year.

The fixed annual remuneration of the executive directors for their duties is determined in the Remuneration Policy for the whole of 2021-2023, and was set at:

- Chief Executive Officer: €656,000.
- General Managing Director: €506,000.

This remuneration does not represent an increase compared to the previous year.

B.7 Explain the nature and the main characteristics of the variable components of the remuneration systems accrued and vested in the year ended.

In particular:

a) Identify each one of the remuneration plans that have determined the different types of variable remuneration accrued by each of the directors in the year ended, including information on their scope, their date of approval, their date of incorporation, the periods of accrual and validity, the criteria used to evaluate performance and how this has affected the establishment of the variable amount accrued, as well as the measurement criteria used and the period necessary to be in a position to suitably measure all the conditions and criteria stipulated, duly explaining in detail the criteria and factors applicable with regard to the time required and methods to effectively verify the conditions of performance or any other type to which the accrual and vesting of each component of variable remuneration were linked.

b) In the case of share options and other financial instruments, the general characteristics of each plan will include information on both the conditions to acquire unconditional ownership (vesting) and to exercise these options or financial instruments, including the price and term to exercise them.

c) Each director and category (executive directors, proprietary external directors, independent external directors and other external directors) who are beneficiaries of remuneration systems or plans that include variable remuneration.

d) As the case may be, information is to be provided on periods for the accrual, vesting or deferment of payment of vested amounts applied and/or the periods for withholding/unavailability of shares or other financial instruments, if they should exist.

Explain the short-term variable components of the remuneration systems:

Executive directors have accrued the following annual variable remuneration (annual bonus) in 2022:

Chief Executive Officer:

Annual Target Bonus (100% of targets met): €459,000; maximum in case of targets being exceeded: €688,000.

- Group corporate targets (50% weighting):
  - Economic-financial parameters, in terms of increased sales, EBITDA and net profit and share performance. Total weighting of 75% of the Group's corporate targets.
  - Sustainability targets in terms of accident reduction in terms of severity rate and reduction in the ratio of tonnes of waste to landfill per million metres produced. Total weighting of 25% of the Group's corporate targets.

  Degree of achievement of the Group's corporate objectives: 81%

- Individual objectives (30% weighted) and performance assessment (20% weighted). The individual targets are tied to growth, integration and efficiency improvement objectives in relation to different Group subsidiaries and the preparation of the 2025 Plan.

  Degree of achievement of individual Objectives and evaluation: 77%

Total degree of compliance: 79%.

Amount of the 2022 Annual Bonus of the Chief Executive Officer: €364.000

General Managing Director:

Target Annual Bonus (targets met 100%): €354,000; maximum in the event of exceeding targets: €531,000.

- Group corporate targets (50% weighting): Degree of compliance 81%
  - Economic-financial parameters, in terms of increased sales, EBITDA and net profit and share performance. Total weighting of 75% of the Group's corporate targets.
  - Sustainability targets in terms of accident reduction in terms of severity rate and reduction in the ratio of tonnes of waste to landfill per million metres produced. Total weighting of 25% of the Group's corporate targets.

  Degree of achievement of the Group's corporate objectives: 81%

- Individual objectives (30% weighted) and performance assessment (20% weighted). The individual targets are tied to growth, integration and efficiency improvement objectives in relation to different Group subsidiaries and the preparation of the 2025 Plan.

  Degree of achievement of individual Objectives and evaluation: 77%

Total Degree of compliance:79%.

Amount of the 2022 Annual Bonus of the General Managing Director: €281,000

These amounts will be paid in the first quarter of 2023.

Explain the long-term variable components of the remuneration systems

No long-term variable components have accrued by 2022.

In the 2022 financial year, following the proposal of the Committee, the Board of Directors recognised and paid, after the General Meeting of Shareholders of 29 April 2022, the amounts corresponding to the settlement of the 2019-2021 Three-Year Plan. The vesting period of this plan ended on 31 December 2021 and therefore these amounts and share awards were reflected in the Directors' Remuneration Report for the year ended 31 December 2021.

B.8 Indicate whether certain variable components accrued were reduced or clawed back when, for the former, there were deferred payments of non-vested amounts or, for the latter, they were vested and paid, on the basis of data that were subsequently proven to be inaccurate. Describe the amounts reduced or clawed back through the application of the reduction or clawback clauses, why they were implemented and the years to which they refer.

No circumstances arose that would have entailed the reimbursement of variable remuneration.

B.9 Explain the main characteristics of the long-term savings systems in which the amount or equivalent annual cost appears in the tables in section C, including retirement and any other survivor benefit, which are financed, totally or partially, by the company, whether through internal or external contributions, indicating the type of plan, whether it is a defined contribution or benefit, the contingencies covered, the conditions for vesting economic rights for directors and their compatibility with any type of severance pay for early termination or termination of the contractual relationship between the company and the director.

Not applicable. The Remuneration Policy does not cover long-term savings systems.

B.10 Explain, where appropriate, the severance pay or any other type of payment deriving from early dismissal or early resignation, or from the termination of the contract, upon the terms provided for therein, accrued and/or received by directors during the year ended.

Not applicable. Did not occur

B.11 Indicate whether there have been any significant changes in the contracts of those exercising senior management functions, such as executive directors, and, where appropriate, explain such changes. In addition, explain the main conditions of the new contracts signed with executive directors during the year, unless these have already been explained in Section A.1.

Did not occur.

B.12 Explain any additional remuneration paid to directors for services rendered other than those inherent in their position.

Not applicable. There was no supplementary remuneration.

B.13 Explain any remuneration deriving from advance payments, loans or guarantees granted, indicating the interest rate, their key characteristics, amounts eventually returned and obligations taken on through guarantee or collateral.

Not applicable. Did not occur

B.14 Itemise the remuneration in kind accrued by the directors over the year, briefly explaining the nature of the different salary components.

The remuneration in kind accrued in 2022 for the items contemplated by the Policy (life/accident insurance premiums, healthcare and vehicles) was €22 thousand for the Executive Chairman and €56 thousand for the General Managing Director.

B.15 Explain the remuneration accrued by directors by virtue of payments made by the listed company to a third company at which the director renders services when these payments seek to remunerate the director's services to the company.

Not applicable. Did not occur

B.16 Explain and detail the amounts accrued in the year in relation to any other remuneration item other than the foregoing, whatever its nature or group company paying it, including all the benefits in all their forms, such as when they have the consideration of related party transactions or, especially, when they significantly affect the fair presentation of the total remuneration accrued by the director, having to explain the amount granted or pending payment, the type of consideration received and the reasons why it would have been considered, where appropriate, that it does not constitute remuneration to the director in their capacity as such or consideration for the performance of their executive functions, and whether it was considered appropriate or not to include them among the amounts accrued in the "Other items" heading of section C.

Not applicable. Did not occur.

C INDIVIDUAL REMUNERATION CORRESPONDING TO EACH DIRECTOR

Name	Type	2022 accrual period
JOSE DOMINGO AMPUERO OSMA	CHAIRMAN EXECUTIVE DIRECTOR	From 01/01/2022 to 31/12/2022
JOSE ANTONIO CANALES GARCIA	MANAGING DIRECTOR EXECUTIVE DIRECTOR	From 01/01/2022 to 31/12/2022
JAIME REAL DE ASÚA Y ARTECHE	INDEPENDENT DIRECTOR VICE-CHAIRMAN	From 01/01/2022 to 31/12/2022
JOSÉ MARÍA ALDECOA SAGASTASOLOA	LEAD DIRECTOR	From 01/01/2022 to 31/12/2022
AGATHA ECHEVARRIA CANALES	OTHER EXTERNAL DIRECTOR	From 01/01/2022 to 31/12/2022
SANTIAGO DOMECQ BOHORQUEZ	NOMINEE DIRECTOR	From 01/01/2022 to 31/12/2022
LAURA GONZALEZ MOLERO	INDEPENDENT DIRECTOR	From 01/01/2022 to 31/12/2022
CARMEN DE PABLO REDONDO	INDEPENDENT DIRECTOR	From 01/01/2022 to 31/12/2022
CRISTINA HENRIQUEZ DE LUNA BASAGOITI	INDEPENDENT DIRECTOR	From 29/04/2022 to 31/12/2022
ANDRÉS ARIZCORRETA GARCIA	INDEPENDENT DIRECTOR	From 29/04/2022 to 31/12/2022
JAVIER FERNANDEZ ALONSO	NOMINEE DIRECTOR	From 23/06/2022 to 31/12/2021
IGNACIO MARCO-GARDOQUI IBAÑEZ	VICE-PRESIDENT OTHER EXTERNAL	From 01/01/2022 to 29/04/2022
NESTOR BASTERRA LARROUDÉ	OTHER EXTERNAL DIRECTOR	From 01/01/2022 to 29/04/2022

JUAN MARCH DE LA LASTRA	NOMINEE DIRECTOR	From 01/01/2022 to 23/06/2022

C.1 Complete the following tables on the individual remuneration of each of the directors (including remuneration for carrying out executive functions) accrued during the fiscal year.

a) Remuneration from the reporting company: i) Remuneration in cash (in thousands of €)

Name	Fixed Remuner-ation	Attendance fees	Board committee membership remuneration	Salary	Short-term variable remuner-ation	Long-term variable remuneration	Compensation	Others	2022 Total	2021 Total
JOSE DOMINGO AMPUERO OSMA	160	-	-	656	364	0	0	0	**1180**	1557
JOSE ANTONIO CANALES GARCIA	80	-	-	506	281	0	0	0	**867**	1157
JAIME REAL DE ASÚA Y ARTECHE	80	30	38	0	0	0	0	0	**148**	151
JOSÉ MARÍA ALDECOA SAGASTASOLOA	80	30	52	0	0	0	0	25	**187**	193
AGATHA ECHEVARRIA CANALES	80	30	30	0	0	0	0	0	**140**	143
SANTIAGO DOMECQ BOHORQUEZ	80	30	28	0	0	0	0	0	**138**	138
LAURA GONZALEZ MOLERO	80	28	45	0	0	0	0	0	**153**	158
CARMEN DE PABLO REDONDO	80	28	30	0	0	0	0	0	**138**	141
CRISTINA HENRÍQUEZ DE LUNA BASAGOITI	53	21	3						**77**	
ANDRÉS ARIZCORRETA GARCIA	53	21	17						**91**	

JAVIER FERNANDEZ ALONSO	40	12	15						**67**	
IGNACIO MARCO-GARDOQUI IBAÑEZ	27	12	8	0	0	0	0	0	**47**	168
NESTOR BASTERRA LARROUDÉ	27	12	8	0	0	0	0	0	**47**	138
JUAN MARCH DE LA LASTRA	40	18	12	0	0	0	0	0	**70**	136

Remarks: The remuneration of the director Jose María Aldecoa Sagastasoloa for his functions as coordinating director, as established in the Remuneration Policy of the Board of Directors, has been indicated in Other Items.

The sum of fixed remuneration plus per diems and remuneration for membership of committees is lower than last year by €63 thousand as a result of the reduction in the number of members of both committees agreed during 2022 and the accrual of lower per diems (i.e. direct assumption of travel and accommodation costs of the Company in offsite sessions).

ii) Table of changes in share-based remuneration schemes and gross profit from shares or consolidated financial instruments

Name	Name of the Plan	Financial instruments at start of year t		Financial instrument granted in the year t		Financial instrument consolidated in the year				Instruments matured but not exercised	Financial instruments at end of year t	
		No. instruments	No. equivalent shares	No. instruments	No. equivalent shares	No. instruments	No. equivalent /vested shares	Price of vested shares	Gross profit from vested shares or financial instruments (thousand €)	No. instruments	No. instruments	No. equivalent shares

Remarks

iii) Long-term savings systems

	Remuneration from vesting of rights to savings
Director 1	

Name	Contribution over the year from the company (thousand €)				Amount of accumulated funds (thousand €)			
	Savings systems with vested economic rights		Savings systems with non-vested economic rights		FY t		FY t-1	
	FY t	FY t-1	FY t	FY t-1	Savings systems with vested economic rights	Savings systems with non-vested economic rights	Savings systems with vested economic rights	Savings systems with non-vested economic rights
Director 1								

Remarks

iv) Details of other concepts

Name	Concept	Amount
JOSE DOMINGO AMPUERO OSMA	Life and accident insurance premiums Healthcare policy Company car	22
JOSE ANTONIO CANALES GARCIA	Life and accident insurance premiums Healthcare policy Company car	56

Remarks

b) Remuneration to directors of the listed company due to their membership on the governing bodies of their subsidiaries:

i) Remuneration in cash (in thousands of €)

Name	Fixed Remuner -ation	Attendance fees	Board committee membership remuner-ation	Salary	Short-term variable remuner-ation	Long-term variable remuneration	Compensation	Others	Total year t	Total year t-1
Director 1										
Director 2										

Remarks

ii) Table of changes in share-based remuneration schemes and gross profit from shares or consolidated financial instruments

Name	Name of the Plan	Financial instruments at start of year t		Financial instrument granted in the year t		Financial instrument consolidated in the year				Instruments matured but not exercised	Financial instruments at end of year t	
		No. instru-ments	No. equivale nt shares	No. instruments	No. equivalent shares	No. instruments	No. equivale nt/vested shares	Price of vested shares	Gross profit from vested shares or financial instruments (thousand €)	No. instruments	No. instruments	No. equivalent shares
Director 1	Plan 1											
	Plan 2											

Remarks

iii) Long-term savings systems

	Remuneration from vesting of rights to savings
Director 1	

Name	Contribution over the year from the company (thousand €)				Amount of accumulated funds (thousand €)			
	Savings systems with vested economic rights		Savings systems with non-vested economic rights		FY t		FY t-1	
	FY t	FY t-1	FY t	FY t-1	Savings systems with vested economic rights	Savings systems with non-vested economic rights	Savings systems with vested economic rights	Savings systems with non-vested economic rights
Director 1								

Remarks

iv) Details of other concepts

Name	Concept	Amount
Director 1		

Remarks

C) Summary of remuneration (thousands €):

This should include a summary of the amounts corresponding to all the remuneration items included in this report that have accrued to each director, in thousands of euros.

	Remuneration accrued at the Company					Remuneration accruing to group companies					
Name	**Total Cash remuner-ation**	**Gross profit from vested shares or financial instruments**	**Remuneration from savings systems**	**Remuneration from other concepts**	**Company total year t**	**Total Cash remuneration**	**Gross profit from vested shares or financial instruments**	**Remuneration from savings systems**	**Remuneration on from other concepts**	**Total Group FY t**	**Total company + group FY t**
JOSE DOMINGO AMPUERO OSMA	1180	**0**	**0**	**22**	**1202**	**0**	**0**	**0**	**0**	**0**	**1202**
JOSE ANTONIO CANALES GARCIA	867	**0**	**0**	**56**	**923**	**0**	**0**	**0**	**0**	**0**	**923**
JAIME REAL DE ASÚA Y ARTECHE	148	**0**	**0**	**0**	**148**	**0**	**0**	**0**	**0**	**0**	**148**
JOSÉ MARÍA ALDECOA SAGASTASOLOA	187	**0**	**0**	**0**	**187**	**0**	**0**	**0**	**0**	**0**	**187**
AGATHA ECHEVARRIA CANALES	140	**0**	**0**	**0**	**140**	**0**	**0**	**0**	**0**	**0**	**140**
SANTIAGO DOMECQ BOHORQUEZ	138	**0**	**0**	**0**	**138**	**0**	**0**	**0**	**0**	**0**	**138**
LAURA GONZALEZ MOLERO	153	**0**	**0**	**0**	**153**	**0**	**0**	**0**	**0**	**0**	**153**
CARMEN DE PABLO REDONDO	138	**0**	**0**	**0**	**138**	**0**	**0**	**0**	**0**	**0**	**138**
CRISTINA HENRÍQUEZ DE LUNA BASAGOITI	77	**0**	**0**	**0**	**77**	**0**	**0**	**0**	**0**	**0**	**77**
ANDRÉS ARIZCORRETA GARCIA	91	**0**	**0**	**0**	**91**	**0**	**0**	**0**	**0**	**0**	**91**
JAVIER FERNANDEZ ALONSO	67	**0**	**0**	**0**	**67**	**0**	**0**	**0**	**0**	**0**	**67**
IGNACIO MARCO-GARDOQUI IBAÑEZ	47	**0**	**0**	**0**	**47**	**0**	**0**	**0**	**0**	**0**	**47**
NESTOR BASTERRA LARROUDE	47	**0**	**0**	**0**	**47**	**0**	**0**	**0**	**0**	**0**	**47**
JUAN MARCH DE LA LASTRA	70	**0**	**0**	**0**	**70**	**0**	**0**	**0**	**0**	**0**	**70**
TOTALS	3350	**0**	**0**	**78**	**3428**	**0**	**0**	**0**	**0**	**0**	**3428**

Remarks

C.2 Indicate the changes in the last five years of the amount and percentage variation of the remuneration accrued by each of the directors of the listed companies with such status in the year, of the consolidated results of the company and of the average remuneration on an equivalent full-time basis of the employees of the company and its subsidiaries that are not directors of the listed company.

	Total amounts accrued and % annual change								
	FY 2022	**% change 2022/2021**	**FY 2021**	**% change 2021/2020**	**FY 2020**	**% change 2020/2019**	**FY 2019**	**% change 2019/2018**	**FY 2018**
Executive Board Members									
JOSE DOMINGO AMPUERO OSMA	**1202**	-54.03%	**2615**	108.37%	**1,255**	21.61%	**1,032**	-12.17%	**1,175**
JOSE ANTONIO CANALES GARCIA	**923**	-53.97 %	**2005**	110.61%	**952**	21.12%	**786**	0.26%	**784**
External Directors									
JAIME REAL DE ASÚA Y ARTECHE	**148**	-1.99%	**151**	3.42%	**146**	0.00%	**146**	2.10%	**143**
JOSÉ MARÍA ALDECOA SAGASTASOLOA	**187**	-3.11%	**193**	16.27%	**166**	0.00%	**166**	9.21%	**152**
AGATHA ECHEVARRIA CANALES	**140**	-2.10%	**143**	-2.05%	**146**	0.00%	**146**	-40.41%	**245**
SANTIAGO DOMECQ BOHORQUEZ	**138**	0.00%	**138**	-5.48%	**146**	2.10%	**143**	2.14%	**140**
LAURA GONZALEZ MOLERO	**153**	-3.16%	**158**	1.28%	**156**	6.85%	146	78.05%	**82**
CARMEN DE PABLO REDONDO	**138**	-2.13%	**141**	45.36%	**97**	N/A	**0**	N/A	**0**
CRISTINA HENRÍQUEZ DE LUNA BASAGOITI	**77**	N/A	0	N/A	**0**	N/A	**0**	N/A	**0**
ANDRÉS ARIZCORRETA GARCIA	**91**	N/A	0	N/A	**0**	N/A	**0**	N/A	**0**
JAVIER FERNANDEZ ALONSO	**67**	N/A	**0**	N/A	**0**	N/A	**0**	N/A	**0**
IGNACIO MARCO-GARDOQUI IBAÑEZ	**47**	-72.02%	**168**	9.09%	**154**	-4.35%	**161**	-3.01%	**166**
NESTOR BASTERRA LARROUDE	**47**	-65.94%	**138**	1.47%	**136**	0.00%	**136**	-49.82%	**271**
JUAN MARCH DE LA LASTRA	**70**	-48.53%	**136**	0.00%	**136**	2.26%	**133**	2.31%	**130**
Consolidated profit before tax of the company	183,789	4.18%	176,420	10.50%	159,656	22.75%	130,064	-11.70%	147,299
Average employee remuneration	**37**	12.12%	33	3.13%	32	-3.03%	33	6.45%	31

- The amounts accrued are those provided for in the remuneration policy in force, although a rounding of decimals may be reflected due to the requirement to present the format in thousands of euros. In the case of the executive directors, the variations in remuneration in 2022 with respect to 2021 are essentially due to the accrual and allocation in 2021 of the settlement and payment to them of the 2019-2021 Triennial Plan. Variations in the remuneration of directors in their capacity as such are exclusively due to the strict application of the Policy, i.e. due to a reduction in the number of

members of Committees, or differences in the period of tenure of office from one year to the next. The increase in average remuneration in 2022 compared to 2021 is essentially due to the annual salary increase in a context of higher inflation and the settlement and payment of the 2019-2021 Triennial Plan to the beneficiaries of the Plan (computed on a cash basis for beneficiaries other than senior management and other staff). The significant variations in remuneration for the 2021 financial year compared to the 2020 financial year occur for executive directors and are essentially due to the consolidation and accrual of the 2019-2021 Three-Year Plan and to a lesser extent due to the update of the fixed remuneration approved in the 2021-2023 Remuneration Policy. With respect to 2018, the significant variations are due to the elimination of the Executive Committee in 2018 with the concomitant reduction of the remuneration of the directors forming it.

D OTHER INFORMATION OF INTEREST

If there are any relevant aspects relating to directors' remuneration that you have not been able to describe in other sections of this report but that are necessary to provide more comprehensive and fully reasoned information on the remuneration structure and practices of the company with regard to its directors, list them briefly.

This Annual Remuneration Report was approved by the company's Board of Directors at its meeting on 28/02/2023.

Indicate whether any board members voted against or abstained from voting on approving the present Report.

Yes ☐ No X

Name or company name of the members of the board of directors who voted against approving this report	Reasons (against, abstention, nonattendance)	Explain the reasons

ANNEX CONSOLIDATED ANNUAL ACCOUNTS AND CONSOLIDATED MANAGEMENT REPORT

DILIGENCE: In order for the Secretary of the Board of Directors, Mr. José Antonio Cortajarena Manchado, to record that the Board of Directors at the meeting of February 28, 2023 has prepared the consolidated annual accounts and the consolidated management report for the year ending in December 31, 2022, with the signature of the undersigned for identification purposes on all the sheets, which are made up of the documents that precede this writing and that are a true copy of those formulated in the Single Electronic Format established in the Delegated Regulation (EU) 2019/815, of December 17, 2018.

This is ratified with their signatures by the Directors listed below, in compliance with the provisions of article 253 of the Capital Companies Act.

Mr. José Domingo de Ampuero Osma Chairman	Mr. Jaime Real de Asúa Arteche Vicechairman
Mr. José María Aldecoa Sagastasoloa Director	Ms. Agatha Echevarría Canales Director
Mr. José Antonio Canales García Director	Ms. Laura González Molero Director
Mr. Santiago Domecq Bohórquez Director	Ms. Carmen de Pablo Redondo Director
Ms. Cristina Henríquez de Luna Basagoiti Director	Mr. Andrés Arizkorreta García Director
Mr. Javier Fernández Alonso Director	

The Secretary certifies that all the directors have signed the document.

Mr. Jose Antonio Cortajarena Manchado
Secretary of the Board of Directors

Declaration of responsibility regarding the content of the consolidated annual financial report of Viscofan, S.A. and subsidiaries, both corresponding to the year ended December 31, 2022

The members of the Board of Directors of Viscofan, S.A. declare that, to the best of their knowledge, the consolidated annual accounts of Viscofan S.A. and subsidiaries corresponding to the year ended December 31, 2022 have been prepared in accordance with the applicable accounting principles and offer a true and fair view of the assets, financial situation and results of the issuer and of the companies included in the consolidation taken as a whole, and that the management report includes a faithful analysis of the evolution and business results and of the position of the issuer and of the companies included in the consolidation taken as a whole, together with the description of the main risks and uncertainties they face.

In Madrid, on February 28, 2023.

Mr. José Domingo de Ampuero Osma
Chairman

Mr. Jaime Real de Asúa Arteche
Vicechairman

Mr. José María Aldecoa Sagastasoloa
Director

Ms. Agatha Echevarría Canales
Director

Mr. José Antonio Canales García
Director

Ms. Laura González Molero
Director

Mr. Santiago Domecq Bohórquez
Director

Ms. Carmen de Pablo Redondo
Director

Ms. Cristina Henríquez de Luna Basagoiti
Director

Mr. Andrés Arizkorreta García
Director

Mr. Javier Fernández Alonso
Director

DILIGENCE, issued by the Secretary of the Board of Directors to certify that at the meeting of February 28, 2023, all the directors have approved and signed this document.

Secretary of the Board of Directors
Mr. José Antonio Cortajarena Manchado